

Financial Stability Report

2025 | Issue 16



Bangladesh Bank

Financial Stability Department

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Financial Stability Report 2025

Issue 16



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Bangladesh Bank
(The Central Bank of Bangladesh)

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ACRONYMS

ACD	Agricultural Credit Department
AD	Authorized Dealer
ADR	Advance-to-Deposit Ratio
AGM	Annual General Meetings
ALS	Assured Liquidity Support
AML-CFT	Anti-Money Laundering and Countering the Financing of Terrorism
ATM	Automated Teller Machine
BACH	Bangladesh Automated Clearing House
BACPS	Bangladesh Automated Cheque Processing System
BB	Bangladesh Bank
BBS	Bangladesh Bureau of Statistics
BCBS	Basel Committee on Banking Supervision
BD	Bangladesh
BDT	Bangladesh Taka
BEFTN	Bangladesh Electronic Funds Transfer Network
BHBFC	Bangladesh House Building Finance Corporation
B/L	Bad and Loss
BOP	Balance of Payments
BPM6	Balance of Payments and International Investment Position Manual- Sixth Edition
BRPD	Banking Regulations and Policy Department
BS	Balance Sheet
BSBL	Bangladesh Samabaya Bank Limited
BSEC	Bangladesh Securities and Exchange Commission
BSRR	Bangladesh Systemic Risk Report
CAB	Current Account Balance
CAR	Capital Adequacy Ratio
CAMELS	Capital Adequacy, Asset Quality, Management, Earnings, Liquidity and Sensitivity to Market Risk
CCB	Capital Conservation Buffer
CDBL	Central Depository Bangladesh Limited
CEO	Chief Executive Officer
CET-1	Common Equity Tier 1
CFSI	Composite Financial Stability Index
CGD	Credit Guarantee Department
CIB	Credit Information Bureau
CIT	Cheque Imaging and Truncation
CMSME	Cottage, Micro, Small and Medium Enterprise
CPI	Consumer Price Index

CRAR	Capital to Risk-weighted Assets Ratio
CRR	Cash Reserve Ratio
CRWA	Credit Risk-Weighted Assets
CSE	Chittagong Stock Exchange
CSR	Corporate Social Responsibility
CY	Calendar Year
DBU	Domestic Banking Unit
DF	Doubtful
DFIM	Department of Financial Institutions and Markets
DFS	Digital Financial Services
DID	Deposit Insurance Department
DIS	Deposit Insurance System
DITF	Deposit Insurance Trust Fund
DP	Depository Participants
DPF	Deposit Protection Fund
DSE	Dhaka Stock Exchange
DSEX	DSE Broad Index
ECC	Export Cash Credit
ECL	Expected Credit Loss
ECAI	External Credit Assessment Institutions
EDF	Export Development Fund
ELA	Emergency Liquidity Assistance
EPB	Export Promotion Bureau
EPS	Earnings Per Share
ERQ	Exporters' Retention Quota
ETF	Exchange Traded Fund
EU	European Union
FC	Foreign Currency
FCs	Finance Companies
FCBs	Foreign Commercial Banks
FDD	Foreign Demand Draft
FDI	Foreign Direct Investment
FDR	Fixed Deposit Receipt
FEOD	Foreign Exchange Operation Department.
FEPD	Foreign Exchange Policy Department
FOB	Free on Board
FRTMD	Forex Reserve and Treasury Management Department
FSD	Financial Stability Department
FSR	Financial Stability Report
FSV	Forced Sale Value
FTSE	The Financial Times Stock Exchange
FX	Foreign Exchange
FY	Fiscal Year
GCC	Gulf Cooperation Council

GDP	Gross Domestic Product
GNPL	Gross Non-Performing Loan
GVA	Gross Value Added
HHI	Herfindahl-Hirschman Index
HV	High Value
IBFT	Internet Banking Fund Transfer
IBLF	Islamic Banks Liquidity Facility
ICAAP	Internal Capital Adequacy Assessment Process
ICB	Investment Corporation of Bangladesh
IDR	Investment to Deposit Ratio
IDRA	Insurance Development and Regulatory Authority
IIMS	Insurance Information Management System
IMF	International Monetary Fund
IPO	Initial Public Offering
IR	Insolvency Ratio
IRR	Interest Rate Risk
JBC	Jibon Bima Corporation
JVCA	Joint Ventures/Consortiums/Associations
LCR	Liquidity Coverage Ratio
L/C	Letter of Credit
LDC	Least Developed Countries
LTR	Loan against Trust Receipt
M2	Broad Money
MCR	Minimum Capital Requirement
MET	Monthly Economic Trends
MD	Managing Director
MFI	Microfinance Institution
MFS	Mobile Financial Services
MLS	Mudarabah Liquidity Support
MOU	Memorandum of Understanding
MPD	Monetary Policy Department
MRA	Microcredit Regulatory Authority
MRWA	Market Risk-Weighted Assets
MT	Mail Transfer
NASDAQ	National Association of Securities Dealers Automated Quotations
NBFI	Non-Bank Financial Institution
NDA	Net Domestic Assets
NFA	Net Foreign Assets
NFC	Non-Financial Corporation
NFCD	Non-Resident Foreign Currency Deposit
NII	Net Interest Income
NIM	Net Interest Margin
NNII	Net Non-Interest Income

NNPL	Net Non-Performing Loan
NOP	Net Operating Profit
NPLs	Non-Performing Loans
NPSB	National Payment Switch Bangladesh
NRB	Non-Resident Bangladeshi
NSDP	National Summary Data Page
NFSR	Net Stable Funding Ratio
OBOs	Off-shore Banking Operations
OBS	Off-Balance Sheet
OBU	Off-shore Banking Unit
OLL	On-Lending Loans
OPEC	Organization of the Petroleum Exporting Countries
ORWA	Operational Risk-Weighted Assets
P2P	Person to Person
PCA	Prompt Corrective Action
PCBs	Private Commercial Banks
PD	Primary Dealers
P/E	Price-Earnings Ratio
PKSF	Palli Karma-Sahayak Foundation
PSD	Payment Systems Department
PSO	Payment System Operator
PSP	Payment Service Provider
QFSAR	Quarterly Financial Stability Assessment Report
QR	Quick Response
REER	Real Effective Exchange Rate
RFCD	Resident Foreign Currency Deposit Accounts
RM	Reserve Money
RMG	Ready-made Garments
ROA	Return on Assets
ROE	Return on Equity
ROI	Return on Investment
RRR	Risk Retention Rate
RTGS	Real Time Gross Settlement
RV	Regular Value
RWA	Risk Weighted Assets
SB	Sonali Bank
SBC	Sadharon Bima Corporation

SDAD	Supervisory Data Management and Analytics Department
SDBs	Specialized Development Banks
SDF	Standing Deposit Facility
SFD	Sustainable Finance Department
SHQLA	Stock of High-Quality Liquid Assets
SLF	Standing Lending Facility
SLR	Statutory Liquidity Ratio
SLS	Special Liquidity Support
SMA	Special Mention Account
SME	Small and Medium Enterprise
SMEPD	Second Small and Medium-Sized Enterprise Development Project
SMESPD	SME & Special Programmes Department
SOCBs	State-owned Commercial Banks
SOFR	Secured Overnight Financing Rate
SPCD	Supervisory Policy and Coordination Department
SREP	Supervisory Review Evaluation Process
SREUP	Support Safety Retrofits and Environmental Upgrades Programme
SRP	Supervisory Review Process
SS	Sub-Standard
S&P	Standard & Poor's
STED	Short-Term External Debt
TT	Telegraphic Transfer
TWS	Trader Work Station
T-bill	Treasury Bills
T-bonds	Treasury Bonds
UAE	United Arab Emirates
UBO	Ultimate Beneficial Owners
UK	United Kingdom
URSDL	Unclassified Rescheduled Loan
USA	United States of America
USD	US Dollar
VAT	Value Added Tax
WAR	Weighted Average Resilience
WEO	World Economic Outlook
WB	World Bank
WIR	Weighted Insolvency Ratio
WTI	West Texas Intermediate

EXECUTIVE SUMMARY

This report presents a comprehensive assessment of Bangladesh's macro-economic conditions and the performance of its financial system in 2025. The review highlights developments in the global and domestic economies, the resilience of the external sector, the condition of bank and non-bank financial institutions, capital market performance, financial infrastructure, and policy measures undertaken to safeguard financial stability.

In 2025, the global economy maintained moderate but stable growth momentum, with real GDP growth reaching 3.49 percent. Domestically, Bangladesh faced a challenging macroeconomic environment marked by persistently high inflation and slower economic growth. Average inflation was about 10.03 percent in FY25, while GDP growth slowed to 3.49 percent because of weaker external demand and structural constraints. Despite these pressures, the banking sector maintained moderate credit expansion, with private-sector credit up 7.98 percent year over year, reflecting continued financial intermediation and economic activity.

Bangladesh's external sector remained broadly resilient despite global economic uncertainty. The current account balance improved, supported by stable export earnings, record inward remittance inflows, moderate import payments, and a gradual recovery in the export-import coverage ratio. Although the Bangladeshi Taka depreciated slightly against the US dollar and external debt increased mainly due to

higher public sector borrowing, lower short-term debt exposure and relatively stable reserves strengthened the external sector's sustainability. Nonetheless, risks associated with global trade uncertainty, possible slowdowns in key export sectors, geopolitical tensions, and Bangladesh's upcoming possibility of achieving graduation from Least Developed Country (LDC) status continue to pose challenges to the external outlook.

The banking sector faced considerable stress in 2025. The Capital to Risk-Weighted Assets Ratio (CRAR) deteriorated sharply from 3.08 percent in 2024 to negative 2.64 percent in 2025, signaling severe capital adequacy weaknesses. The Capital Conservation Buffer also fell to zero by year-end, reflecting heightened sectoral vulnerabilities. The deterioration was driven primarily by weakened capital positions at State-Owned Commercial Banks (SOCBs), Specialized Development Banks (SDBs), and both conventional and Islamic Private Commercial Banks (PCBs). The sector's leverage ratio turned negative at 3.10 percent, primarily due to negative leverage positions among SDBs and Islamic PCBs. In addition, profitability indicators declined significantly, as both Return on Assets (ROA) and Return on Equity (ROE) fell sharply from the previous year.

Despite these weaknesses, the banking sector's overall liquidity remained broadly stable, except in the Islamic banking segment. The Advance-Deposit Ratio (ADR) declined to 77.72 percent during the review period, while the call money rate remained elevated. The higher call money rate largely reflected Bangladesh Bank's continued tight monetary policy stance, with increased policy rates to contain inflationary pressures. The banking industry generally maintained the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) above regulatory thresholds, except Islamic PCBs, which failed to meet the required standards. Nevertheless, the industry's stock of High-Quality Liquid Assets (HQLA) increased by 20.18 percent, reaching BDT 1,017.38 billion in 2025.

Several financial soundness indicators of Islamic banking segment deteriorated in 2025. The CRAR of Islamic banks fell to negative 43.18 percent, while non-performing loans (NPLs) surged by 56.15 percent. Excluding five Islamic banks under resolution, CRAR for Islamic banks stood at 7.71 percent. Deposit and investment growth slowed significantly, and shareholders' equity turned negative, remaining well below regulatory requirements. Moreover, Islamic banks unable to maintain the required LCR, NSFR, and Investment-Deposit Ratio (IDR). Given the size and interconnectedness of the Islamic banking segment, these vulnerabilities could pose risks to the stability of the broader banking system.

Credit risk in the banking sector remained elevated, as reflected in the high Risk-Weighted Assets (RWA) density ratio. The retail and SME sectors recorded the highest RWA density ratios, followed by the corporate sector. The corporate sector accounted for 45.85 percent of total lending exposure, while its RWA represented 67.04 percent of total RWAs, indicating a comparatively higher concentration of risk. During the review period, the proportion of rated exposures in the banking industry increased, suggesting a gradual improvement in risk assessment practices.

The condition of finance companies (FCs) further deteriorated. As of the end of 2025, FCs' total assets increased by 4.91 percent; however, the NPL ratio rose sharply to 33.32 percent. Elevated NPLs adversely affected capital adequacy and profitability. The capital adequacy ratio declined to negative 23.19 percent, while rising loan-loss provisions contributed to a negative ROA of 1.90 percent. Deposits remained the major component of the sector's liabilities, accounting for 79.30 percent of total liabilities. However, total deposits declined by 7.03 percent, reaching BDT 17,641.10 billion at the end of December 2025, compared with BDT 18,975.80 billion in 2024.

The Deposit Protection Fund (DPF) balance rose to BDT 156.24 billion in 2025. Under the Deposit Protection Act, 2026, the fund provides deposit protection coverage of up to BDT 200,000 per depositor, thereby strengthening depositor confidence and financial safety nets.

Stress tests conducted at the end of December 2025 indicated ongoing vulnerabilities in both the banking and financial company sectors under adverse shock scenarios.

The banking sector's pre-shock CRAR stood at negative 2.64 percent and would deteriorate further under various credit and market risk shocks. Among these, increases in NPLs or average NPL investment ratios would have the largest adverse impact on capital adequacy, followed by defaults of the top two borrowers at individual banks. The banking system appeared comparatively less vulnerable to market-risk-related shocks. Under a combined shock scenario, sectoral CRAR would decline further to negative 6.16 percent. Although the banking sector overall appeared resilient to liquidity shocks, Islamic and specialized banks would fail to maintain required liquidity standards, and 18 scheduled banks would not withstand the prescribed liquidity stress test. Furthermore, if 3 percent of climate-vulnerable loans were downgraded directly to the bad and loss category, additional provisioning requirements would amount to BDT 106.27 billion. Similar stress tests for FCs also revealed persistent vulnerabilities under adverse scenarios.

Government borrowing through primary auctions increased in 2025. Treasury bond issuance rose significantly by 35.57 percent, while treasury bill issuance increased by 3.72 percent. At the same time, yields on government securities declined across all maturities, indicating a moderate reduction in government borrowing costs.

Bangladesh Bank continued to provide substantial liquidity support to the financial system throughout the year. Total liquidity support BDT 21.68 trillion, delivered through instruments including Repo, Assured Liquidity Support (ALS), Islamic Bank Liquidity Facility (IBLF), and Special Liquidity Support (SLS). Conventional banks received nearly 92 percent of the total support, while Islamic banks received the rest of the amount.

The capital market remained bearish throughout 2025. The DSE Broad Index (DSEX) declined 6.73 percent, while market capitalization increased modestly by 2.35 percent. The market Price-Earnings (P/E) ratio fell to 8.59, and average daily turnover declined by 17.56 percent, signaling weak investor confidence and lower market activity. However, dividend yield increased substantially to 6.38 percent, 2.33 percent the higher than previous year.

Bangladesh's financial infrastructure made significant progress in 2025, particularly in digital financial services. Transactions via the National Payment Switch Bangladesh (NPSB), Bangladesh Electronic Funds Transfer Network (BEFTN), internet banking, payment cards, BD-RTGS, and agent banking grew rapidly. The expansion of Bangla QR and the introduction of TakaPay accelerated the adoption of affordable, inclusive digital payments. Inward remittance inflows through agent banking also increased significantly. To enhance resilience in the digital ecosystem, Bangladesh Bank strengthened payment system oversight and cyber security through continuous monitoring, inspections, and risk management initiatives.

The foreign exchange market remained relatively stable compared with the previous year, although the Bangladeshi Taka depreciated moderately against the US dollar. The Real Effective Exchange Rate (REER) fluctuated moderately over the year. By end-December 2025, both foreign exchange assets and liabilities of the banking sector increased, while contingent liabilities declined. During the review period, both L/C openings and settlements increased, and inward remittance inflows remained significantly elevated. Bangladesh Bank's gross foreign exchange reserves reached USD 33.19 billion at end-December 2025, which was considered adequate under international import coverage standards. However, under the IMF's BPM6 methodology, reserve holdings stood at USD 28.59 billion.

The insurance sector showed mixed performance. Life insurers accounted for most total assets and premium collections. While indicators such as return on investment and claims settlement improved, the investment-to-total assets ratio and the management expense ratio deteriorated. Life insurers performed better than Non-life insurers across most indicators. Nevertheless, the sector's limited interconnectedness with the broader financial system reduces its systemic risk implications.

The Microfinance Institution (MFI) sector remained broadly stable during FY25. Credit growth reached 9.70 percent, while the NPL ratio increased to 8.52 percent. Despite this increase, the ratio remained significantly lower than that of banks and FCs. Profitability indicators, including ROA and ROE, declined primarily due to rising non-performing

loans. However, the continued decline in the donation-to-equity ratio over the past five years suggests improving self-sustainability among MFIs. Increasing market concentration among leading MFIs, however, warrants careful regulatory oversight.

Bangladesh Bank undertook several strategic policy initiatives in 2025 to strengthen financial system resilience. Key measures included policy support for promising but adversely affected borrowers through rescheduling and exit facilities. The implementation of the Bank Resolution Ordinance, 2025, later enacted as Bank Resolution Act, 2026, represented another major reform initiative aimed at improving crisis management and resolution frameworks. In addition, Bangladesh Bank introduced regulations that permit banks and FCs to invest in the equity of startup firms, thereby promoting financial innovation and entrepreneurship.

Overall, despite elevated macroeconomic and financial sector pressures, Bangladesh's financial system showed moderate resilience in 2025. Although economic growth slowed and inflation remained persistently high, strong remittance inflows, steady export performance, and supportive policy measures helped cushion the economy. Nevertheless, rising non-performing loans, weakening capital buffers at banks and financial companies, and increasing credit risks continue to pose significant vulnerabilities. Sustained vigilance, responsive policymaking, strengthened supervision, and comprehensive institutional reforms will remain essential to safeguarding financial stability in the coming years.

CHAPTER 1 : MACROECONOMIC DEVELOPMENTS

In 2025, despite several crucial challenges including higher tariff rates imposed by the USA and ongoing geopolitical tensions, the global economy expanded at a moderate pace, supported by fiscal stimulus, trade negotiations, and easing inflation in many regions.

As elevated inflationary pressures from the previous year began to ease by mid-FY25, Bangladesh's GDP grew by 3.49 percent by the end of the fiscal year, primarily driven by the services and industry sectors. Both government borrowing from the banking system and private sector credit growth saw only modest increases. The persistently low credit-to-GDP gap indicates that, from a financial stability perspective, there is no immediate threat arising from private-sector credit flows.

Bangladesh's external sector exhibited mixed performance in FY25 aimed of a challenging global environment. Strong remittance inflows, steady export earnings, and moderate import growth contributed to a narrower current account deficit and greater external sector stability. Nonetheless, risks arising from global uncertainties, external debt accumulation, and potential pressures on export competitiveness persist, posing ongoing challenges to the sector's outlook.

1. 1 GLOBAL MACROECONOMIC ENVIRONMENT

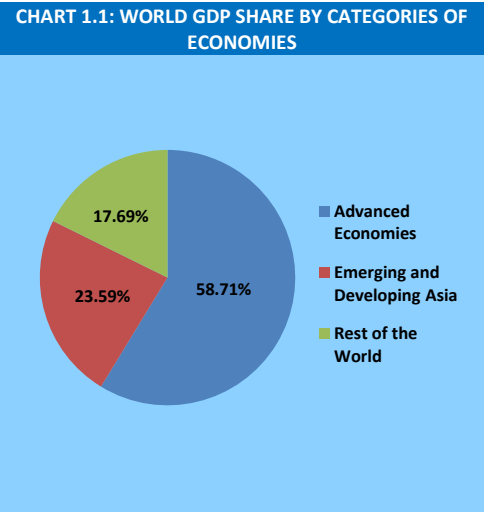
In 2025, global financial markets remained generally cautious yet resilient, with major stock indices posting gains amid moderate economic growth and easing inflationary pressures. Equity markets in several regions, particularly in the United States and parts of Asia, advanced as investors reacted to softer inflation data and expectations of slower monetary tightening. However, government bond markets showed divergent outcomes across countries, reflecting differing investor expectations for future interest rates and monetary policy. Looking ahead to 2026, while inflation was initially projected to ease further, the escalation of conflict in the Middle East could reverse this progress, putting renewed upward pressure on global inflation and weighing on the economic growth. Persistent geopolitical tensions, trade uncertainties, and inflationary pressures, especially in energy markets, are likely to shape global economic conditions and financial market behavior, necessitating coordinated policy responses from governments and central banks.

1.1.1 GLOBAL GROWTH SCENARIO
AND OUTLOOK

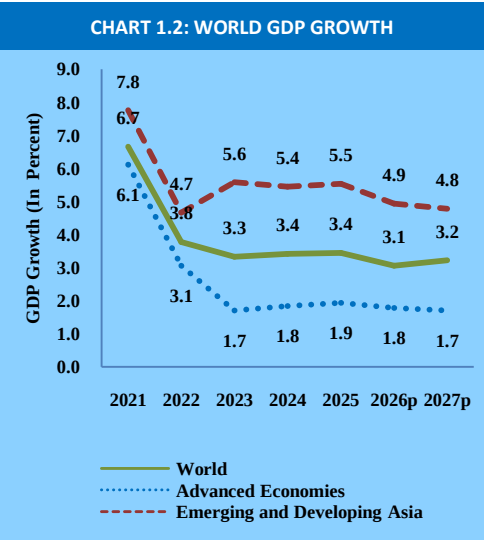
According to the IMF’s April 2026 World Economic Outlook (WEO), the global economy experienced moderate growth in 2025. However, the sudden outbreak of war in the Middle East in February cast a shadow over the outlook for 2026. At the start of 2025, escalating trade tensions, particularly those stemming from new U.S. tariff measures contributed to heightened global economic uncertainty. By mid-2025, some easing of these trade-related measures and increasing calls for policy coordination and adjustment across economies contributed to a modest improvement in the global outlook.

In 2025¹, global GDP reached USD 118.18 trillion, a 5.89 percent increase from the previous December. The share of advanced economies in global output edged up by 0.13 percentage point to 58.71 percent, while the proportion accounted for by emerging and developing Asian economies declined by 0.42 percentage point to 23.59 percent. The share of the rest of the world rose by 0.30 percentage point to 17.69 percent (Chart 1.1). Growth in advanced economies stood at 1.9 percent in 2025, with a projected decline to about 1.8 percent in 2026. Similarly, growth in Emerging and Developing Asian economies rose slightly to 5.5 percent in 2025 from the 2024 level. However, growth in this region is expected to slow due to disruptions from the ongoing Middle East conflict.

Globally, the economy grew at a stable rate of around 3.4 percent in 2025, but growth is forecast to slow to 3.1 percent in 2026 before a slight recovery to 3.2 percent in 2027 (Chart 1.2). This outlook reflects persistent challenges, particularly severe damage to key production facilities in a region crucial for global hydrocarbon supply, which continues to disrupt trade activity and strain supply chains.



Source: IMF, World Economic Outlook Database.



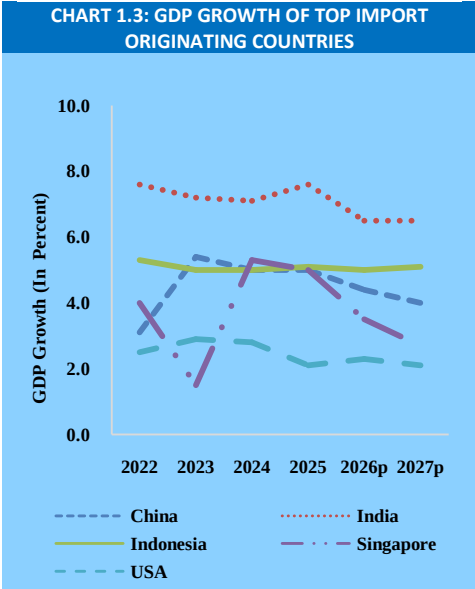
Note: p= Projection.
Sources: IMF, World Economic Outlook, April 2026.

¹ IMF’s World Economic Outlook database.

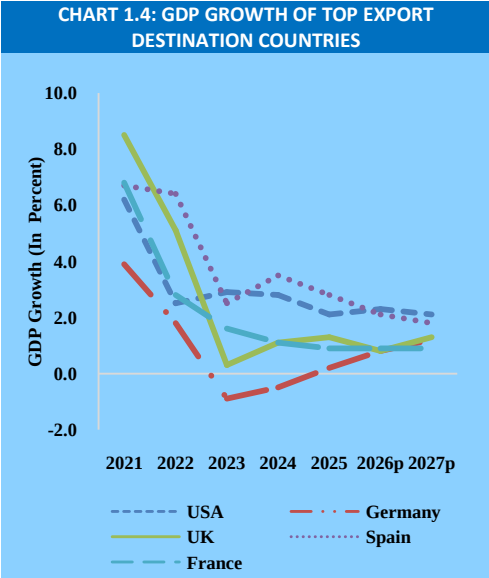
Bangladesh’s key import partners²—China and India, as dominant sources alongside Singapore, Indonesia, and the United States, account for a substantial share of its total imports and supply essential inputs, including capital machinery, intermediate goods, fuel, and industrial raw materials. According to the IMF’s April 2026 WEO, these countries experienced moderating GDP growth between 2024 and 2025, indicating a gradual transition from post-pandemic recovery to more stable long-term growth paths, although the pace of adjustment varied across countries (Chart 1.3). However, the outbreak of the Iran war has further weakened the growth outlook for these economies. A slowdown in these countries could reduce their capacity to supply production inputs to Bangladesh, potentially further disrupting supply chains. Bangladesh’s main export destinations³, the United States, Germany, the United Kingdom, Spain, and France, saw a slower but stable economic growth in 2025 (Chart 1.4). However, the ongoing conflict in the Middle East and possible disruptions to key oil shipping routes, such as the Strait of Hormuz could further slow their economies. If this happens, these countries may import fewer goods, including products from Bangladesh. Since Bangladesh depends heavily on these markets for exports, such as readymade garments, leather products, home textiles, fish, and raw jute, weaker

²<https://www.bb.org.bd/en/index.php/econdata/imprtindex>
³<https://www.bb.org.bd/en/index.php/econdata/exprtindex>

demand could lower export earnings, increase competition, and create uncertainty for the country’s export sector.

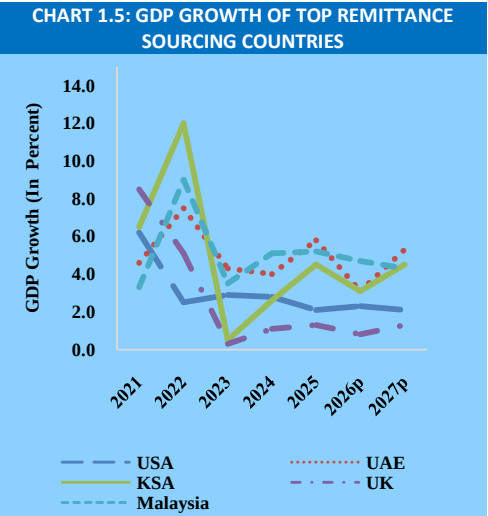


Note: p= Projection.
Source: IMF, World Economic Outlook, April 2026.



Note: p= Projection.
Source: IMF, World Economic Outlook, April 2026

Bangladesh’s leading remittance⁴ sourcing countries, the United States, the United Arab Emirates (UAE), the Kingdom of Saudi Arabia (KSA), the United Kingdom, and Malaysia, have exhibited divergent economic trends in recent years due to global shocks and country-specific conditions. According to the IMF’s April 2026 WEO, economic growth in Middle Eastern economies is expected to weaken in 2026 after relatively stable growth in 2025, largely due to disruptions to oil production and shipping (Chart 1.5). Because remittance inflows to Bangladesh depend heavily on the economic performance of these countries, weaker growth could affect employment and income opportunities for Bangladeshi workers abroad, potentially slowing remittance inflows in the near term.



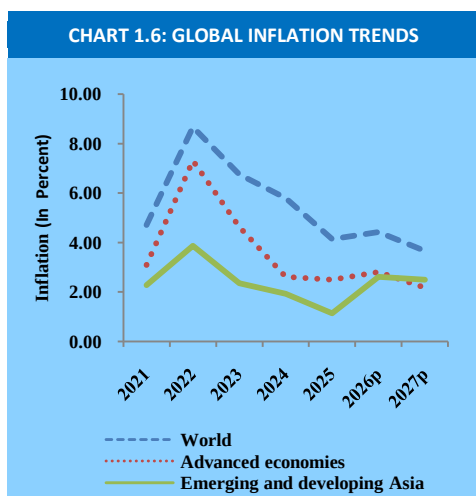
Note: p= Projection.

Source: IMF, World Economic Outlook, April 2026

1.1.2 GLOBAL INFLATION

In 2025, global inflation trended downward, though the pace of decline differed across advanced and emerging market economies. The IMF reported a decline in global inflation from 5.79 percent in 2024 to 4.13 percent in 2025. This reflects the cumulative impact of tight monetary policy implemented since 2022, particularly by major central banks such as the Federal Reserve and the European Central Bank, as well as the normalization of global supply chains and the stabilization of energy and food prices. However, geopolitical tensions in the Middle East and related disruptions to energy markets could put renewed upward pressure on inflation in 2026, particularly through higher costs for energy-intensive goods and services, such as food, fertilizers, transportation, and heating. In 2025, inflation in emerging and developing Asian economies was around 1.13 percent, while inflation in advanced economies was about 2.50 percent. In 2026, inflation in many emerging and developing Asian economies may rise to about 2.62 percent, while inflation in advanced economies may continue to increase to around 2.81 percent. Looking ahead, global inflation is expected to continue this upward trend, as persistent price pressures affect many regions, with headline inflation projected to rise to around 4.42 percent by 2026 (Chart 1.6).

⁴https://www.bb.org.bd/en/index.php/econdata/bo_p_remittance/1



Note: p= Projection.

Source: IMF, World Economic Outlook Database.

1.1.3 GLOBAL FINANCIAL MARKET ENVIRONMENT

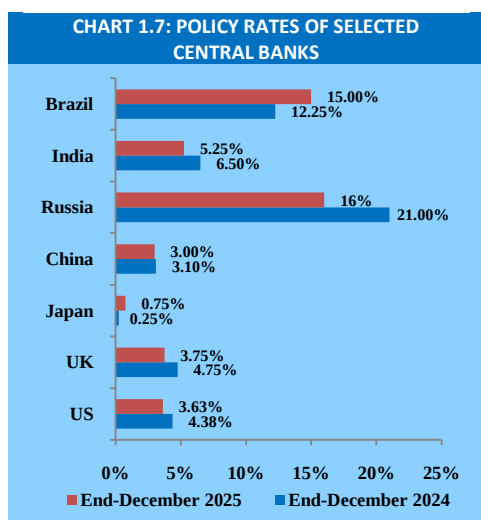
In 2025, global financial markets remained relatively stable and cautious despite persistent trade tensions and elevated geopolitical risks. As inflation showed signs of easing, many central banks began to retreat from the sharp interest rate hikes enacted in 2023 to rein in surging prices. Major stock markets posted strong gains, while 10-year government bond yields varied across countries, reflecting differences in monetary policies, inflation expectations, and economic conditions. At the same time, crude oil prices trended lower, and forecasts suggest further declines in the coming year.

1.1.3.1 INTERNATIONAL INTEREST RATE ENVIRONMENT

In 2025, as global inflationary pressures continued to ease, many central banks shifted away from the aggressive interest rate tightening undertaken in 2022–2023 to combat surging prices.

Rather than continuing with swift and substantial rate hikes, major central banks, such as the Federal Reserve and the European Central Bank, largely began cautiously easing monetary conditions, reflecting increased confidence that inflation was moving toward target.

In 2025, many major economies began a gradual shift toward lower interest rates, though not at the same pace. Central banks such as the Federal Reserve and the Bank of England cautiously reduced rates from the high levels seen in 2024, while countries including India and China leaned toward more supportive policies to sustain growth. However, monetary policy was not uniformly accommodative: for example, Russia’s central bank kept policy relatively tight for much of 2025, despite some reductions in its policy rate by year-end, reflecting persistent inflationary pressures and currency concerns that constrained aggressive easing. In contrast, Brazil kept its policy rates elevated throughout 2025 compared with the previous year, aiming to contain persistent inflationary pressures. Meanwhile, the Bank of Japan continued to gradually raise interest rates as part of its slow move away from ultra-loose policy. By the end of the year, Japan’s rates were slightly higher than in 2024, reflecting a careful effort to support growth while keeping inflation and financial risks in check (Chart 1.7).

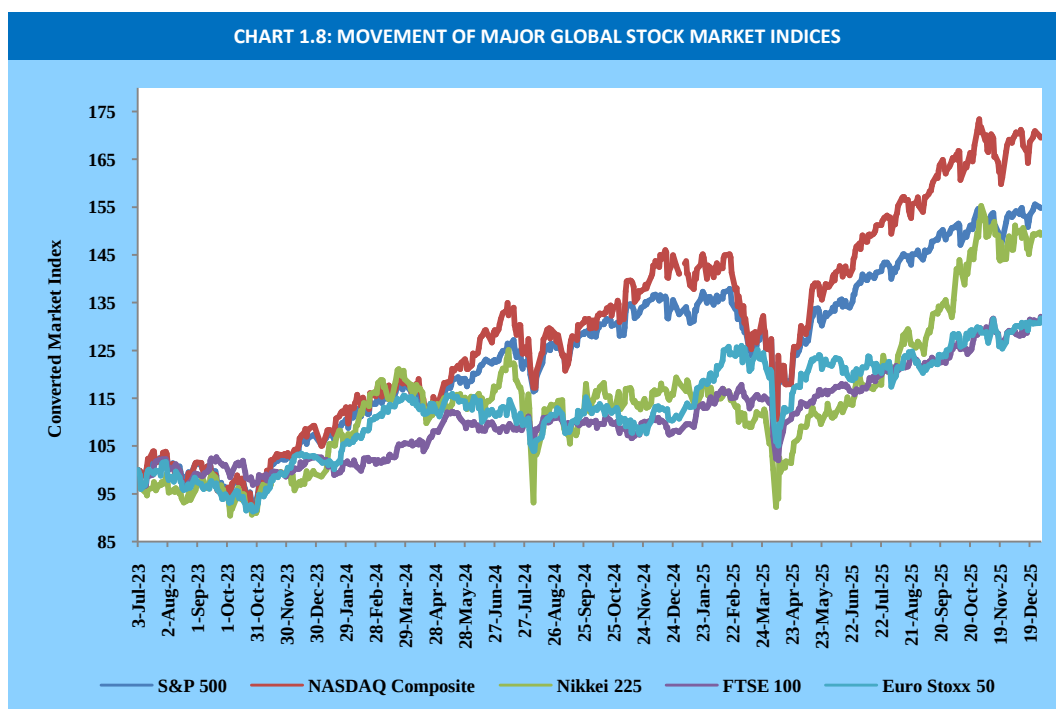


Source: Bank for International Settlements.

1.1.3.2 DEVELOPMENT IN MAJOR FINANCIAL MARKETS

In 2025, global stock markets grew steadily but unevenly across regions. Most major stock indices rose, signaling a global recovery.

After sharp post-pandemic increases, inflation eased in 2023–2024, prompting many central banks to gradually ease their aggressive interest rate hikes and boosting expectations of lower borrowing costs, which, in turn, supported higher stock prices. However, markets dropped sharply in early 2025, likely due to economic worries or geopolitical issues, but quickly bounced back and continued to climb for the rest of the year (Chart 1.8). Compared with the same period in the previous year, the S&P 500 increased by 16.75 percent at the end of December 2025, while the NASDAQ Composite, boosted mainly by tech stocks, rose 20.18 percent. Japan's Nikkei 225 climbed 26.18 percent, the UK's FTSE 100 rose 22.41 percent, and the Euro Stoxx 50 gained 19.04 percent.

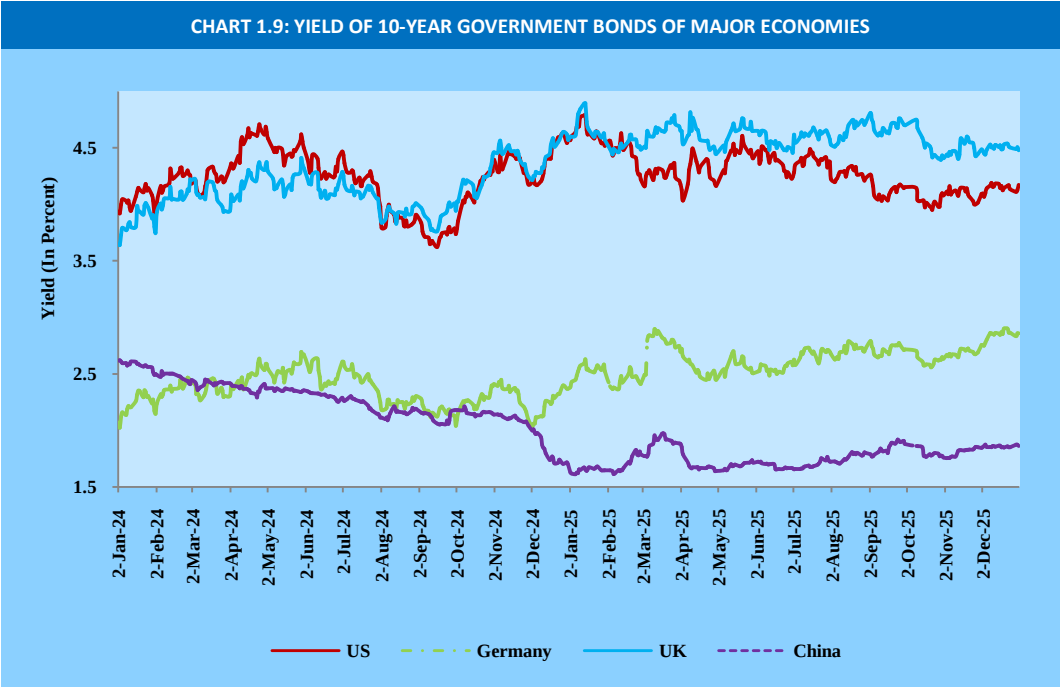


Note: Base: 03 July 2023.

Source: Wall Street Journal.

In 2025, 10-year government bond yields across major advanced and emerging economies varied widely, reflecting domestic factors such as inflation, monetary policy, and growth outlooks, as well as global influences like geopolitical tensions and shifts in investor sentiment. By the end of December 2025, the 10-year government bond yield in the United States had declined by about 40 basis points, while the United Kingdom saw a modest decrease of about 9 basis points compared with the end of 2024. The decline in long-term yields in these economies reflected market expectations that central banks, such as the Federal Reserve and the Bank of England, would slow or eventually reverse further monetary tightening as inflation continued to ease.

Throughout 2025, these central banks gradually eased their monetary tightening policies. This shift supported lower borrowing costs by pushing bond prices higher and yields lower. In contrast, the 10-year bond yield in Germany increased by about 49 basis points over the same period, while China saw a smaller rise of roughly 16 basis points. Germany’s moderate increase likely reflected a different mix of inflation expectations, fiscal conditions, and monetary policy dynamics within the euro area. Meanwhile, China’s relatively low and stable yields remained consistent with a more accommodative policy stance and subdued inflationary pressures (Chart 1.9).

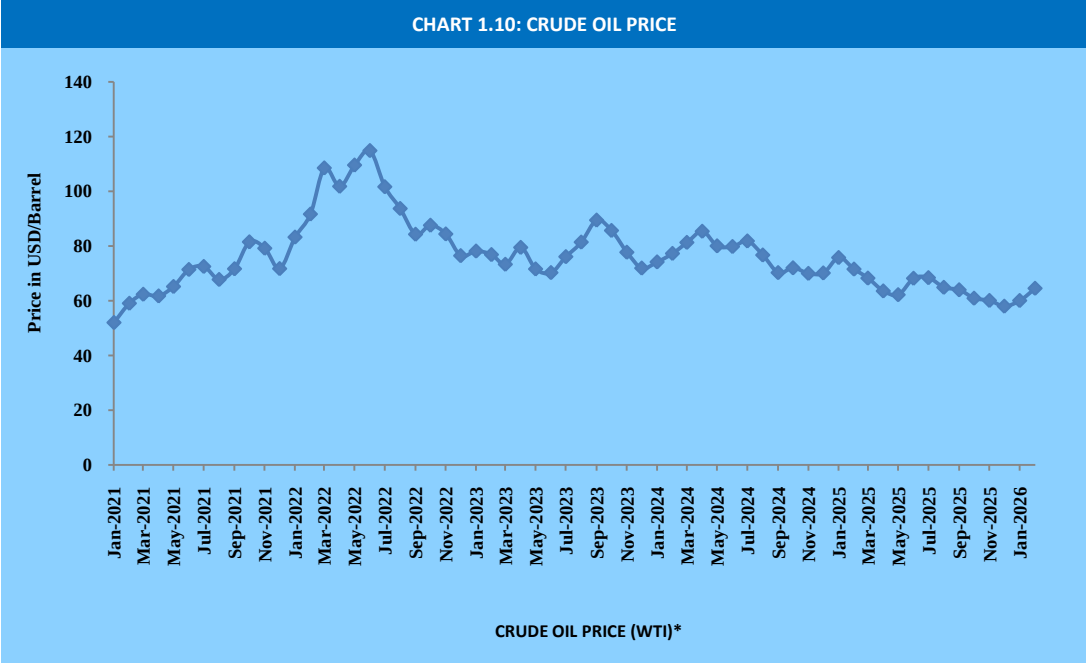


Source: Wall Street Journal.

1.1.3.2 CRUDE OIL PRICES IN INTERNATIONAL MARKET

Petroleum, oil, and lubricants (POL) are fundamental to the global energy system and significantly shape the global economy. Changes in oil prices directly influence domestic inflation, mainly by affecting production and transportation costs. As depicted in Chart 1.10, over the past four years, global benchmark West Texas Intermediate (WTI) crude oil prices have shown notable volatility and trended lower from their mid-2022 highs through 2024 and 2025. These changes are primarily driven by a combination of supply and demand factors, alongside global events such as the Russia-Ukraine war, OPEC+

production decisions, geopolitical tensions in the Middle East, and slower economic growth in major economies, including China and the United States. However, in 2025, WTI crude oil prices generally declined from their levels at the beginning of the year. Monthly data indicate that the WTI spot price was around USD 75.74 per barrel in January 2025, declining to USD 57.97 per barrel by December 2025. Furthermore, in its October 2025 WEO, the IMF projected that oil prices could decline further in 2026. Oil prices, including WTI, rose sharply in early 2026, particularly from late February onward, as escalating geopolitical conflict in the Middle East disrupted supply and heightened market uncertainty.



*West Texas intermediate (WTI), also known as Texas light sweet, is a grade of crude oil used as a benchmark in oil pricing. Source: Federal Reserve Economic Data. (<https://fred.stlouisfed.org/series/DCOILWTICO>) retrieved on March 03, 2026.

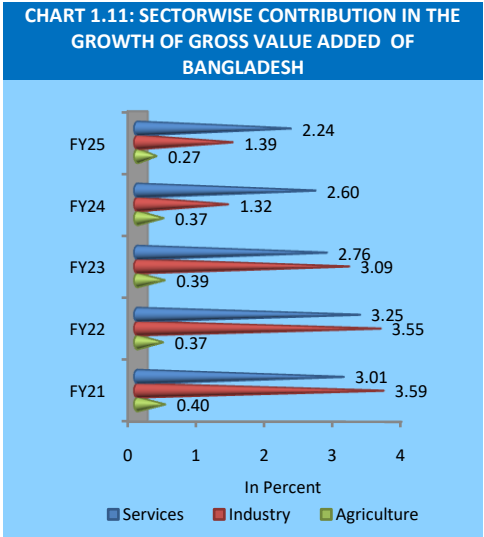
1.2 DOMESTIC MACROECONOMIC DEVELOPMENT

Bangladesh’s GDP growth slowed in FY25, signaling a moderation from earlier years. Despite ongoing high inflation and a period of political transition, the services and industrial sectors remained key drivers of economic activity. Borrowing by the government and the private sector from the banking system rose at a moderate pace during the review period, reflecting measured credit demand and supply conditions. At the same time, the persistently low credit-to-GDP gap indicates that private sector credit expansion is within sustainable bounds, with no immediate threat to financial system stability.

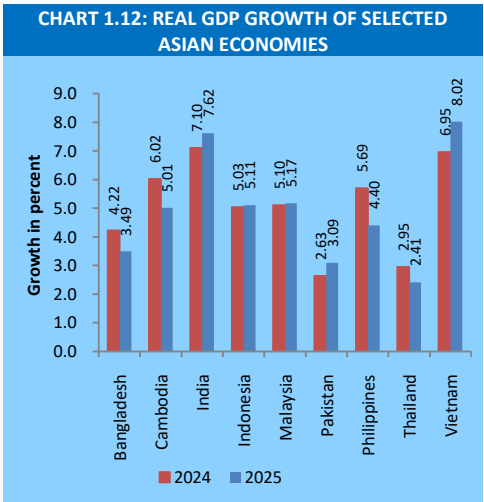
1.2.1 GDP GROWTH

Bangladesh’s economy slowed further in FY 2024–25, continuing a three-year decline. Prolonged inflationary pressures and political transitions were critical factors in the slowdown. The country’s GDP reached BDT 34,627.91 billion, with a growth rate of 3.49 percent in FY25. The agriculture, industry, and service sectors grew by 2.42 percent, 3.71 percent, and 4.35 percent, respectively, contributing 11.03 percent, 37.30 percent, and 51.67 percent to GDP. Additionally, the economy recorded a Gross Value Added (GVA) of BDT 33,627.36 billion, with a growth rate of 3.89 percent in FY25. The industry and services sectors contributed 1.39 percent and 2.24 percent to GVA growth, respectively, while the agriculture sector contributed a modest

0.27 percent (Chart 1.11). According to the IMF’s WEO, Bangladesh’s GDP growth ranked seventh among the selected Asian economies in 2025 (Chart 1.12).



Source: BBS; Calculated by FSD.



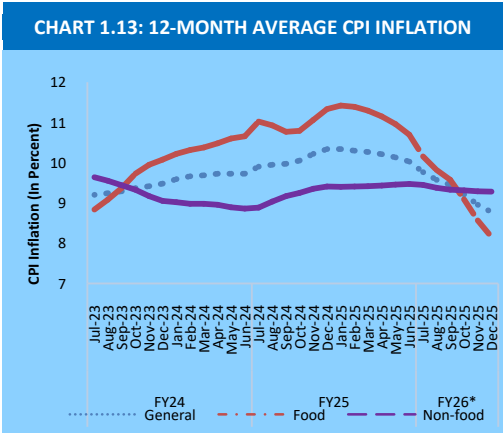
Source: IMF World Economic Outlook, April 2026.

1.2.2 INFLATION

Bangladesh's domestic economy has experienced persistent inflationary pressures in recent years. Reflecting this trend, by the end of FY25, the 12-month

average general CPI inflation⁵reached 10.03 percent, with food inflation at 10.70 percent and non-food inflation at 9.47 percent. Compared to the end of FY24, general, food and non-food inflation rose by 0.30 percentage points, 0.04 percentage points, and 0.61 percentage points, respectively. However, the trend began to moderate in mid-FY25, and by the end of Q2FY26, the 12-month average general and food inflation had eased to 8.77 percent and 8.16 percent, respectively, while non-food inflation stood at 9.28 percent (Chart 1.13).

However, in December 2025, point-to-point CPI inflation for general, food, and non-food eased from their December 2024 levels and stood at 8.48 percent, 7.39 percent, and 9.37 percent, respectively. By the end of Q2 FY26, point-to-point inflation changed slightly, reaching 8.49 percent for general, 7.71 percent for food, and 9.13 percent for non-food items (Chart 1.14).



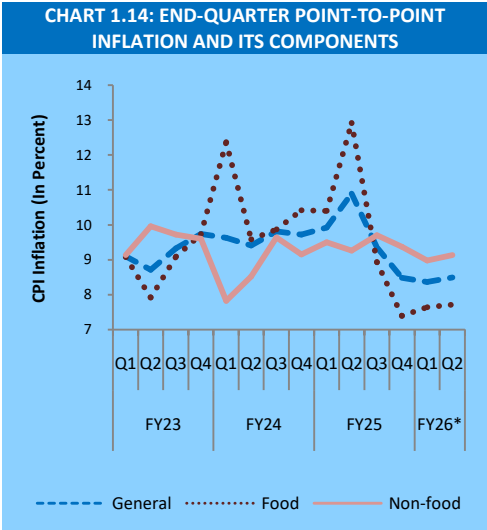
Note: 12-month average food and non-food indices have been calculated after shifting base from FY06 to FY22

*FY26 indicates data upto first half of FY26.

Source: BBS⁶.

⁵ Base index: FY2021-22 = 100

⁶As cited in Monthly Economic Trend, March 2026, Statistics Department, BB.



Note: 12-month average food and non-food indices have been calculated after shifting base from FY06 to FY22

*FY26 indicates data upto first half of FY26.

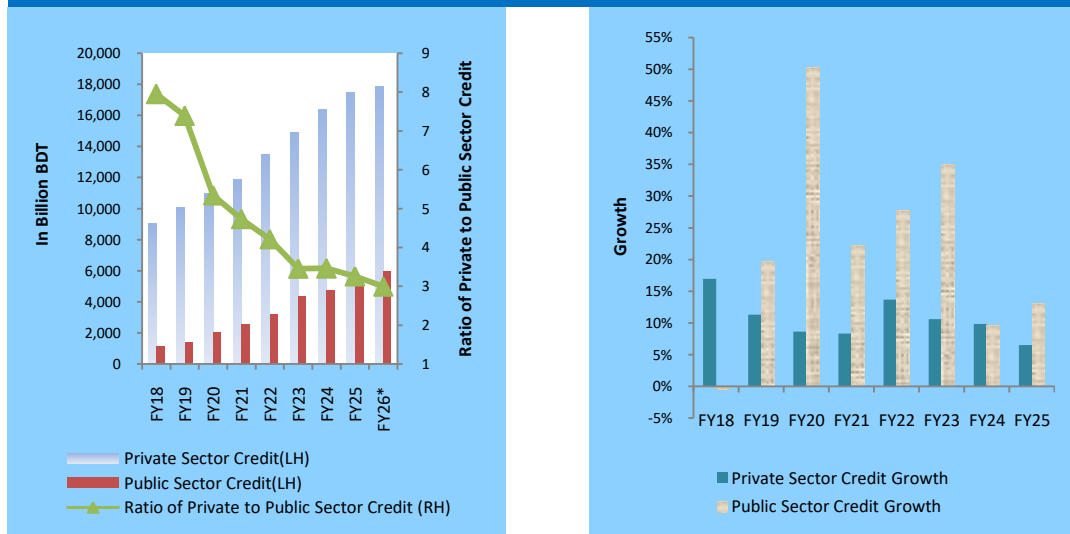
Source: BBS⁷.

1.2.3 DOMESTIC CREDIT FROM THE BANKING SYSTEM

At the end of FY25, domestic credit extended by the banking system reached BDT 22,843.53 billion, up 7.98 percent from FY24. Both the private and public sectors recorded moderate growth in FY2025. Private sector credit rose 6.49 percent to BDT 17,476.87 billion, while public sector credit increased 13.15 percent to BDT 5,366.66 billion. After a decline from FY18 to FY23, the private-to-public sector credit ratio rose slightly to 3.46 by the end of FY24, then fell to 3.26 at the close of FY25 (Chart 1.15). The ratio declined further, reaching 3.00 by the end of the first half of FY26.

⁷As cited in Monthly Economic Trend, March 2026, Statistics Department, BB.

CHART 1.15: DOMESTIC CREDIT FROM BANKING SYSTEM-COMPONENTS' SHARE AND GROWTH



*FY26 indicates data upto first half of FY26.

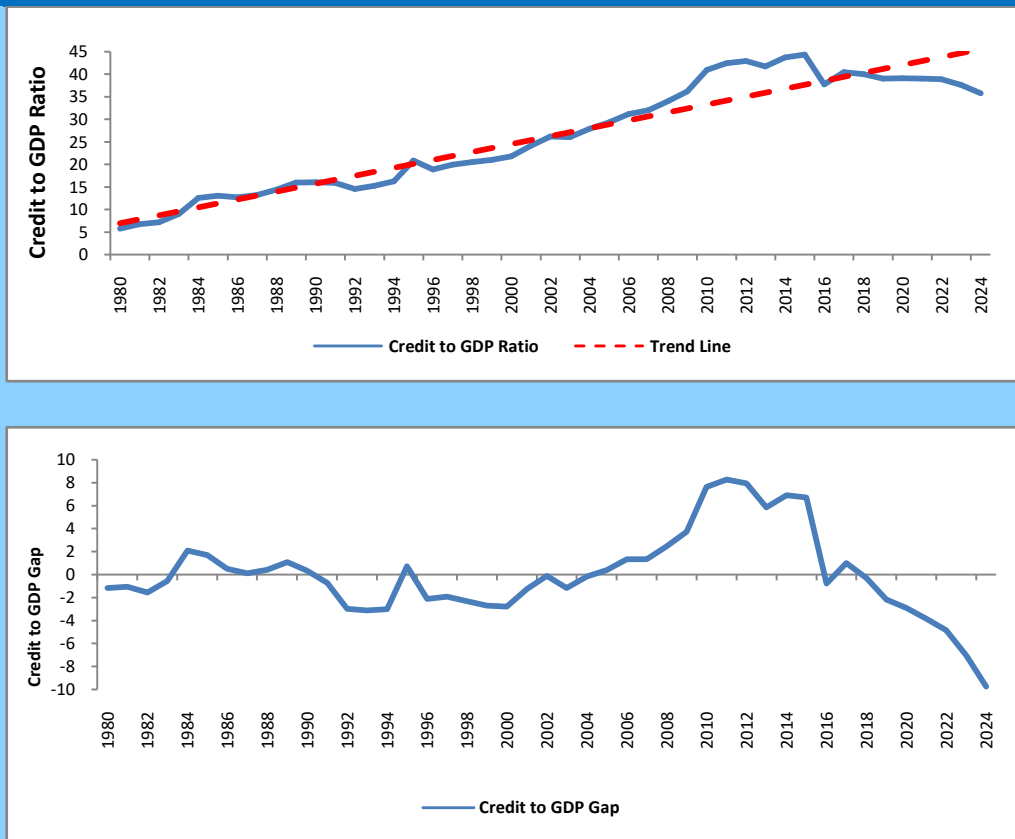
Source: Monthly Economic Trend, March 2026 (for both charts).

1.2.4 PRIVATE SECTOR CREDIT-TO-GDP GAP

The private-sector credit-to-GDP gap, measured using the Hodrick-Prescott Filter in accordance with the Basel Committee on Banking Supervision (BCBS) guidelines, indicates that Bangladesh's financial system did not experience significant credit expansion relative to GDP growth from 1980 to 2024. For most of this period, the gap

remained relatively contained. In 2016, it turned negative, reaching -0.78. After a slightly positive gap of 0.99 in 2017, it remained negative through 2024, reaching -9.73. Despite these fluctuations, the consistently low credit-to-GDP gap indicates that there is no apparent threat to the financial system's stability from the flow of domestic credit to the private sector (Chart 1.16).

CHART 1.16: CREDIT-TO-GDP RATIO-ITS TREND AND THE GAP



Source: World Bank; Calculation: FSD.

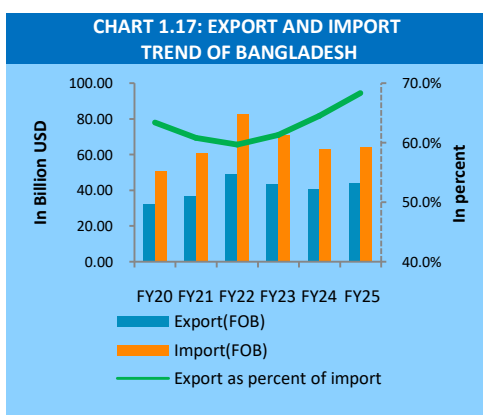
1.3 EXTERNAL SECTOR DEVELOPMENTS

Amid increasing global interconnectedness, the external sector has become a key driver of the country's sustained economic growth and overall development. In FY25, the sector demonstrated notable resilience aimed global headwinds. The current account balance (CAB) continued to strengthen, supported by consistent export performance, robust remittance inflows, and moderated import payments. Despite continued depreciation pressure on the Bangladeshi Taka (BDT) against the US Dollar, the ratio of exports to imports improved, indicating a better

trade balance. Net foreign direct investment (FDI) experienced a modest rebound in FY25 before declining sharply in early FY26. The external debt stock continued its upward trajectory, primarily driven by long-term public sector borrowing, while the share of short-term debt decreased, reflecting improved debt sustainability. Nonetheless, global uncertainties, a potential slowdown in RMG exports, and the forthcoming LDC graduation in 2026 present risks to the external sector outlook.

1.3.1 EXPORT AND IMPORT

In FY2025, both exports (FOB) and imports (FOB) in Bangladesh increased slightly compared to the previous year. Exports rose from USD 32.12 billion in FY20 to a peak of USD 49.25 billion in FY22, before moderating in subsequent years. Imports grew more sharply, climbing from USD 50.69 billion in FY20 to USD 82.50 billion in FY22, then declining and stabilizing thereafter. In FY25, exports (FOB) amounted to USD 43.97 billion, while imports (FOB) totaled USD 64.36 billion. The ratio of exports to imports followed a downward trend from FY20 (63.37%) to a low in FY22 (59.69%), then recovered steadily to 68.32% in FY25. This improvement in the export-to-import ratio reflects the effectiveness of Bangladesh Bank's policy measures to limit non-essential imports, alongside the resilient performance of the RMG sector amid global challenges (Chart 1.17).

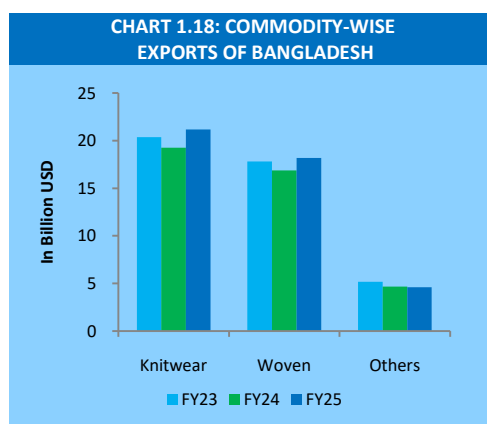


Sources: BB Quarterly (Various Issues).

The rising export-to-import ratio indicates that exports are increasingly covering a larger portion of the import bill, contributing to a moderation of the

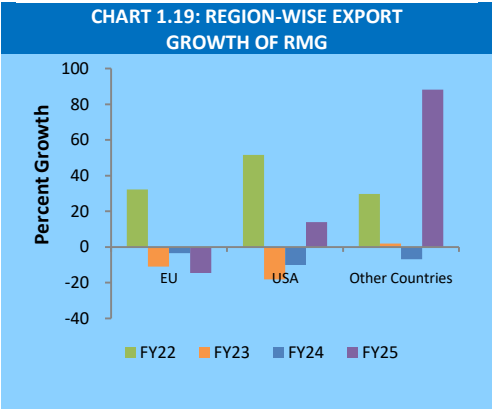
trade deficit in recent years. However, according to the BB Quarterly (December 2025), the ratio eased to 65.70% in the first half of FY26, highlighting the need for sustained vigilance regarding both export growth and import rationalization.

Commodity-wise export data, as illustrated in Chart 1.18, show that knitwear continued to dominate total exports, followed by woven garments. In FY25, knitwear and woven garments accounted for the majority of total exports, while other items comprised a much smaller share. In the first half of FY26, exports of knitwear, woven garments, and other items grew modestly, totaling USD 19.67 billion (Statistics Dept, BB; December 2025).



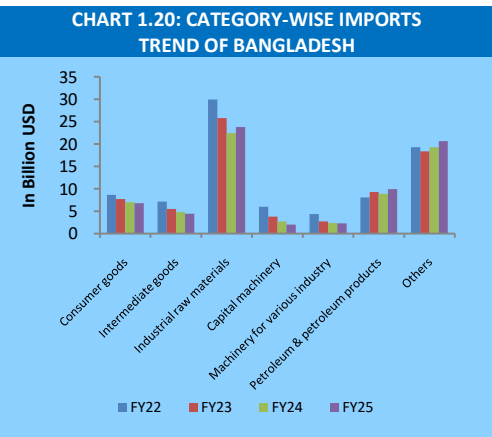
Source: BB Quarterly (Various Issues).

In the global context, RMG exports to the European Union (EU) declined in FY25, while exports to the US market registered a slight increase compared to the previous year. However, exports to countries outside the EU and the USA recorded significant growth in FY25 (Chart 1.19).



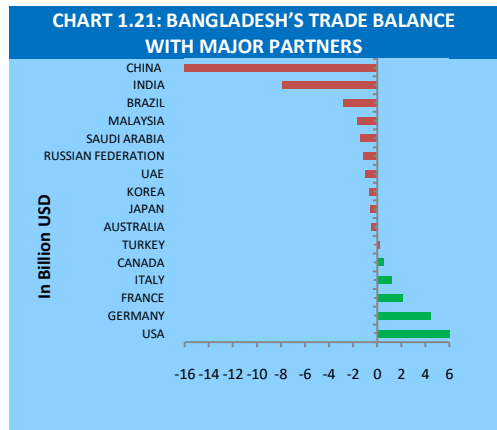
Source: BB Quarterly.

In FY25, Bangladesh's imports were dominated by industrial raw materials, followed by the 'Others' category, petroleum & petroleum products, and consumer goods. Commodity-wise imports exhibited a mixed trend in FY25 compared to FY24. While imports of the 'Others' category and petroleum & petroleum products increased, imports of capital machinery and machinery for various industries declined (Chart 1.20). In FY25, total imports amounted to USD 69.83 billion, whereas in the first half of FY26, imports totaled USD 34.02 billion (BB Quarterly, December 2025).



Source: BB Quarterly.

Chart 1.21 presents Bangladesh's trade balance⁸ with its major trading partners in FY25. The country continued to record a sizeable trade deficit with China and India, primarily due to substantial imports of raw materials, machinery, and intermediate goods from these two countries. The high concentration of imports from a few specific countries underscores their strategic importance in Bangladesh's external sector. Conversely, Bangladesh maintained large trade surpluses with the USA, Germany, and France, driven mainly by strong RMG exports. However, the RMG export sector, one of the key pillars of the national economy, is facing increasing pressure from global market challenges, including higher tariffs in major destinations, ongoing geopolitical tensions, and the upcoming LDC graduation, which could result in the loss of preferential trade benefits.

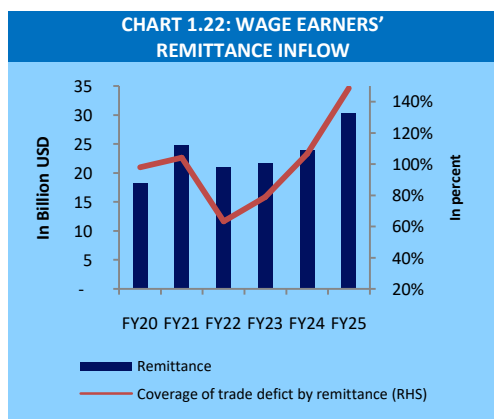


Source: Statistics Department, BB.

⁸ Trade Balance = Exports (FOB) - Import Payments.

1.3.2 REMITTANCE

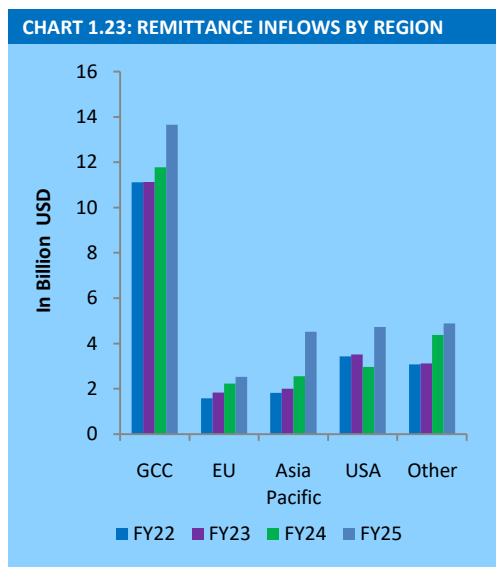
Wage earners' remittances continue to play a pivotal role in stabilizing Bangladesh's external sector balance by substantially offsetting the trade deficit. In FY25, remittance inflows recorded robust growth of 26.84 percent, reaching USD 30.33 billion. According to the BB Quarterly (December 2025), the total remittance inflow in the first half of FY26 stood at USD 16.26 billion. Notably, the proportion of the trade deficit covered by remittances remained strong, underscoring the ongoing importance of remittances in supporting the balance of payments. This strong performance was further supported by Bangladesh Bank's policy measures to encourage inflows through formal channels and the narrowing gap between official and informal exchange rates (Chart 1.22).



Source: BB Quarterly.

Chart 1.23 shows that the Gulf Cooperation Council (GCC) countries continued to account for the lion's share of total remittance inflows into Bangladesh. The USA remained the second largest source of remittances.

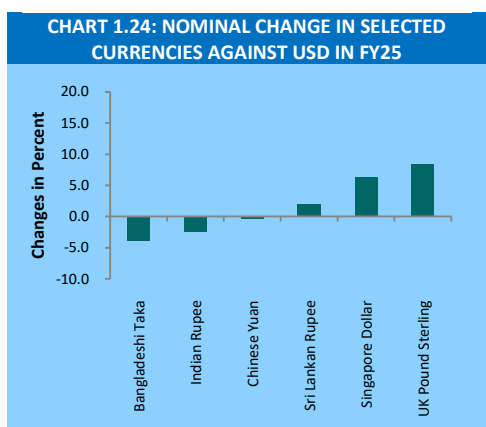
Remittance inflows sustained a buoyant trend in the first half of FY26, reaching USD 16.26 billion (BB Quarterly, December 2025).



Source: BB Quarterly.

1.3.3 EXCHANGE RATE MOVEMENT

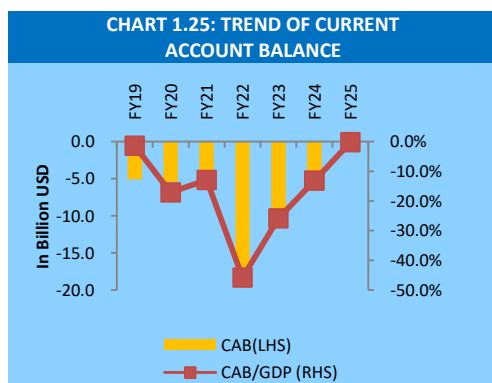
In FY25, global currencies exhibited mixed movements against the US dollar, with the Bangladeshi Taka (BDT) depreciating by about 3.89 percent (Chart 1.24). The currencies of major import partners, such as the Indian Rupee and Chinese Yuan, weakened, whereas the Sri Lankan Rupee, UK Pound Sterling, Japanese Yen, Malaysian Ringgit, and Singapore Dollar strengthened against the US dollar. These divergent trends are likely to have varying impacts on Bangladesh's import costs and export competitiveness.



Source: Statistics Department, BB.

1.3.4 CURRENT ACCOUNT BALANCE

Although Bangladesh's Current Account Balance (CAB) remained in deficit for most of the past six fiscal years, it recorded a notable improvement in FY25.



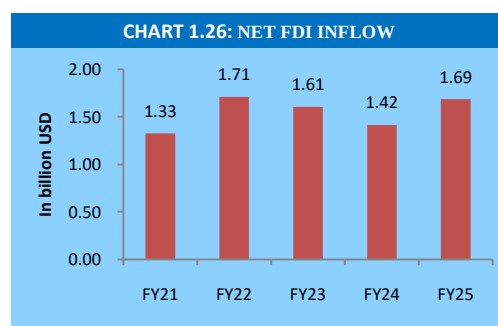
Source: Statistics Department, BB.

The current account deficit in FY25 narrowed significantly compared to the previous year, supported by steady export growth, robust remittance inflows, and relatively moderate import payments. Consequently, the CAB-GDP ratio improved further in FY25 (Chart 1.25). However, rising global uncertainties, a potential slowdown in RMG exports and ongoing geopolitical tensions may

challenge the sustainability of this positive trend in the external sector.

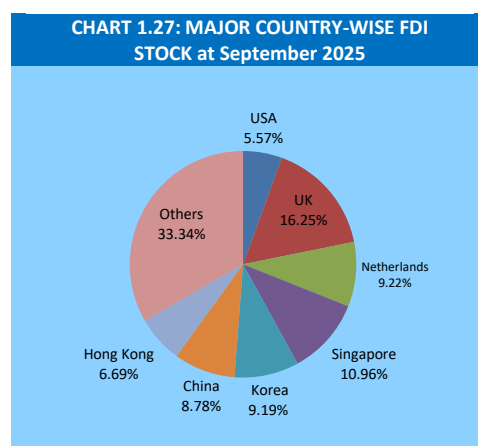
1.3.5 FOREIGN DIRECT INVESTMENT

Net foreign direct investment (FDI) inflows into Bangladesh stood at USD 1.69 billion in FY25, reflecting a modest recovery from USD 1.42 billion in FY24 (Chart 1.26). According to the BB Quarterly (December 2025), net FDI inflows in the first quarter of FY26 amounted to USD 0.68 billion.



Source: Statistics Department, BB.

As of September 2025, the United Kingdom held the largest share of FDI stock in Bangladesh at 16.25%, followed by Singapore and the Netherlands (Chart 1.27).

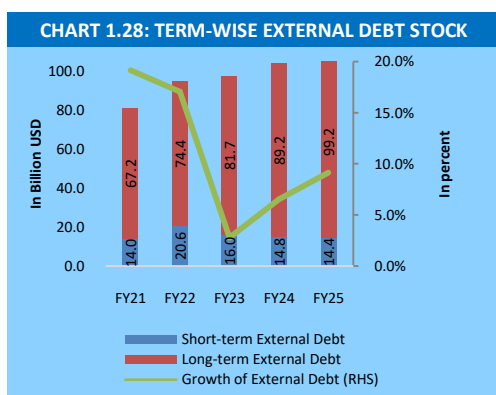


Country-wise FDI stock.

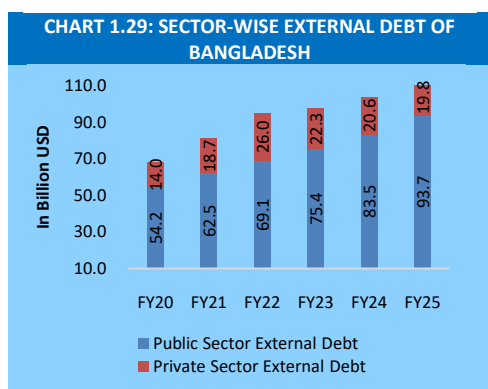
Source: Statistics Department, BB.

1.3.5.2 EXTERNAL DEBT

Bangladesh's total external debt stock has continued to rise over the years. By FY25, total external debt reached USD 113.60 billion (Chart 1.28), up from previous years. In the first half of FY26, according to the BB Quarterly (December 2025), the external debt remained nearly unchanged at USD 113.52 billion.



Source: Statistics Department, BB.

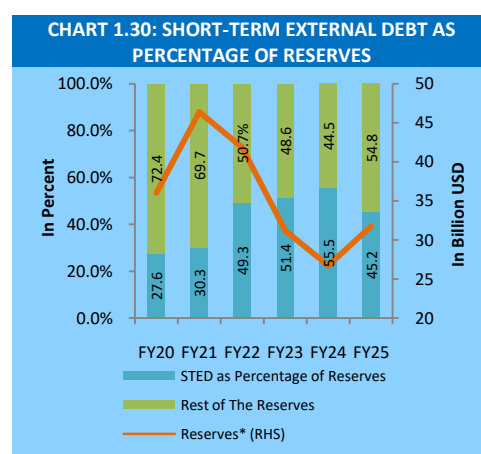


Source: NSDP, BB Economic Data.

Within Bangladesh's external debt portfolio, public sector external debt rose steadily to USD 93.70 billion in FY25. In contrast, private sector external debt declined further to USD 19.80 billion (Chart 1.29). In the first half of FY26, this trend largely continued, with public sector debt at

USD 93.50 billion and private sector debt slightly increasing to USD 20.10 billion.

Bangladesh's foreign exchange reserves have shown mixed performance in recent years. Short-term external debt (STED) as a percentage of total reserves declined from 55.50% in FY24 to 45.20% in FY25 (Chart 1.30). This reduction signals improved reserve adequacy and lower external liquidity risk, even as total reserves remained relatively stable at around USD 33.19 billion in the first quarter of FY26.



Source: Statistics Department, BB.

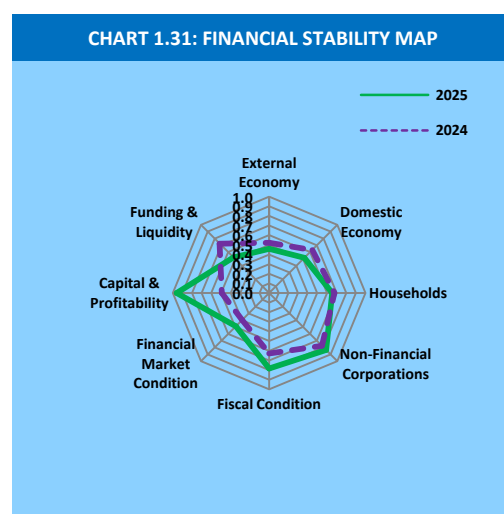
The gross inflow of external debt, including both public and private sector components, stood at USD 9.50 billion in FY25, marking a significant rise from USD 2.64 billion in FY23 and USD 6.38 billion in FY24 (Table 1.1). Public sector external debt registered a strong gross inflow of USD 10.27 billion in FY25, whereas private sector external debt recorded a negative inflow of USD -0.77 billion. In FY26 (up to December 2025), the total gross inflow of external debt turned negative at USD -0.05 billion.

TABLE 1.1: SECTOR-WISE LOAN CONCENTRATION

	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026*
Public Sector External Debt (USD in Billion)							
Short-term	-0.81	0.91	0.66	-0.52	1.07	0.87	-0.44
Long-term	6.56	7.41	5.96	6.85	6.96	9.40	0.16
Sub-total	5.75	8.32	6.62	6.33	8.03	10.27	-0.28
Private Sector External Debt (USD in Billion)							
Short-term	-0.49	3.20	5.93	-4.10	-2.26	-1.34	0.12
Long-term	0.27	1.53	1.30	0.41	0.60	0.56	0.10
Sub-total	-0.22	4.73	7.23	-3.69	-1.65	-0.77	0.23
Total Inflow of External Debt	5.53	13.05	13.85	2.64	6.38	9.50	-0.05

1.4 MAPPING FINANCIAL STABILITY

The financial stability map shows that the capital and profitability, financial market conditions, and fiscal conditions components weakened considerably, while the external economy, domestic economy, household, and funding and liquidity components improved in 2025 compared to 2024. On the other hand, the non-financial corporation component showed minor signs of strain in 2025. To ensure long-term internal and external economic resilience in Bangladesh, well-coordinated policy interventions to promote a stable and predictable trade environment, energy security, and reduced inflation through enhanced international cooperation, and to address domestic structural imbalances and policy gaps are crucial.



Source: Various publications of BB, IMF and WB; Compilation: FSD, BB.

Because financial stability can be influenced through a range of channels, mapping the status of its components is decisive. This is also vital because each financial crisis has had a unique impact on the financial system's stability, necessitating a wide-ranging framework to address all potential threats to stability. Chart 1.31 illustrates the comparative financial stability of Bangladesh's macro-financial system in 2025 and 2024 using

a stability map⁹ developed following global best practices, while considering the features of Bangladesh's financial system. The detailed component-wise analysis is explained below, while the scores are summarized in the Appendix.

External economy component: In 2025, the global economy maintained moderate growth but faced headwinds from slowing momentum, high debt, rising protectionism, geopolitical tensions, persistent inflation in some regions, climate disruptions, and deceleration in major economies. These pressures translated into a “three-pronged crisis” for Bangladesh, namely trade uncertainty, energy shortages, and sustained inflation. However, resilient remittance inflows, easing inflation in key import partners, steady export demand, and lower global oil prices provided partial relief during 2025. Policy measures by Bangladesh Bank, including a more market-based exchange rate, foreign exchange interventions, and tighter import monitoring, have supported external balances, leading to improvements in the current account and foreign reserve

adequacy. Although signs of a fragile recovery emerged in late 2025, renewed geopolitical tensions in early 2026, particularly involving Iran, pose future downside risks. Overall, external sector risks moderated slightly during the review period, but Bangladesh remains vulnerable to global shocks, especially through higher commodity prices and exchange rate pressures.

Domestic economy component: In 2025, the domestic economy recorded lower risk, driven by lower inflation and reduced exchange rate volatility, despite a negative output gap and higher external debt. Public sector external debt increased relative to the private sector, while the exchange rate remained depreciated. The economy grappled with disparities in national dynamics, such as the budget deficit and tax revenue, which amplified vulnerabilities. Exchange rate stabilization, inflation control, and maximizing domestic production can play a vital role in mitigating these risks.

Households Component: In 2025, despite a significant rise in non-performing loans (NPLs) in consumer credit to households, this component appeared less risky than the previous year, mainly due to positive growth in remittances and a decline in household credit relative to GDP. Overall, these trends pushed the household risk profile slightly downward on the risk scale.

Non-financial corporations component: In 2025, risks to the financial system from the non-financial corporations (NFCs) component rose due to a considerable increase in credit to the

⁹It had been constructed using 8 components and 39 underlying indicators. Standardized scores for those indicators have been calculated using a formula: [Standardized Score = (x_i-min)/(max-min)] where maximum and minimum values are incorporated using time series data, and in some cases, by assigning appropriate threshold values. Threshold values are selected using judgment, economic logic and experience of other countries. The component scores are calculated using weighted average of the indicators and component scores are plotted in the map (in a scale of 0 to 1). The components closer to the origin have values close to zero indicating lower risk while components further from the origin indicates higher risk and have value closer to one.

top 50 NFCs and in non-performing loans (NPLs) among the top 50 NFCs, along with a higher leverage ratio across all NFCs. This was fueled by a larger share of NFC loans in total banking sector credit. Overall, the risk from this component was somewhat higher in 2025 than in 2024.

Fiscal condition component: In 2025, the fiscal condition showed signs of strain, primarily due to a surge in the government budget deficit and a slight decline in the tax revenue-to-GDP ratio. The decline in the tax revenue-to-GDP ratio has remained a challenge for fiscal management, especially given the widening government budget deficits, which have put upward pressure on public debt. Nonetheless, sovereign risk premiums (as reflected in the 10-year Treasury bond yield) declined during the review year, which may help lower the cost of domestic and external borrowing, thereby easing fiscal management challenges. Considering all these factors, the overall risk associated with the fiscal condition component was elevated during the review year.

Financial market component: In 2025, risk in the financial market component increased notably. The banking, finance company (FC), and microfinance institution (MFI) sectors all experienced a considerable decline in asset quality. The capital market, as indicated by the DSE index, remained largely bearish, while the insurance sector saw a slight drop in claims settlement, potentially affecting market confidence. The banking sector's resilience weakened due to heightened

sensitivity to shocks, including rising NPLs, defaults by the top two borrowers, and a decline in the forced sale value (FSV) of collateral. Collectively, these factors led to an outward shift in the financial market risk scale in 2025.

Capital and profitability component:

In 2025, this component posed the greatest risk across all four indicators. As the net interest margin (NIM) turned negative and non-performing loans (NPLs) rose sharply, many banks recorded notable declines in their return on assets (ROA), capital adequacy ratio (CAR), and Tier-1 capital ratio. This contributed to significant downward shifts in capital and profitability indicators, signaling heightened risk from this component in 2025.

Funding and liquidity component: In 2025, the banking sector's liquidity conditions eased relative to 2024, as evidenced by a lower advance-to-deposit ratio (ADR) and improved liquidity ratios, including the liquidity coverage ratio (LCR) and the net stable funding ratio (NSFR). These changes indicated a modest inward shift in the risk scale of the funding and liquidity component, signaling a release of the liquidity stress observed in 2024.

Briefly, the Financial Stability Map for 2025 reflects a notable deterioration in Bangladesh's overall macro-financial condition. This weakening is primarily attributed to significant outward shifts in risk across several key components, including capital and profitability, fiscal condition, and financial market condition. In addition, moderate

increases in risk were observed in the non-financial corporations component. The status of these areas indicates rising vulnerabilities and elevated challenges to Bangladesh's macro-financial condition. The findings highlight the urgency of targeted, well-coordinated policy interventions to promote a stable and predictable trade environment,

ensure energy security, and reduce inflation through enhanced international cooperation, while also addressing domestic structural imbalances and policy gaps. Strengthening these areas is critical to ensuring the long-term internal and external economic resilience of Bangladesh.

CHAPTER 2 : BANKING SECTOR'S PERFORMANCE

The banking sector in Bangladesh experienced moderate asset growth during the year. Deposit growth exceeded the previous year's, effectively supporting an increase in loans and advances. However, asset quality deteriorated, as indicated by a rise in non-performing loans (NPLs). The sector fell short of several key regulatory benchmarks, including the Capital to Risk-weighted Assets Ratio (CRAR), Tier-1 capital ratio, and leverage ratio. Notably, the CRAR declined to -2.64 at end-December 2025 from 3.08 percent a year earlier percent. This significant decline could be attributed to weak capital positions at State-Owned Commercial Banks (SOCBs), Specialized Development Banks (SDBs), and Islamic Private Commercial Banks (PCBs). Similarly, the sector's leverage ratio remained well below the regulatory threshold, primarily because of negative leverage ratios in SDBs, SOCBs, and Islamic PCBs. On a positive note, holdings of High-Quality Liquid Assets (HQLA) increased for SOCBs and conventional PCBs, while HQLA for Islamic PCBs and Foreign Commercial Banks (FCBs) decreased over the year.

2.1 FINANCIAL SYSTEM OF BANGLADESH

The financial system of Bangladesh is typically divided into three segments based on regulation and institutional structure: the formal sector, the semi-formal sector, and the informal sector.

The formal sector is primarily dominated by the banking industry and also includes Finance Companies (FCs), capital market participants, insurance companies, and Microfinance Institutions (MFIs), all of which are supervised by designated regulatory authorities. Additionally, Authorized Dealers (ADs), Mobile Financial Services (MFS) providers, and Payment Service Providers (PSPs) support financial market development under the supervision of Bangladesh Bank. The semi-formal sector consists of specialized financial organizations such as the Bangladesh House Building Finance Corporation (BHBFC), Bangladesh Samabaya Bank Limited (BSBL), Investment Corporation of Bangladesh (ICB), Palli Karma-Sahayak Foundation (PKSF), Grameen Bank, numerous Non-Governmental Organizations (NGOs), cooperatives, and credit unions. These entities operate under specific legal frameworks and are regulated by various ministries or government agencies. The informal **sector** mainly comprises private financial intermediaries that operate without formal regulatory oversight.

As the central regulatory authority, Bangladesh Bank (BB) supervises the country's money market, foreign exchange market, and payment and settlement systems, overseeing all scheduled banks, Finance Companies, and payment service providers.

The overall structure of Bangladesh's financial system is detailed in Table 2.1.

TABLE 2.1: FINANCIAL SYSTEM OF BANGLADESH						
(As of end-December 2025)						
		Financial Market Infrastructure	Institutions	Types and Numbers	Regulator	
Financial System	Formal Sector	Money Market	Banks	SOCBs (6) SDBs (3) PCBs (43) Digital Commercial Bank (1) FCBs (9)	Bangladesh Bank	
		Foreign Exchange Market	FCs	Government Owned (3) Subsidiary of a State-owned Commercial bank (1) Others (31)		
		Payment and Settlement Systems	Others	ADs, Money changers, MFS providers, PSOs, PSPs, OPGSPs etc.		
		Capital Market	DSE CSE CDBL	Merchant banks (66) Brokers (458) Dealers (430) Custodian banks (25) Credit rating agencies (8) Fund managers (30) Asset management companies (68) Trustees (260)	BSEC	
		Insurance Market	Life and Non-Life	Government Owned (2) Others (80)	IDRA	
		Micro Credit Market	MFIs	MFIs (693)	MRA	
	Semi-formal Sector	BHBFC, BSBL, ICB, PKSF, and Grameen Bank, NGOs, co-operatives and credit unions, discrete government programs, etc.				Relevant Ministries or Government Agencies
	Informal Sector					

2.2 ASSET STRUCTURE OF THE BANKING SECTOR

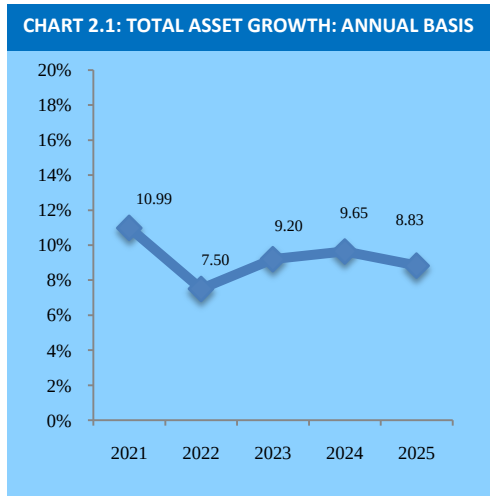
Likewise 2024, Bangladesh's banking sector experienced moderate asset growth in 2025. In addition, the sector shifted investments from other securities to government securities.

After a period of declining total asset growth from 2021 to 2022, the trend reversed in 2023, showing an upward trajectory (Chart 2.1). However, asset

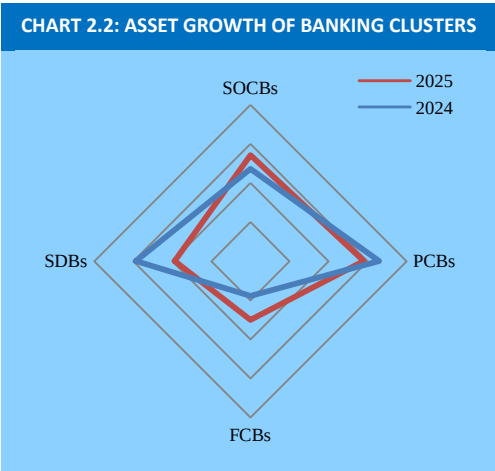
growth in 2025 increased moderately compared with the preceding year, down from 9.65 percent to 8.83 percent, driven by several factors, including a sharp increase in NPLs, a considerable capital shortfall, slower economic activity, and a shift from investment in loans and advances to government securities.

Among the four banking clusters, Private Commercial Banks (PCBs) led with 9.52

percent asset growth, followed by State-owned Commercial Banks (SOCBs) at 8.57 percent. The remaining clusters also recorded asset growth: Specialized Development Banks (SDBs) grew by 4.71 percent, while Foreign Commercial Banks (FCBs) grew more slowly at 2.52 percent. Notably, PCBs and SDBs posted marginal declines of 1.94 and 4.94 percentage points, respectively, whereas the other clusters saw slight improvement compared with the preceding period (Chart 2.2).



Source: SDAD, BB; Compilation: FSD, BB.

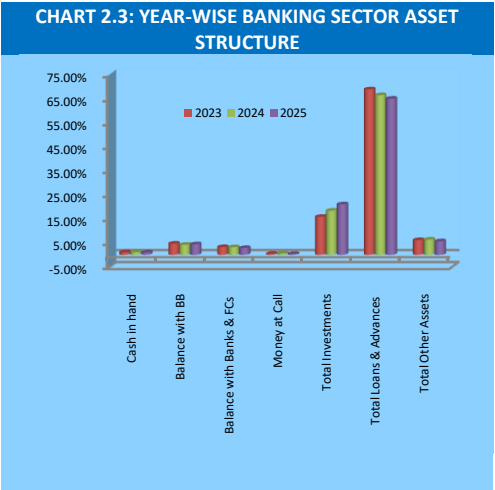


Source: SDAD, BB; Compilation: FSD, BB.

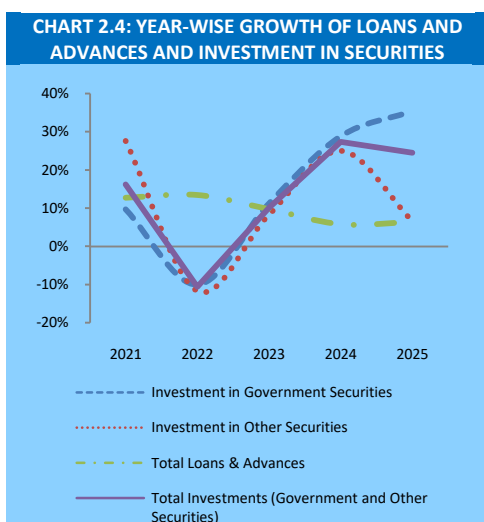
By 2025, loans and advances remained the primary component of the banking sector’s total assets, followed by total investments. The share of loans and advances fell to 64.89 percent in 2025 from 66.37 percent in 2024, while total investments rose to 20.97 percent from 18.33 percent in the previous year (Chart 2.3).

Despite a slowdown in the growth of investments in other securities, total investments increased due to significant increase of investment in government securities in 2025, continuing the 2024 trend (Chart 2.4).

Investments in government securities and other securities grew by 35.43 percent and 6.66 percent, respectively, compared with 28.85 percent and 25.01 percent in the previous year, indicating that the banking sector shifted investments from other securities to government securities. In contrast, total loans and advances grew by only 6.40 percent in 2025, a slight increase from 5.84 percent in 2024.



Note: Total Other Assets includes Fixed Assets, Other Assets and Non-Banking Assets
Source: SDAD, BB; compilation: FSD, BB.



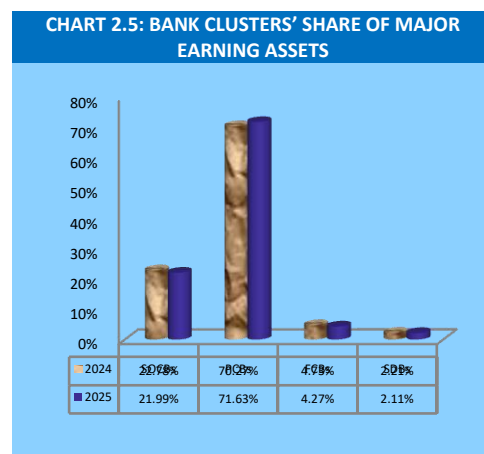
Source: SDAD, BB; compilation: FSD, BB.

As in 2024, among the banking clusters, PCBs and SOCBs maintained the leading positions in terms of their share of the industry's total earning assets in 2025 (Chart 2.5). PCBs held the largest share, accounting for 71.63 percent of aggregate earning assets, followed by SOCBs at 21.99 percent.

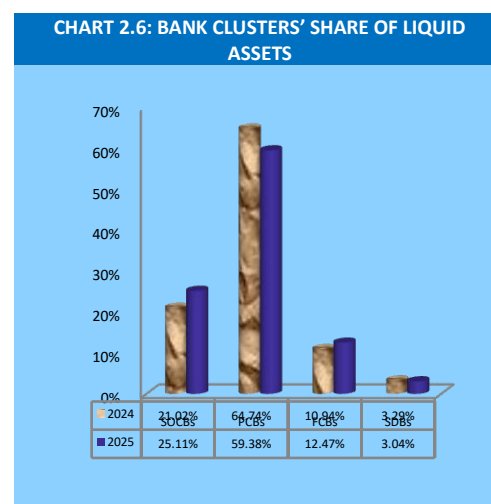
Compared with 2024, PCBs recorded a marginal increase in their share of major earning assets, while SOCBs and SDBs saw a reduction in their share in 2025. Regarding the share of loans and advances in total assets, SDBs and PCBs recorded a marginal increase, accounting for 78.83 percent and 68.81 percent, respectively; however, SOCBs and FCBs recorded a marginal decrease, comprising 54.93 percent and 48.25 percent, respectively.

Chart 2.6 provides a comparative overview of liquid asset items, including Cash in hand, Balances with Bangladesh Bank (BB) and Sonali Bank PLC, Balances with other banks and finance companies, and money at call & short notice, across bank clusters for 2025 and 2024. In 2025, the shares of liquid assets increased for SOCBs and FCBs by 4.09

and 1.53 percentage points, respectively, compared with the previous year. In contrast, the shares of liquid assets held by PCBs and SDBs declined by 5.36 and 0.25 percentage points, respectively.



Source: SDAD, BB; Compilation: FSD, BB.

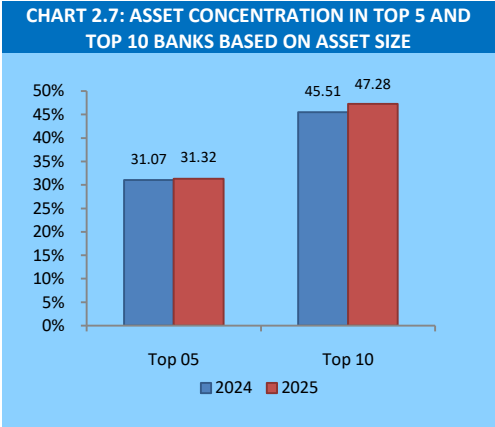


Source: SDAD, BB; Compilation: FSD, BB.

Note: Liquid Assets includes Cash in Hand (including FCy), Balances with BB & SB (including FCy), Balance with other Banks & FCs and Money at Call & Short Notice.

In 2025, the concentration of assets within a few banks increased marginally, along with a slight increase in sector-wise loan concentration compared to 2024.

At the end of December 2025, the concentration of assets among the top five and top ten banks was 31.32 percent and 47.28 percent, respectively, slightly up from 31.07 percent and 45.51 percent at the end of December 2024 (Chart 2.7).



Source: SDAD, BB; Calculation: FSD, BB.

The top ten banks in 2025 comprised six PCBs and four SOCBs.

Sector-wise loan concentration, measured by the Herfindahl-Hirschman Index (HHI), increased slightly to 1,651.36 in 2025 from 1,620.91 in 2024, indicating a moderate level of concentration. As in the preceding year, three sectors, namely Large Industries, Wholesale and Retail Trade (CC, OD, etc.), and Import Financing (LIM, LTR, etc.), held double-digit shares of the total loan portfolio, with 31.16 percent, 17.18 percent, and 11.49 percent, respectively (Table 2.2). The significant share of loans to large industries (31.16 percent) suggests that banks maintained a strong focus on corporate lending.

TABLE 2.2: SECTOR-WISE LOAN CONCENTRATION IN 2025

(In Billion BDT)

SI.	Sectors	Amount ^P	Percent of Total Loans & Advances	HHI
1	Large Industries	5,529.77	31.16	970.70
2	Wholesale and Retail Trade (CC, OD etc.)	3,049.48	17.18	295.20
3	Miscellaneous	2,116.49	11.92	142.20
4	Import Financing (LIM, LTR, TR etc.)	2,039.89	11.49	132.09
5	Service Industries	1,078.87	6.08	36.95
6	Small and Medium Industries	947.07	5.34	28.47
7	Export Financing(PC, ECC etc)	737.18	4.15	17.25
8	Agriculture	715.11	4.03	16.23
9	Housing (Commercial) for Developer/Contractor	379.71	2.14	4.58
10	Other Construction	346.68	1.95	3.82
11	Housing (Residential) in Urban Area for Individual Person	296.54	1.67	2.79
12	Infrastructure Development (Road, Culvert, Bridge, Tower etc.)	124.71	0.70	0.49
13	House Renovation/Repairing/Extension	77.10	0.43	0.19
14	Fishing	53.36	0.30	0.09
15	Air Transport	43.20	0.24	0.06
16	Housing (Residential) in Rural Area for Individual Person	42.13	0.24	0.06
17	Lease Financing/Leasing	38.43	0.22	0.05
18	Procurement by Government	37.39	0.21	0.04
19	Road Transport (Excluding Personal Vehicle & Lease Finance)	36.68	0.21	0.04
20	Water Transport (Excluding Fishing Boats)	29.61	0.17	0.03
21	Cottage Industries/Micro Industries	28.65	0.16	0.03
22	Water-works	0.53	0.00	0.00
23	Forestry and Logging	0.05	0.00	0.00
24	Sanitary Services	0.00	0.00	0.00
	Total Loans and Advances	17,748.62	100.00	1,651.36

Notes:

(i) P: Provisional;

(ii) The amount shown in the table excludes Interbank placement, Money at Call (lending), Bills Purchased and Discounted but OBU data included for 31th December, 2025;

(iii) HHI: Herfindahl–Hirschman Index.

Source: Statistics Department, BB; Computation: FSD, BB.

2.3 NON-PERFORMING LOANS, PROVISIONS, WRITTEN-OFF LOANS AND ADVANCES IN THE BANKING SECTOR

The overall asset quality of the banking sector declined significantly in 2025, driven by a sharp rise in gross non-performing loans (NPLs¹⁰), primarily due to an upturn in NPLs among SOCBs, SDBs, and PCBs. Additionally, the net NPL ratio¹¹ increased significantly, reaching 13.93 percent, up from 10.57 percent in 2024.

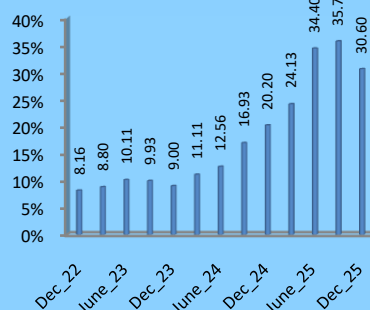
At the end of December 2025, the banking sector's gross non-performing loan (NPL) ratio rose sharply to 30.60 percent, up from 20.20 percent at the end of December 2024 (Chart 2.8). Gross NPLs surged by BDT 2,114.52 billion, reaching BDT 5,572.17 billion at end-December 2025. During the same period, total outstanding loans and advances increased by BDT 1,095.13 billion, reaching BDT 18,209.15 billion.

The sharp rise in NPLs signals a deterioration in asset quality, likely driven by imprudent lending and weak oversight of loans and advances. The sluggish pace of NPL recovery has also contributed to this deterioration. Additionally, external factors such as the

Russia-Ukraine war, global tensions, and domestic economic challenges are straining business operations and reducing borrowers' repayment capacity, further eroding the banking sector's asset quality.

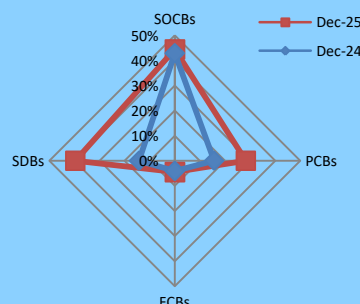
At the end of December 2025, the gross NPL ratio in SOCBs rose by 1.61 percentage points year over year, reaching 44.44 percent (Chart 2.9). PCBs, SDBs, and FCBs also recorded increases in their NPL ratios, rising by 12.65, 25.37, and 0.38 percentage points, respectively, to 28.25 percent, 39.74 percent, and 4.51 percent.

CHART 2.8: GROSS NPL RATIO OF THE BANKING INDUSTRY



Source: BRPD-1, BB; compilation: FSD, BB.

CHART 2.9: GROSS NPL RATIO OF BANKING CLUSTERS



Source: BRPD-1, BB; compilation: FSD, BB.

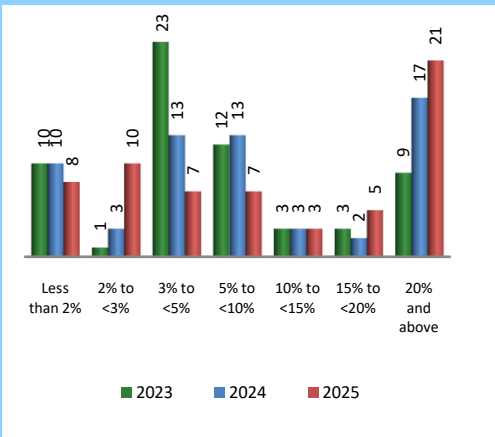
¹⁰ Total classified loans as a percentage of total loans outstanding. Loans and Advances from both the Domestic Banking Unit (DBU) and Offshore Banking Unit (OBU) are considered in calculating the NPL ratio.

¹¹ Net NPL ratio or net non-performing loan ratio = (Gross NPLs - Loan-loss Provisions - Interest Suspense) / (Total Loans Outstanding - Loan-loss Provisions - Interest Suspense).

At end-December 2025, SOCBs and PCBs together held the lion’s share of the banking sector’s total NPLs, with 26.22 percent and 69.92 percent, respectively. By comparison, FCBs and SDBs contributed significantly less, with shares of 0.54 percent and 3.33 percent, respectively.

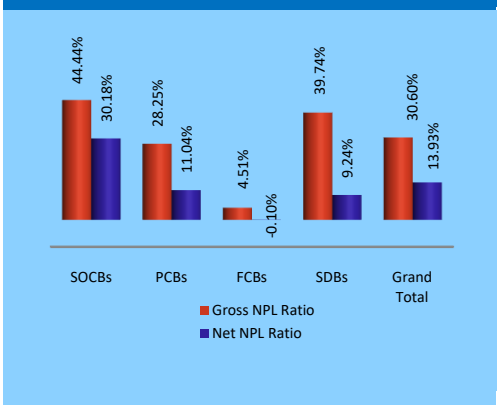
The distribution of banks by gross NPL ratios is shown in Chart 2.10. In 2025, 25 banks maintained NPL ratios below 5 percent, down from 26 in 2024. FCBs, except one, reported single-digit NPL ratios. However, from a financial stability perspective, concerns arise as 21 banks, comprising 5 SOCBs, 14 PCBs, 1 SDB, and 1 FCB, recorded gross NPL ratios exceeding 20 percent out of a total of 61 banks. In addition, the net NPL ratio notably increased to 13.93 percent at end-December 2025, up from 10.57 percent in the preceding year (Chart 2.11).

CHART 2.10: GROSS NPL RATIO OF BANKS INTO DIFFERENT BUCKETS



Source: BRPD-1, BB; Computation: FSD, BB.

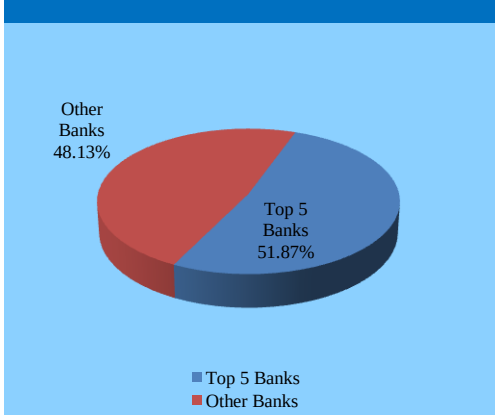
CHART 2.11: GROSS AND NET NPL RATIO IN 2025



Source: BRPD-1, BB; Computation: FSD, BB.

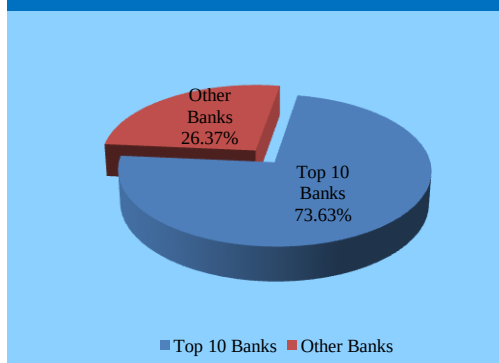
As of end-December 2025, the top 5 and top 10 banks’ gross NPLs, based on gross NPL volume, were 51.87 percent and 73.63 percent, respectively (Charts 2.12 and 2.13), compared with 51.65 and 74.87 percent in 2024. In 2025, in terms of the largest gross NPLs, the top 10 banks comprised 03 SOCBs and 07 PCBs. On the other hand, in terms of individual gross NPL ratio, the top 10 banks consisted of 02 SOCBs, 07 PCBs, and 01 FCB.

CHART 2.12: TOP 5 BANKS’ SHARES IN GROSS NPLs



Source: BRPD-1, BB; compilation: FSD, BB.

CHART 2.13: TOP 10 BANKS' SHARES IN GROSS NPLs



Source: BRPD-1, BB; compilation: FSD, BB.

Sector-wise NPL distributions showed that the Industrial (Manufacturing) sector had the highest concentration of NPLs in 2025, followed by the Trade and Commerce sector.

Table 2.3 shows the concentration of NPLs across sectors in 2025. The Industrial (Manufacturing) sector had the highest NPL concentration, with a 48.51 percent share. Within this sector, subsectors such as Leather and Leather-based Industry, Agro-Based Industry, Shipbuilding and Ship breaking, and RMG recorded significantly high NPL ratios in 2025. The Leather and Leather-based Industry had the highest gross NPL

ratio at 44.18 percent, followed by Agro-Based Industry (39.80 percent), Shipbuilding and Ship breaking (36.15 percent), and RMG (31.15 percent). However, due to low loan exposure share and NPL concentration, the Leather and Leather-based Industry and Shipbuilding and Ship breaking are unlikely to pose systemic risks. By contrast, Agro-Based Industry and RMG, with higher loan exposure and NPL concentration, may pose a substantial risk to the asset quality of both the Industrial sector and the overall banking industry.

The share of NPLs in the Trade and Commerce sector was notably high at 29.59 percent, compared with 18.16 percent of total loans in this sector. Furthermore, the gross NPL ratio in this sector rose significantly to 49.88, up from 27.33 in 2024. Given that this sector accounted for around one-sixth of total outstanding loans in the banking system, its elevated NPL level could pose a significant risk to the banking system's overall stability.

TABLE 2.3: SECTOR-WISE NON-PERFORMING LOANS DISTRIBUTION IN 2025

Sl. No.	Name of the Sectors	In Billion BDT		In Percent		
		Total Loans Outstanding	Gross NPL	Gross NPL Ratio	Share of Loans Extended	Share of NPLs
1	Agriculture	705.90	208.89	29.59	3.88	3.75
2	Industrial (Manufacturing):	9,347.34	2,702.09	28.91	51.35	48.51
2.1	RMG	1,909.00	594.64	31.15	10.49	10.68
2.2	Textile	1,564.39	434.99	27.81	8.59	7.81
2.3	Ship building and Ship breaking	208.83	75.50	36.15	1.15	1.36
2.4	Agro-Based Industry	1,527.92	608.09	39.80	8.39	10.92
2.5	Other Industries (Large Scale)	3,016.21	739.52	24.52	16.57	13.28
2.6	Other Industries (Small, Medium and Cottage)	670.00	161.38	24.09	3.68	2.90
2.7	Pharmaceutical Industry	307.67	24.64	8.01	1.69	0.44
2.8	Leather and Leather-based Industry	143.33	63.33	44.18	0.79	1.14
3	Industrial (Services):	2,091.00	583.03	27.88	11.49	10.47
3.1	Construction Loans	1,129.22	356.16	31.54	6.20	6.39
3.2	Transport and Communication	249.47	53.18	21.32	1.37	0.95
3.3	Other Service Industries	712.31	173.69	24.38	3.91	3.12
4	Consumer Credit:	1,243.18	99.58	8.01	6.83	1.79
4.1	Credit Card	127.72	9.91	7.76	0.70	0.18
4.2	Autos (Car) Loan	45.17	1.92	4.25	0.25	0.03
4.3	Housing Finance	361.40	47.33	13.10	1.99	0.85
4.4	Personal	708.89	40.42	5.70	3.89	0.73
5	Trade and Commerce (Commercial Loans)	3,305.19	1,648.49	49.88	18.16	29.59
6	Credit to NBFI	87.95	19.01	21.61	0.48	0.34
7	Loans to Capital Market:	84.59	6.21	7.35	0.46	0.11
7.1	Merchant Banks	32.44	3.20	9.87	0.18	0.06
7.2	Other than Merchant Banks	52.16	3.01	5.77	0.29	0.05
8	Other Loans	1,339.15	303.01	22.63	7.36	5.44
	Total	18,204.30	5,570.32	30.60	100.00	100.00

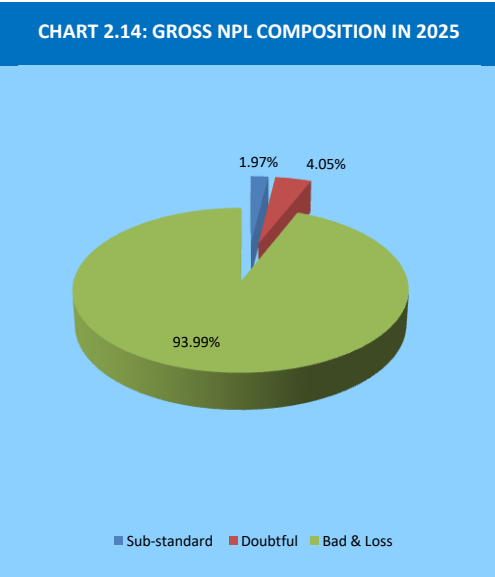
Source: SDAD, BB; Computation: FSD, BB

In 2025, the ratio of Bad and Loss (B/L) loans to gross non-performing loans increased significantly compared with the prior year.

In 2025, the share of B/L loans in gross NPLs rose to 93.99 percent, reflecting a 9.67 percentage point increase from 2024. This persistently high B/L loan ratio indicates that the largest share of NPLs is least likely to become performing again and will continue to

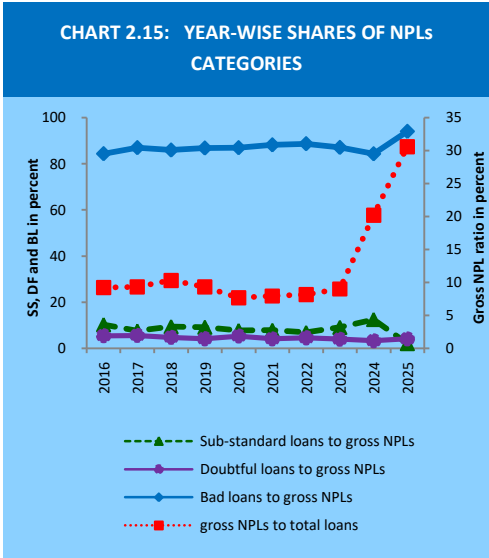
erode the sector’s earning potential, posing a threat to financial stability. At the end of December 2025, the total volume of B/L loans in the banking sector rose sharply to BDT 5,237.12 billion, a surge of 79.64 percent from the end of December 2024.

The remaining classified loan categories, Substandard (SS) and Doubtful (DF) loans, accounted for 1.97 percent and 4.05 percent of total NPLs in 2025, compared with 12.44 percent and 3.24 percent in 2024 (Chart 2.14).



Source: BRPD-1, BB; compilation: FSD, BB.

Chart 2.15 shows that B/L loans have consistently accounted for over 80 percent of total NPLs, underscoring the slow pace of recovery. This persistent trend hampers bank profitability and capital adequacy, as current regulations require 100 percent of base for provision as provisioning requirement for B/L loans.



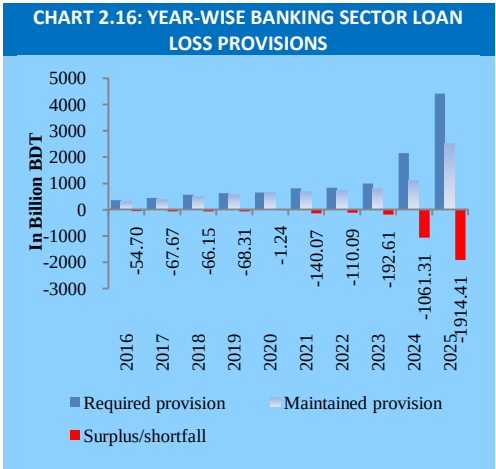
Source: BRPD-1, BB; compilation: FSD, BB.

In 2025, all banks, except 18 banks, including eleven PCBs, five SOCBs, one Foreign bank, and one Specialized bank, were permitted to maintain their loan-loss provisions in accordance with the regulatory requirement.

At end-December 2025, the loan-loss provisioning situation in the banking sector deteriorated, despite a sharp increase in the provision maintenance ratio to 56.60 percent from 50.75 percent in 2024 (Chart 2.16). Gross NPLs stood at BDT 5,572.17 billion, requiring BDT 4,410.91 billion in provisions. However, banks maintained only BDT 2,496.49 billion, resulting in a substantial provision shortfall of BDT 1,914.41 billion, which widened by BDT 853.11 billion from the previous year. This worsening loan-loss provisioning situation reduced profitability, increased capital shortfalls, and constrained credit growth, thereby posing a threat to the country’s financial stability and the real economy. Additionally, the ratio of

maintained or actual provisions to gross NPLs increased from 31.63 percent in 2024 to 44.80 percent in 2025.

The banking clusters showed a mixed pattern in maintaining loan-loss provisions in 2025. The provision shortfall for SOCBs surged to BDT 703.64 billion, up from BDT 579.66 billion in 2024. PCBs' shortfall increased sharply to BDT 1,212.14 billion from BDT 488.83 billion, whereas SDBs' shortfall decreased slightly to BDT 2.01 billion from BDT 2.56 billion in 2024. In contrast, FCBs had a provision surplus of BDT 3.38 billion in 2025, despite a moderate decline from BDT 4.63 billion in 2024.



Source: BRPD-1, BB; computation: FSD, BB.

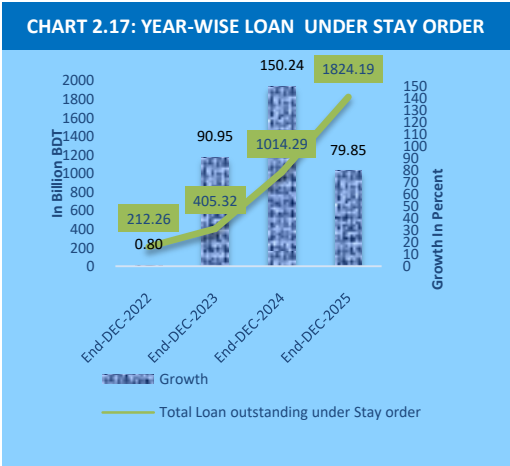
Moreover, at the individual bank level, 11 PCBs, 5 SOCBs, 1 FCB, and 1 SDB reported provision shortfalls in 2025. Among the four banking clusters, only FCBs maintained an aggregate provision surplus. Overall, the banking industry saw increases in both the total provision shortfall and the number of banks that failed to meet provisioning requirements during the year.

At end-December 2025, the outstanding balance of written-off loans stood at BDT 834.79 billion.

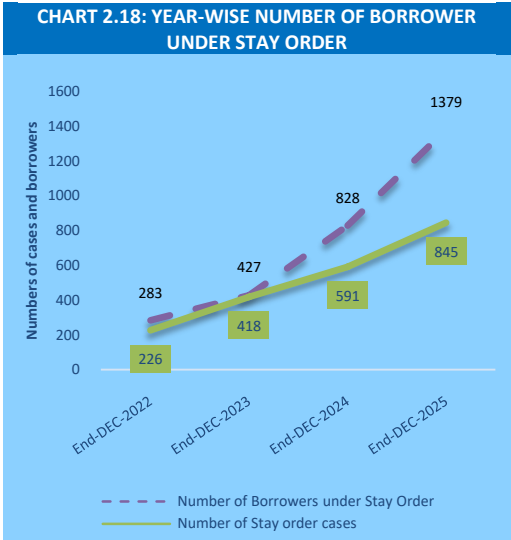
At the end of December 2025, the cumulative amount of written-off loans in the banking sector reached BDT 1022.33 billion, up from BDT 815.78 billion at the end of December 2024, equivalent to 3.57 percent of the sector's on-balance sheet assets. Of the total cumulative written-off loans, banks have adjusted BDT 187.54 billion through recoveries and other measures, representing 18.34 percent, leaving an outstanding balance of BDT 834.79 billion. Among the banking clusters, the outstanding written-off loan balances for SOCBs, PCBs, FCBs, and SDBs were BDT 178.32 billion, BDT 629.90 billion, BDT 23.30 billion, and BDT 3.27 billion, respectively, in 2025. As of End-December 2025, the total outstanding loan under the stay order reached BDT 1,824.19 billion.

In 2025, the total outstanding loan amount reached a record BDT 1,824.19 billion, reflecting a 79.85 percent increase from 2024 (Chart 2.17). This growth accelerated sharply between 2023 and 2024, when the amount more than doubled. The number of stay order cases also quadrupled, rising from 226 in 2022 to 845 in 2025 (Chart 2.18). The persistent growth under stay orders suggests considerable stress on the banking sector's liquidity and earnings. With judicial fast-tracking and appropriate policy interventions to address such bottlenecks, the issue of

mounting outstanding loans under stay orders can be effectively resolved, thereby supporting and strengthening financial stability.



Source: CIB, BB; computation: FSD, BB.

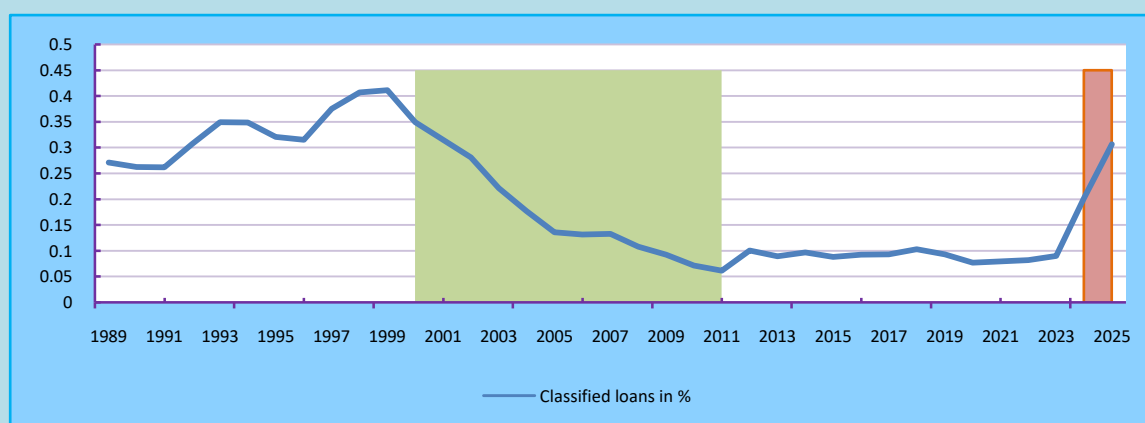


Source: CIB, BB; computation: FSD, BB.

Box 2.1: Policy Initiatives of Bangladesh Bank (BB) to Reduce Non-performing Loans (NPLs)

The banking sector of Bangladesh has experienced a mixed trajectory in non-performing loans (NPLs) management. During 1990-2000, NPLs increased significantly, reaching a peak of 41.11 percent by 1999. However, NPLs started to decline in the following decade due to the implementation of stringent regulatory policies. During 2011-2020, NPLs remained relatively stable with some fluctuations. Nevertheless, due to the aftermath of the COVID-19 pandemic and recent local political turmoil, this trend elevated sharply; by 2025, NPLs increased steeply to a historical high of 30.60 percent.

Historical Trend of NPLs



To address this persistent challenge in the banking sector, Bangladesh Bank (BB) has taken several policy initiatives over time. Between 2001 and 2010, these initiatives included the launch of the Financial Sector Reform Program (FSRP), the establishment of Credit Information Bureau (CIB), adoption of Basel framework (I & II), enforcement of single borrower and large loan exposure limit, tightening of loan-rescheduling policy, resulting in a sharp decline in NPL ratio, from nearly 40 percent to below 10 percent by 2010. Throughout the following decade, NPLs remained relatively stable, hovering around 10 percent. However, in the recent period, the situation has worsened due to multiple shocks, including the COVID-19 pandemic, the Russia-Ukraine war and local political turmoil.

In response to this critical issue, BB has initiated a series of targeted reforms to reduce NPLs to an acceptable level, thereby increasing the banking sector's resilience. Importantly, a task force on the banking sector reform has been established to assess the current financial situation, distressed assets and major risks to maintain financial stability. Moreover, BB introduced Risk Based Supervision (RBS)¹² to strengthen oversight and took critical governance actions, including the dissolution and reconstruction of the boards of fifteen (15) banks to ensure stronger management practices, driven by better accountability and transparency.

¹² SPCD Circular No: 02, Date: 23/10/2025

In addition, BB clarified the identification process of Ultimate Beneficial Owners (UBOs)¹³ along with disclosure of ownership structure and introduced limits on transactions with Bank-Related Persons or Institutions¹⁴. Furthermore, BB disseminated a master circular on loan classification and provisioning¹⁵, along with the adoption of the Expected Credit Loss (ECL) framework in accordance with International Financial Reporting Standard (IFRS 9), aiming to enhance banks' risk management capabilities and strengthen transparency in financial reporting. At the same time, BB provided policy¹⁶ support to affected but potential borrowers by facilitating loan restructuring and rescheduling to expedite loan recovery. In 2025, more than BDT 1,705.03 Billion of loans were rescheduled under this guideline.

In addition, BB introduced a Prompt Corrective Action (PCA)¹⁷ framework in early 2025 to identify weak banks for regulatory interventions. Afterwards, in late 2025, BB merged five struggling Islamic banks to establish Sammilito Islami Bank under the Bank Resolution Act 2026¹⁸, with a paid-up capital of BDT 350 billion. Recent legal reforms, including amendments to the Bank Company Act (BCA), Bankruptcy Act, Financial Institution Act and Deposit Insurance Act, have taken place to further strengthen the financial environment.

Collectively, these initiatives taken by BB, along with evolved regulatory system, would gradually improve governance and help to return NPLs in the banking sector to a more economically sustainable level.

¹³ BRPD Circular No: 16, Date: 01/12/2024

¹⁴ BRPD Circular No: 03, Date: 08/05/2025

¹⁵ BRPD Circular No 15, Date: 27/11/2024

¹⁶ BRPD Circular No. 07, Date: 16/09/2025

¹⁷ BRPD Circular No. 17, Date 05/12/2023

¹⁸ BRD Circular Letter No 1, Date:29/12/2025

Box 2.2: Procedure of Writing off of Loans/Investments of Banks

During normal banking operations, some loans or investments may become non-performing and remain overdue for extended periods, thereby overstating a bank's balance sheet. To uphold sound credit risk management practices consistent with global standards, such exposures shall be written off in accordance with Bangladesh Bank's directives. Each bank shall establish a dedicated 'Written-off Loan Recovery Unit' (or 'Written-off Investment Recovery Unit' for Islamic banks), which must operate under the direct supervision of the Managing Director/Chief Executive Officer.

Scheduled banks, as per BRPD Circular No. 04/2024 (dated 18 February 2024), BRPD Circular No. 08/2025 (dated 19 October 2025), and BRPD Circular No. 09/2025 (dated 19 November 2025), are required to write off defaulted loans and investments, classified as Bad or Loss, in accordance with specific procedures:

- Under the previous circular, loans and investments classified as 'Bad or Loss' for two consecutive years were eligible for write-off. BRPD Circular 08/2025 refined these rules by prioritizing older debts and introducing a mandatory 30-day notice period for borrowers, aligning with international standards. BRPD Circular 09/2025 swiftly updated the framework, specifically reducing the mandatory borrower notice period from 30 days to 10 working days.
- Loans secured by mortgaged property may be written off if recovery attempts through both collateral sale and guarantors fail.
- Filing a case under the Money Loan Court Act, 2003, is mandatory before write-off, except for loans up to BDT 500,000 or those taken by deceased persons or sole proprietors, for which legal action is not required under the Act.
- Adequate loan loss provisions must be maintained before any write-off, and any shortfall must be covered by the current year's income.
- Prior approval of the Board of Directors, or the highest designated local authority in the case of foreign banks, is required before any loan write-off is executed.
- Furthermore, pursuant to Section 28KA of the Bank Company Act, 1991 (as amended through 2023), banks are required to continue recovery efforts even after a write-off.
- Written-off exposures may be sold to asset management companies once they are functional, and the proceeds must be recognized as income. Separate ledgers for written-off accounts must be maintained, and loans must be reported in the financial statements (per Section 38 of the Bank Company Act, 1991) and to the Credit Information Bureau (CIB) under the 'BLW' category. Borrowers of written-off loans remain classified as defaulters in the CIB until full settlement.
- Written-off loans and investments cannot be rescheduled or restructured, although repayment schedules may be established if an exit plan exists.
- Loans obtained by directors (in their own names or those of related entities) generally cannot be written off. In exceptional cases (e.g., the death of a director-borrower), the Internal Audit Department must justify the proposal to the Board, with support from the Head of Internal Control and Compliance. Before effecting such write-offs, prior approval must be obtained from the BRPD of Bangladesh Bank, supported by relevant documents and minutes of the Board meeting. The decision of Bangladesh Bank in this respect shall be final.

2.4 RESCHEDULED ADVANCES

The total amount of loans rescheduled almost doubled in the review year compared to the preceding year.

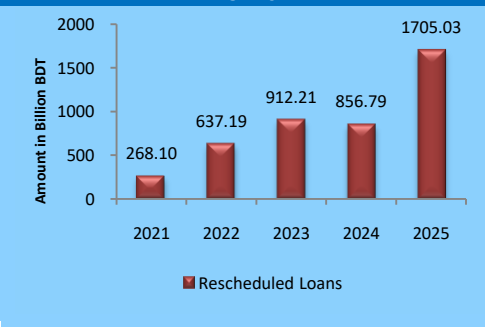
Total rescheduled loans in the banking sector amounted to BDT 1,705.03 billion in 2025, up 99.00 percent from 2024. Notably, Bangladesh Bank last revised its loan rescheduling policy¹⁹ in 2022, providing banks with larger flexibility through lower down payment requirements and longer repayment tenures compared with the earlier framework introduced in 2012 (Table 2.4 & Chart 2.19).

TABLE 2.4: YEAR-WISE AMOUNT OF RESCHEDULED LOANS (LOANS RESCHEDULED IN A SINGLE YEAR)

Year	Amount (In Billion BDT)
2021	268.10
2022	637.19
2023	912.21
2024	856.79
2025	1705.03

Source: Scheduled Banks (provisional);
computation: FSD, BB.

CHART 2.19: YEAR-WISE AMOUNT OF RESCHEDULED LOANS



Source: Scheduled Banks (provisional);
computation: FSD, BB.

Subsequently, in 2025, BB undertook two separate policy initiatives to support distressed borrowers affected by adverse economic and business conditions. First, a high-powered Committee on Policy Support was formed, headed by an Executive Director of BB and comprising representatives from the Government, an expert former commercial banker, a central banker, and a member of the business forum to examine and address challenges arising from global economic disruptions, persistent inflationary pressures, exchange-rate volatility, elevated borrowing costs under tight monetary conditions, and domestic socio-political uncertainties. Second, BB introduced a special loan restructuring and rescheduling policy²⁰ to facilitate the rehabilitation of viable but distressed borrowers. Under this framework, banks were allowed to restructure and reschedule loans on a case-by-case basis with a view to accelerating recovery of outstanding credit, easing financial stress on affected borrowers, and preserving overall financial sector stability.

The rescheduled loan ratio²¹ reached 24.54 percent in 2025, up from 20.36 percent in 2024. The classified rescheduled loans ratio and the

²⁰BRPD Circular No. 07 dated 16 September 2025.

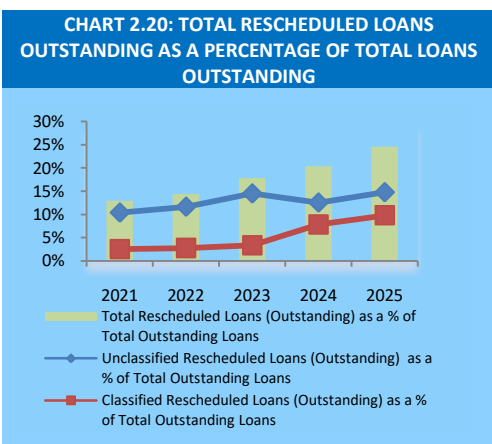
²¹Rescheduled Loans Outstanding Ratio= Total Rescheduled Loans Outstanding to Total Loans Outstanding.

Classified Rescheduled Loan Ratio= Total Classified Rescheduled Loans Outstanding to Total Loans Outstanding,

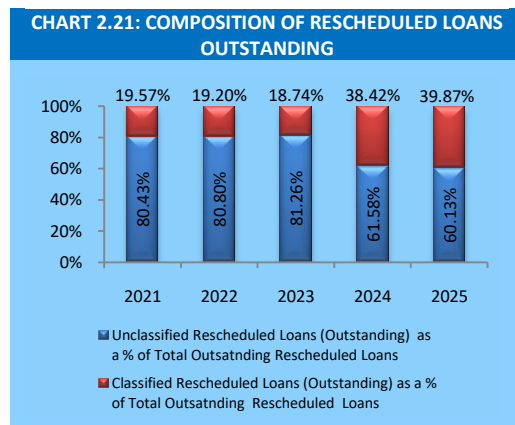
Unclassified Rescheduled Loan Ratio= Total Unclassified Rescheduled Loans Outstanding to Total Loans Outstanding.

¹⁹BRPD Circular No. 16 dated 18 July 2022.

unclassified rescheduled loans ratio stood at 9.78 percent and 14.76 percent, respectively in 2025, compared with 7.82 percent and 12.54 percent in 2024 (Chart 2.20). The classification status of outstanding rescheduled loans deteriorated in 2025, as the unclassified portion decreased from 61.58 percent to 60.13 percent (Chart 2.21 and Table 2.5).



Source: Scheduled Banks (provisional); computation: FSD, BB.



Source: Scheduled Banks (provisional); computation: FSD, BB.

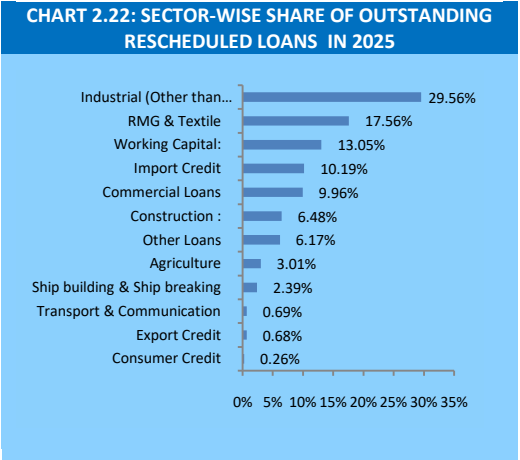
TABLE 2.5: COMPOSITION OF RESCHEDULED LOANS OUTSTANDING

(Amount in Billion BDT)

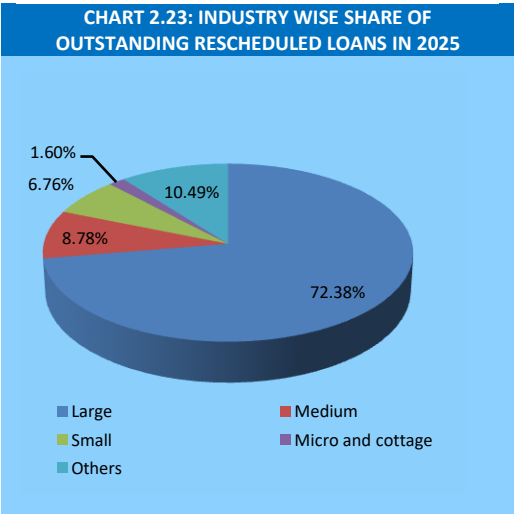
Year	Total Rescheduled Loans Outstanding	Unclassified Rescheduled Loans Outstanding	Classified Rescheduled Loans Outstanding	Unclassified Rescheduled Loans to Total Rescheduled Loan Outstanding	Classified Rescheduled Loans to Total Rescheduled Loan Outstanding
2021	1,684.01	1,354.39	329.62	80.43%	19.57%
2022	2,127.79	1,719.21	408.58	80.80%	19.20%
2023	2,885.41	2,344.81	540.60	81.26%	18.74%
2024	3,484.61	2,145.89	1,338.72	61.58%	38.42%
2025	4,468.94	2,687.33	1,781.64	60.13%	39.87%

Source: Scheduled Banks (provisional); computation: FSD, BB.

Chart 2.22 illustrates the sector-wise share of outstanding rescheduled loans at the end of December 2025. Most of the outstanding rescheduled loans were in the Industrial, RMG & Textile, and working capital sector, with 29.56 percent, 17.56 percent, and 10.19 percent, respectively. In Chart 2.23, industry-wise data shows that 72.38 percent of outstanding rescheduled loans belong to large industries. 8.78 percent and 10.49 percent were disbursed to medium industries and other industries, respectively.

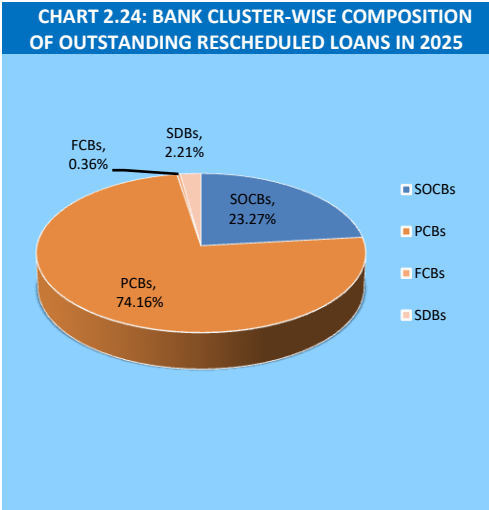


Source: Scheduled Banks (provisional); computation: FSD, BB.



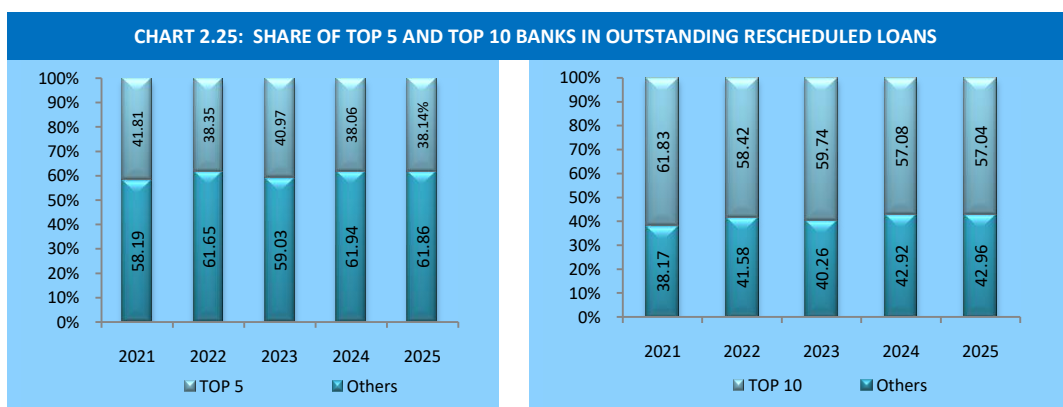
Source: Scheduled Banks (provisional); computation: FSD, BB.

As of the end of 2025, the PCBs held 74.16 percent of rescheduled loans outstanding in the banking industry, followed by the SOCBs with a 23.27 percent share. The share of rescheduled loans across different clusters of banks remained almost the same as the previous year (Chart 2.24).



Source: Scheduled Banks (provisional); computation: FSD, BB.

Chart 2.25 shows that, among total outstanding rescheduled loans, the top 5 banks accounted for 38.14 percent, while the top 10 banks accounted for 57.04 percent. The top 5 banks comprised 03 (three) PCBs and 02 (two) SOCBs, whereas the top 10 banks included 02 (two) SOCBs and 08 (eight) PCBs.

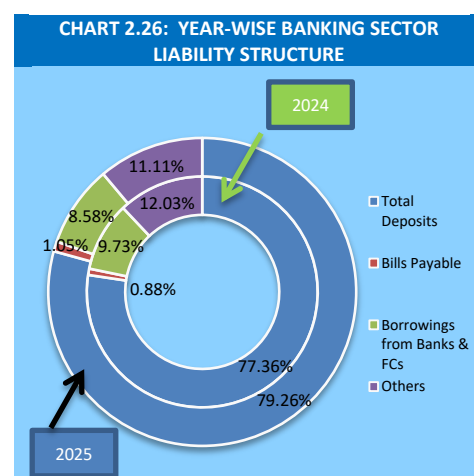


Source: Scheduled Banks (provisional); computation: FSD, BB.

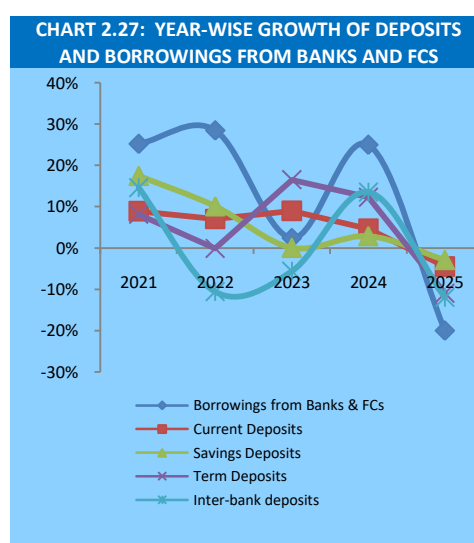
2.5 LIABILITY STRUCTURE OF THE BANKING SECTOR

As expected, deposits remained the primary component of the liability structure. By the end of 2025, loans and advances, as well as deposits, recorded negative growth compared with 2024. However, total deposits were considered adequate to meet the demand for loans and advances.

At end-December 2025, the banking sector's total liabilities stood at BDT 22,648.85 billion. Total deposits, including inter-bank deposits, accounted for 79.26 percent of total liabilities (Chart 2.26). The liability structure showed that borrowings from banks and finance companies recorded the largest contraction, declining by 20.00 percent. Likewise, inter-bank deposits, term deposits, and current deposits declined by 11.95 percent, 10.95 percent, and 4.45 percent, respectively. In addition, savings deposits recorded negative growth of 2.85 percent during the review period (Chart 2.27).

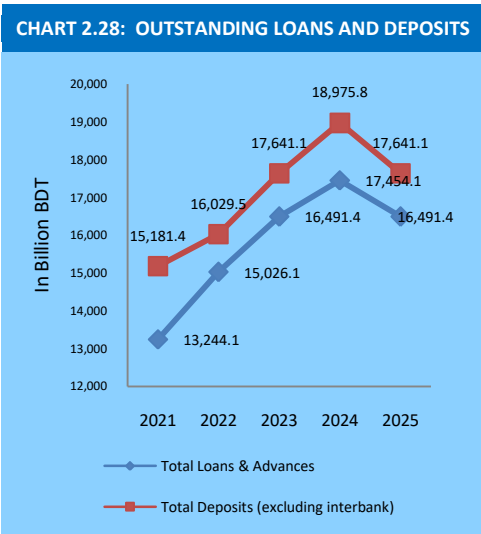


Source: SDAD, BB; compilation: FSD, BB.

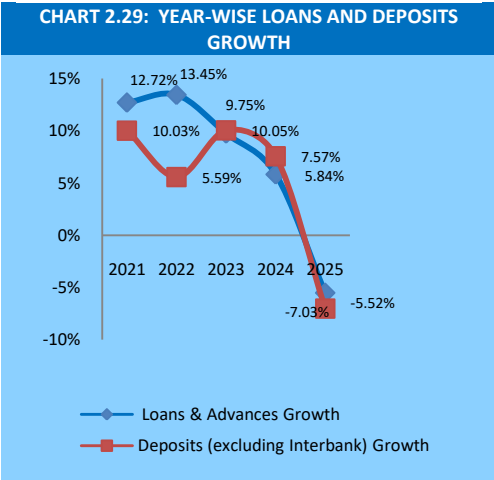


Source: SDAD, BB; compilation: FSD, BB.

The banking sector as a whole appeared to have sufficient deposits to meet demand for loans and advances. Deposits, excluding inter-bank deposits, declined by 7.03 percent in 2025, exceeding the 5.52 percent contraction in loans and advances. By end-December 2025, loans and advances totaled BDT 16,491.45 billion, compared with deposits of BDT 17,641.10 billion (Charts 2.28 and 2.29).



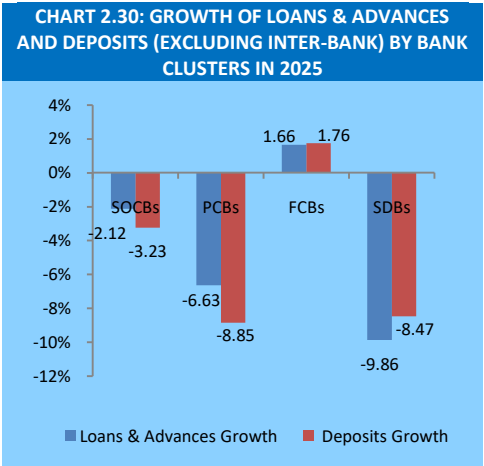
Source: SDAD, BB; compilation: FSD, BB.



Source: SDAD, BB; compilation: FSD, BB.

Chart 2.30 presents the comparative growth positions of deposits (excluding inter-bank deposits) and loans for the

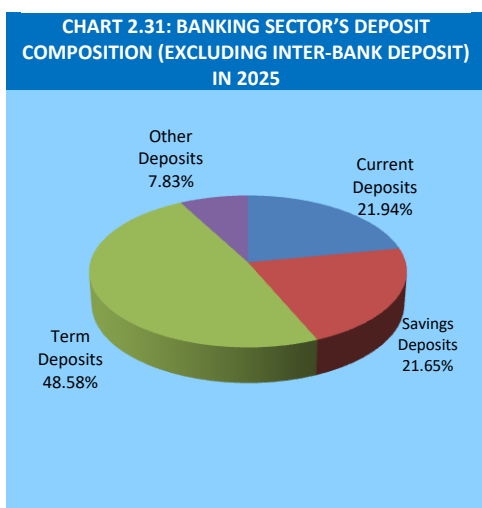
four banking clusters in 2025. SOCBs recorded contractions of 3.23 percent in deposits and 2.12 percent in lending, while PCBs recorded contractions of 8.85 percent in deposits and 6.63 percent in lending. SDBs registered a 9.86 percent decline in lending, exceeding the 8.47 percent decline in deposits. However, FCBs recorded growth of 1.76 percent in deposits and 1.66 percent in loans and advances.



Source: SDAD, BB; compilation: FSD, BB.

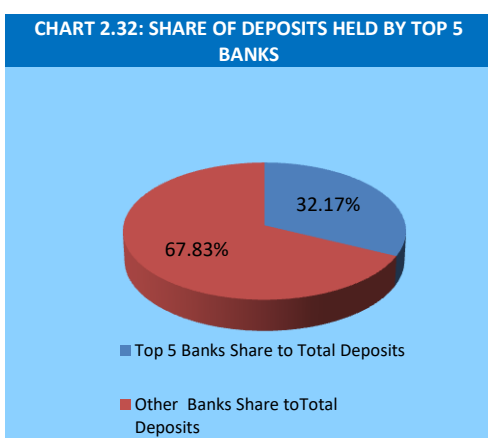
The composition of total deposits at end-December 2025 is shown in Chart 2.31. Term deposits accounted for almost half of total deposits. Moreover, its share decreased moderately to 48.58 percent in 2025, down from 50.71 percent in 2024.

A larger share of term deposits provided banks with a more stable source of funding, thereby contributing to overall funding stability. Shares of current, savings, and other deposits stood at 21.94 percent, 21.65 percent, and 7.83 percent, respectively, in 2025.



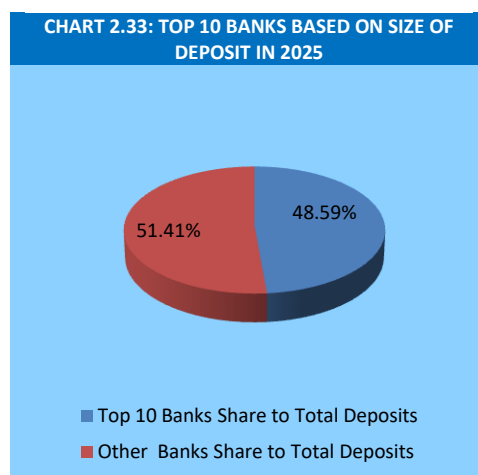
Source: SDAD, BB; compilation: FSD, BB.

Deposit concentration remained high, with the top ten banks holding 48.59 percent of total deposits (excluding inter-bank deposits) and the top five banks together accounting for 32.17 percent (Charts 2.32 and 2.33).



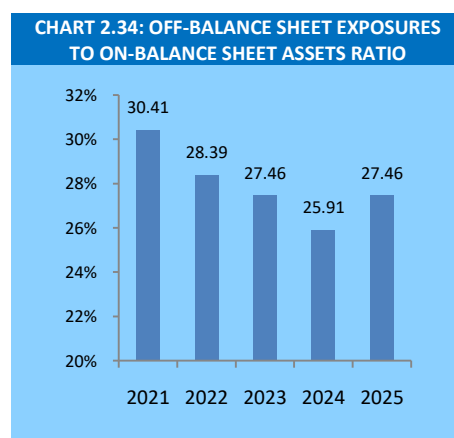
Source: SDAD, BB; compilation: FSD, BB.

Three SOCBs and two PCBs ranked among the top five by deposit size. In the previous year, the top five banks accounted for 31.26 percent of total deposits, while the top ten banks together held 46.70 percent.



Source: SDAD, BB; compilation: FSD, BB.

The ratio of Off-Balance Sheet (OBS) exposures to on-balance sheet assets increased to 27.46 percent in 2025, up from 25.91 percent in 2024 (Chart 2.34). OBS exposures reached BDT 6,586.54 billion at end-2025, compared with BDT 6,814.39 billion at the end of 2024. Although OBS exposures decreased slightly in 2025 compared with 2024, the ratio of OBS exposures to on-balance sheet assets rose modestly due to a relative decline in on-balance sheet assets. Among the OBS items, acceptances increased by BDT 36.64 billion, whereas Letters of Guarantee declined by BDT 143.25 billion in 2025.



Source: SDAD, BB; compilation: FSD, BB.

2.6 BANKING SECTOR

DEPOSIT SAFETY NET

The ‘Deposit Protection Act, 2026’ has been enacted, extending deposit protection from 1 lac to 2 lac.

The Deposit Insurance System is administered by Bangladesh Bank under the ‘Deposit Protection Act, 2026’, which supersedes the earlier ‘Bank Deposit Insurance Act, 2000’. Under the Act, the coverage limit has been enhanced from BDT 100,000 to BDT 200,000 per depositor, per institution. In addition, the scope of protection is going to be extended to include all finance companies, effective from 1st July 2028.

The mandate of the Deposit Insurance System has been broadened from the traditional “Pay Box” model to the “Pay Box Plus” model. This expansion means that, in addition to compensating insured depositors in the event of a bank’s liquidation, the Deposit Protection Fund may also be used to provide financial assistance as part of bank resolution measures. In this regard, BDT 120

billion was transferred as financial assistance to resolve five Shariah-based banks in Bangladesh, reflecting the expanded “Pay Box Plus” mandate and the enhanced role of the Deposit Protection Fund in supporting bank resolution measures.

Table 2.6 shows the Fund's recent position and its coverage:

TABLE 2.6: DEPOSIT PROTECTION FUND

(In Billion BDT)

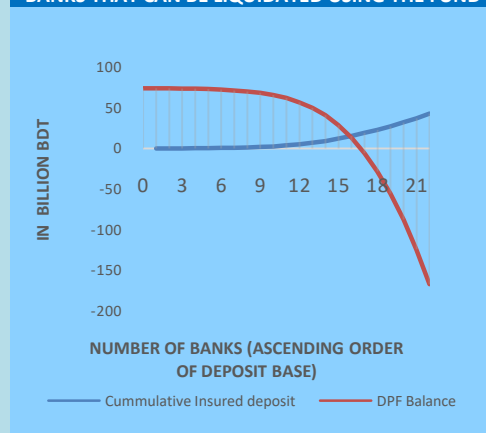
Particulars	2024	2025*
Deposit Protection Fund Balance	168.71	156.24
Insured Deposits	16.77 %	26.30%
Insured Depositors	91.25%	93.04%

*Unaudited. Source: DID, BB.

Box 2.3: The Capacity of the Existing Deposit Protection Fund (DPF) and its Forecast

Chart B2.3.1 shows that the current DPF balance would be sufficient to cover insured deposits (up to BDT 200,000 per depositor) for as many as 16 small banks in the event of multiple bank liquidations. The banks are arranged in ascending order by deposit size, regardless of category. However, under a hypothetical scenario, depositors at a significant number of banks may not be fully covered by the current DPF balance, owing to those banks' larger deposit bases.

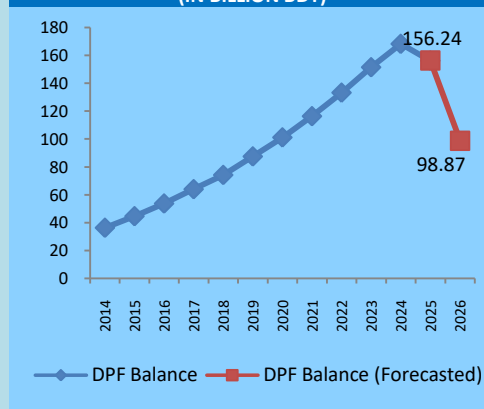
CHART B 2.3.1: OPTIMUM NUMBER OF SMALL BANKS THAT CAN BE LIQUIDATED USING THE FUND



Note: Merger of Banks Considered.

Source: DID and BRPD, BB; Compilation and Analysis: FSD, BB.

CHART B 2.3.2: FORECAST OF THE FUND BALANCE (IN BILLION BDT)



Note: Merger of Banks Considered.

Source: DID and BRPD, BB; Compilation and Analysis: FSD, BB.

The fund decreased from BDT 168.71 billion to BDT 156.24 billion by December 2025. In 2025, BDT 120.00 billion was provided as financial assistance to ongoing bank resolution efforts, of which Tk 82.45 billion was managed by keeping equivalent amount of bill & bond as Lien to Bangladesh Bank & Tk 37.55 billion was managed directly from cash balance of DITF.

However, the full effects of this support have not yet appeared in the DPF's year-end balance, as income from premiums, coupons, and capital gains during the year partially offset the decline. This remaining impact is expected to become more evident over the coming years, as future premium collections, coupon income, and capital gains continue to support the DPF balance. Based on provisional 2025 data, the fund is forecast to reach BDT 98.87 billion in 2026 if financial support remains adjusted at that point (see Chart B2.3.2).

2.7 BANKING SECTOR PROFITABILITY

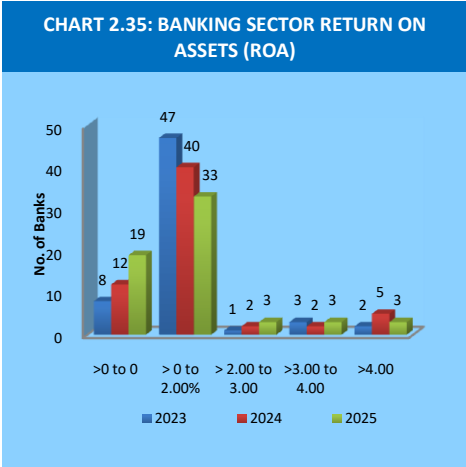
The banking sector's net profit²² declined sharply in 2025.

During the review year, banking sector's net operating profit²³ rose significantly to BDT 321.08 billion, driven by higher interest and non-interest income. However, despite this improvement net profit declined markedly due to increased loan loss provisioning and higher non-interest expenses. Total loan loss provisions surged by BDT 1,307.41 billion in 2025 compared to 2024.

The banking sector's return on equity (ROE) and return on assets (ROA) both deteriorated markedly in 2025 compared to 2024.

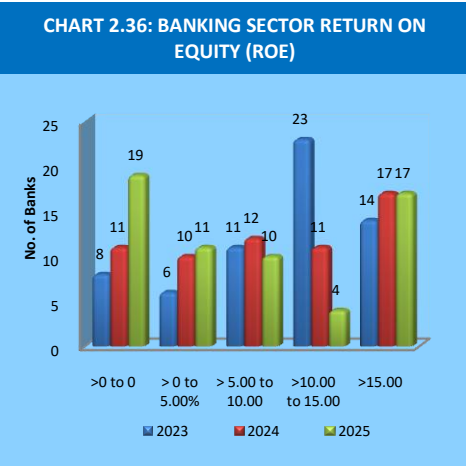
The banking sector's ROA declined to -4.81 percent, while ROE fell sharply to -243.90 percent in 2025. This pronounced deterioration in profitability reflects worsening asset quality, driven by rising non-performing loans, weak credit governance, and squeezed regulatory standards in Bangladesh.

13 banks experienced an increase in ROA while 48 banks showed a decreasing trend at the end of 2025. Out of 61 banks, 19 banks had negative ROA and 33 banks had ROA from 0 upto 2.0 percent (Chart 2.35)



Source: SDAD, BB; Compilation: FSD, BB.

Similarly, ROE improved in 20 banks, while it declined in 41 banks compared to 2024. Of the 61 banks, 19 reported negative ROE and 11 recorded ROE within the 0~5 percent range (Chart 2.36).



Source: SDAD, BB; Compilation: FSD, BB.

The banking sector's overall Net Interest Margin (NIM)²⁴ reduced from 1.30percent in 2024 to -0.49 percent in 2025.

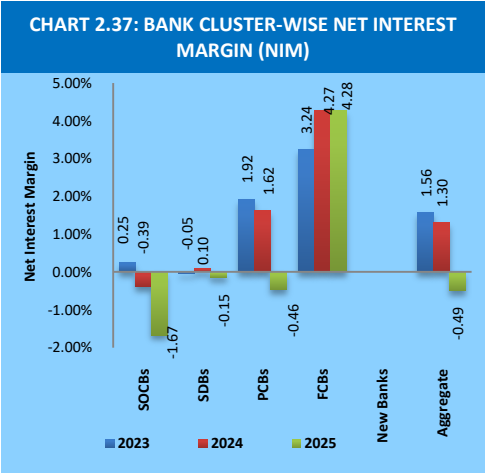
²² Profit after provision and tax.

²³ Profit before provision and tax

²⁴ Net interest margin is a measure of the difference between the interest income generated and the amount of interest paid out to their depositors and lenders, relative to the amount of interest earning assets.

In 2025, Bangladesh’s banking sector experienced 8.10 percent decline in interest income alongside a 25.61 percent rise in interest expenses. Meanwhile, non-interest income and expenses increased by 30.24 percent and 4.23 percent, respectively, supporting growth in net operating income. However, Net Interest Margin (NIM) deteriorated across all bank groups except foreign commercial banks (FCBs). Overall, industry NIM declined by 1.79 percentage points to -0.49 percent (Chart 2.37).

This compression in margins reflects higher funding costs, weak asset returns, and structural inefficiencies, which may reduce profitability, constrain credit growth, and intensify stress in the banking sector.

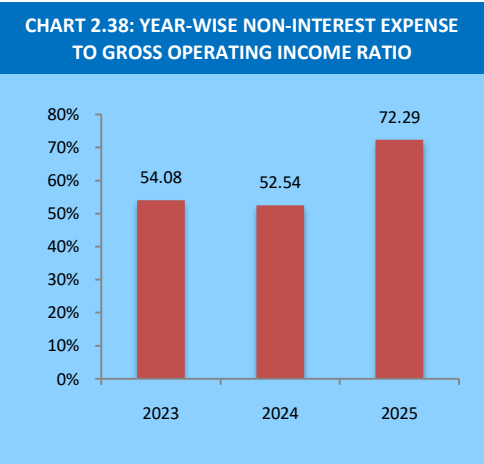


Source: SDAD, BB; Compilation: FSD, BB.

During this period, non-interest expenses increased by 4.23 percent, while gross operating income²⁵ declined by 24.26 percent from Dec 2024. Consequently, the ratio of non-interest

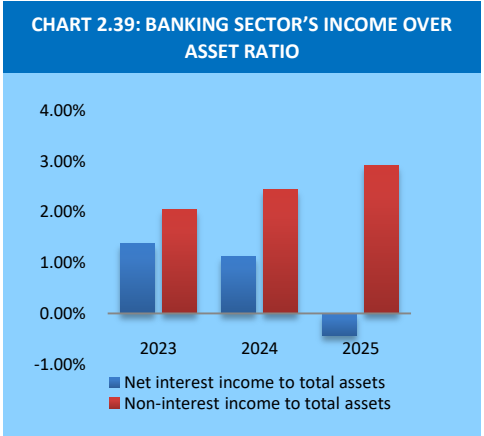
²⁵Gross operating income is the summation of net interest income and non-interest income.

expenses to gross operating income rose sharply to 72.29 percent in 2025 (Chart 2.38). This indicates rising cost pressures and declining operational efficiency.



Source: SDAD, BB; Compilation: FSD, BB.

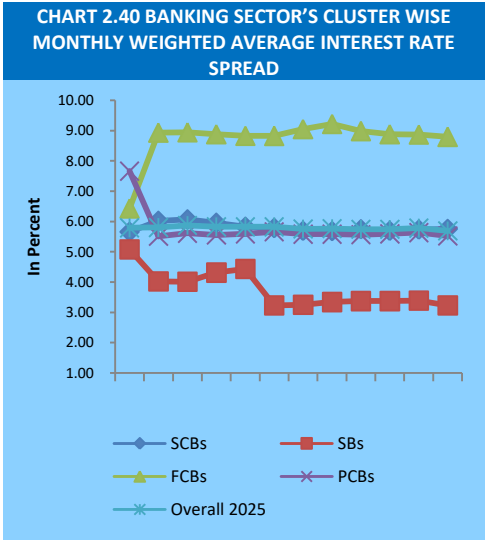
Net interest income to total assets fell from 1.12 percent in 2024 to -0.44 percent in 2025, reflecting lower core earnings. Meanwhile, non-interest income to total asset ratio rose from 2.43 percent to 2.91 percent. Overall, while net interest income decreased in absolute terms, non-interest income showed a clear upward trend, partially offsetting the decline in core income (Chart 2.39).



Source: SDAD, BB; Compilation: FSD, BB.

The weighted average interest rate spread decreased by 0.14 percentage point at end-December 2025.

The banking sector’s weighted average interest rate spread remained stable at around 5.69 percent during the review year. Spreads of SOCBs and PCBs remained below 6.00 percent, while SBs spread was slightly above 3.00 percent. In contrast, FCBs recorded the highest spreads of almost 9.00 percent due to lower deposit and NPL rates along with relatively higher interest rate on consumer finance (Chart 2.40).



Source: SDAD, BB; Compilation: FSD, BB.

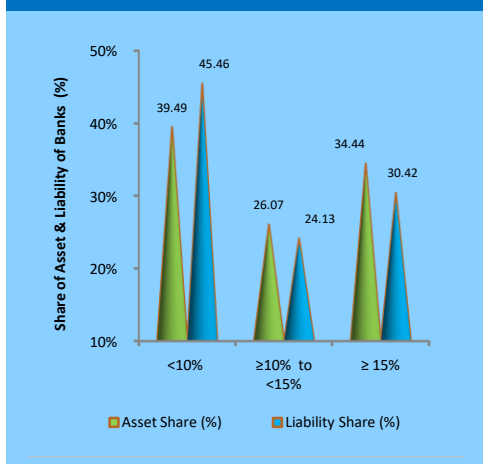
2.8 CAPITAL ADEQUACY

Despite ongoing capital adequacy challenges in parts of the banking sector, 42 banks remained compliant with the Basel III CRAR requirement at the end of December 2025, collectively accounting for more than 60 percent of the sector’s total assets. The asset share of compliant banks increased further during the year. The sector’s CRAR and Tier-1 capital ratios declined primarily due to weaker

capital positions at Islamic Private Commercial Banks (Islamic PCBs), Specialized Development Banks (SDBs), and several State-Owned Commercial Banks (SOCBs).

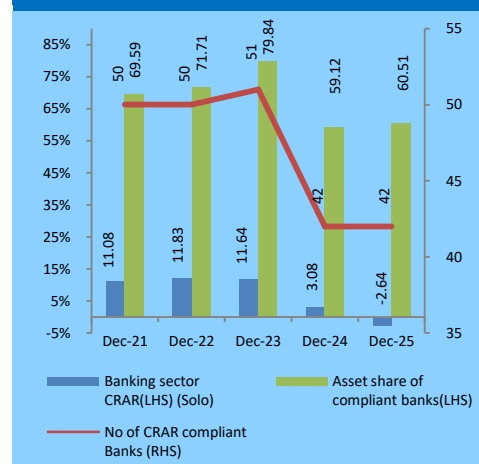
The banking sector’s Capital to Risk-weighted Asset Ratio (CRAR) deteriorated by 5.72 percentage points, falling from 3.08 percent a year earlier to -2.64 percent at end-December 2025, reflecting heightened vulnerabilities in the sector’s capital adequacy position. The CRAR has fallen significantly below the minimum regulatory requirement of 10.00 percent of Risk-Weighted Assets (RWA) under the Basel III capital framework prescribed by Bangladesh Bank. By end-December 2025, the number of CRAR-compliant banks remained unchanged at 42. These compliant banks accounted for 60.51 percent of total assets and 54.54 percent of total liabilities of the banking sector. In contrast, non-compliant banks held 39.49 percent of the sector’s total assets and 45.46 percent of total liabilities, indicating a 5.97 percentage point excess of liabilities over assets in this segment (Chart 2.41). By end-December 2025, the asset share of CRAR-compliant banks increased by 1.39 percentage points compared to the previous year (Chart 2.42).

CHART 2.41: ASSET AND LIABILITY SHARES OF BANKS BY CRAR AT END-DECEMBER 2025



Source: SDAD, BB; computation: FSD, BB.

CHART 2.42: YEAR-WISE CRAR, CRAR-COMPLIANT BANKS AND THEIR ASSET SHARES

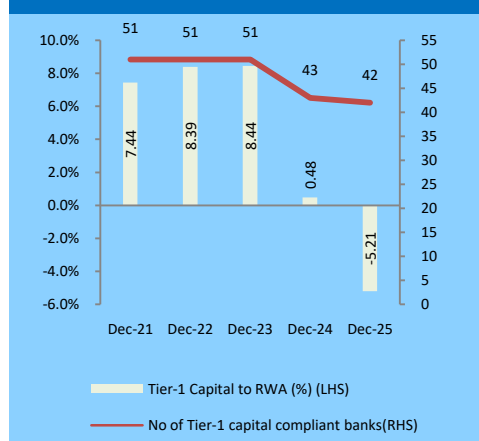


Source: SDAD, BB; computation: FSD, BB.

The Tier-1 capital ratio, also known as the going-concern capital ratio, for the banking sector fell by 5.69 percentage points to -5.21 percent at end-December 2025, down from 0.48 percent at end-December 2024. This level is well below the minimum Tier-1 capital requirement of 6.00 percent prescribed under the Guidelines on Risk Based Capital Adequacy issued by BB in December 2014. At end-December 2025, the number of Tier-1 capital

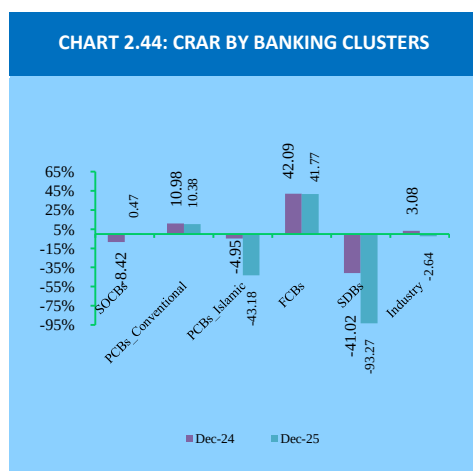
compliant banks decreased to 42 from 43 at end-December 2024 (Chart 2.43).

CHART 2.43: YEAR-WISE TIER-1 CAPITAL RATIOS AND COMPLIANT BANKS



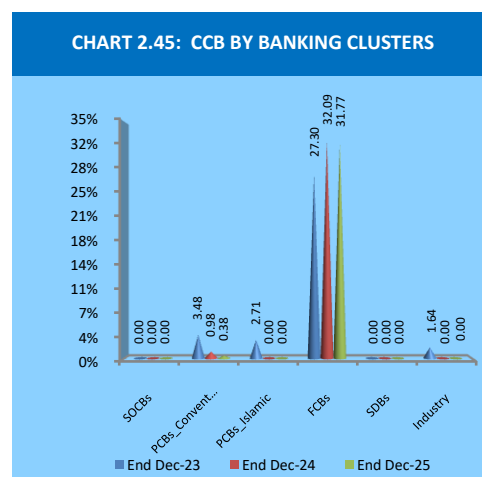
Source: SDAD, BB; computation: FSD, BB.

Chart 2.44 presents a comparative analysis of CRAR across banking clusters. As of the end- December 2025, the CRARs of Conventional PCBs, Islamic PCBs, SDBs, and FCBs declined by 0.60, 38.23, 52.25, and 0.32 percentage points, respectively, bringing their CRARs to 10.38 percent, -43.18 percent, -93.27 percent, and 41.77 percent. In contrast, the CRAR of SOCBs increased by 8.89 percentage points during the period. Among all clusters, FCBs maintained CRARs well above the minimum regulatory requirement, while Conventional PCBs remained marginally above the 10 percent. The significant deterioration in capital adequacy among Islamic PCBs and SDBs underscores the need for intensified supervision and targeted measures to strengthen their capital positions, thereby enhancing both their individual resilience and the overall stability of the banking sector.



Source: SDAD, BB; computation: FSD, BB.

Banks are required to maintain a Capital Conservation Buffer (CCB) of 2.50 percent of total risk-weighted assets, in the form of Common Equity Tier-1 (CET-1) capital, in addition to the minimum regulatory capital requirement (CRAR) of 10.00 percent under the Basel III framework²⁶. The banking industry as a whole failed to maintain required level of CCB at end-December 2025.



Source: SDAD, BB; computation: FSD, BB.

Except for the FCBs cluster, the remaining clusters failed to meet the CCB requirement, reducing the industry's CCB to zero at end-December 2025 (Chart 2.45). At end-December 2025, the FCBs cluster's CCB decreased by 0.32 percentage points to 31.77 percent. However, out of sixty one banks, thirty-three maintained the required CCB in 2025, while thirty-eight were CCB compliant in 2024.

Considering the cross-country scenario (Table 2.7), the capital adequacy of Bangladesh's banking sector was significantly lower than that of neighboring countries as of end-December 2025.

²⁶CCB requirement for banks in Bangladesh started from 2016 in a phased-in manner and full implementation commenced in 2019 with CCB requirement of 2.50 percent above the regulatory MCR of 10.00 percent.

TABLE 2.7: COMPARISON OF CAPITAL ADEQUACY AMONG THE NEIGHBORING COUNTRIES.

Countries	CRAR (%)				
	2021	2022	2023	2024	2025
India	16.6*	16.0*	16.8*	16.7*	17.20*
Pakistan	16.7	16.6	19.7	20.6	20.80
Sri Lanka	16.5	16.2 ^R	18.4 ^R	18.4 ^P	19.40**
Bangladesh	11.08	11.83	11.64	3.08	-2.64

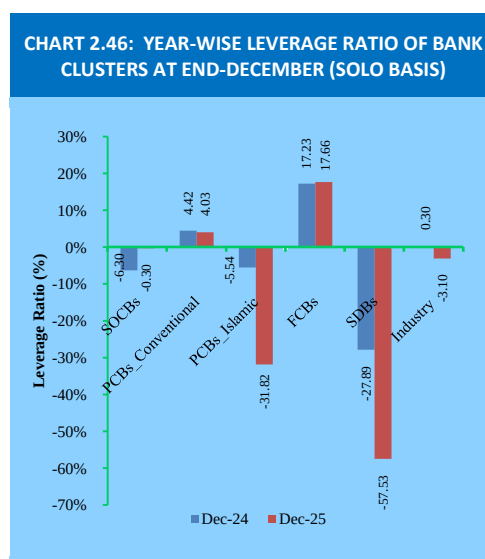
* Data as of end-September, R-Revised, P-Provisional.
 ** Data as of end-June
 Sources:
 Financial Stability Report, December 2025, Reserve Bank of India; Chapter II Financial Institutions: Soundness and Resilience
<https://www.rbi.org.in/Scripts/PublicationReportDetails.aspx?UrlPage=&ID=1314>
 Financial Stability Review, 2025; Chapter 3: The Banking Sector
<https://www.sbp.org.pk/FSR/2025/12.Ch3Banking%20sector.pdf>
 Financial Stability Review 2025, Central Bank of Sri Lanka, Chapter 3: Financial Institutions
https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/publications/fssr/fsr_2025e.pdf

2.9 LEVERAGE RATIO

Although leverage ratio in the FCBs and PCBs (Conventional) increased, banking sector, as a whole, failed to maintain the minimum regulatory requirement of 3.75 percent.

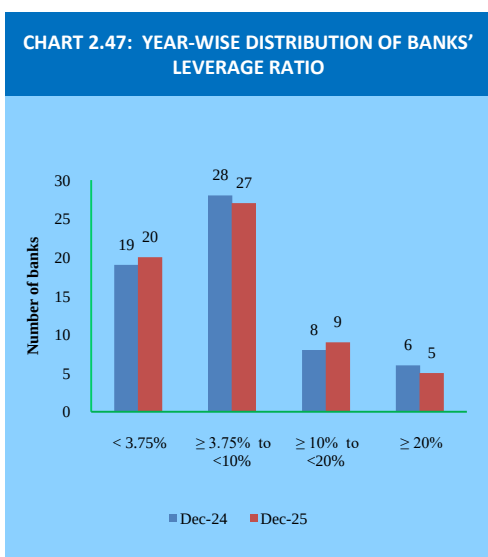
As of end-December 2025, the banking sector reported a negative leverage ratio of 3.10 percent, a sharp 3.40 percentage-point decline from 0.30 percent recorded at end-December 2024. Among the banking clusters, FCBs posted the highest leverage ratio at 17.66 percent, followed by Conventional PCBs at 4.03 percent. In contrast, Islamic PCBs recorded a negative leverage ratio of 31.82 percent, while SOCBs improved to -0.30 percent, up from -6.30 percent a year earlier. SDBs exhibited the weakest performance, with a leverage ratio of -57.53 percent. The persistently weak leverage positions of SOCBs, Islamic PCBs, and SDBs are a growing concern, as they significantly impair the sector's

ability to absorb near-term shocks (Chart 2.46).



Source: SDAD, BB; calculation: FSD, BB

The number of banks failing to meet the leverage ratio requirement rose to 20 in 2025, up from 19 in 2024 (Chart 2.47).



Source: SDAD, BB; calculation: FSD, BB

2.10 INTERNAL CAPITAL ADEQUACY ASSESSMENT PROCESS (ICAAP)

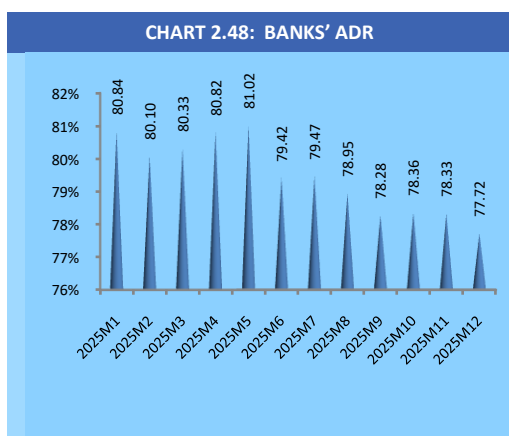
As part of Pillar II of Basel III, the Internal Capital Adequacy Assessment Process (ICAAP) has already been implemented in Bangladesh. To ensure adequate capital coverage of all material risks, banks evaluate their internal processes and strategies through ICAAP. BB reviews and evaluates banks' ICAAP reports and strategies during its Supervisory Review Evaluation Process (SREP) inspection. Bangladesh Bank also assesses the soundness of a bank's internal process for assessing capital adequacy. Emphasis is placed on the quality of the bank's risk management and controls. SRP-SREP Dialogue refers to an exclusive meeting between BB's SREP team and the bank's SRP team. The objective of the dialogue is to determine the adequate level of capital needed for that bank by reviewing the ICAAP and the bank's strategies. SRP-

SREP Dialogue with the banks was completed in June 2025 for the base year 2023. In the dialogue, different types of risks to which banks were exposed to, were discussed based on their ICAAP reports. Banks are advised to take the necessary steps based on their risk types. Recent experience shows that the estimated additional capital requirement for residual risk rises mainly due to documentation errors. Besides, strategic risk and core risk management are also concerns for the banks.

2.11 BANKING SECTOR LIQUIDITY

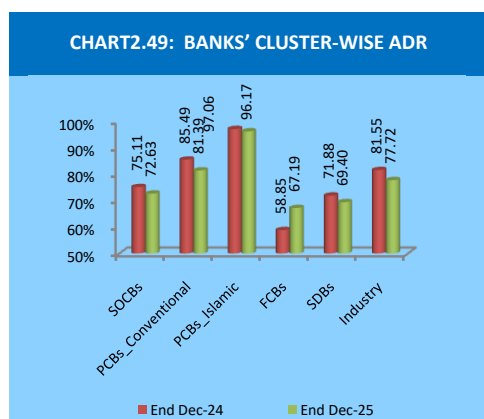
Except for the Islamic PCBs cluster, the liquidity outlook in the banking industry remained broadly stable during 2025. The rise in the banking industry's Stock of High Quality Liquid Assets (SHQLA) was mainly driven by increases in the SHQLA of the SOCBs and Conventional PCBs clusters.

In 2025, the banking sector's liquidity conditions eased, as reflected in a decline in the advance-to-deposit ratio, even though the call money rate remained elevated. Initially, the banking sector's ADR increased slightly, then gradually declined, reaching 77.72 percent at end-December 2025, compared with 81.55 percent at end-December 2024 (Chart 2.48).



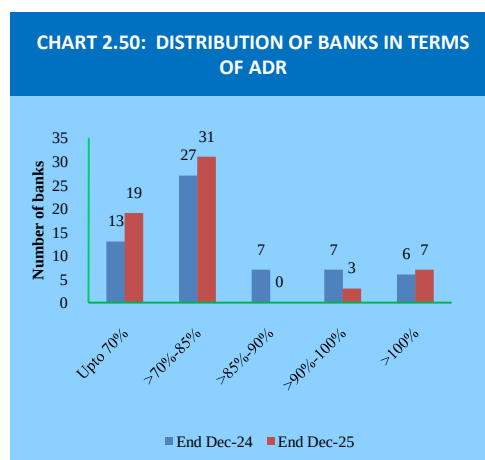
Source: SDAD, BB; calculation: FSD, BB

Despite an increase in FCBs' ADR, the banking sector's ADR decreased by 3.83 percentage points in 2025 (Chart 2.49). Among the clusters, Islamic PCBs had the highest ADR of 96.17 percent in 2025, 4.17 percentage points above the permissible limit. The ADR of FCBs increased by 8.34 percentage points and reached to 67.19 percent in 2025, which is below the permissible limit of 87 percent. For SOCBs, Conventional PCBs, Islamic PCBs, and SDBs, the declines were 2.48, 4.10, 0.89, and 2.48 percentage points, respectively.



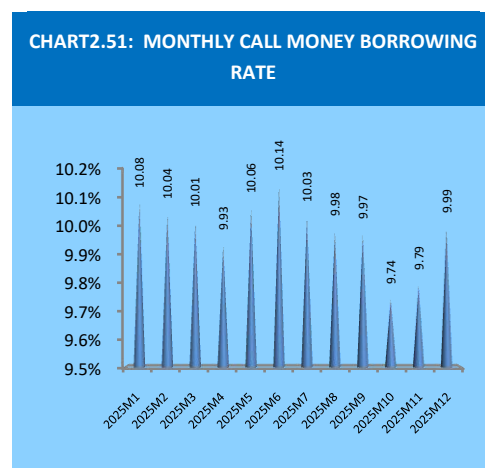
Source: SDAD, BB; calculation: FSD, BB

Along with the industry's ADR decline from 81.55 percent to 77.72 percent, the number of banks with an ADR above 90.00 percent fell to ten from thirteen (Chart 2.50).



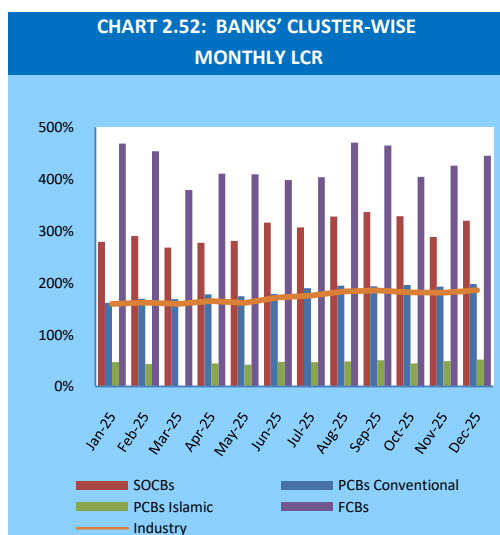
Source: SDAD, BB; calculation: FSD, BB

Chart 2.51 shows that the call money rate remained elevated throughout the year, with slight fluctuations. It stood at 10.08 percent in January 2025 and eased marginally to 9.99 percent by December 2025. The elevated call money rate was largely attributed to Bangladesh Bank's sustained effort to maintain a tightened monetary policy stance by raising the policy (repo) rate, with the aim of mitigating inflationary pressures.



Source: DMD, BB; calculation: FSD, BB

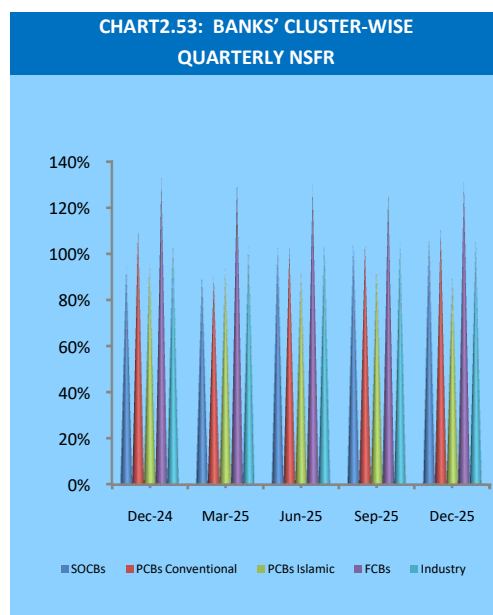
In the review year, both the Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio (NSFR) of the banking industry remained above their respective regulatory requirements (Charts 2.52 and 2.53).



Source: SDAD, BB.

Note: SDBs (BDBL, BKB, PKB and RAKUB) are exempted from maintaining regulatory LCR and NSFR.

As of end-December 2025, the industry's LCR rose to 186.12 percent, up from 157.50 percent at the same time in December 2024. This level was sufficient to meet short-term obligations over a 30-day period under a hypothetical financial stress scenario. Among the banking clusters, FCBs posted the highest LCR at 430.24 percent, followed by SOCBs at 300.24 percent and Conventional PCBs at 180.40 percent. In contrast, Islamic PCBs failed to meet the LCR requirement, posing potential risks to their ability to fulfill short-term obligations. Meanwhile, the industry's NSFR inclined by 1.53 percentage points, from 104.62 percent in December 2024 to 106.15 percent in December 2025.



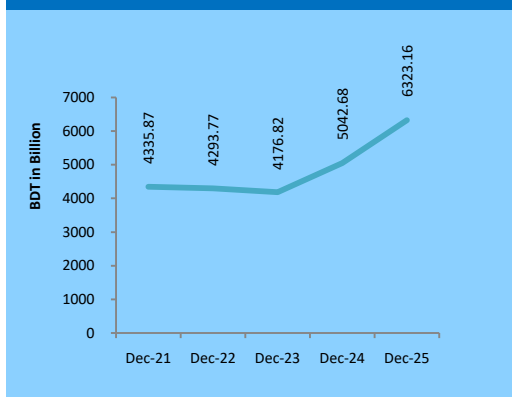
Source: SDAD, BB.

Note: SDBs (BDBL, BKB, PKB and RAKUB) are exempted from maintaining regulatory LCR and NSFR.

Despite the weaker performance of the Islamic PCBs cluster in meeting the regulatory requirements for liquidity ratios, the stock of high-quality liquid assets of the banking industry (SHQLA²⁷), as illustrated in Chart 2.54, showed a 25.39 percent or BDT 1280.48 billion increase in December 2025. The banking industry's SHQLA rise was mainly driven by the increase in SHQLA of the SOCBs and PCBs (Conventional) clusters (See Appendix).

²⁷SHQLA of banking sector includes Cash on hand (local and foreign currency), Balance with BB (local and foreign currency, excluding lien part) and un-encumbered approved securities (excluding lien part).

CHART 2.54: BANKING SECTORS' SHQLA AT END-DECEMBER



Source: SDAD, BB.

Note. Banking sector's figure excludes BDBL, BKB, PKB, and RAKUB (SDBs) as exempted from LCR & NSFR requirement.

2.12 PERFORMANCE OF LOCAL BANKS' BRANCHES OPERATING ABROAD

In 2025, Bangladeshi banks' overseas operations showed mixed performance. Among 61 scheduled banks, Sonali Bank PLC, Janata Bank PLC, and AB Bank PLC operated eight branches in the UAE and India, while Social Islami Bank PLC's two UAE branches remained non-operational. Additionally, 14 Bangladeshi banks conducted their international operations through 20 exchange houses, primarily for remittance services.

Despite the limited scale, net profit from overseas branches rose sharply to USD 14.81 million, a 148.42 percent increase over 2024.

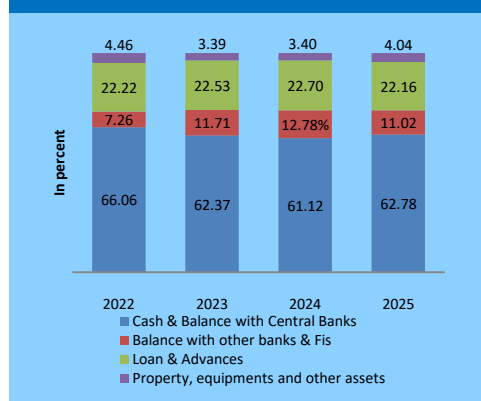
2.12.1 ASSETS STRUCTURE OF OVERSEAS BRANCHES

As of end-December 2025, the aggregate assets of overseas branches of Bangladeshi banks increased by 14.78

percent year-on-year, reaching USD 595.31 million²⁸ (BDT 72.79 billion), up from USD 518.65 million in 2024.

Regarding asset composition, cash and balances with central banks accounted for 62.78 percent, followed by loans and advances at 22.16 percent. During the year, cash and central bank balances grew by 17.90 percent, while loans and advances rose by 12.08 percent. In contrast, balances with other banks and financial institutions declined by 1.10 percent (Chart 2.55).

CHART 2.55: ASSET COMPOSITION OF BANGLADESHI BANK BRANCHES OPERATING ABROAD



Source: Scheduled Banks (provisional);
Compilation: FSD, BB.

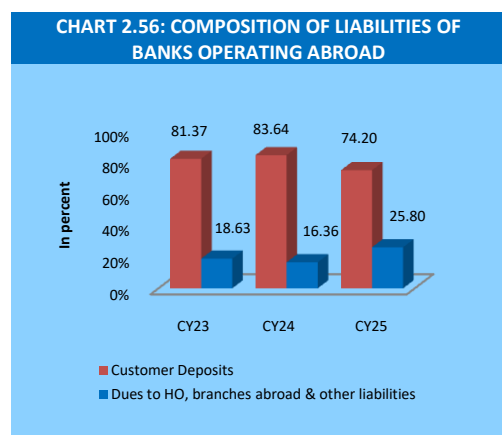
2.12.2 LIABILITIES STRUCTURE OF OVERSEAS BRANCHES

During the review year, total liabilities of overseas branches of Bangladeshi banks increased by 17.26 percent to USD 486.36 million (BDT 59.47 billion) from the 2024 level.

Customer deposits remained the largest component, accounting for 74.20 percent

²⁸ BDT is converted to USD with the exchange rate as on 31.12.2025, which is published in Monthly Economic Trend of BB.

(USD 360.87 million) of total liabilities, though their share declined by 9.44 percentage points over the year. In contrast, other liabilities including dues to the head office, foreign branches, and miscellaneous obligations increased their share (Chart 2.56).



Source: DOS, BB; Compilation: FSD, BB.

2.12.3 OPERATIONAL PERFORMANCE OF BANKS' OVERSEAS BRANCHES

In 2025, overseas branches of Bangladeshi banks recorded a significant improvement in profitability. The combined net profit of the three operating banks rose to USD 14.81 million, reflecting a strong 148.42 percent increase over 2024.

Profitability indicators also improved notably, with return on assets (ROA) rising to 2.49 percent from 1.15 percent and return on equity (ROE) climbing to 13.60 percent from 5.74 percent, reflecting improved operational performance over the year.

2.12.4 RISKS FROM OVERSEAS BANKING OPERATION

The financial stability of overseas branches of Bangladeshi banks depends on economic conditions in both domestic and host markets. In 2025, operations

remained smooth and uninterrupted, supported by strong compliance with regulatory requirements in both jurisdictions, which played a key role in mitigating potential risks. Given their relatively small share of parent banks' portfolios, no material risks to overall financial stability were identified.

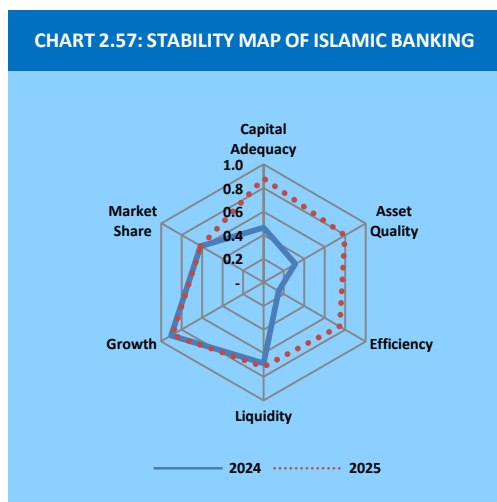
2.13 ISLAMIC BANKING

The asset quality of the Islamic banks in Bangladesh deteriorated at end-December 2025. Moreover, the Islamic banks could not meet the minimum capital requirements. This banking sector exhibited a lower investment income (profit)-to-total assets ratio and a negative return on assets (ROA) during the review period, driven by higher profit expenses. Additionally, this segment posted lower growth in total investments, deposits, assets, and shareholders' equity. Among liquidity-related indicators, the investment-deposit ratio (IDR) and the liquidity coverage ratio (LCR) of the Islamic banks worsened further and remained non-compliant at end-December 2025. Moreover, the Islamic banking cluster, as a whole, did not meet the net stable funding ratio (NSFR) requirement at the end of the review period.

The Islamic banks cluster in Bangladesh, along with conventional banks, continues to play a vital role in mobilizing deposits and financing important sectors of the economy. This Shari'ah-based banking system has attracted growing attention for its 'equity-based and (fixed) interest-free' banking philosophy since its inception in 1983. At end-December 2025, a total of 10 full-fledged Islamic banks (including 5 banks under merger process) with 1,700

branches were operating in Bangladesh. In addition, 41 Islamic banking branches of 17 conventional banks and 919 Islamic banking windows of 21 conventional banks provided Islamic banking services during the review period.

The performance of Islamic banks deteriorated across capital adequacy, asset quality, efficiency, and liquidity, while growth²⁹ indicators declined slightly, and market share³⁰ remained unchanged compared to 2024 (Chart 2.57). A sharp decline in the CRAR and leverage ratio led to a deterioration in capital adequacy in 2025. At the same time, asset quality and efficiency declined sharply due to increases in non-performing investments and negative assets returns among Islamic banks.



Notes: 1. Indicators' values lying away from the center refer to higher risk. 2. The stability map is calculated considering data from the previous five years.
Source: SDAD, BB; Computation: FSD, BB.

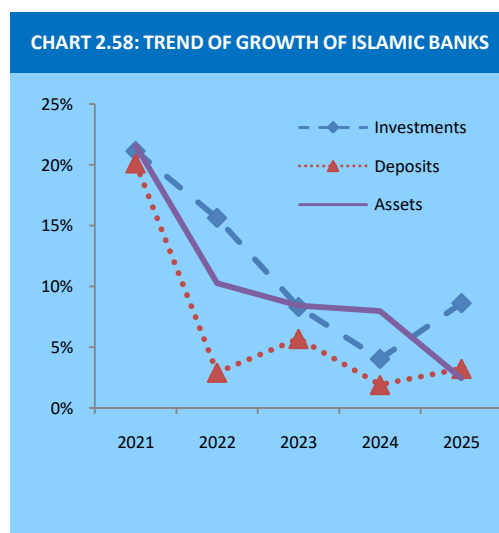
²⁹ Growth is a combined index of the growth of assets, investments, deposits, and equity of Islamic banks.

³⁰ Market share is a combined index of share of assets, investments, deposits, and equity of Islamic banks compared to the overall banking sector.

2.13.1 GROWTH AND MARKET SHARE OF ISLAMIC BANKS

Aggregate investments (loans and advances), deposits, and assets of Islamic banks grew slowly in 2025. However, total shareholders' equity declined in 2025. In addition, compared with 2024, Islamic banks' market share in total deposits, shareholders' equity, and assets deteriorated.

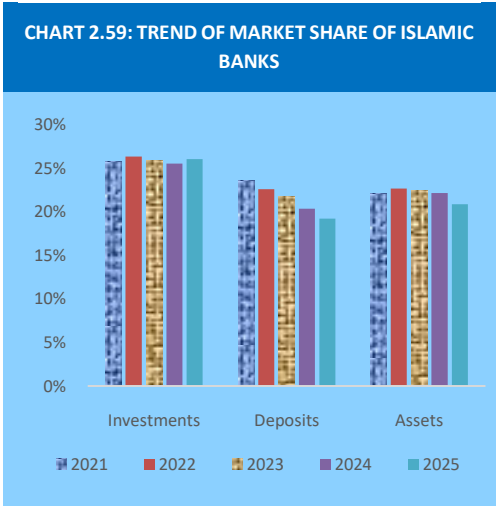
Islamic banks' total investments and deposits grew compared with 2024. At end-December 2025, aggregate investments, deposits, and assets grew by 8.61 percent, 3.23 percent, and 2.45 percent, respectively. However, shareholders' equity has trended downward since 2021 (Chart 2.58).



Source: SDAD, BB; Computation: FSD, BB

The aggregate market share of Islamic banks, excluding Islamic banking branches/windows of conventional banks, in terms of deposits and assets decreased marginally, whereas the share of investments increased slightly due to stock of overdue accrued profits at end-December 2025 compared with the preceding period.

The share of Islamic banks of overall banking system in terms of total investments, deposits, and assets stood at 26.01 percent, 19.17 percent, and 20.83 percent, respectively (Chart 2.59).



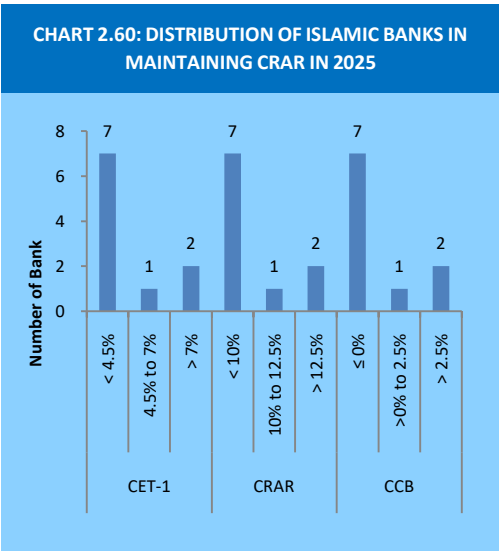
Note: Islamic banking branches/windows of conventional banks are not considered.
Source: SDAD, BB; Computation: FSD, BB.

2.13.2 CAPITAL POSITION OF ISLAMIC BANKS

As a whole, Islamic banks could not meet the minimum regulatory requirements for the capital-to-risk-weighted-assets ratio (CRAR), the capital conservation buffer (CCB), and the leverage ratio at end-December 2025. The CRAR and the leverage ratio fell significantly below zero at the end of December 2025 compared with 2024.

At end-December 2025, the aggregate maintained CRAR of the Islamic banks dropped significantly to -1,389.10 billion at end-December 2025, whereas the regulatory total minimum capital requirement (MCR) was 326.81 billion. At end-December 2025, only 3 out of 10 Islamic banks were able to maintain the minimum required common equity tier-1 (CET-1) capital, while only 2 banks

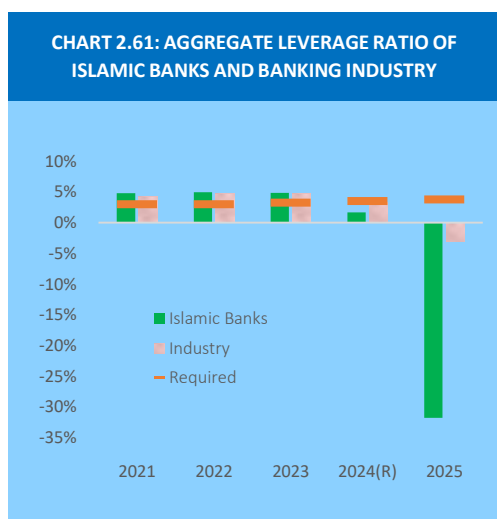
managed to maintain minimum CCB requirements (Chart 2.60).



Note: Islamic banking branches/windows of conventional banks are not considered.
Source: SDAD, BB; Computation: FSD, BB.

The leverage ratio is a key indicator of banking sector health. A bank needs to maintain a minimum leverage ratio of 3.75 percent to prevent excessive on and off balance sheet exposures. At end-December 2025, the leverage ratio of the Islamic banks fell considerably to -31.82 percent from 1.66^R percent of 2024 (Chart 2.61). However, excluding five Islamic banks under resolution, the leverage ratio stood at 3.44 percent in 2025. A notable fall in Tier-1 capital of Islamic banks largely contributed to the notable shift in the leverage ratio.

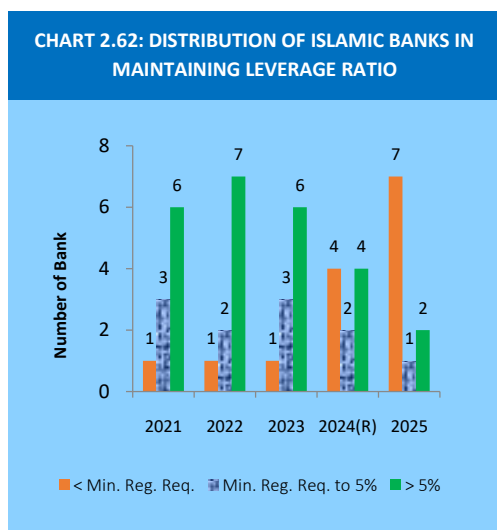
^R Revised



R: Revised

Source: SDAD, BB; Computation: FSD, BB.

With a sharp decline in the leverage ratio of Islamic banks, most of the Islamic banks (7 out of 10) were unable to maintain the minimum required leverage ratio³¹ of 3.75 percent at end-December 2025 (Chart 2.62).



R: Revised

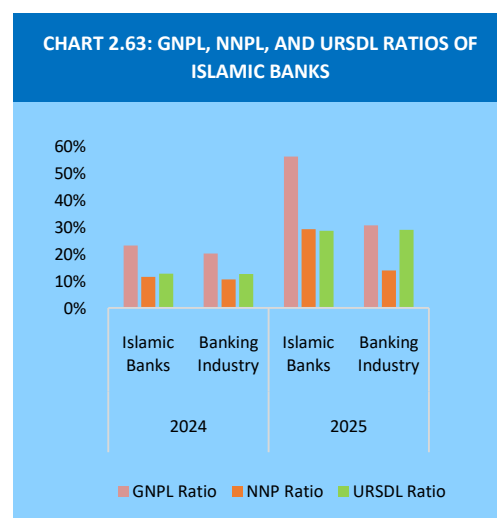
Source: SDAD, BB; Computation: FSD, BB.

³¹ In line with Basel III, the minimum required leverage ratio was 3.75 percent, 3.50 percent, and 3.25 percent in 2025, 2024, and 2023, respectively, and it was 3.00 percent up to the year 2022.

2.13.3 ASSET QUALITY OF ISLAMIC BANKS

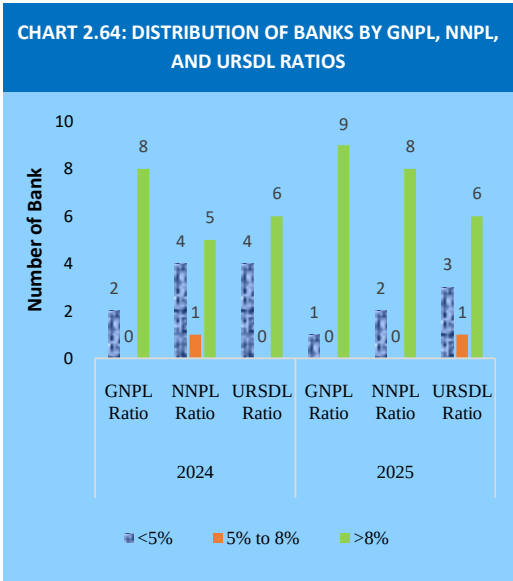
Compared with the banking industry, Islamic banks' performance deteriorated in terms of the gross non-performing loans (investments) (GNPLs) and net non-performing loans (investments) (NNPLs) ratios. The distribution of Islamic banks by GNPLs, NNPLs, and unclassified rescheduled loan (URSDL) showed a notable deterioration in 2025.

The asset quality indicators of Islamic banks, measured by GNPLs and NNPLs, indicated poorer performance compared to the overall banking industry in 2025. At end-December 2025, the GNPLs and NNPLs ratios of Islamic banks deteriorated radically and reached 56.15 percent and 29.18 percent, respectively. Excluding five Islamic banks under resolution, the GNPLs and NNPLs ratio stood at 36.94 percent and 29.61 percent. Moreover, the URSDL ratios of Islamic banks stood at 28.64 percent, up from 12.74 percent of the previous year (Chart 2.63).



Source: BRPD, BB; Computation: FSD, BB

The distribution of Islamic banks for GNPLs and NNPLs weakened further in 2025 compared with 2024, as more banks fell into the upper percentage bucket (more than 8 percent), whereas URSDL remained similar to 2024 (Chart 2.64).

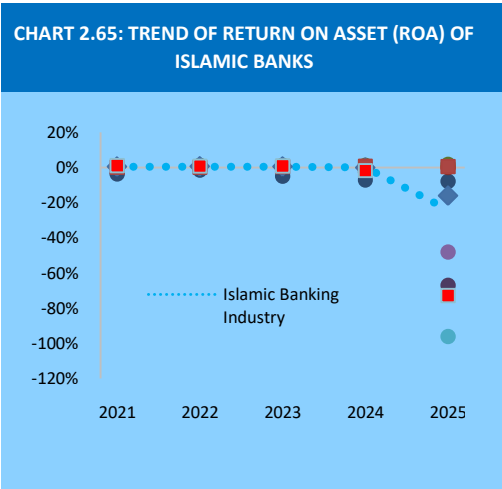


Source: BRPD, BB; Computation: FSD, BB

2.13.4 OPERATIONAL EFFICIENCY OF ISLAMIC BANKS

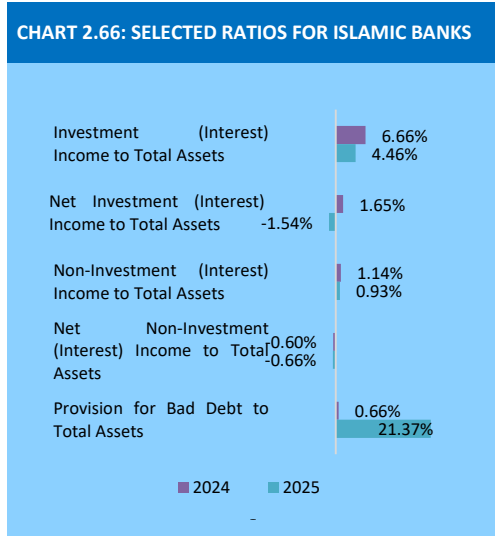
In 2025, the aggregate return on assets (ROA) of the Islamic banks turned negative, as a result of investment income falling short of expenses.

The aggregate ROA of Islamic banks decreased significantly to -23.90 percent in 2025, down from 0.12 percent in 2024. At end-December 2025, 6 out of 10 Islamic banks earned a higher ROA than the average ROA of the Islamic banking industry. However, the ROA of 6 Islamic banks was negative during 2025 (Chart 2.65).



Source: SDAD, BB; Computation: FSD, BB.

All of the indicators shown in Chart 2.66 for Islamic banks deteriorated in 2025. The decline in non-investment income (profit) and net non-investment income ratios is illustrated by lower income earned from commissions, fees, and Shari'ah-based bonds in 2025 compared to 2024. The provision for bad debt to total assets ratio deteriorated further in 2025 compared to the previous year.

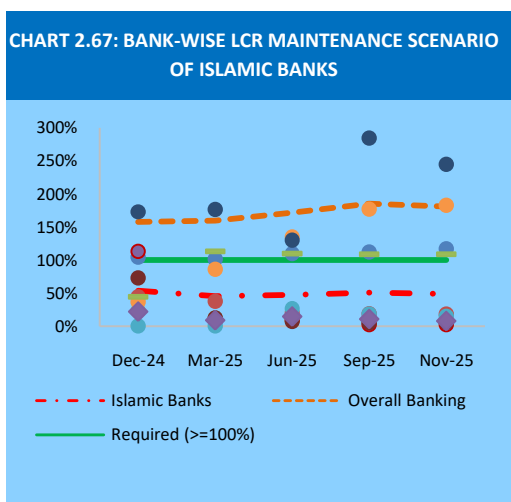


Note: Excluding Islamic banking branches/windows of conventional bank.
Source: SDAD, BB; Computation: FSD, BB.

2.13.5 LIQUIDITY SITUATION OF ISLAMIC BANKS

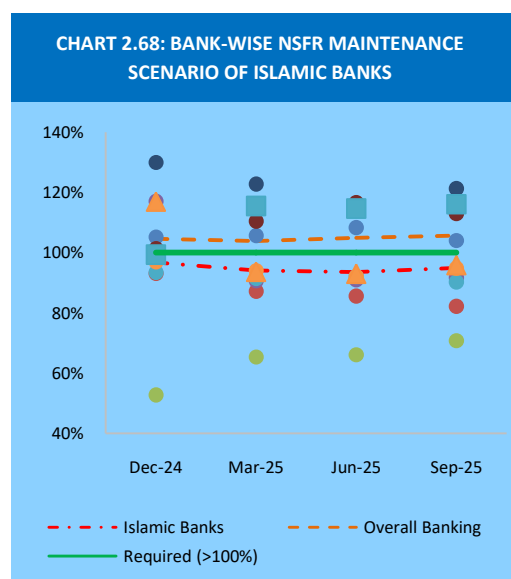
According to the Basel III standard, the Islamic banking industry could not maintain the minimum required liquidity coverage ratio (LCR) at end-November 2025 and the net stable funding ratio (NSFR) at the end of September 2025. Moreover, the investment-deposit ratio (IDR) of Islamic banks decreased slightly but remained above the regulatory limit at end-December 2025.

At end-November 2025, the maintained LCR of the Islamic banking sector decreased slightly by 2.16 percentage points to 48.66 percent, compared with September 2025. This was well below the minimum regulatory requirement of 100 percent and the industry average of 185.31 percent. Despite as light decline in the maintained LCR of Islamic banks, the number of banks compliant with the minimum regulatory requirements remained the same as in September 2025. At end-November 2025, only 4 out of 10 Islamic banks met the LCR regulatory requirement (Chart 2.67).



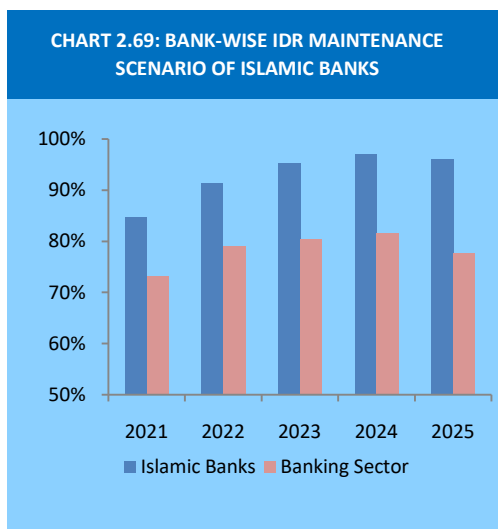
Source: SDAD, BB; Computation: FSD, BB.

At the end of September 2025, Islamic banks, as a whole, failed to meet the regulatory requirement of ‘above 100 percent’ for NSFR. The NSFR of Islamic banks stood at 94.94 percent, which was also below the industry average of 105.65 percent at the end of the review period. In addition, 4 out of 10 Islamic banks maintained an NSFR of ‘more than 100 percent’ at the end of September 2025 (Chart 2.68).



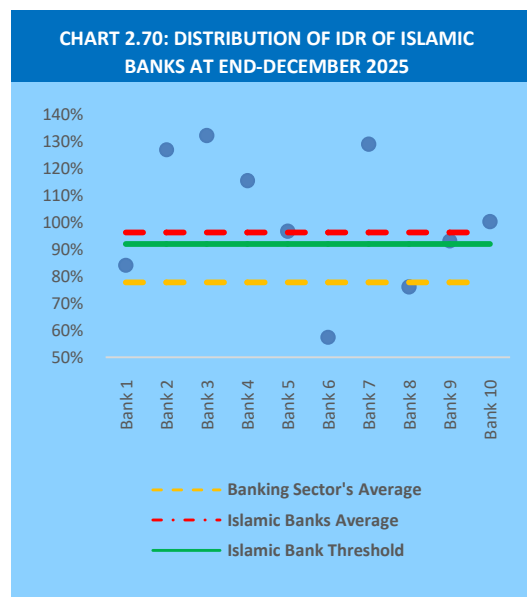
Source: SDAD, BB; Computation: FSD, BB.

At end-December 2025, the investment-to-deposit ratio (IDR) of Islamic banks slightly decreased to 96.17 percent, which was well above the regulatory limit of 92 percent and the overall banking sector’s advance-to-deposit ratio (ADR) of 77.72 percent (Chart 2.69).



Source: SDAD, BB; Computation: FSD, BB.

The distribution of IDR shows that 3 out of 10 Islamic banks have managed to keep the IDR within the allowable limit at end-December 2025 (Chart 2.70).



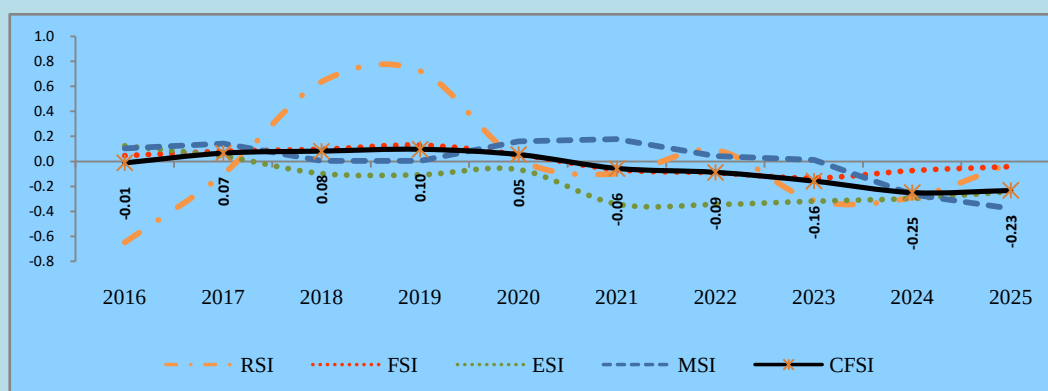
Note: Including Islamic branches and windows of conventional banks.

Source: SDAD, BB; Computation: FSD, BB.

Box 2.4: Composite Financial Stability Index (CFSI): End-December 2025

The Composite Financial Stability Index (CFSI) serves as a robust measure of stability and systemic stress. By integrating the interconnections among key sectors, the CFSI effectively captures spillover effects that may originate outside the financial sector. Following the methodology of Nayn and Siddiqui (2014)³², the CFSI for Bangladesh is constructed from four core sectoral dimensions—real, fiscal, external, and financial and monetary. Nineteen indicators are aggregated into four corresponding sub-indices: the Real Sector Index (RSI), Fiscal Sector Index (FSI), External Sector Index (ESI), and Monetary and Financial Sector Index (MSI), which collectively gauge sectoral volatility and its impact on overall financial stability. Updated regularly using semi-annual and annual data, the current CFSI version covers the period from December 2016 to December 2025.

CHART B2.4.1: COMPOSITE FINANCIAL STABILITY INDEX (CFSI)



During 2016–2020, the CFSI of Bangladesh remained marginally positive, signifying relative financial stability. However, from 2021 onward, the index declined, turning negative and reaching approximately -0.25 in 2024. In 2025, a modest recovery was observed, although the index remained negative at around -0.23 (Chart B2.4.1). This limited rebound was primarily supported by relative improvements in the real and external sectors, despite both continuing to post negative values overall.

The real sector witnessed a gradual recovery, driven by higher industrial growth (up to 4.33% from 2.27%), stronger GDP performance, robust domestic credit expansion, and moderating inflation (down to 8.49% from 10.89%). These improvements were largely attributable to proactive policy support and the normalization of demand conditions. The external sector also showed positive developments, with a stronger current account balance and increased reserve accumulation, underpinned by resilient remittance inflows, targeted policy interventions, and improved export competitiveness. Nevertheless, the benefits were offset by rising external debt and sustained import pressures. The fiscal sector remained broadly stable, supported by a modest improvement in the fiscal balance-to-GDP ratio and revenue collection, reflecting continued prudent fiscal management.

Conversely, the financial and monetary sector experienced pronounced deterioration. The non-performing loan (NPL) ratio escalated to 30.60% (from 20.20% in 2024), return on assets (ROA) fell to -4.81%, and the capital to risk-weighted assets ratio (CRAR) declined to -2.64%, indicative of weak governance, deteriorating asset quality, and significant capital erosion. Furthermore, tighter liquidity conditions elevated the call money rate to 9.98%, exacerbating financial stress across the sector.

In summary, although Bangladesh's financial system demonstrated partial resilience due to improvements in certain sectors, enduring structural vulnerabilities—especially within the banking sector—remain substantial risks to overall financial stability.

³² Nayn, M. Z. and M. S. Siddiqui (2014) "Measuring Financial Stability: The Composition of an Aggregate Financial Stability Index for Bangladesh", Bank Parikrama, Vol. XXXIX, Nos. 3 & 4, September & December, pp. 109-134.

CHAPTER 3 : BANKING SECTOR RISKS

The banking sector experiences high risk, reflected by a higher level of Risk-Weighted Assets (RWA) density ratio. RWA of credit risk shows a slower growth rate in terms of both real and nominal compared to those of market and operational risks. Banks' total lending exposure to the corporate sector stood at 45.85 percent. Notably, the proportion of rated exposures among the total banking industry exposures increased in the review period. As a result, banks were required to hold less capital compared to the previous year. Overall, the Capital to Risk-weighted Asset Ratio (CRAR) of the

banking industry fell below zero at the end of December 2025, which is below the required threshold. This chapter discusses various risk factors related to the banking sector's assets and capital allocation under the Basel III framework.

For better analysis and understanding, banks are categorized into five different groups based on their inherent characteristics, ownership structure, and business models. Table 3.1 presents this categorization and the respective share of each category in the banking sector's aggregate assets as of end-December 2025.

TABLE 3.1: GROUPING OF BANKS FOR RISK ANALYSIS

Bank group	Description of the group	Number of banks	Share of total banking sector assets
Group 1	Private commercial banks (Long-standing conventional banks)	21	45.26%
Group 2	State-owned and Private commercial banks under special attention ³³	11	25.15%
Group 3	Private commercial banks (Full-fledged Islamic banks)	9	20.80%
Group 4	Foreign commercial banks	9	4.83%
Group 5	Fourth-generation ³⁴ private commercial banks	11	3.95%
Total		61	100.00%

Source: SDAD, BB; Calculation: FSD, BB.

³³Banks operating under Memorandum of Understanding (MOU) or Directives of Bangladesh Bank (DOBB).

³⁴Banks granted license in 2013 onward to operate as scheduled banks in Bangladesh.

3.1 OVERALL RISK PROFILE

Table 3.2 shows risk-weighted asset (RWA) density ratios, revealing the proportion of RWA to total assets, across different bank groups. Generally, banks with a higher density ratio are more exposed to risky assets. The RWA density ratio declined from

62.61 percent in 2024 to 58.99 percent in 2025. Among the categorized groups, Groups 1 and 5 had higher RWA density ratios, at 63.42 and 57.91, respectively. Notably, in 2025, the ratio for group 3 dropped sharply.

TABLE 3.2: RISK-WEIGHTED ASSET DENSITY RATIO (BANK GROUPS)

In Percent					
Banks Group	2021	2022	2023	2024	2025
Group 1	68.33	66.91	64.48	63.76	63.42
Group 2	53.61	57.22	56.90	59.72	56.90
Group 3	55.46	56.42	54.33	67.02	53.95
Group 4	59.11	50.90	48.53	49.85	50.91
Group 5	67.36	67.49	63.91	60.17	57.91
All Banks	61.11	61.17	59.31	62.61	58.99

Source: SDAD, BB; Calculation: FSD, BB.

3.2 OVERALL RISK STRUCTURE

According to the BASEL III capital framework, banks' risk-weighted assets (RWAs) are primarily linked to credit, market, and operational risks³⁵. By the end of December 2025, Credit Risk-Weighted Assets (CRWA) of the banking industry stood at BDT 14,581.48 billion, reflecting a 0.71 percent increase from end-December 2024. Operational Risk-Weighted Assets (ORWA) grew to BDT 1,575.76 billion,

marking a 13.31 percent increase from BDT

1,390.66 billion at end-December 2024. Similarly, Market Risk-Weighted Assets (MRWA) climbed significantly by 21.66 percent and stood at BDT 725.25 billion in 2025, up from 596.14 billion in the previous year. Meanwhile, the Capital to Risk-Weighted Asset Ratio (CRAR) of the banking sector declined sharply from 3.08 percent at end-December 2024 to -2.64 percent at end-December 2025, well below the minimum regulatory capital requirement of 10.0 percent.

At end-December 2025, the RWA associated with the credit risk-weighted assets was 86.37 percent, whereas the market and operational risks were 4.30 percent and 9.33 percent, respectively. During the review period, credit risk-weighted assets as a ratio of total RWA

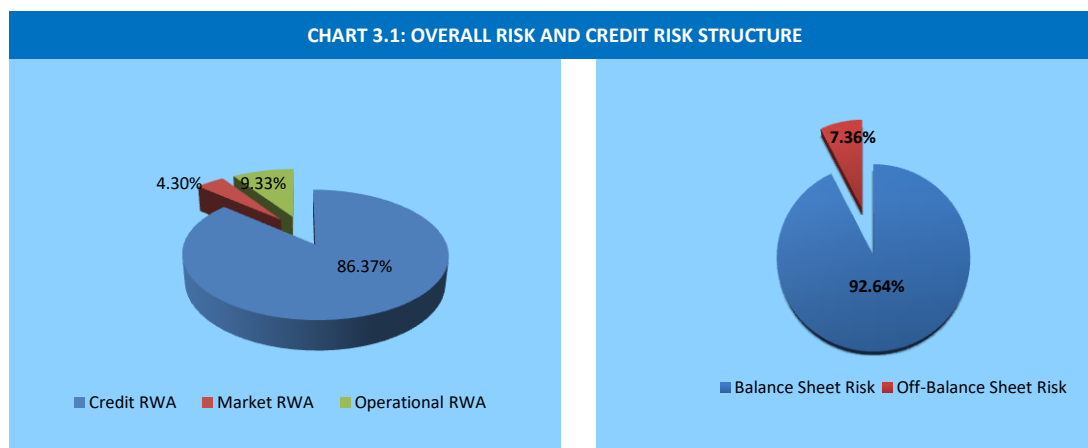
³⁵**Credit risk** refers to the probability of loss (due to non-recovery) emanating from the credit extended, due to the non-fulfillment of contractual obligations arising from unwillingness or inability of the counterparty or for any other reason.

Market risk refers to the risk of loss in on-and off-balance sheet positions arising from movements in market prices.

Operational Risk refers to the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. This definition includes legal risk, but excludes strategic and reputational risk.

decreased by 1.56 percentage points, whereas operational risk-weighted assets and market risk-weighted assets, as a ratio of total RWA, increased by 0.89 percentage points and 0.68 percentage points,

respectively, compared to those of end-December 2024 (Chart 3.1). It is worth noting that 92.64 percent of the credit risk emanated from balance sheet exposures.



Source: SDAD, BB; Calculation: FSD, BB.

3.3 CREDIT RISK STRUCTURE

The top 5 banks accounted for 26.38 percent of overall banking industry risk, while the top 10 accounted for 41.24 percent as of end-December 2025. In particular, the credit risk of the top 5 banks accounted for 30.54 percent of the sector's

overall credit risk, whereas the top 10 banks represented 47.75 percent (Table 3.3). Compared with end-December 2024, the concentration of credit risk within the top 5 banks increased by 3.79 percentage points, while the ratio for the top 10 banks increased by 4.79 percentage points.

TABLE 3.3: CREDIT RISK IN THE BANKING INDUSTRY UNDER BASEL III (END-DECEMBER)

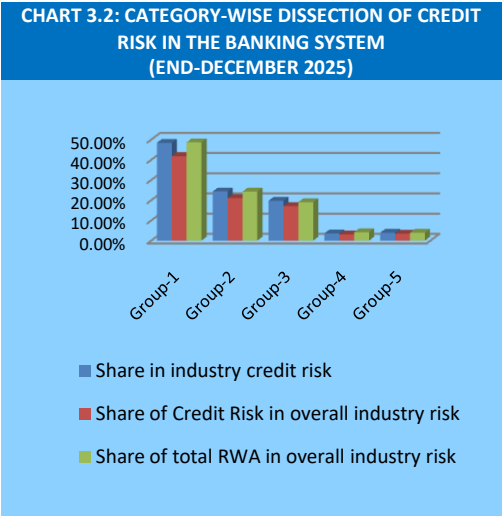
Year	Banks	Share in industry credit risk	Share in industry overall risk
2025	Top 5	30.54%	26.38%
	Top 10	47.75%	41.24%
	All Banks	100.00%	86.37%
2024	Top 5	26.76%	23.53%
	Top 10	42.96%	37.78%
	All Banks	100.00%	87.93%

Source: SDAD, BB; Calculation: FSD, BB.

Group 1 (21 banks) held 45.26 percent of total assets and was responsible for nearly half of the industry credit risk (48.40 percent) and 41.81 percent of overall industry risk, Group 2 (11 banks) held 25.15 percent of total assets and accounted

for 24.34 percent of industry credit risk and 21.02 percent of overall industry risk. Group 3 (9 banks), comprising full-fledged Islamic banks, held 20.80 percent of total assets, accounted for 19.75 percent of industry credit risk, and 17.06 percent of

overall industry risk. Foreign commercial banks (Group 4) and fourth-generation private commercial banks (Group 5) shared 3.58 percent and 3.92 percent of the industry’s credit risk, respectively, while their share in overall industry risk was 3.10 percent and 3.39 percent (Table 3.1 and Chart 3.2).



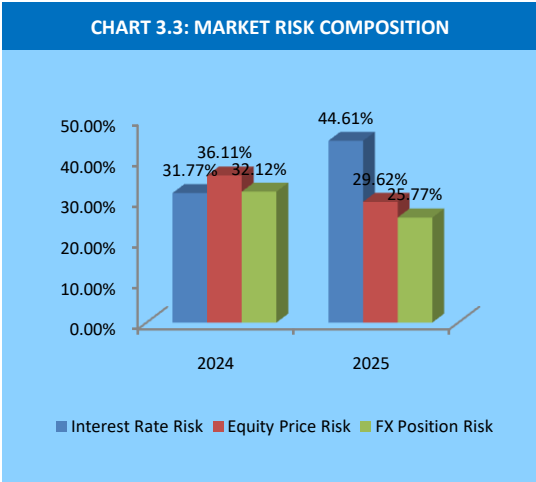
Source: SDAD, BB; Calculation: FSD, BB.

3.4 MARKET RISK STRUCTURE

Under the Basel III framework, market risk refers to the potential losses that can occur in both on and off-balance sheet positions due to fluctuations in market prices. These include risks associated with interest-sensitive instruments and equities in the trading book, as well as foreign exchange and commodity risks across the entire balance sheet (both in the banking and trading books).

Market risk represented a minor share, i.e., 4.30 percent of the overall industry risk (Chart 3.1), reflecting a moderate increase of 0.68 percentage points from the prior year. Additionally, the risk increased in terms of the nominal amount of risk-weighted assets (21.66 percent increase in 2025). Within market risk, the share of equity price risk

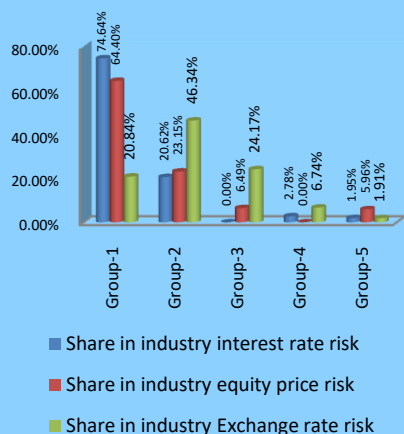
was 29.62 percent, while foreign exchange rate risk and interest rate risk contributed 25.77 percent and 44.61 percent, respectively (Chart 3.3). Interest rate risk increased significantly in 2025, while equity price risk and foreign exchange rate risk decreased moderately compared to the preceding year.



Source: SDAD, BB; Calculation: FSD, BB.

Category-wise analysis shows that Groups 1 and 2 were jointly exposed to 95.26 percent of the total interest rate risk in the review period, compared with 94.45 percent in 2024. The equity price risk of these two groups stood at 87.55 percent in 2025, up from 85.19 percent in 2024. Furthermore, the banks in Groups 1 and 2 accounted for 67.18 percent of the industry's total foreign exchange rate risks, up from 62.05 percent in the preceding year. In addition, Group 3, consisting of all the Islamic Shari'ah banks, possessed 24.17 percent of the industry exchange rate risks in 2025, indicating a decreasing trend (31.08 percent in 2024). Banks in Groups 4 and 5, which held less than 10 percent of total assets, were found to be less exposed to market risk within the banking industry (Chart 3.4).

CHART 3.4: CATEGORY-WISE DISSSECTION OF MARKET RISK IN THE BANKING SYSTEM (END-DECEMBER 2025)



Source: SDAD, BB; Calculation: FSD, BB.

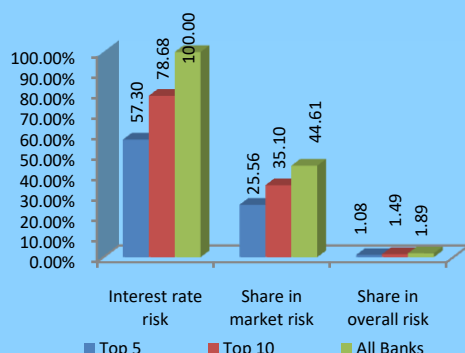
3.4.1 INTEREST RATE RISK

In 2025, interest rate risk (IRR) accounted for 1.89 percent of the banking system's total RWA, up from 1.15 percent in 2024. The RWA linked to IRR surged by 68.36 percent. Within market risk, IRR constituted 44.61 percent of market RWA in 2025, up from 31.77 percent in the previous year. The banking industry's capital charge for interest rate risk reached BDT 18.94 billion in 2024; however, it grew substantially over the review period to BDT 31.89 billion.

In 2025, the interest rate risk of the top 5 banks, comprising one SOCB and four conventional PCBs, accounted for 57.30 percent of the industry's interest rate risk. In the review period, interest rate risk accounted for 44.61 percent of the market risk, of which the top 10 banks held 35.10 percent. Interest rate RWA as a share of the industry's total RWA for the top 5 banks rose from 0.67 percent to 1.08 percent, while the ratio rose from 0.95 percent to 1.49 percent for the top 10 banks compared to 2024 (Chart 3.5). The IRR shares for the top 5 and top 10 banks decreased. At the same time, their market risk exposure increased

considerably in the review period, compared to the preceding period.

CHART 3.5: INTEREST RATE RISK IN THE BANKING SYSTEM (END-DECEMBER 2025)



Source: SDAD, BB; Calculation: FSD, BB.

3.4.2 EQUITY PRICE RISK

At end-December 2025, the RWA assigned to equity price risk³⁶ constituted 1.25 percent of the total RWA of the banking system and 29.62 percent of the total market risk. The banks' capital charge for equity price risk stood at BDT 21.18 billion at end-December 2025, compared to BDT 21.53 billion at end-December 2024.

The top 5 banks accounted for 32.65 percent of industry equity price risk in 2025. Only one SOCB and four PCBs were among the top 5 in terms of capital charges for equity price risk in the banking system. During the review period, equity price risk contributed 29.62 percent to market risk. Compared with 2024, the share of equity price RWA in the industry's total RWA decreased for both the top 5 and top 10 banks (Table 3.4).

³⁶Equity price risk is the potential risk of reduction in profitability or capital caused by adverse movements in the values of equity securities owned by the banks, whether traded or non-traded, or taken as collateral securities for credits extended by the bank. Equity risk, at its most basic and fundamental level, is the financial risk involved in holding equities in a particular investment.

TABLE 3.4: EQUITY PRICE RISK IN THE BANKING SYSTEM (END-DECEMBER)

Year	Banks	Equity Price risk	Share in market risk	Share in overall risk
2025	Top 5	32.65%	9.67%	0.41%
	Top 10	58.55%	17.34%	0.73%
	All Banks	100.00%	29.62%	1.25%
2024	Top 5	32.39%	11.70%	0.42%
	Top 10	56.80%	20.51%	0.74%
	All Banks	100.00%	36.11%	1.31%

Source: SDAD, BB; Calculation: FSD, BB.

3.4.3 EXCHANGE RATE RISK

The impact of exchange rate risk³⁷ on RWA slightly decreased both in market risk and in the banking industry's total RWA. RWA associated with exchange rate risk made up 1.09% of total RWA. Similarly, it accounted for 25.77% of market risk, compared to 32.12% in the previous period. Bank's capital charge reached BDT 18.42 billion due to exchange rate risk, rising from BDT 19.15 billion in 2024.

During 2024, the top 5 and top 10 banks were exposed to 51.67 percent and 72.31 percent of the industry's exchange rate risk, respectively. This risk surged to 64.37% and 76.57%, respectively, in 2025. Besides, the share of exchange rate risk to market risk of the top 5 and top 10 banks recorded as 16.59% and 19.73%, respectively (Table 3.5).

TABLE 3.5: EXCHANGE RATE RISK IN THE BANKING SYSTEM (END-DECEMBER)

Year	Banks	Exchange rate risk	Share in market risk	Share in overall risk
2025	Top 5	64.37%	16.59%	0.70%
	Top 10	76.57%	19.73%	0.84%
	All Banks	100.00%	25.77%	1.09%
2024	Top 5	51.67%	16.59%	0.60%
	Top 10	72.31%	23.23%	0.84%
	All Banks	100.00%	32.12%	1.16%

Source: SDAD, BB; Calculation: FSD, BB.

³⁷Exchange rate risk refers to the variability of a - firm's earnings or economic value due to changes in the exchange rate.

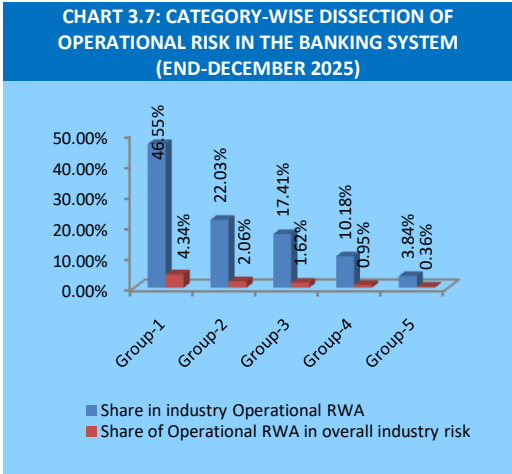
3.5 OPERATIONAL RISK

During the review period, the RWA associated with operational risk expanded compared to the previous period. The RWA related to operational risk accounted for 9.33 percent of the banking sector’s total RWA. A significant elevation in the required capital charge for operational risk was observed. The required capital charge for operational risk as of end-December 2025 amounted to BDT 157.58 billion, which was 13.31 percent higher than that of the preceding year.



Source: SDAD, BB; Calculation: FSD, BB.

Chart 3.6 shows that the top 5 and top 10 banks were exposed to 28.96 and 48.06 percent, respectively, of the industry’s operational risk, indicating a slight increase compared to the preceding year. Category-wise operational risk analysis revealed that the banks in Groups 1 and 2 were jointly exposed to 68.58 percent of the industry’s operational risk (Chart 3.7).

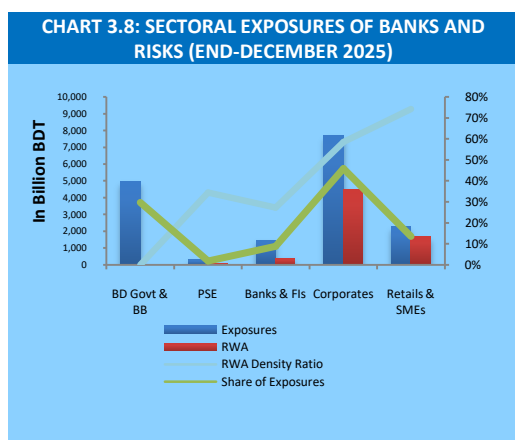


Source: SDAD, BB; Calculation: FSD, BB.

3.6 SECTORAL EXPOSURES AND RISK

At the end of December 2025, banks' exposure to the corporate sector reduced to 45.85 percent from 51.08 percent at end-December 2024. Government Securities and Balance with Bangladesh Bank accounted for 29.74 percent of the total exposures, while 13.63 percent was allocated to the Retail and SMEs sector.

Like the previous year, the Retail and SME sector exhibited the highest Risk-Weighted Asset (RWA) density ratio at 74.17% among all credit exposure sectors (Chart 3.8). According to the Basel Accords, higher risk weights are assigned to Retail and SME businesses because the loans in these categories are often extended for trading activities.



Source: SDAD, BB; Calculation: FSD, BB.

3.7 CREDIT RISK MITIGANTS

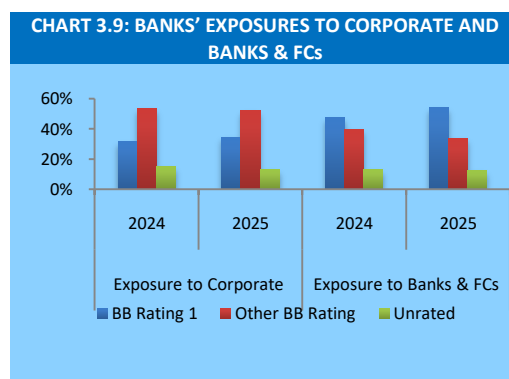
During the review period, the highest-rated exposures (BB's rating grade 1) showed an increasing trend in both the corporate sector and the banks and FCs sector. However, BB's other rating grades and unrated exposure experienced further deterioration in 2025 (Chart 3.9).

In Bangladesh, External Credit Assessment Institutions (ECAIs) assess banks' exposures to Non-Financial Corporations (NFCs), other banks, and FCs. This assessment helps banks calculate Risk-Weighted Assets (RWA) and the minimum capital requirements needed to address credit risks in line with Basel principles. To minimize credit risks effectively, banks are encouraged to have more exposures rated by ECAIs, as unrated exposures are assigned higher risk weights. The better the ratings of these exposures, the less likely banks are to face default or counterparty risk.

In 2025, the total exposure to the corporate sector decreased. However, total exposure to banks and FCs increased compared with 2024. The total exposure to the corporate sector was BDT 7,675.46 billion, a decrease of BDT 1,335.05 billion from the previous year. As shown in Chart 3.9, the overall rated exposure of the banking system to the corporate sector increased compared with

2024. The best-rated exposure in December 2025 was 34.48 percent, with a total rated exposure of 86.90 percent. In December 2025, BB's Rating Grade 1 for both the corporate and bank sectors rose by 2.74 percentage points and 6.62 percentage points, respectively. On the other hand, the other BB rating for both the corporate sector and the banks and FCs sector experienced a significant decline. The other BB rating for both the corporate sector and the banks and FCs sector decreased by 1.02 percentage points and 5.95 percentage points, respectively, in 2025.

During the review period, total credit exposure to banks and FCs stood at BDT 1480.19 billion, BDT 26.34 billion lower than the previous year. As of December 2025, the overall rated exposure to banks and FCs substantially exceeded the total unrated exposure. In 2025, 54.28 percent of credit exposures to banks and FCs were assigned BB's Rating Grade 1, representing a 6.62 percentage-point expansion from 2024. However, the BB's other rating-grade exposures to banks and FCs shrank by 5.95 percentage points in 2025 compared to 2024. The unrated exposure for both corporates, banks, and FCs decreased compared to the previous period. Unrated exposure for corporates declined by 1.71 percentage points to 13.10 percent in the recent period, while the same for banks and FCs declined by 0.67 percentage points to 12.15 percent in 2025.



Source: SDAD, BB; Calculation: FSD, BB.

CHAPTER 4 : FINANCE COMPANIES' PERFORMANCE

Finance companies (FCs) impact the economy remarkably as they have a vital role in transferring funds to run the production sector, creating employment opportunity, and economic development. Many financial services like SME financing, syndicated financing, term financing, equity financing, factoring, venture capital, and working capital financing, are provided by FCs. Moreover, FCs provide some unique services, such as asset-based lending with a limited amount of collateral security requirements which are particularly helpful to new and potential businesses, mostly SMEs. Thus, FCs contribute to the country's economy by stimulating business activities.

In Bangladesh, 35 FCs were in operation at end-September 2025 including 03 state-owned, 13 foreign joint ventures, and 19 local private companies with a total of 274 branches across the country.

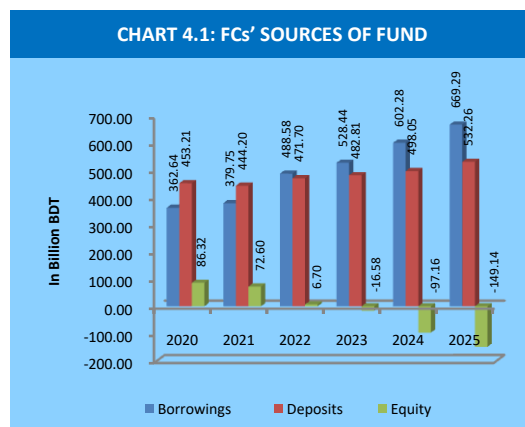
For the comparative analysis in this chapter, except for sector-wise concentration of loans and leases and FCs' asset quality, September 2025 based data have been used for the review year 2025 whereas December based data have been used for the previous years. Up to September 2025, although the assets and liabilities increased, overall the FC sector demonstrated an adverse scenario with negative equity and annualized ROA, and gradual decrease in CAR. However, asset quality of the FC sector improved along with improvement of provision maintenance against non-performing loans and leases as compared to last year.

4.1 PERFORMANCE OF FCS

This chapter analyses the performance of the FCs based on sources of their funds, assets composition, liability-asset ratio, asset quality, and profitability.

4.1.1 SOURCES OF FUND

FCs can collect funds from several sources that can be broadly categorized into Borrowings³⁸, Deposits and Equity. The different funding sources of the FCs are illustrated in Chart 4.1. Among the sources, borrowings, deposits, and equity were BDT 669.29 billion, BDT 532.26 billion, and BDT -149.14 billion representing 63.60 percent, 50.58 percent and -14.17 percent of total liabilities and equities of the FCs respectively, as of end-September 2025;

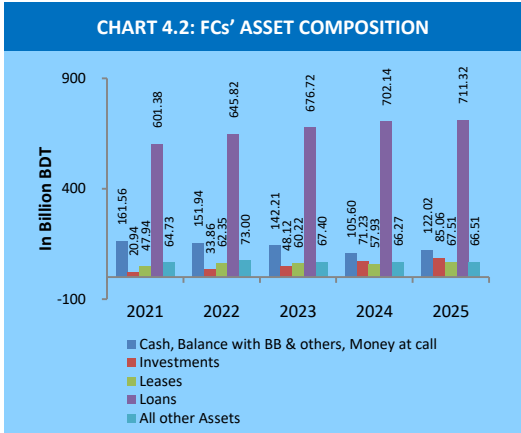


Source: DFIM, BB.

These amounts were BDT 602.28 billion, BDT 498.05 billion and BDT -97.16 billion in that order at end-December 2024.

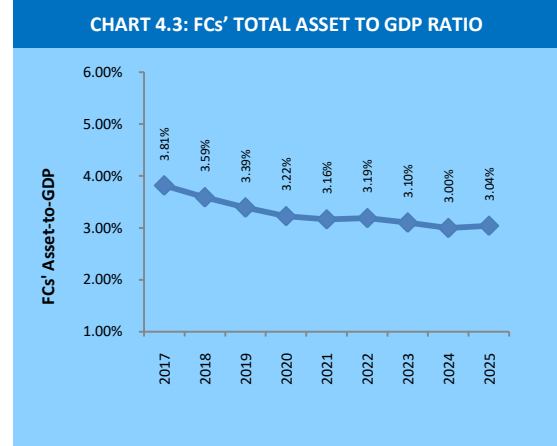
³⁸Borrowings includes Borrowings from other banks & FCs and Other Liabilities.

4.1.2 ASSETS COMPOSITION



Source: DFIM, BB.

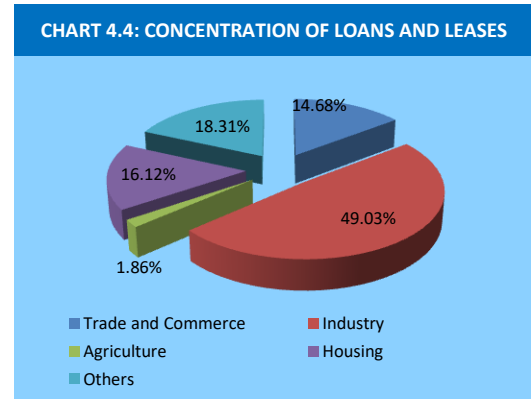
The total assets of the FCs reached BDT 1052.41 billion at end-September 2025 which was BDT 1003.17 billion at end-December 2024 (Chart 4.2). At end-September of the review year, the share of loans and leases were 67.59 percent and 6.41 percent to total assets respectively. Cash, balance with BB, balance with other banks and FCs, money at call and short notice collectively held 11.59 percent of total assets at end-September of the review year which was 10.53 percent at end-December 2024. Investments and all other assets (including fixed and non-financial assets) constituted 8.08 percent and 6.32 percent of total assets at end-September 2025 respectively. FCs' total assets to GDP³⁹ ratio reached to 3.04 percent at end-September 2025 which was 3.00 percent at end-December 2024 (Chart 4.3).



Source: DFIM, BB; BBS.

4.1.3 SECTOR-WISE CONCENTRATION OF LOANS AND LEASES

The loans and leases of FCs are mainly concentrated in the industry sector followed by others, housing, and trade and commerce sector. The industry sector occupied 49.03 percent of total loans and leases at end-December 2025 while the others, housing, and trade and commerce sectors shared 18.31 percent, 16.12 percent and 14.68 percent respectively (Chart 4.4). The least portion (only 1.86 percent) was for the agriculture sector in this period.



Source: DFIM, BB.

³⁹ GDP is the Gross Domestic Product of Bangladesh at constant market price (Base: 2015-16) and June based yearly GDP figure is used.

Table 4.1 displays FCs' loans and leases in different sub-sectors pertaining to the Industry sector as of end-December 2025. The aggregate value of the Herfindahl-Hirschman Index (HHI)⁴⁰ was 1030 at end-December 2025, indicating a low level of concentration among different sub-sectors of the Industry sector. Among these, FCs' loans and leases were concentrated particularly in the three foremost sub-sectors, namely the 'Power, Gas, Petroleum, Water and Sanitary', the 'Garments and Knitwear', and the 'Textiles' accounting for 19.00 percent, 13.40 percent and 11.57 percent of total loans and leases in the Industry sector respectively.

TABLE 4.1: FCs' LOANS AND LEASES IN SUB-SECTORS OF INDUSTRY SECTOR AS OF END-DECEMBER 2025

Sl. No	Sub-sector of Industry Sector	Amount in Billion BDT	Share Percentage	HHI*
A)	Garments and Knitwear	51.85	13.40%	169
B)	Textiles	44.78	11.57%	144
C)	Food Production, Processing & Rice Mills	33.08	8.55%	81
D)	Jute and Jute products	2.62	0.68%	1
E)	Plastic & Rubber Industry	8.92	2.30%	4
F)	Leather and Leather goods	3.89	1.00%	1
G)	Iron, Steel and Engineering	32.98	8.52%	81
H)	Pharmaceuticals and Chemicals	23.95	6.19%	36
I)	Cement and Allied Industry	23.84	6.16%	36
J)	Paper, Packaging, Printing, Publishing & Allied Industry	10.98	2.84%	9
K)	Wood, Furniture & Fixture	3.33	0.86%	1
L)	Glass, Glassware & Ceramic Industry	9.93	2.56%	9
M)	Ship Manufacturing & Breaking	7.02	1.81%	4
N)	Electronics & Electrical Products	7.14	1.84%	4
O)	Power, Gas, Petroleum, Water & Sanitary	73.52	19.00%	361
P)	Transport and Aviation	31.65	8.18%	64
Q)	Others	17.57	4.54%	25
	Industry Sector Total	387.04	100.00%	1030

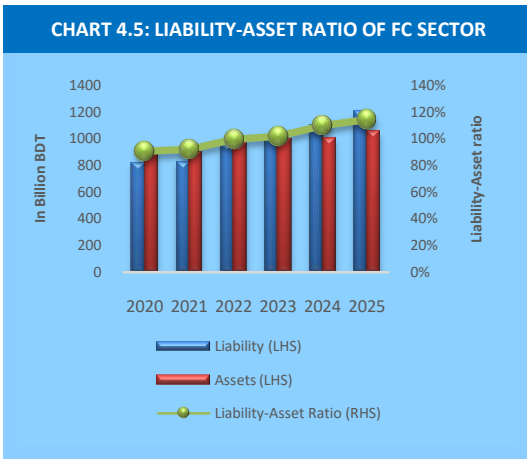
Note: * - Herfindahl-Hirschman Index (HHI).

Source: DFIM, BB.

⁴⁰HHI Score below 1500 $\equiv$ low-level concentration, 1500-2500 $\equiv$ moderate concentration, and above 2500 $\equiv$ high concentration as referred in <https://www.investopedia.com/terms/h/hhi.asp>; retrieved on 05 May, 2025.

4.1.4 LIABILITY-ASSET RATIO

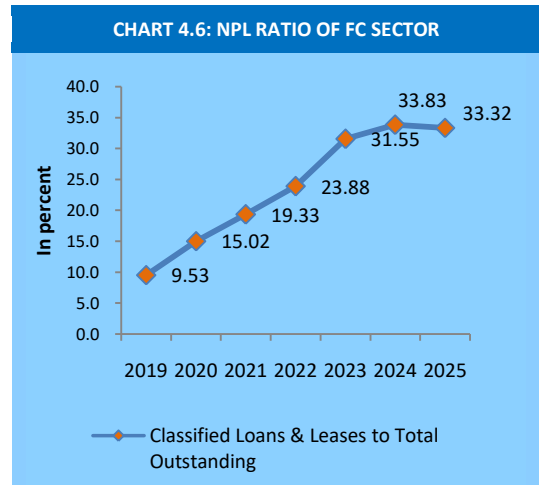
Since 2020, the liability-asset ratio of the FC sector has been on an upward trend. This is attributable to the declining value of sector's equity contribution to total liability. At end-September 2025, the liability-asset ratio rose to 114.17 percent, which was 109.69 percent at end-December 2024 (Chart 4.5).



Source: DFIM, BB.

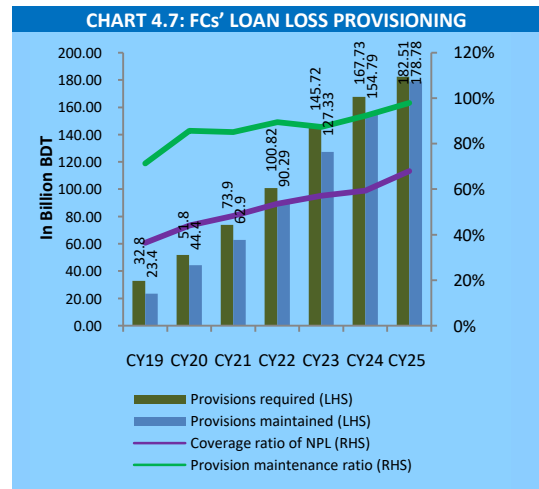
4.1.5 ASSET QUALITY

Total non-performing loans and leases of the FCs increased to BDT 262.93 billion at end-December 2025 from BDT 260.38 billion at end-December 2024. The proportion of total non-performing loans and leases to total outstanding loans and leases, i.e., the NPL ratio, stands at 33.32 percent at end-December 2025, down from 33.83 percent at the end of the previous year (Chart 4.6). Out of 35 FCs, 21 had NPL ratio higher than the industry average, whereas only 04 FCs were able to maintain their NPL ratio below 05 percent.



Note: NPL refers to classified loans and leases.
Source: DFIM, BB.

The industry recorded a provision shortfall of BDT 3.73 billion at end-December 2025 against the required provisions of BDT 182.51 billion (Chart 4.7). Coverage ratio of NPL increased to 68.00 percent at end-December 2025 from 59.45 percent at end-December 2024. Moreover, the provision maintenance ratio against all non-performing loans and leases rose to 97.96 percent at end-December 2025, indicating an improvement in provisioning adequacy compared to the previous year, when the provision maintenance ratio was 92.28 percent.

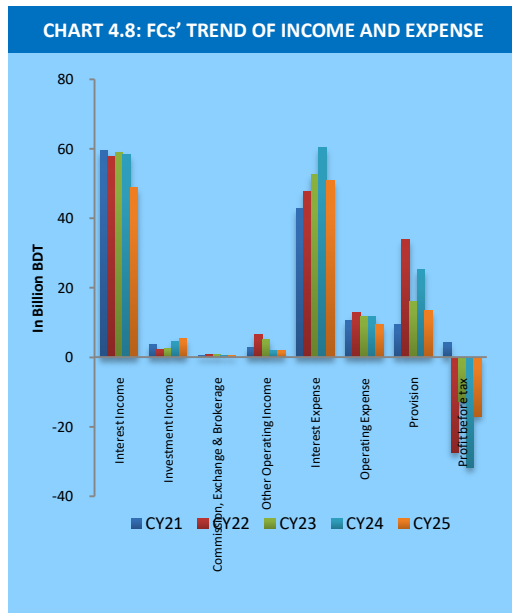


Source: DFIM, BB.

4.1.6 PROFITABILITY

Continuously growing NPLs had a negative impact on the overall profitability of the FCs as of end-September 2025, leading to a negative profit after taxes in the sector. At end-September 2025, the FC sector incurred a net loss of BDT 20.04 billion. This loss amount was BDT 35.55 billion at end-December 2024. (Chart 4.8). In addition, operating income reached to BDT 5.69 billion at end-September 2025 which was BDT 5.10 billion at end-December 2024.

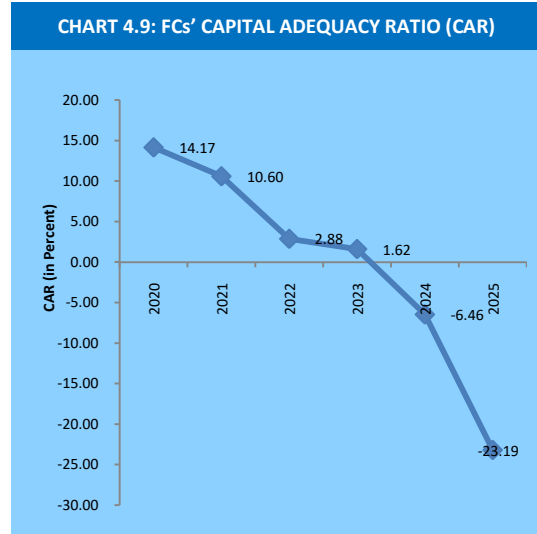
At end-September 2025, net profit after tax still remained in negative position as previous year, signifying a challenging situation for the sector. At end-September 2025, annualized Return on Assets (ROA) of the FC sector stood at -2.59 percent, which was -3.56 percent at end-December 2024. Besides, total shareholders' equity was BDT -149.14 billion at end-September 2025.



Source: DFIM, BB.

4.2 CAPITAL ADEQUACY

The Capital adequacy ratio (CAR) of the FC sector has been on a declining trend since 2020, reaching -23.19 percent at end-September 2025, which is below the minimum regulatory requirement of 10 percent according to the Basel II framework (Chart 4.9).

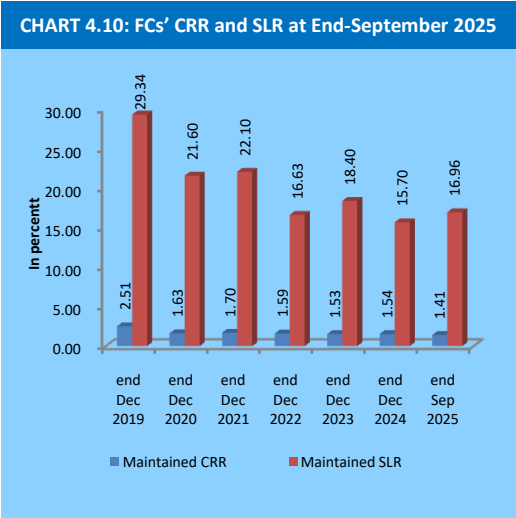


Source: DFIM, BB.

4.3 LIQUIDITY

For measuring FC sector's liquidity, the levels of CRR and SLR maintained by FCs are considered as the major indications. At end-September 2025, CRR and SLR maintained by the FC sector were 1.41 percent and 16.96 percent respectively; These values were 1.54 percent and 15.70 percent respectively at end-December 2024. However, SLR ratio existed above the minimum requirement⁴¹ whereas CRR ratio fell below the minimum requirement (Chart 4.10).

⁴¹The minimum requirements for CRR and SLR are 1.5 percent and 5 percent (2.5 percent for non-deposit taker) respectively as per DFIM circular no. 03/2020.



Source: DFIM, BB.

From the overall analysis, it is found that both borrowings and deposits of FCs increased, whereas equity decreased at end-September 2025 from those of end-December 2024. The FC sector's equity came down more at the negative figure at

end-September 2025 from end-December of the preceding year. On the other hand, the share of total leases increased during the period, whereas the share of total loans decreased. Moreover, the loans and leases of the FCs are mostly concentrated in few sub-sectors under the industry sector. However, the concentration index measured by HHI demonstrates the absence of moderate or high concentration in the FC sub-sectors. The continual upward trend in NPL as well as loan loss provision are found in the FC sector. At end-September 2025, annualized ROA stood at -2.59 percent from -3.56 percent at end-December 2024. In addition, the gradual decrease in the CAR may endanger the stability of the FC sector. Therefore, proper measures should be taken to develop the asset quality, profitability and capital adequacy of the FC sector.

CHAPTER 5 : BANK AND FINANCE COMPANY RESILIENCE

Bangladesh Bank (BB) conducts quarterly stress tests on banks and finance companies (FCs) to assess their resilience under different plausible shock scenarios. This stress testing exercise is a useful risk management tool that enables banks and finance companies to take preemptive measures to maintain capital adequacy and manage liquidity against potential adverse economic and financial conditions. This chapter analyzes the results of stress tests on banks and FCs at the individual and aggregate levels, based on data as of end-December 2025. The stress test results indicate that both sectors may become more vulnerable under different plausible shock scenarios.

5.1 BANKING SECTOR RESILIENCE

Stress tests on individual banks and the banking sector are conducted using sensitivity analysis that assesses the effects of minor shock scenarios on credit risk, market risk, operational risk, and liquidity risk. For each shock scenario, the post-shock Capital to Risk-weighted Asset Ratio (CRAR) is compared with the minimum regulatory requirement of 10 percent, along with a Capital Conservation Buffer (CCB) of 2.50 percent, as per the Basel III capital framework.

At end-December 2025, under the pre-shock scenario, the number of non-compliant banks in terms of maintaining the minimum required CRAR of 10 percent was 19. Furthermore, an additional 4 banks were unable to maintain the CCB of 2.50

percent, even with an existing CRAR of 10 percent. Table 5.1 exhibits the distributions of banks in accordance with CRAR for the banks that were retained under the before-shock scenario.

TABLE 5.1 : CAPITAL ADEQUACY CONDITION OF THE BANKING SECTOR UNDER THE BEFORE-SHOCK SCENARIO

CRAR (Solo)	Number of Banks	
	December 2024	December 2025
< 10.00%	19	19
≥ 10.00% but < 12.50%	04	04
≥ 12.50% but < 15.00%	10	10
≥ 15.00% but < 20.00%	14	14
≥ 20.00%	14	14
Total	61	61

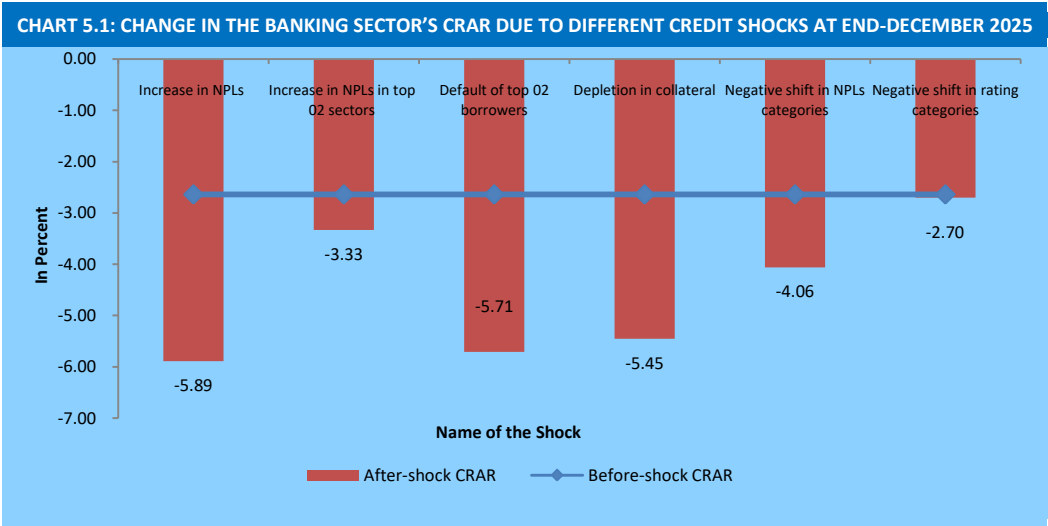
Source: Data from scheduled Banks; Compilation: FSD, BB.

5.1.1 SENSITIVITY TO CREDIT RISK

The sensitivity analysis of credit risk-related shocks reveals significant vulnerabilities in the banking sector's capital adequacy position at end-December 2025. Different credit shocks further erode the already negative CRAR of the banking sector, with a 3 percent increase in NPLs or average NPLIR (whichever is higher) having the most severe impact. The stress test results also indicate that several additional banks would become non-compliant with the minimum required CRAR and CRAR with CCB under different shock scenarios, particularly due to borrower defaults and rising NPLs. Overall, the findings highlight the banking

sector's heightened exposure to credit concentration and asset quality deterioration. The results further suggest that adverse movements in credit quality could substantially weaken the resilience of individual banks as well as the overall

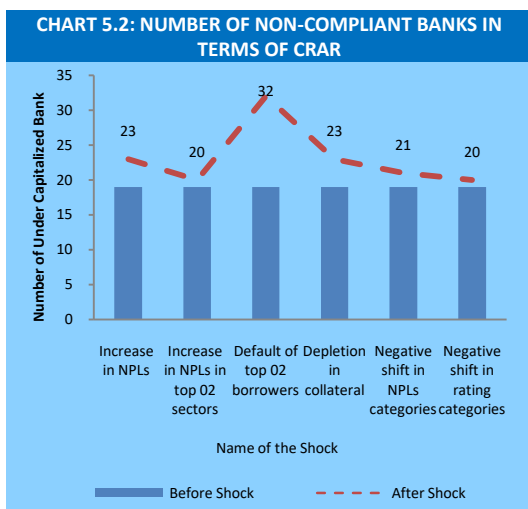
stability of the banking sector. A notable number of banks would also experience significant declines in their CRAR under severe but plausible stress scenarios, underscoring the need for stronger risk management and capital buffers.



Source: Data from scheduled banks; Compilation: FSD, BB.

A sensitivity test of various credit risk-related shocks has been conducted to assess their impact on banks' capital adequacy. Chart 5.1 delineates the pre- and post-shock CRAR of the banking sector across different credit shock scenarios. At end-December 2025, the pre-shock CRAR of the banking sector was -2.64 percent, which further deteriorated under different credit risk-related shocks. The figure indicates that the shock, namely a three percent increase in NPLs or average NPLIR (whichever is higher), is likely to have the highest adverse impact on the banking sector's resilience in terms of capital adequacy, reflecting a 3.25 percentage point depletion of CRAR in the banking sector from the pre-shock level of -2.64 percent at the end of December 2025.

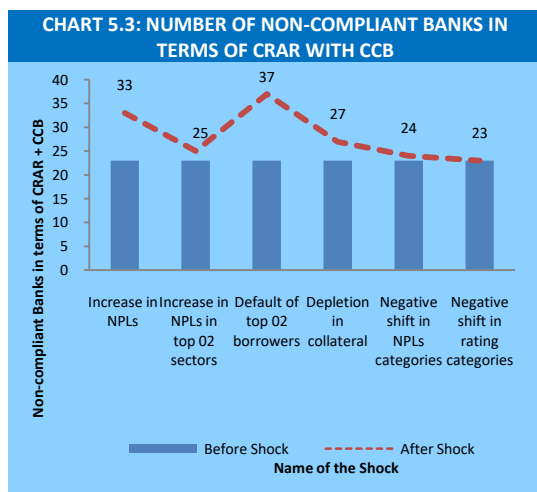
Chart 5.2 depicts the number of non-compliant banks in terms of their ability to maintain the minimum required CRAR, given the likely impact of various credit risk-related shocks. The figure shows that, in addition to the existing 19 under-capitalized banks in the pre-shock scenario, 13 banks would become non-compliant with the minimum required CRAR due to the shock from the default of the top 2 borrowers at each bank. Besides, another 4 banks would become non-compliant if NPLs or Average NPLIR increase by 3 percent, whichever is higher. Furthermore, a shock to a 30 percent depletion in eligible collateral and a shock to a negative shift in existing NPL categories would also cause 4 and 2 banks, respectively, each to become non-compliant with the minimum required CRAR.



Source: Data from scheduled banks; Compilation: FSD, BB.

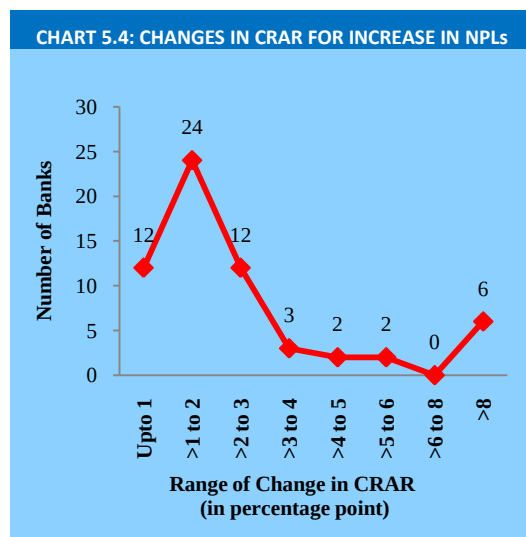
Chart 5.3 shows the number of banks that would fail to maintain CRAR of 10 percent plus the CCB of 2.50 percent under different credit risk shocks.

In this case, an additional 14 banks would not be able to maintain the minimum capital requirement with CCB (12.50 percent) under the shock from default by the top 2 borrowers, followed by an increase in NPLs by 3% or Average NPLIR (whichever is higher), and depletion of collateral by 30 percent with 10 and 4 more banks, respectively.



Source: Data from scheduled banks; Compilation: FSD, BB.

A stress test on banks' credit concentration, assuming a 3% increase in NPLs or the Average NPLIR (whichever is higher), indicates a significant impact on the capital adequacy ratio of individual banks as well as the banking sector as a whole. Moreover, a significant number of banks would experience a notable decline in the CRAR under this shock. In particular, 25 banks would see their CRAR decline by more than 2 percentage points under this credit risk-related shock (Chart 5.4).



Source: Data from scheduled banks; Compilation: FSD, BB.

5.1.2 SENSITIVITY TO MARKET RISK

At end-December 2025, stress test results of different market risk-related shocks, namely interest rate, exchange rate, and equity price, show an insignificant impact on the capital adequacy ratio of the banking sector. Nevertheless, an additional 2 banks would become non-compliant with the minimum CRAR under minor interest rate-related shocks, and 1 bank would become non-compliant with the minimum CRAR due to exchange rate and equity price shocks, respectively (Table 5.2).

TABLE 5.2 : CAPITAL ADEQUACY SCENARIO OF THE BANKING SECTOR DUE TO DIFFERENT MARKET RISK-RELATED SHOCKS

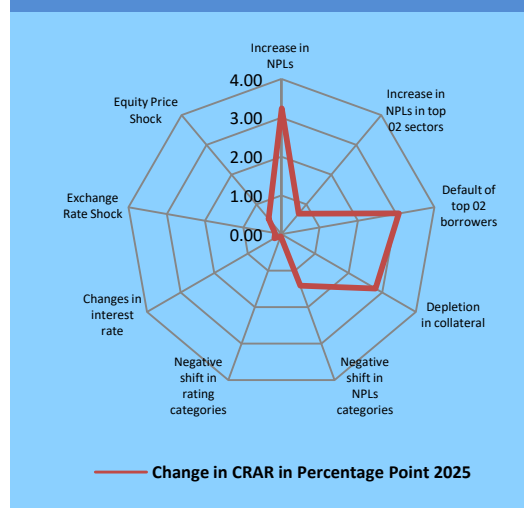
Description	December 2025	
	CRAR (In Percent)	Number of additional banks would fail to maintain the minimum required CRAR due to Shock
Required minimum CRAR	10.00	
Pre-shock CRAR	-2.64	
After-Shock CRAR		
Change in interest rate by 2%	-2.86	02
Change in exchange rate by 20%	-2.82	01
Fall in equity prices by 30%	-3.17	01

Source: Data from scheduled banks; Calculation: FSD, BB.

5.1.3 SUMMARY OF THE BANKING SECTOR RESILIENCE IN TERMS OF CRAR

During the review period, the banking sector's pre-shock CRAR stood at -2.64 percent, well below the minimum regulatory requirement of 10 percent. Stress test results indicate that the capital adequacy ratio of the banking sector would further deteriorate under various credit and market risk shocks. The results also indicate that credit risk would pose a major threat to the banking sector, with a considerable impact on CRAR. On top of that, a credit risk-related shock, namely an increase in NPLs, would likely have the highest adverse impact on the banking sector's resilience, followed closely by the default of the top 02 borrowers (Chart 5.5).

CHART 5.5: BANKING SECTOR RESILIENCE IN DIFFERENT CREDIT AND MARKET RISK-RELATED SHOCKS AT END-DECEMBER-2025



Source: Data from scheduled banks;
Compilation: FSD, BB.

5.1.4 IMPACT OF COMBINED STRESS TEST

In the case of a combined shock, i.e., the aggregate of the results of all credit risk- and market risk-related shocks with different weights on changes in CRAR, the banking sector's CRAR would likely decrease by 3.52 percentage points from the pre-stock level of -2.64 percent (Table 5.3).

TABLE 5.3 : STRESS TEST RESULT OF COMBINED SHOCK

(In Percent)

Pre-shock Scenario	Required Minimum CRAR	Maintained CRAR
Banking System	10.00	-2.64
Stressed Scenario		After-Shock CRAR
Combined Minor Shock		-6.16

Source: Data from scheduled banks; Calculation: FSD, BB.

5.1.5 IMPACT OF CLIMATE SHOCK

If 3 percent of all banks' climate-vulnerable loans were directly downgraded to the bad and loss category, the banking sector would be required to maintain additional provisions of BDT 106.27 billion.

5.1.6 LIQUIDITY SHOCK

a) The liquidity stress test assesses a bank's and the banking sector's ability to withstand liquidity run driven by excessive withdrawals of demand and time deposits in both local and foreign currencies. A bank is considered adequately liquid if it can survive 5 consecutive business days under stressed conditions (2 percent, 3 percent, 4 percent, 5 percent, and 6 percent withdrawals, in addition to the bank's normal withdrawals for day 1, day 2, day 3, day 4, and day 5, respectively). At end-December 2025, the banking sector would remain resilient against the stated liquidity stress scenario, but the Islamic and specialized banking sectors would not be able to maintain the required liquidity.

Moreover, 18 scheduled banks would not withstand the stated liquidity stress test.

b) In the event of a complete withdrawal of deposits by the top 10 depositors at each bank, the banking sector's liquid assets-to-total-assets ratio would decline from 28.00

percent to 21.56 percent, a 6.44 percentage-point decline from the pre-shock scenario.

c) If a 5 percent haircut were applied to government securities and net cash outflows increased by 5 percent, the banking sector's liquidity coverage ratio (LCR) would decline to 156.37 percent from 188.23 percent in the before-shock scenario. As a result of this stress test, 2 additional banks would fail to maintain the minimum required LCR⁴².

5.1.7 SUMMARY OF STRESS TEST RESULTS OF THE BANKING SECTOR

A summary of the stress test scenarios and their impact on the banking sector at end-December 2025 is presented in the following table. The results highlight the sector's vulnerability under different credit, market, climate, and liquidity risk shocks, along with the number of additional banks failing to maintain the regulatory requirements under stressed conditions.

⁴² (≥ 100 percent).

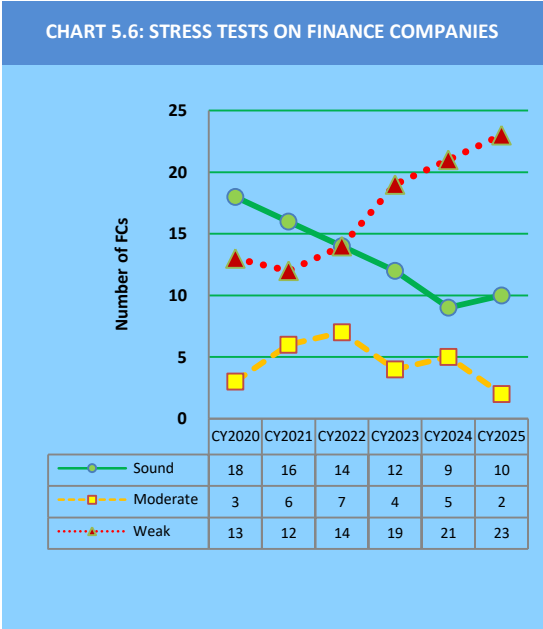
TABLE 5.4 : SUMMARY OF STRESS TEST RESULTS OF THE BANKING SECTOR (END-DECEMBER 2025)

Risk Category	Stress Scenario	Impact on Banking Sector / Key Findings	Additional Non-Compliant Banks*
Pre-shock Position	Baseline scenario	Banking sector CRAR stood at -2.64 percent, below the regulatory minimum requirement of 10 percent; 19 banks were already non-compliant with minimum CRAR, and 4 additional banks failed to maintain the Capital Conservation Buffer (CCB).	19
Credit Risk	Default of top 2 borrowers	Significant deterioration in capital adequacy; major adverse impact on banks' resilience.	13
	A 3 percent increase in NPLs or average NPLIR by 3 percent (whichever is higher)	Most severe impact on sectoral CRAR, causing a 3.25 percentage-point depletion from the pre-shock level.	4
	30 percent depletion in eligible collateral	Moderate deterioration in capital adequacy.	4
	Negative shift in existing NPL categories	Additional weakening in banks' CRAR positions.	2
	CRAR decline of more than 2 percentage points under NPL shock	25 banks would experience significant deterioration in CRAR.	—
Market Risk	Interest rate shock	Insignificant impact on aggregate banking sector CRAR.	2
	Exchange rate shock	Limited impact on capital adequacy.	1
	Equity price shock	Marginal impact on banking sector resilience.	1
Combined Shock	Aggregate impact of all credit and market risk shocks	Banking sector CRAR would decline by 3.52 percentage points from the pre-shock level.	—
Climate Risk	Three percent downgrade of climate-vulnerable loans to Bad/Loss category	Additional provisioning requirement estimated at BDT 106.27 billion.	—
Liquidity Risk	Five-day liquidity run scenario	Banking sector remained broadly resilient; however, Islamic and specialized banks failed to maintain required liquidity.	18
	Full withdrawal of deposits by top 10 depositors	Liquid assets-to-total-assets ratio would decline from 28.00 percent to 21.56 percent.	—
	5 percent haircut on government securities and 5 percent increase in net cash outflows	Banking sector LCR would decline from 188.23 percent to 156.37 percent.	2

* Additional non-compliant banks refer to banks becoming non-compliant under stress scenarios, in addition to those already non-compliant in the pre-shock position.

5.2 RESILIENCE OF THE FINANCE COMPANIES

The resilience capacity of finance companies (FCs) under stressed conditions weakened further by end-December 2025. Stress test results indicate that only 12 of 35 FCs would remain resilient under the prescribed stress scenarios. Specifically, the results show that 10 FCs were categorized as Sound and 2 as Moderate at end-December 2025 (Chart 5.6). Consequently, these 12 FCs would be considered resilient, while the remaining 23 FCs would fall into the Weak category based on stress testing during the review period.



Source: DFIM, BB; Compilation: FSD, BB.

CHAPTER 6 : MONEY AND CAPITAL MARKET

In 2025, the financial system received sufficient liquidity support from the Bangladesh Bank. During the year, the Government of Bangladesh relied significantly on treasury securities for financing, while activity in the inter-bank repo and call money markets increased compared with the previous year, reflecting higher liquidity demand in the banking system. However, the cost of funds in these markets remained relatively high, indicating persistent tight liquidity conditions throughout the review period. Notwithstanding this, the Bangladesh Bank withdrew BDT 33.75 billion from the banking system through the issuance of BB bills, while banks deposited BDT 5.11 trillion with the central bank under the Standing Deposit Facility (SDF) during the review period.

The Bangladesh capital market exhibited a persistent bearish trend throughout the year, driven by weaker growth prospects, elevated inflation, higher interest rates, and reduced foreign portfolio investment. The declining DSEX index, lower P/E ratio, low market capitalization, and minimal average daily turnover indicated broad-based investor pessimism.

6.1 MONEY MARKET

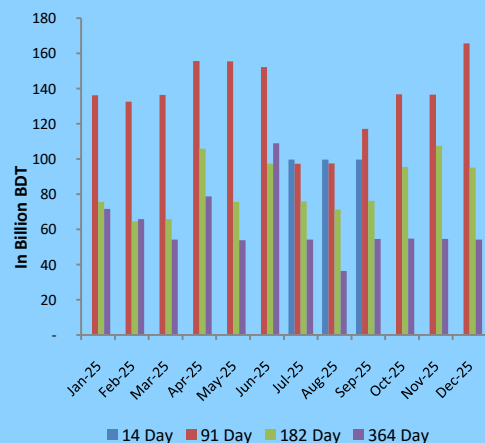
6.1.1 GOVERNMENT TREASURY BILLS (T-BILLS) AND BANGLADESH BANK (BB) BILLS

The primary issuance of government treasury bills recorded a moderate increase in the review year, while only a few banks

placed a negligible amount of funds in Bangladesh Bank (BB) bills in 2025.

The Government's total issuance of treasury bills, conducted through auction sales, equaled BDT 3.67 trillion in 2025, a 3.72 percent increase from the previous year. Among bills of different maturities, 91-day treasury bills remained the dominant instrument, accounting for 44.17 percent of total issuance. A month-wise analysis indicates that government borrowing through treasury bills reached its lowest level in March, registering BDT 256.37 billion, and then peaked in June, representing BDT 358.46 billion (Chart 6.1). Bangladesh Bank offers BB bills with maturities of 7, 14, 30, 90, and 180 days to absorb excess liquidity in the banking system. However, in the review year, market participation remained limited, and BB issued bills totaling BDT 33.75 billion, mainly with 30, 90, and 180-day maturities.

CHART 6.1: VOLUME OF T-BILLS ISSUANCE IN 2025

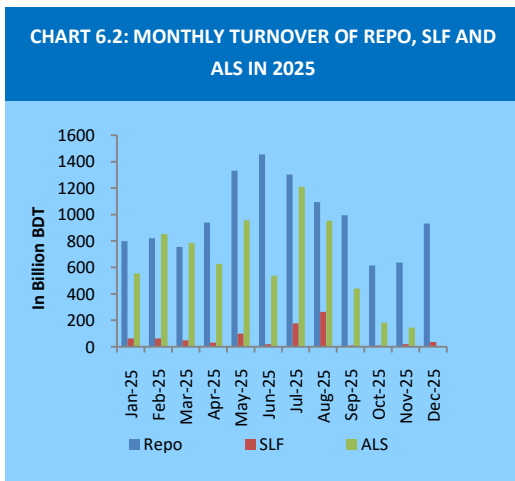


Source: DMD, BB.

6.1.2 LIQUIDITY SUPPORT BY BANGLADESH BANK

In 2025, the Bangladesh Bank provided BDT 21.68 trillion in liquidity support to the banking system. The support was primarily delivered through a series of liquidity windows, including Repo operations, Assured Liquidity Support (ALS), Islamic Bank Liquidity Facility (IBLF), and Special Liquidity Support (SLS).

In 2025, BB provided liquidity support of BDT 19.75 trillion through regular instruments to conventional banks and finance companies, which was 26.23 percent lower than the previous year. Of the total volume, 59.11 percent and 36.67 percent were provided through Repo and ALS, respectively, while SLF⁴³ accounted for only 4.22 percent (Chart 6.2). However, banks deposited BDT 5.11 trillion with BB in the form of the Standing Deposit Facility (SDF)⁴⁴ in the review year.

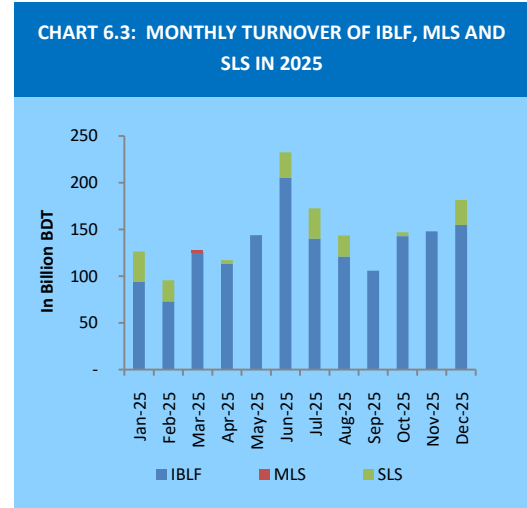


Source: DMD, BB.

⁴³Before 1 July, 2023 SLF was termed as special repo.

⁴⁴Before 1 July, 2023 SDF was termed as reverse repo.

In 2025, Islamic Banks received BDT 1.74 trillion in liquidity support from BB through the Islamic Bank Liquidity Facility (IBLF), Mudarabah Liquidity Support (MLS), and Special Liquidity Support (SLS). The IBLF accounted for the largest share, at 89.93 percent of total support, while SLS accounted for 9.88 percent. The share of MLS remained minimal (Chart 6.3).



Source: DMD, BB.

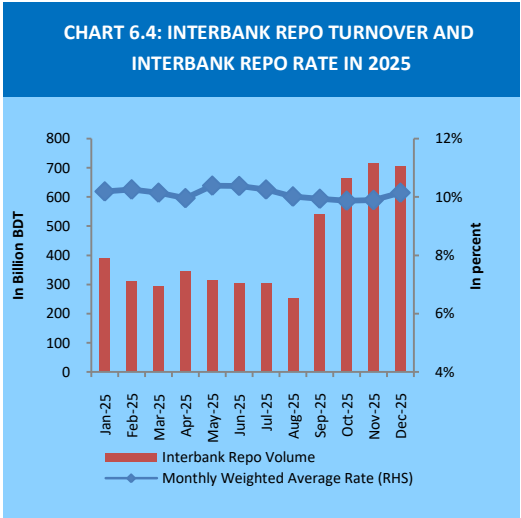
Liquidity support through regular instruments was predominantly used by conventional banks, representing 91.89 percent, while Islamic banks accounted for 8.11 percent. Furthermore, eleven (11) banks received Emergency Liquidity Assistance (ELA) from Bangladesh Bank in 2025, totaling BDT 183.33 billion.

6.1.3 INTER-BANK REPO

Inter-bank repo transactions increased significantly in the review year, while the repo rates remained moderately high.

The total inter-bank repo turnover in 2025 was BDT 5.14 trillion, a significant increase of 49.84 percent compared with the previous year. The monthly weighted-average repo rate remained relatively stable, hovering around 10 percent throughout the

year. The rise in repo transactions toward the end of the year indicates increased demand for short-term liquidity in the banking system (Chart 6.4).



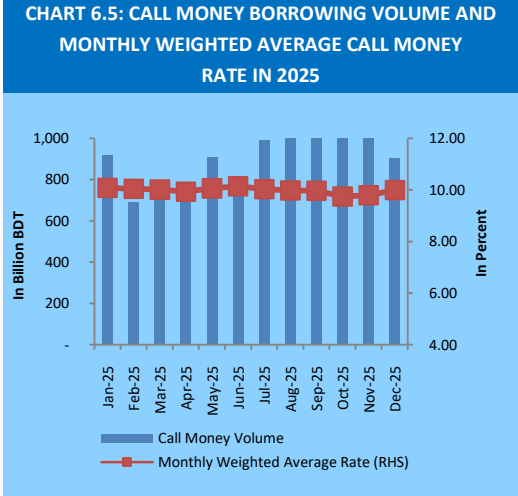
Source: DMD, BB.

6.1.4 INTERBANK CALL MONEY MARKET

The interbank call money⁴⁵ turnover expanded in the review year, while the call money rate remained stable throughout the year.

The total volume of interbank call money transactions was BDT 11.24 trillion in the review year, a 32.96 percent increase from the preceding year. Monthly call money transactions volume remained relatively stable throughout 2025 (Chart 6.5). The elevated call money rate reflects Bangladesh Bank’s tighter monetary policy stance, aimed at containing inflation by moderating money supply growth.

⁴⁵Interbank call money only includes exposures of scheduled banks and FCs with each other. It excludes assets or liabilities with non-scheduled financial institutions from this discussion.



Source: DMD, BB.

6.2 BOND MARKET

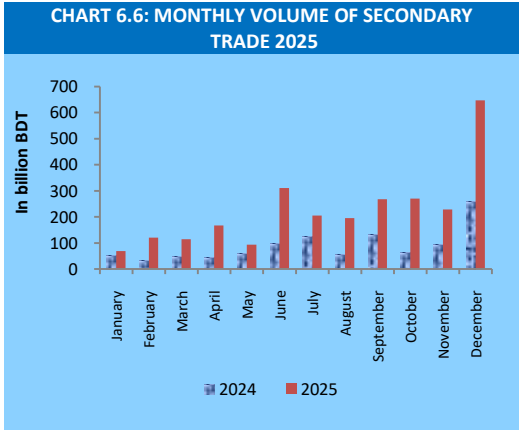
The bond market of Bangladesh, primarily dominated by government treasury bonds (T-bonds) and largely driven by primary auctions, was more active in 2025. The issuance of T-bonds with different maturities increased significantly, though there was no instance of mandatory devolvement. Moreover, the secondary market for government securities was more vibrant in the review year, as the volume of secondary trades recorded a notable increase.

The issuance of the Government’s treasury bonds across maturities rose by 35.57 percent during the review year compared to the prior year. Total auction sales of treasury bonds amounted to BDT 1.62 trillion (Table 6.1). Among the various maturities, 2-year bonds accounted for the largest share, at 28.50 percent of total issuance, followed closely by 5-year bonds with a 28.10 percent share. The relatively higher issuance of shorter-tenor bonds indicates the Government’s preference for instruments that limit investors’ exposure to future interest rate fluctuations in the bond market.

TABLE 6.1: VOLUME OF T-BONDS AUCTION SALES IN 2025		
Tenure	Volume (In Billion BDT)	Share of Total Auction Sales (In Percent)
2 Y T-Bonds	461.41	28.5
3 Y T-Bonds	58.88	3.6
5 Y T-Bonds	454.49	28.1
10 Y T-Bonds	353.43	21.8
15 Y T-Bonds	145.00	9.0
20 Y T-Bonds	146.33	9.0
Total	1,619.54	100.0

Source: DMD, BB.

Secondary market activity in treasury securities strengthened notably in the review year. In 2025, government securities worth BDT 2.68 trillion were traded in the secondary market, reflecting a 150.18 percent increase over the previous year. Trading volumes increased, with month-to-month fluctuations, and reached their highest level in December (Chart 6.6). The Bangladesh Bank trading platform dominated the market, accounting for 99.93 percent of transactions, while the remaining 0.07 percent was traded through the stock exchange platform⁴⁶.

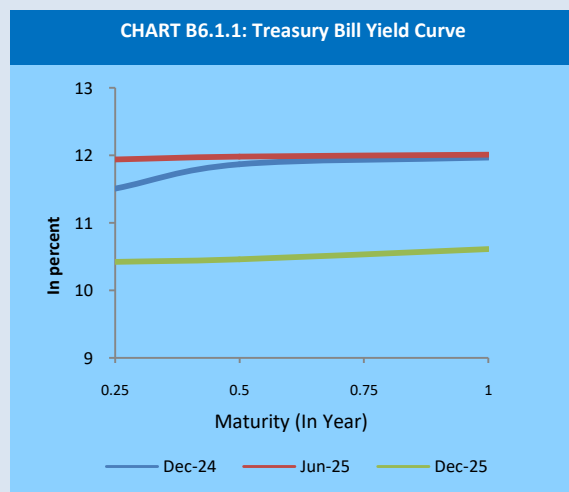


Source: DMD, BB.

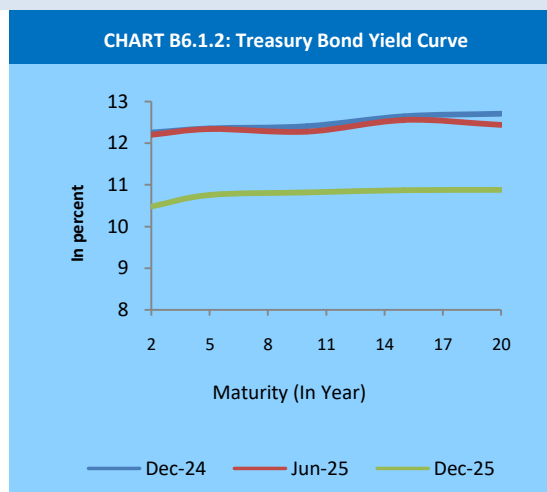
⁴⁶Trading of government securities in Stock Exchange platform started in 2023.

Box 6.1: Yield Curve

Compared with December 2024, Treasury auction yields across all maturities were slightly lower in December 2025. Consequently, the yield curves for both short-term Treasury bills and long-term Treasury bonds shifted marginally lower, indicating a moderate decline in the cost of government borrowing.



Source: Major Economic Indicators, January 2026 Issue, BB.



Source: Major Economic Indicators, January 2026 Issue, BB.

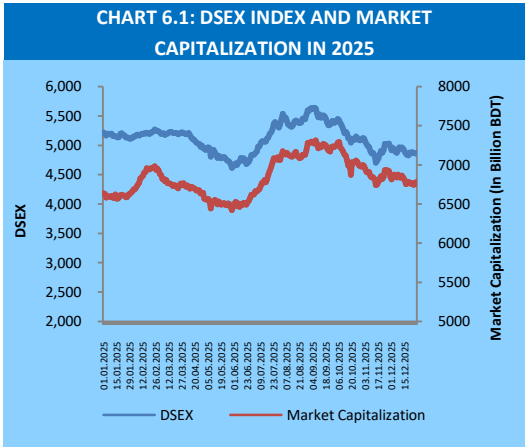
The slight decline in short- and long-term Treasury yields in December 2025 points to a moderate reduction in the government's borrowing costs. Nevertheless, the upward-sloping yield curve indicates that longer-term instruments still offer higher yields than short-term securities. This suggests continued investor caution about the medium-term inflation and interest-rate outlook and highlights the need for strong fiscal capacity to manage future debt obligations.

6.3 CAPITAL MARKET

The following section discusses trend in DSEX, P/E ratio, market capitalization and other indicators of Dhaka Stock Exchange. The DSEX index closed at 4,865.34 points, while the market P/E ratio stood at 8.59. Both the indicators decreased compared to those of 2024. The sluggish trend shows overall market pessimism.

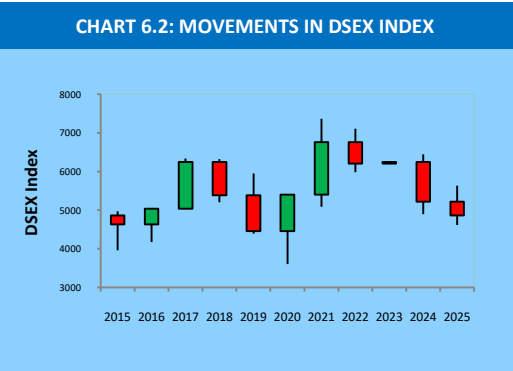
6.3.1 MAJOR INDEX AND MARKET CAPITALIZATION

DSEX, the benchmark index of DSE, closed at 4,865.34 points at end-December 2025, more than three hundred points lower than that of at end-December 2024. However, the market capitalization increased marginally at the end of the year (Chart 6.7).



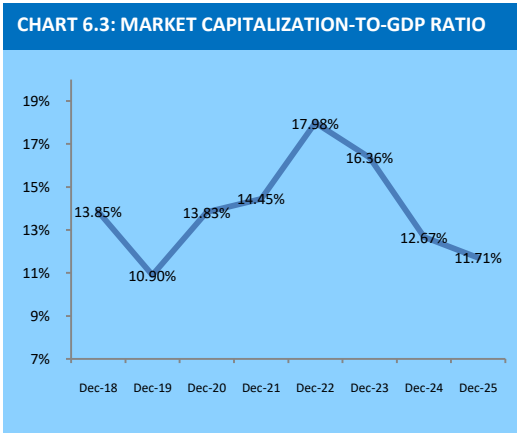
Source: DSE

The patterns of the opening, high, low, and closing prices in Chart 6.8 reflect investors' attitudes and actions. The short red candle body indicates a small difference between the open and close prices.



Source: DSE

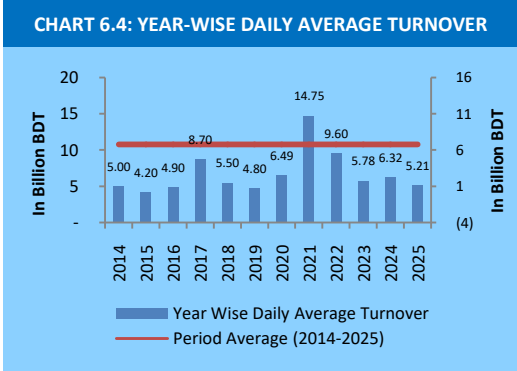
Chart 6.9 shows the market capitalization-to-GDP ratio for the DSE through December 2025. The chart indicates that the ratio fell to 11.71 percent in December 2025, down from 12.67 percent in December 2024. A declining ratio could be attributed to market underperformance, weak investor confidence, or slack macroeconomic conditions.



Source: BBS QGDP and DSE Monthly Review, December 2025.

6.3.2 DAILY AVERAGE TURNOVER

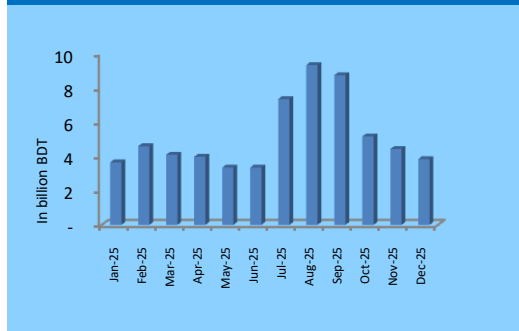
In 2025, the average daily turnover on the DSE was 5.21 billion BDT, 17.56 percent lower than the previous year. It also remained significantly below the period's average turnover (Chart 6.10).



Source: DSE

Chart 6.11 shows the month-by-month liquidity situation of the DSE in 2025. Turnover peaked in August, but it declined steadily afterward.

CHART 6.5: MONTH-WISE DAILY AVERAGE TURNOVER IN 2025

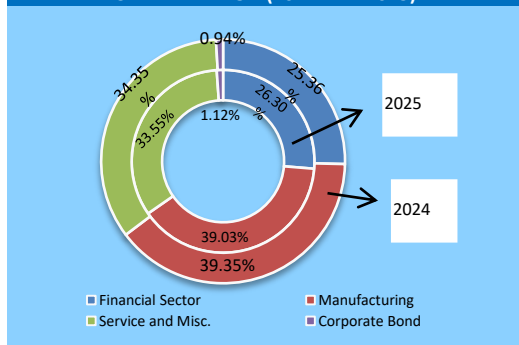


Source: DSE

6.3.3 MARKET CAPITALIZATION DECOMPOSITION

By market capitalization, the manufacturing sector continued to lead the Bangladesh capital market, followed by the service and miscellaneous sector, the financial sector, and corporate bonds (Chart 6.12). Notably, the banking sector's share was 19.86 percent, lower than 18.70 percent in the preceding year.

CHART 6.6: DECOMPOSITION OF MARKET CAPITALIZATION (2024 AND 2025)



Source: DSE

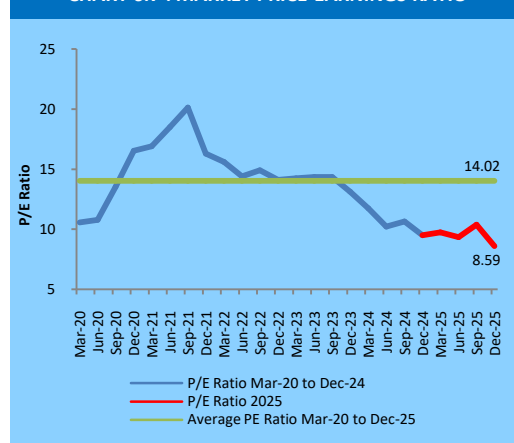
6.3.4 PRICE-EARNINGS (P/E) RATIO

The weighted average price-earnings (P/E⁴⁷) ratio of DSE continued to decline over the past three years. At end-December

2025, the market P/E ratio stood at 8.59, the lowest in the last 10 years.

Chart 6.13 shows the trend in the quarterly overall weighted-average P/E ratio of the DSE since March 2020. The market P/E ratio has been declining since September 2023. A low P/E ratio suggests that the stock or the overall market might be undervalued relative to its earnings, or that investor confidence in future earnings growth is low.

CHART 6.7 : MARKET PRICE-EARNINGS RATIO



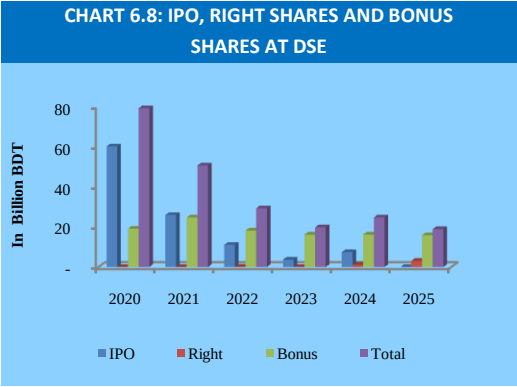
Source: DSE

6.3.5 INITIAL PUBLIC OFFERING (IPO), RIGHTS SHARE, AND BONUS SHARE

A total of BDT 18.83 billion in capital was raised on the DSE in 2025 through the issuance of rights, and bonus shares, a notable 23.70 percent decrease from the previous year (Chart 6.14).

Of the total capital raised in 2025, bonus shares accounted for 83.91 percent, followed by rights shares (16.09 percent). No IPO was issued in 2025.

⁴⁷The current market price of a stock divided by its earnings per share (EPS) is known as the price-earnings (P/E) ratio which shows how much investors are paying for each unit of earnings.



Source: DSE Monthly Review, December 2025.

6.3.6 DIVIDEND AND YIELD

The number of companies that declared dividends decreased in 2025 compared with 2024 (Table 6.2). 213 of the DSE-listed companies declared a cash dividend, while 33 companies declared a stock dividend. In addition, 51 companies did not announce

any dividend, and 57 skipped their Annual General Meetings (AGMs) in 2025.

TABLE 6.1: COMPARISON OF DIVIDEND AND YIELD

Particulars	2024	2025
Number of companies declared cash dividend	252	213
Number of companies declared stock dividend	38	33
Number of companies which did not declare any dividend	45	51
Yield (%)	4.05	6.38

Source: DSE Monthly Review, December 2025.

CHAPTER 7 : FINANCIAL INFRASTRUCTURE

Bangladesh Bank has continued to strengthen the country’s financial infrastructure to meet the economy’s evolving needs and long-term growth aspirations. The initiatives taken by Bangladesh Bank have supported sustainable development, poverty reduction, and private-sector expansion.

As the principal policy and regulatory authority, BB has promoted the modernization of payment systems, emphasizing safety, efficiency, and inclusiveness. Its policy measures have also aimed to reduce domestic and cross-border payment risks and to foster a secure digital payment ecosystem.

Over the years, sustained reforms have contributed to the development of a robust, automated, and technology-driven financial infrastructure. At the same time, the licensing of Mobile Financial Services (MFS), Payment Service Providers (PSPs), and Payment System Operators (PSOs) has expanded access to formal financial services, strengthened financial inclusion, and accelerated the country’s transition toward a cashless economy.

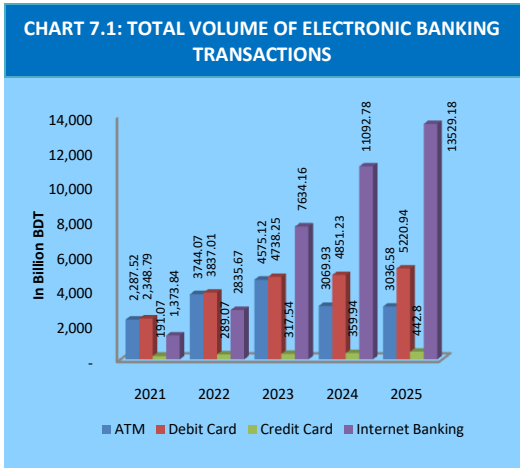
7.1 ELECTRONIC BANKING OPERATIONS

Electronic banking now offers a wide range of financial services that go beyond traditional paper-based payment instruments. As Bangladesh advances toward LDC graduation, strengthening digital payment systems has become vital to enhancing financial inclusion and improving service efficiency. Through online banking, banks are increasingly

extending services to customers’ doorsteps, improving accessibility and convenience. Meanwhile, Bangladesh Bank continues to promote financial stability by mitigating settlement risks through automated payment and settlement systems. By the end of December 2025, all bank branches in Bangladesh had online banking capability (Table 7.1), marking significant progress toward a cashless economy.

TABLE 7.1: ONLINE BANKING SCENARIOS AS OF END-DECEMBER 2025				
Bank Cluster	Number of ATMs	Total Branches	Number of Branches with Online Coverage	Percent of Online Branches
SOCBs	1,431	4,629	4,629	100
SDBs	19	1,546	1,546	100
PCBs	11,161	5,258	5,258	100
FCBs	102	70	70	100
Total	12,713	11,503	11,503	

Sources: Statistics Department, BB.



Source: PSD, BB.

Chart 7.1 shows a steady increase in the volume of all electronic banking transaction categories, except ATM transactions, from 2021 to 2025. In 2025, internet banking recorded the highest growth across all electronic banking channels.

7.2 NATIONAL PAYMENT SWITCH BANGLADESH

Bangladesh Bank has established the National Payment Switch Bangladesh (NPSB) as an integrated platform to strengthen nationwide interbank electronic payment and settlement systems. By the end of December 2025, NPSB connectivity had expanded to 57 scheduled banks for ATM transactions, 55 for POS settlements, and 56 for Internet Banking Fund Transfers (IBFT). Bangla QR was adopted by 49 banks, along with several MFS providers, PSPs, and a PSO. Consequently, the volume and frequency of interbank electronic transactions through NPSB continued to grow steadily.

During the review period, the NPSB processed 199.24 million transactions totaling BDT 6034.71 billion, reflecting substantial year-over-year growth of 36.55 percent in transaction volume and 83.26 percent in payment value.

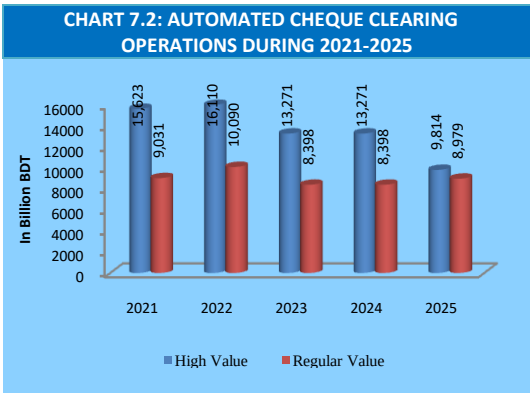
7.3 BANGLADESH AUTOMATED CLEARING HOUSE

Bangladesh Automated Clearing House (BACH), the country's first automated payment and settlement system, has strengthened the efficiency and security of Bangladesh's payment infrastructure through its two components—Bangladesh Automated Cheque Processing System (BACPS) for digitized cheque clearing and Bangladesh Electronic Funds Transfer Network (BEFTN) for interbank electronic fund transfer. All 61 scheduled banks are connected to the system.

7.3.1 BANGLADESH AUTOMATED CHEQUE PROCESSING SYSTEM

Bangladesh Automated Cheque Processing System (BACPS), the country's sole advanced cheque clearing platform, uses Cheque Imaging and Truncation (CIT) technology to enable fully electronic clearing and settlement of cheques and related instruments nationwide through separate high-value and regular-value sessions (High Value cheques those worth BDT 0.50 million or more and another for Regular Value cheques).

In 2025, the number of High Value transactions decreased by 26.05 percent, whereas Regular Value transactions increased by 6.93 percent compared with the previous year (Chart 7.2).



Source: PSD, BB.

7.3.2 BANGLADESH ELECTRONIC FUNDS TRANSFER NETWORK

Bangladesh Electronic Funds Transfer Network (BEFTN) is a centralized system for electronic clearing and settlement of interbank credit and debit transactions across Bangladesh. It facilitates EFT credits such as salaries, remittances, social safety net payments, Sanchayapatra (savings certificates) proceeds, dividends, and pensions, as well as EFT debits including utility bills, loan repayments, insurance premiums, and corporate transfers. With the

deployment of the upgraded Nikash-BEFTN software, the system now operates through three daily clearing sessions, improving processing efficiency and settlement speed.

During the review period, approximately 291.44 million EFT credit transactions and 7.89 million EFT debit transactions were settled via BEFTN, with total transaction values of BDT 8150.78 billion and BDT 1262.67 billion, respectively.

7.4 REAL TIME GROSS SETTLEMENT SYSTEM

The Bangladesh Real Time Gross Settlement (BD-RTGS) system has transformed the country's payment ecosystem by enabling instant settlement of large-value and time-critical transactions. While the minimum transaction threshold is BDT 100,000, there is no upper limit on government payments and inland foreign currency transactions. Currently, the system also supports FC-to-FC and bank-to-FC transactions, further improving the efficiency of high-value payments.

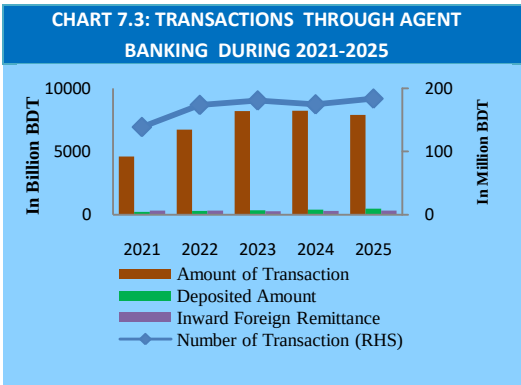
In 2025, the BD-RTGS System settled 11,588,638 local-currency transactions amounting to BDT 61,374.15 billion and 835,339 USD transactions totaling USD 33,977.27 million. Currently, 11,671 online branches of 60 scheduled commercial banks and 19 finance companies are connected to the system, ensuring real-time, and high-value settlement.

7.5 AGENT BANKING ACTIVITIES

Agent banking, introduced by Bangladesh Bank in 2013, has played a significant role in promoting financial inclusion among unbanked and underserved populations, particularly in remote areas, while providing banks with a cost-efficient

alternative to conventional branches. By end-December 2025, 31 banks were operating agent banking services through 20,501 outlets managed by 15,328 agents, with approximately 25.83 million accounts opened, including 12.81 million held by female clients.

Chart 7.3 shows sustained growth in agent banking activities from 2021 to 2025, as reflected in rising transaction counts, deposit balances, and inward foreign remittances, despite a 3.82 percent decline in transaction volume in 2025. By end-December 2025, total deposits, inward remittances, and transaction volume through agent banking stood at BDT 493.56 billion, BDT 331.52 billion, and BDT 7,905.56 billion, respectively, with deposits and remittance inflows increasing by 18.19 percent and 7.79 percent, respectively, over the previous year.



Source: Statistics Department, BB.

7.6 SOME OTHER INITIATIVES TO FOSTER DIGITAL PAYMENT

Bangladesh Bank, with a view to fostering digital payments among the mass population, has established the Payment Systems Supervision Department (PSDD) to strengthen the safety, efficiency, and reliability of the country's payment ecosystem by overseeing payment services, MFS providers, PSOs, and national payment platforms, including BACH, BD-

RTGS, and NPSB. The department conducts continuous monitoring through on-site inspections, off-site supervision, and centralized data collection, enabling early detection of operational and fraud-related risks. In 2025, inspections covered PSOs, PSPs, MFS providers, banks, and utility service providers, while special reviews of add-money fraud led to immediate corrective measures. In addition, the department introduced Self-Assessment and Operational Risk Management Frameworks based on PFMI and ISO 31000 standards, promoting greater accountability, compliance, risk awareness, and resilience across the digital financial ecosystem.

In June 2024, TakaPay was introduced as a domestic card scheme designed to promote financial inclusion, reduce transaction costs, and strengthen the digital payment ecosystem through ATM, POS, QR, and fund transfer services routed via the National Payment Switch Bangladesh. By reducing dependence on international card networks, the initiative is expected to expand access to affordable digital payment services, particularly in underserved areas.

Currently, 14 (fourteen) Mobile Financial Service (MFS) providers, 9 (nine) Payment Service Providers (PSPs), 12 (twelve) Payment System Operators (PSOs), and 6 (six) scheduled banks provide payment gateway services.

7.7 PAYMENT SYSTEMS OVERSIGHT

Payment systems oversight is a core function of central bank, aimed at ensuring the safety, efficiency, and reliability of payment systems through continuous monitoring, assessment, and policy support. Under Bangladesh Bank Order, 1972, Bangladesh Bank has introduced various

digital payment platforms that now form an essential part of the country's financial infrastructure. To strengthen financial stability, the oversight framework monitors operational activities, transaction flows, risk exposures, business continuity arrangements, and compliance with regulatory and international standards through both onsite and offsite supervision. It also conducts trend and market share analyses, identifies systemic weaknesses, and recommends corrective measures and policy interventions as needed.

7.8 POTENTIAL RISKS AND MITIGATION INITIATIVES FOR PAYMENT SYSTEMS IN BANGLADESH

As digital transformation accelerates in Bangladesh, demand for faster, safer, and more reliable payment systems has risen substantially. However, the evolving payment ecosystem remains vulnerable to several challenges, including cyber threats, operational disruptions, digital fraud, technological limitations, third-party dependencies, and shortages of skilled personnel.

In this context, Bangladesh Bank plays a critical role in preserving the resilience and integrity of the payment infrastructure through regulatory oversight, compliance enforcement, policy modernization, and initiatives that foster innovation. Going forward, strengthening cyber security frameworks, enhancing technological capacity, improving consumer awareness, and expanding workforce skills will be essential to building a secure, efficient, and inclusive digital payment ecosystem in Bangladesh. However, Bangladesh has significantly strengthened its financial infrastructure through ongoing modernization.

Box 7.1: Bangla QR: Advancing Digital Payment Stability in Bangladesh

Bangladesh has entered a new era of digital payments through QR, aligning with countries such as Canada, the United States, Belgium, China, Japan, Singapore, France, Brazil, Thailand, India, South Africa, and Kenya. The “One Country, One QR – Bangla QR” initiative, launched under the National Payment Switch Bangladesh (NPSB) on 6 January 2021, has created a unified and accessible national payment ecosystem.

A primary advantage of Bangla QR is its low installation and minimal maintenance costs. Its portability and ease of display make it accessible for enterprises ranging from micro to large-scale merchants. The platform supports round-the-clock transactions, requiring only a Smartphone and internet access. Bank and mobile financial service (MFS) customers can log into their respective mobile applications, scan the Bangla QR code, enter the transaction amount, and confirm to complete the transaction immediately. With the implementation of the unified Bangla QR code by Bangladesh Bank, consumers can make payments via any bank app or mobile wallet using the same code. The introduction of full interoperability from 01 November 2025 has further accelerated the adoption of digital payments. Importantly, a regulatory directive mandates that, from 01 July 2026 onward, Bangla QR codes must be used exclusively, prohibiting all other proprietary QR codes.

Government policies have further strengthened the digital payment ecosystem. Since 14 August 2025, the integration of Bangla QR has been mandatory for merchant license renewals within city corporations and municipalities, expediting the shift to digital transactions in urban regions. Furthermore, instant fund settlement for small merchants, introduced on 15 December 2025, has enhanced both liquidity and operational efficiency. At present, approximately one million merchants have been on boarded to the Bangla QR system, with transaction volumes demonstrating robust growth. From 01 July 2026, the Directorate of National Consumer Rights Protection will ensure the presence of Bangla QR at merchant locations, incorporating transaction oversight into its routine supervisory framework.

With strong policy support and oversight from Bangladesh Bank, along with the broader “Cashless Bangladesh” vision, the country’s payment landscape is rapidly transforming. Alongside systems like BEFTN, RTGS, MFS, and IBFT, POS, and e-Commerce, Bangla QR is a key driver of a modern, transparent, and inclusive digital economy in Bangladesh.

CHAPTER 8 : FOREIGN EXCHANGE MARKET

In 2025, Bangladesh's foreign exchange (FX) market demonstrated resilience amid a challenging macroeconomic environment. The Bangladeshi Taka (BDT) remained broadly stable against the USD, depreciating only 1.94% over the year. However, minor fluctuations in the real effective exchange rate (REER) were observed during the year. The banking sector's FX assets and liabilities increased. During the review period, both L/C openings and L/C settlements rose, while foreign remittance inflows from wage earners remained significantly elevated. At the end of the year, BB's gross foreign exchange reserves reached USD 33.19 billion, sufficient to cover more than five months of imports and capable of withstanding probable external shocks in the near future.

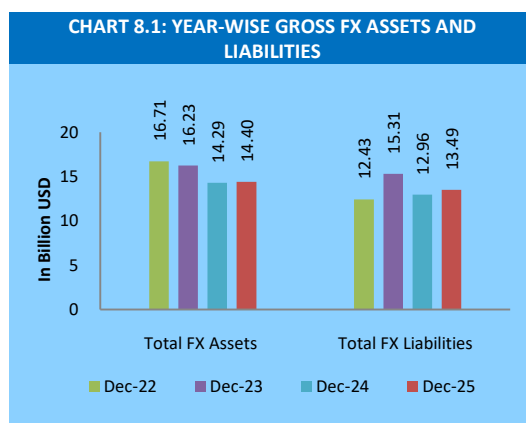
8.1 FOREIGN EXCHANGE ASSETS, LIABILITIES, AND CONTINGENT LIABILITIES

By the end of December 2025, FX assets made up 6.15 percent of the banking sector's total assets, while FX liabilities comprised 5.65 percent of its total liabilities.

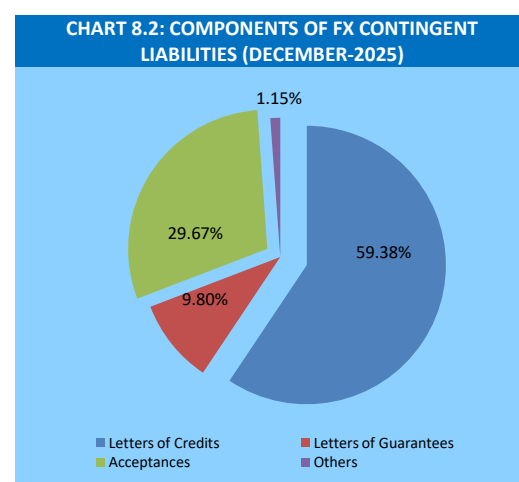
In 2025, both foreign exchange (FX) assets and liabilities recorded a marginal increase (Chart 8.1). Banks' major FX asset components comprised cash, investments in OBU, debit balances in Nostro accounts, balances in the BB clearing account, and foreign currency bills. On the other hand, key liability segments included credit balances in Nostro accounts, back-to-back

L/Cs, Exporters' Retention Quota (ERQ), and foreign currency (FC) accounts.

At the end of December 2025, FX contingent liabilities of the banking sector fell by 38.79 percent to USD 48.17 billion, down from USD 78.70 billion a year earlier. A noticeable decrease in L/Cs and acceptances in FCs could be attributed to the steep fall; however, these two components together accounted for 90 percent of total contingent liabilities (Chart 8.2).



Source: FEPD, BB.



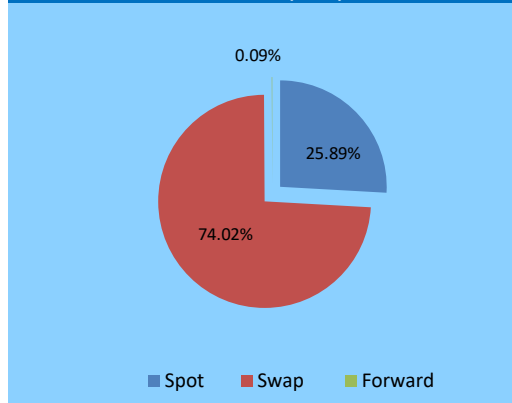
Source: FEPD, BB.

8.2 INTERBANK (LOCAL) FX TURNOVER

Interbank (local) FX turnover increased by 37.79 percent to USD 30.87 billion in 2025.

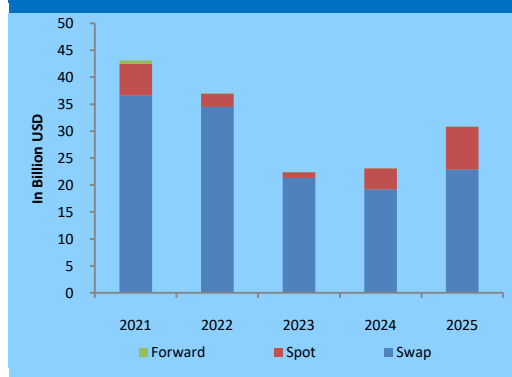
Swap transactions retained the top position in the interbank (local) FX market, with a 74.02 percent market share (Chart 8.3). This dominance reflects the greater flexibility swap transactions offer for FX liquidity management. In 2025, FX swap turnover stood at USD 22.85 billion, whereas FX spot turnover was USD 7.99 billion (Chart 8.4).

CHART 8.3: COMPONENTS OF INTERBANK FX TURNOVER (2025)



Source: FRTMD, BB.

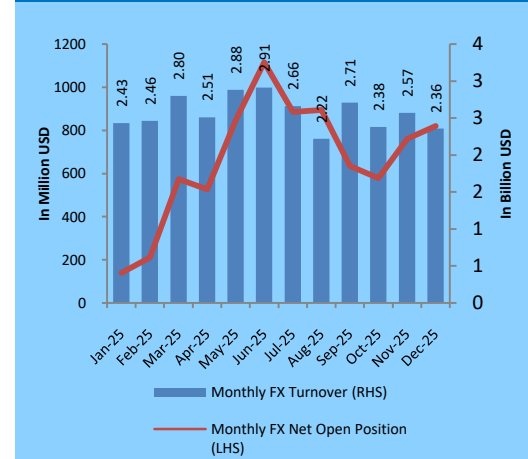
CHART 8.4: FORWARD, SPOT AND SWAP TURNOVER



Source: FRTMD, BB.

The monthly average turnover of interbank (local) FX transactions reached USD 2.57 billion in 2025, compared with USD 1.93 billion in 2024. The overall FX net open position stood at USD 821.18 million at the end of December 2025, up from USD 465.28 million at the end of December 2024 (Chart 8.5).

CHART 8.5: MONTHLY FX TURNOVER (2025) & MONTHLY FX NET OPEN POSITION (2025)



Source: FRTMD, BB.

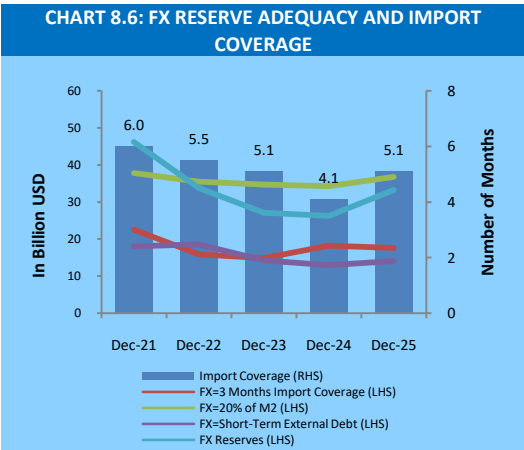
8.3 ADEQUACY OF FX RESERVES

At the end of December 2025, Bangladesh's gross foreign exchange reserves increased by 26.63 percent to USD 33.19 billion, sufficient to cover more than five months' worth of import payments. In addition, according to BPM6, the foreign exchange reserves stood at USD 28.59 billion.

The adequacy of FX reserves⁴⁸ is crucial for withstanding external shocks and

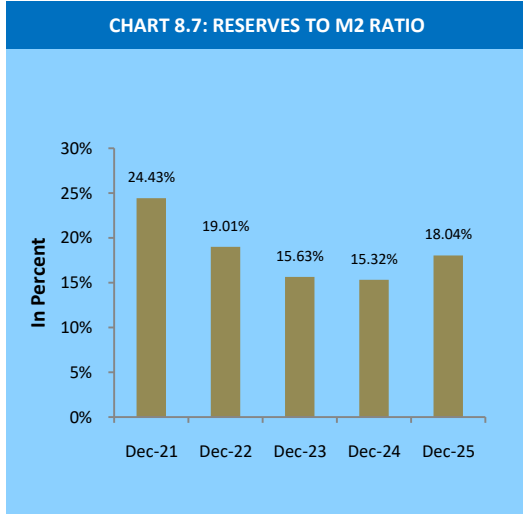
⁴⁸ Among the different benchmarks for measuring FX reserves adequacy, three mostly used benchmarks are: (i) sufficient FX reserve to cover at least three months' import payments, (ii) reserves equal to 20 percent of M2, and (iii) reserves sufficient to cover external debt becoming due within 12 months (short-term external debt). For details, see Islam, M.S. (2009), "An Economic Analysis of Bangladesh's Foreign Exchange Reserves", ISAS Working Paper No. 85, Singapore, September.

vulnerabilities. Healthy remittance inflows, sustained throughout the year, played a vital role in strengthening FX reserves. However, the persistence of conflict in the Middle East may threaten remittance flows from the region. Moreover, the resulting oil price shock may exacerbate the country’s trade deficit. These shocks are feared to threaten Bangladesh’s foreign exchange reserves and exchange rate stability in the near future.

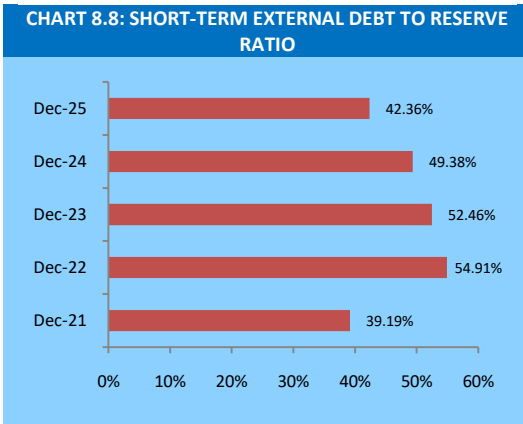


Source: Statistics Department, BB; MET; NSDP, BB website; Calculation: FSD.

During the review year, FX reserve adequacy relative to various benchmarks showed an improving trend (Chart 8.6). However, in terms of the FX reserves-to-M2 (broad money) criterion, Bangladesh still had a shortfall relative to the 20 percent benchmark (Chart 8.7). In contrast, the ratio of short-term external debt (STED) to FX reserves fell to 42.36 percent in the review period, indicating improved capacity of FX reserves to cover short-term external debt obligations (Chart 8.8).



Source: MET; NSDP, BB website; Calculation: FSD



Source: NSDP, BB website.

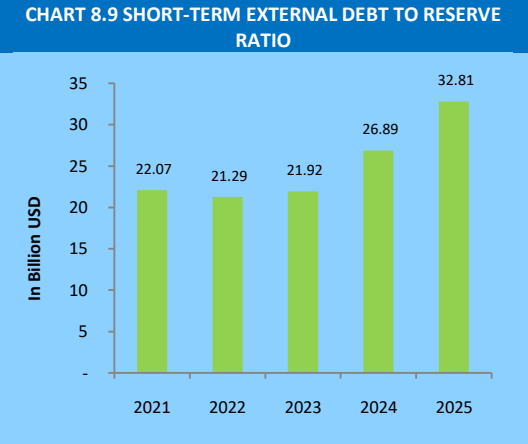
8.4 WAGE EARNERS' REMITTANCE

Wage earners' remittance inflow registered a notable increase in 2025.

Wage earners' remittance inflow increased by 22.04 percent, from USD 26.89 billion in 2024 to USD 32.81 billion in 2025 (Chart 8.9).

The notable growth in wage earners' remittance inflows in 2025 reflects improved overseas employment opportunities for Bangladeshi migrant workers, alongside continued government policy support. Initiatives by Bangladesh Bank to encourage remittance transfers

through formal banking channels and digital platforms contributed to the rise in inflows. Moreover, the steady rise in inward remittances played a vital role in supporting stability in the foreign exchange (FX) market and strengthening the economy’s resilience to external shocks (Chart 8.9).

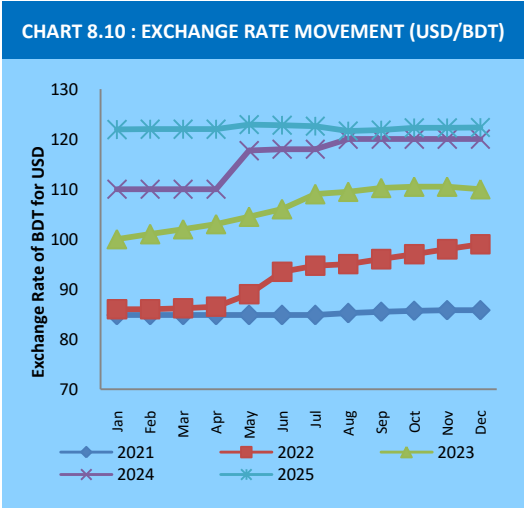


Source: NSDP, BB website.

8.5 EXCHANGE RATE MOVEMENT

The nominal exchange rate increased slightly during the review year.

Unlike the previous three years (2022 to 2024), the nominal exchange rate of the BDT in the FX market (USD/BDT) remained stable throughout 2025, with the BDT depreciating slightly by 1.94 percent (Chart 8.10). This stability resulted from several factors, including increased inflows of wage earners’ remittances and prudent management of the FX market.



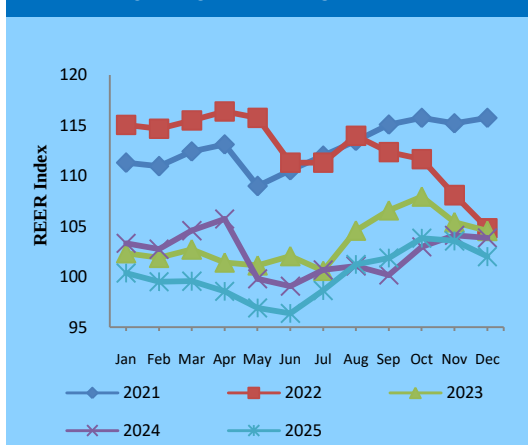
Source: Monthly Economic Trend, BB.

8.6 MOVEMENT OF REAL EFFECTIVE EXCHANGE RATE (REER)

The Real Effective Exchange Rate (REER) fluctuated throughout the review year.

In December 2025, the Real Effective Exchange Rate (REER) decreased by 1.79 percent compared to December 2024. The index fluctuated slightly throughout the year. During the first half of the year, the index fell below 100 but increased to 101.99 in the latter half (Chart 8.11). This indicates that the BDT is slightly overvalued, likely discouraging exports while encouraging imports by lowering their relative cost.

CHART 8.11 : REER MOVEMENT



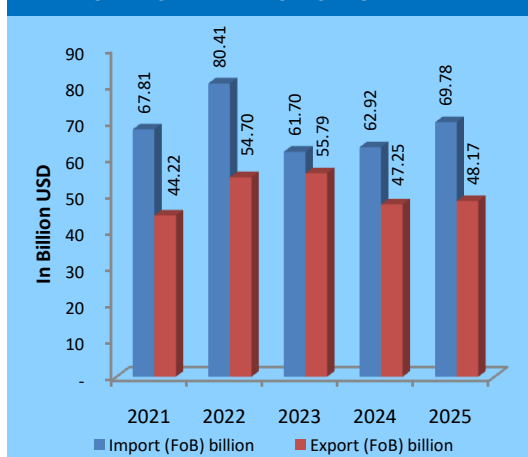
Source: Monetary Policy Department, BB.

8.7 TREND OF FOREIGN TRADE

In line with historical trends, import volume once again exceeded export volume in 2025, resulting in a significantly larger trade deficit than in the preceding year.

Imports rose significantly by 10.90 percent to USD 69.78 billion in 2025, up from USD 62.92 billion in 2024 (Chart 8.12). By contrast, exports increased slightly by 1.95 percent in 2025. As a result, the trade deficit widened to USD 21.61 billion in 2025, up from USD 15.67 billion in 2024.

CHART 8.12 : TREND OF FOREIGN TRADE



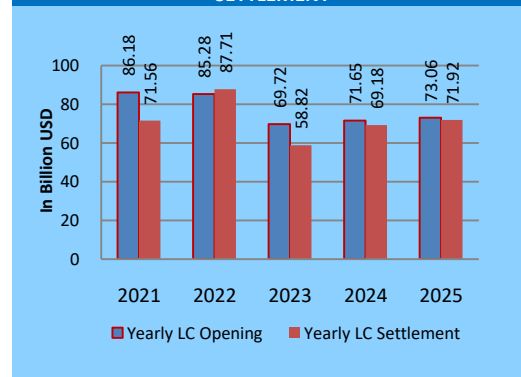
Source: Monthly Economic Trend, BB.

8.8 OPENING AND SETTLEMENT OF LETTER OF CREDIT (L/C)

Both L/C openings and L/C settlements recorded a modest increase during the review year.

In 2025, L/C openings totaled USD 73.06 billion, a moderate 1.97 percent increase from USD 71.65 billion in 2024. Similarly, L/C settlements reached USD 71.92 billion, a notable 3.96 percent increase from USD 69.18 billion in 2024 (Chart 8.13).

CHART 8.13 : YEARLY L/C OPENING AND L/C SETTLEMENT



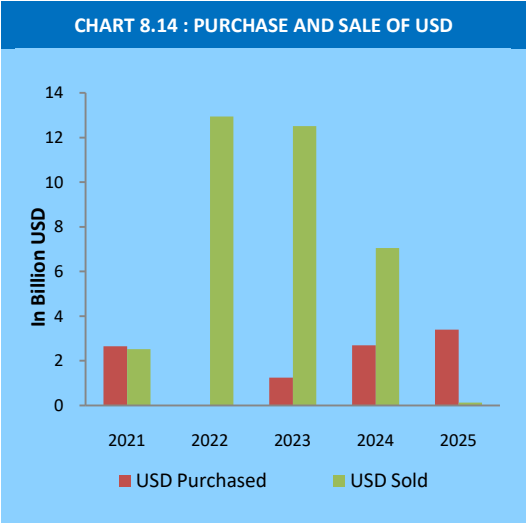
Source: FEOD, BB.

8.9 PURCHASE AND SALE OF USD

In 2025, to stabilize the foreign exchange market, Bangladesh Bank bought USD 3.39 billion and sold USD 0.13 billion.

In Bangladesh, the exchange rate is primarily determined by supply and demand in the foreign exchange market. Nevertheless, to maintain exchange rate stability, contain inflationary pressures—particularly on essential commodities—and support overall macroeconomic stability, the central bank undertakes appropriate foreign exchange market operations when necessary. In this context, BB purchased USD 3.39 billion and sold USD 0.13 billion in the local market, resulting in a net

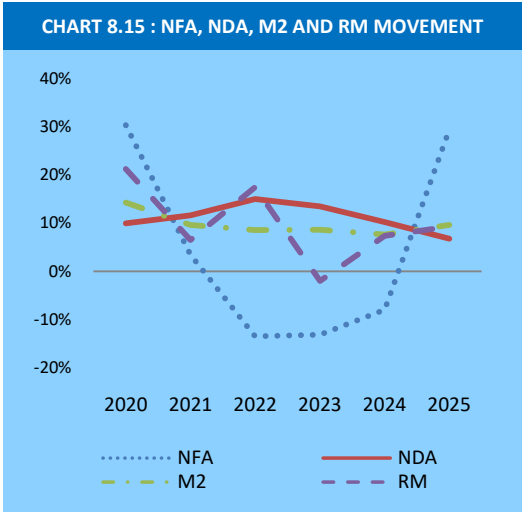
purchase of USD 3.26 billion (Chart 8.14). Owing to strong remittance inflows, the FX market did not experience significant foreign currency liquidity stress during the year. To maintain stability in the local foreign exchange market, BB absorbed excess foreign-currency liquidity by purchasing USD from the market.



Source: FRTMD, BB.

During 2025, net foreign assets (NFA) grew by 29.28 percent, an improvement over the negative 8.0 percent recorded in 2024

(Chart 8.15). In contrast, Reserve Money (RM) grew by 9.22 percent in 2025, compared with 7.30 percent in 2024. Net Domestic Assets (NDA) also grew moderately, rising by 6.75 percent in 2025, down from 10.22 percent in 2024. Broad Money (M2) grew by 9.55 percent in the review year, slightly higher than the 7.57 percent increase in 2024 (Chart 8.15).



Source: Monthly Economic Trend, BB.

CHAPTER 9 : INSURANCE SECTOR IN BANGLADESH

Insurance protects policyholders by managing and transferring risks associated with uncertain and probable financial losses incurred by the insured. It also serves as a financial intermediary, transferring funds from surplus units to deficit units. Furthermore, when policyholders face financial crises for the occurrence of any of the insured risk, insurance coverage protects them from losses. Hence, insurers' rigorous risk management plays a crucial role in ensuring financial stability and consistency.

The insurance sector is linked to other components of the financial system, such as the bond market, banks and finance companies (FCs), and the capital market. Unlike banks and finance companies, insurance companies, mainly life insurers, accumulate long-term liabilities, making them less vulnerable to liquidity risk. Thus, they can invest in long-term assets such as bonds, fixed deposit receipts, and equities. These investment vehicles support economic growth, provide liquidity support, and strengthen the stability of the financial system. Hence, if investment decisions are not prudent, the insurance sector would be exposed and might create risks for other interrelated sectors of the economy.

Both total assets and gross premium of the insurance sector increased in 2025⁴⁹; the insurance penetration ratio, a key indicator of measuring performance of insurance companies, showed a downward trend in 2025, whereas insurance density ratio,

another key performance indicator of insurance companies, showed an upward trend in 2025. In addition, other key indicators such as claims settlement ratio, investment to total assets ratio, etc. exhibited mixed performance in the review period. The insurance sector remained highly concentrated within a few companies and is interrelated with financial system. So, cautious monitoring and supervision are essential to ensure robust and resilient financial system.

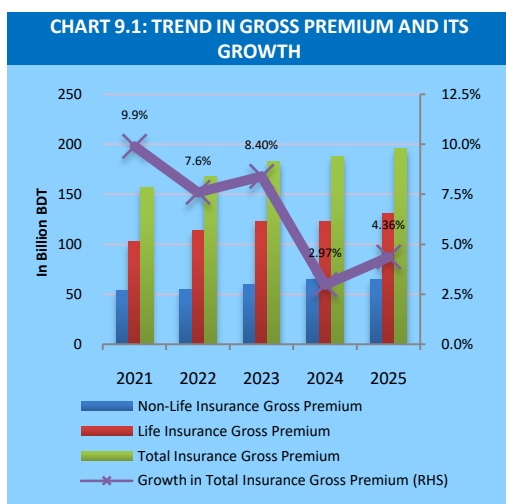
Currently, 46 non-life insurance companies, including a public sector company, and 36 life insurance companies, including a foreign company and a public sector company, are providing services in Bangladesh. The Insurance Development and Regulatory Authority (IDRA) is the regulatory and supervisory body for the insurance sector in Bangladesh, established in 2010.

9.1 PREMIUM GROWTH AND ASSET SIZE

In 2025, the insurance sector's total assets and gross premiums both grew moderately. More than two-thirds of total assets and gross premiums were reportedly held by life insurance companies.

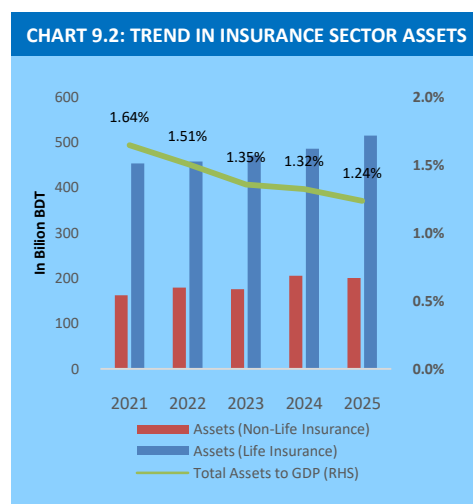
As in the preceding year, the insurance sector's total gross premium increased to BDT 195.87 billion from BDT 187.68 billion, a 4.36 percent increase (Chart 9.1). Life insurance companies accounted for the lion's share (66.88 percent) of the total gross premium of the insurance industry.

⁴⁹ The analysis of the insurance sector for 2025 was based on the unaudited statements of the insurance companies, which were provided by IDRA.



Source: IDRA; Calculation: FSD, BB.

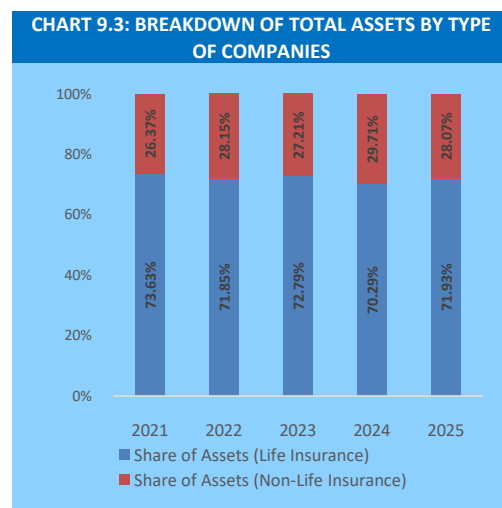
Assets of the insurance sector have been growing over time, though the sector's total assets-to-GDP ratio has been trending downward over the same period. Since 2021, the sector's total assets have risen in absolute terms but have fallen relative to GDP (Chart 9.2). In 2025, assets of life insurance companies totaled BDT 514.48 billion, up from BDT 485.60 billion in the previous year. By contrast, assets of non-life insurance companies declined to BDT 200.80 billion in the review period, down from BDT 205.30 billion in 2024. The total assets of the insurance sector grew by 3.53 percent to BDT 715.27 billion in 2025. However, the insurance sector's total assets-to-GDP ratio has been trending downward and decreased to 1.24 percent in 2025 from 1.32 percent in 2024.



Note: Calculation based on GDP Base Year 2015-2016.

Source: IDRA; Calculation: FSD, BB.

Life insurance companies accounted for 71.93 percent of the total assets of the insurance sector in the review year. However, non-life insurance companies' share stood at 28.07 percent in 2025, down from 29.71 percent in 2024 (Chart 9.3).

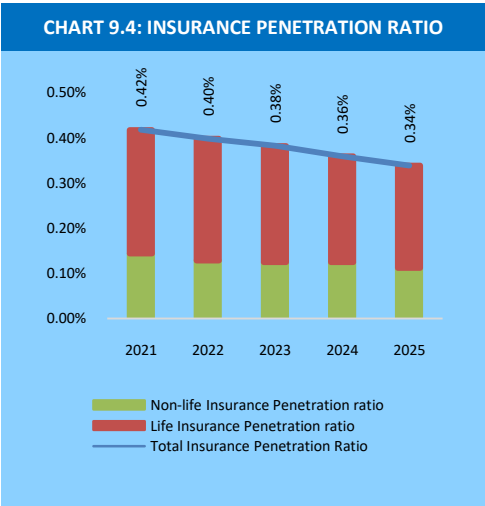


Source: IDRA; Calculation: FSD, BB.

9.2 INSURANCE SECTOR DEVELOPMENT: PENETRATION AND DENSITY

Insurance penetration ratio⁵⁰ deteriorated, but the insurance density ratio⁵¹ improved in the review year.

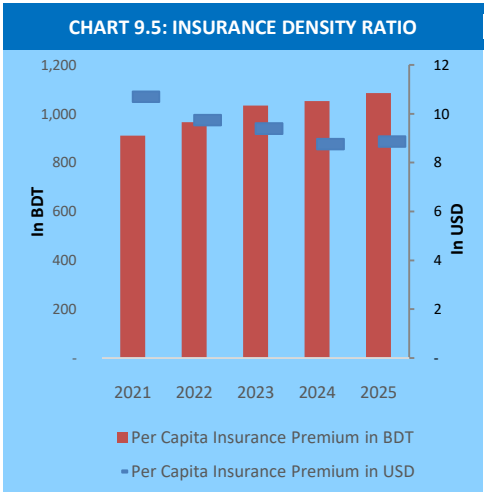
The insurance penetration ratio, measured as the ratio of gross insurance premium to GDP, is considered one of the most significant factors for the insurance sector's progress. A steady decline has been observed in the total insurance penetration ratio since 2021 (Chart 9.4). At the time of the review, the total penetration ratio stood at 0.34 percent, down from 0.36 percent in 2024. Insurance premium growth failed to keep pace with nominal GDP growth, resulting in a declining penetration ratio.



Note: Calculation based on nominal GDP Base Year 2015-2016.
Source: IDRA; Calculation: FSD, BB.

The insurance density ratio, calculated as average per capita spending on gross

insurance premiums, is low for Bangladesh. The majority of people in the country remain outside the insurance coverage, partly because of lower savings rates, more complex insurance claims, and a lack of financial literacy. However, the density ratio increased in both BDT and USD in 2025. It increased to BDT 1084.52 from BDT 1051.52 compared to the preceding year. It also increased from USD 8.76^R to USD 8.87, in spite of the marginal depreciation of BDT against USD (Chart 9.5).



Source: i) IDRA; ii) Monthly Economic Trends, BB; and iii) Statistical Yearbook of Bangladesh 2024, BBS; Population and Housing Census 2022, BBS; IRDA. Calculation: FSD, BB.

9.3 KEY INDICATORS OF NON-LIFE INSURANCE SECTOR

During the review period, non-life insurance showed mixed performance. Where, the companies performed well in the investment-to-total assets ratio. In contrast, deterioration was observed in the claim settlement ratio, management expense ratio, and return on investment. Risk retention rate decrease in 2025 compared to 2024.

^R Revised

⁵⁰ Gross insurance premium in a particular year to nominal GDP.
⁵¹ Average per capita spending on gross insurance premium.

A lower claims settlement ratio erodes policyholders' confidence in the industry and diminishes the insurance provider's reputation. The claims settlement ratio⁵² contracted significantly in 2025 and reduced to 28.51 percent, down 5.23 percentage points from the preceding period. It was also found that the investment-to-total assets ratio grew moderately and reached 60.79 percent, up from 58.18 percent in 2024. Moreover, the management expense ratio of non-life insurance companies showed a marginal increase. The ratio was 30.15 percent in 2024 and rose to 30.21 percent in 2025. Return on investment, another major indicator, stood at 6.20 percent in 2025, down from 6.27 percent in 2024, indicating an overall decrease in profitability (Table 9.1). However, the risk retention rate of the non-life insurance sector marginally decreased, indicating relatively lower risk sharing among the insurance companies.

TABLE 9.1: KEY INDICATORS OF NON-LIFE INSURANCE SECTOR

(IN PERCENT)

Indicators	2023	2024	2025
Claims Settlement Ratio	41.35	33.74	28.51
Management Expense Ratio	50.26	30.15	30.21
Return on Investment	4.50	6.27	6.20
Investment-to-Total Assets Ratio	47.92	58.18	60.79
Risk Retention Rate	52.93	54.74	53.73

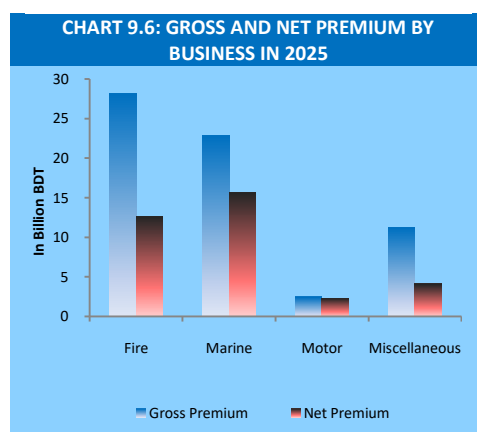
Source: IDRA, Calculation: FSD, BB.

⁵² Claims settlement ratio (CSR) means the percent of number of claims settled by the insurance providers in a year out of the total claims.

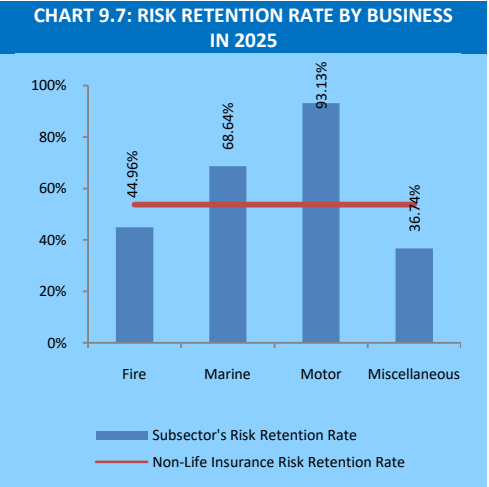
9.4 COMPARISON AMONG DIFFERENT CATEGORIES OF NON-LIFE INSURANCE

Across different business types, gross and net premiums varied in 2025 due to different risk retention rates across categories.

Non-life insurance services in Bangladesh cover fire, marine, motor, and miscellaneous insurance. In 2025, fire insurance was the largest contributor to gross premium, followed by marine, miscellaneous, and motor insurance. In the net premium category, marine insurance ranked first, followed by fire, miscellaneous, and motor insurance (Chart 9.6). Risk retention rates varied across categories (Chart 9.7). The overall risk retention rate for non-life insurance was 53.73 percent in 2025. Among the subsectors, motor insurance recorded the highest risk retention rate at 93.13 percent, followed by marine (68.64 percent), fire (44.96 percent), and miscellaneous (36.74 percent).



Source: IDRA; Calculation: FSD, BB.



Source: IDRA; Calculation: FSD, BB.

9.5 KEY INDICATORS OF LIFE INSURANCE SECTOR

Although the claims settlement ratio, management expense ratio, and return on investment rate improved, other key life insurance indicators, such as the investment-to-total assets ratio and risk retention rate, showed a slight deterioration.

The claims settlement ratio of life insurance companies increased by 0.27 percentage points to 66.54 percent in the review period. The management expense ratio decreased from 35.56 percent in 2024 to 34.83 percent in 2025. Additionally, the investment-to-total assets ratio of life insurance companies decreased slightly. On the other hand, return on investment grew by 0.25 percentage points, reaching 8.21 percent in the review year, up from 7.96 percent in 2024. Risk retention rate settled at 99.33 percent in 2025, down from 99.35 percent in 2024 (Table 9.2).

TABLE 9.2: KEY INDICATORS OF LIFE INSURANCE

(IN PERCENT)

Indicators	2023	2024	2025
Claims Settlement Ratio	72.43	66.27	66.54
Management Expense Ratio	32.63	35.56	34.83
Return on Investment	7.21	7.96	8.21
Investment-to-Total Assets Ratio	83.12	83.00	82.23
Risk Retention Rate	99.34	99.35	99.33

Source: IDRA; Calculation: FSD, BB.

9.6 CONCENTRATION IN INSURANCE SECTOR

The insurance sector exhibited a high degree of concentration, with a few companies dominating the entire market.

The insurance sector demonstrates a high level of concentration, as the top five companies account for the lion's share of assets and gross premium (Tables 9.3 and 9.4). The only public-sector non-life insurance company, Sadharon Bima Corporation (SBC), held 38.13 percent of non-life insurance assets and 25.82 percent of the non-life insurance sector's gross premium. As the sector is highly concentrated among the top five insurers, it may become vulnerable to shocks. Strong regulation and supervision are recommended for these companies to ensure better industry stability.

TABLE 9.3: CONCENTRATION OF ASSETS AND GROSS PREMIUM IN NON-LIFE INSURANCE COMPANIES IN 2025

Concentration in Non-Life Insurance		
	Asset Size	Gross Premium
Total sector (In Billion BDT)	200.80	64.88
Top 5 insurance companies (In Billion BDT)	120.64	34.02
Concentration in top five companies	60.08%	52.56%
Concentration in Sadharon Bima Corporation (SBC)*	38.13%	25.82%

Note: * Public sector insurance companies.

Source: IDRA; Calculation: FSD, BB.

TABLE 9.4: CONCENTRATION OF ASSETS AND GROSS PREMIUM IN LIFE INSURANCE COMPANIES IN 2025

Concentration in Life Insurance		
	Asset Size	Gross Premium
Total sector (In Billion BDT)	514.48	130.99
Top 5 insurance companies (In Billion BDT)	394.10	87.03
Concentration in top five companies	76.60%	66.44%
Concentration in Jibon Bima Corporation (JBC)*	6.71%	7.45%

Note: * Public sector insurance companies.

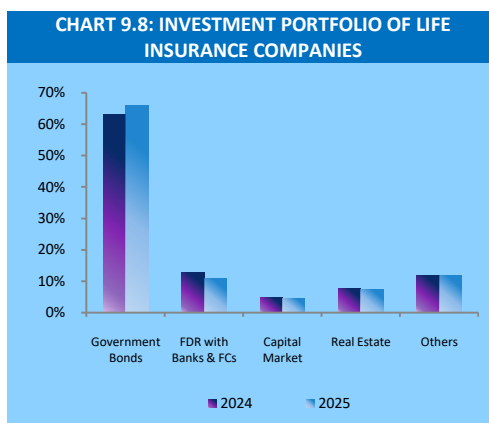
Source: IDRA; Calculation: FSD, BB.

9.7 INTERCONNECTEDNESS BETWEEN INSURANCE AND OTHER SECTORS

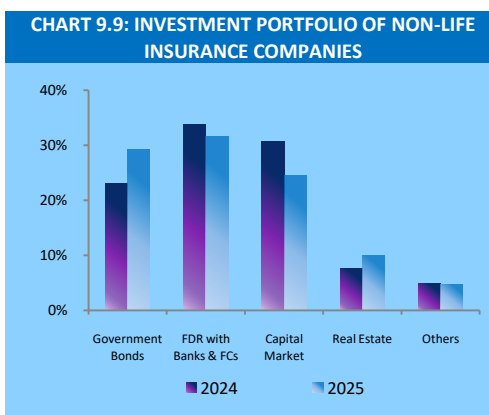
Throughout its investment, the insurance sector has close links to banks and finance companies, capital markets, and bond markets, making it significantly vulnerable to adverse incidents in those markets.

Life insurance companies invested the majority of their funds in government bonds, which accounted for 65.98 percent of their total investment. The

remaining portion was allocated to fixed deposit receipts (FDRs) with banks and FCs, real estate, capital markets, and other investments (Chart 9.8). By contrast, non-life insurance companies chose FDRs with banks and FCs and government bonds as their primary investment vehicles, followed by capital markets, real estate, and other investments (Chart 9.9).



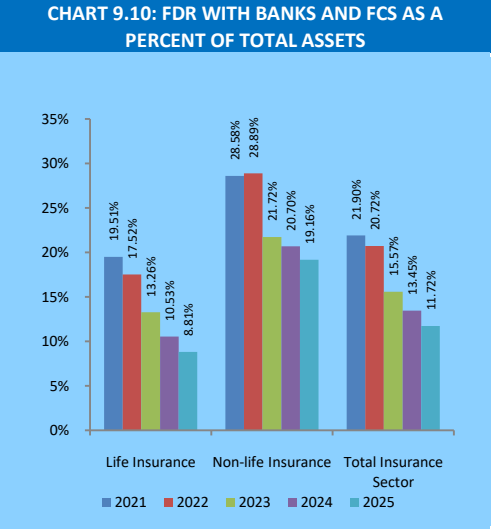
Source: IDRA; Calculation: FSD, BB.



Source: IDRA; Calculation: FSD, BB.

Fixed deposits with banks and FCs are a key source of income for insurance companies. However, the insurance sector's total investment in fixed deposits have been constrained over the past few years and stood at 11.72 percent of total assets in 2025, down from 13.45 percent in 2024 (Chart 9.10). The

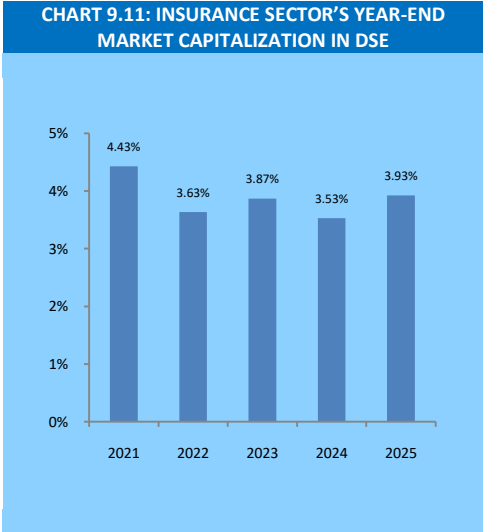
sector’s fixed deposits were equivalent to only 0.87 percent of the total fixed deposits held with the banking sector. For this reason, rapid and unexpected removal of fixed deposits by insurance companies may not pose a major risk to the banking sector. In contrast, any stress in the banking and finance company sectors could adversely affect the insurance sector, since a considerable portion of their assets would be affected.



Source: IDRA; Calculation: FSD, BB.

Insurance companies are exposed to equity price risk because they invest in the capital market. As a result, the insurance sector’s investment might be

strained by the capital market’s weak performance. On the other hand, the aggregate market capitalization of the listed insurance companies on the Dhaka Stock Exchange (DSE) rose to 3.93 percent of the total market capitalization in 2025 from 3.53 percent in 2024, indicating a positive trend in insurance share prices in the capital market (Chart 9.11).



Source: DSE.

Box 9.1: Bancassurance in Bangladesh – An Emerging Avenue for Financial Deepening

Bancassurance, defined as the distribution of insurance products through banking channels, was recently introduced in Bangladesh as a cross-sectoral financial sector initiative to promote financial inclusion and deepen financial intermediation. The initiative was formally introduced through a Government Gazette notification issued on 12 December 2023, followed by the issuance of the Bancassurance Guidelines for Banks by Bangladesh Bank on 20 December 2023. The framework became operational in March 2024.

Under the regulatory framework, banks may act as corporate agents for insurance companies, subject to prior approval from Bangladesh Bank and licensing by the Insurance Development and Regulatory Authority (IDRA).

Current Developments

As of March 2026, 12 banks have received licenses to conduct bancassurance operations. Of the 36 life insurers and 46 non-life insurers operating in Bangladesh, 10 life insurers and 7 non-life insurers have entered into partnerships with banks to distribute insurance products. In line with the regulatory framework, a bank may maintain agreements with up to three life insurers and three non-life insurers simultaneously.

The bancassurance business has exhibited gradual expansion since its inception. At end-2024:

- Total number of policies sold stood at 5,507;
- Total insured value reached BDT 146.87 crore;
- Total premium collection amounted to BDT 5.02 crore; and
- Banks earned commission income of BDT 1.0 crore from policy sales.

Implications for Financial Stability

The introduction of bancassurance has several positive implications for the financial system. It can enhance financial inclusion by expanding access to insurance services, diversifying banks' non-interest income through commissions, facilitating risk transfer to the insurance sector, and improving efficiency in insurance distribution through established banking networks.

At the same time, the initiative also poses certain risks and challenges. These include risk from potential mis-selling practices, operational risk associated with system readiness and staff capacity, and reputational risk linked to policy servicing and claim settlement issues. The cross-sectoral nature of the business further necessitates effective regulatory coordination between Bangladesh Bank and IDRA.

Policy Perspective

Bangladesh Bank is closely monitoring the development of the bancassurance business to ensure its orderly and sustainable growth with regulatory reporting. The ongoing policy attention is focused on strengthening consumer protection measures, enhancing institutional and human resource capacity, and improving supervisory, reporting, and compliance frameworks.

Bancassurance offers a promising avenue for advancing financial inclusion and fostering greater integration within the financial sector. The sustainable development of this emerging business model will depend on effective regulation, sound governance, robust consumer protection, and coordinated supervisory oversight.

CHAPTER 10 : MICROFINANCE INSTITUTIONS (MFIs)

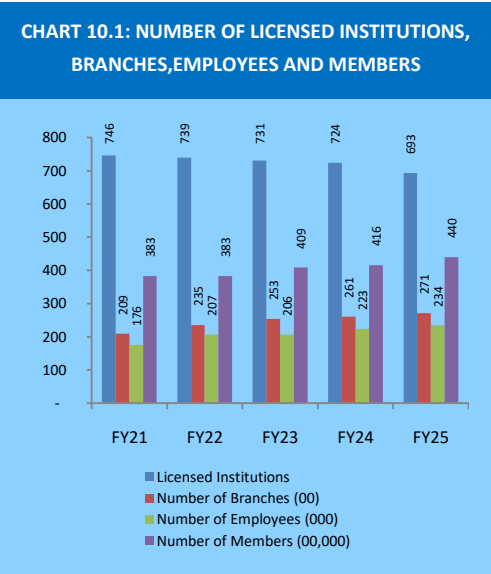
In Bangladesh, Microfinance Institutions (MFIs) play a pivotal role in promoting financial inclusion and mitigating poverty by offering credit and assistance services to low-income and underserved populations for income-generating endeavors. The Microcredit Regulatory Authority (MRA) supervises and governs the sector, ensuring adherence to regulations, maintaining standards, and safeguarding borrowers. As of FY 2025, there are 693 MFIs operating through 27,113 branches, serving more than 43.98 million clients across the nation. Since its establishment, the MRA has prioritized the sustainable development of the sector through comprehensive regulatory frameworks, routine on-site and off-site supervision, and capacity enhancement initiatives, including training programs and workshops. A robust and stable microfinance sector remains vital for bolstering overall financial stability and economic prosperity in Bangladesh.

10.1 GROWTH OF MICROFINANCE

Microfinance Institutions (MFIs) in Bangladesh offer a wide range of financial services, including credit, savings, and emergency support, to underserved and economically disadvantaged populations. In fiscal year 2025, the microfinance sector served approximately 43.98 million individuals

and microenterprises, representing a 5.82 percent increase from fiscal year 2024. During the same period, the number of operational branches and personnel increased by 3.99 percent and 4.89 percent, respectively (see Chart 10.1).

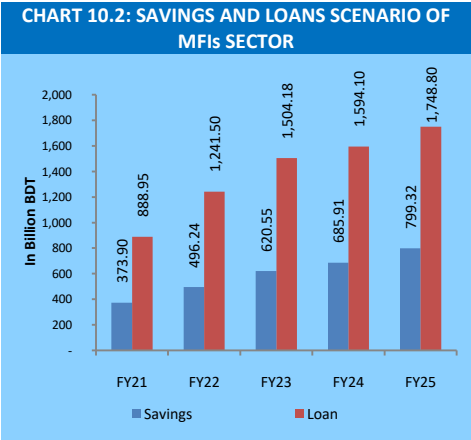
Despite this expansion in outreach and operations, the number of licensed microfinance institutions (MFIs) has declined steadily over the past five fiscal years (FY 2021–FY 2025), reflecting ongoing sectoral consolidation and stricter regulatory enforcement within the sector. In FY 2025 alone, licenses for 31 MFIs were revoked due to non-compliance with regulatory requirements.



Source: MRA.

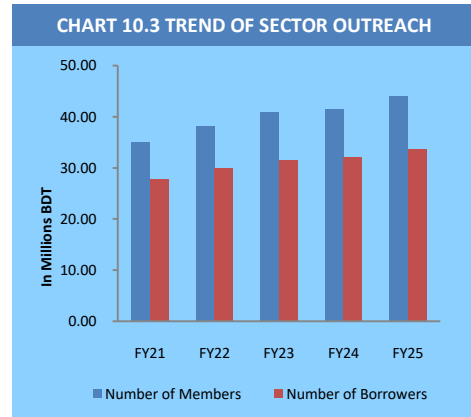
Financial indicators also demonstrate continued growth in microfinance. In FY 2025, outstanding loan balances and total savings stood at BDT 1,748.80 billion

and BDT 799.32 billion, respectively, representing increases of 9.7 percent and 16.53 percent compared to FY 2024 (Chart 10.2).



Source: MRA.

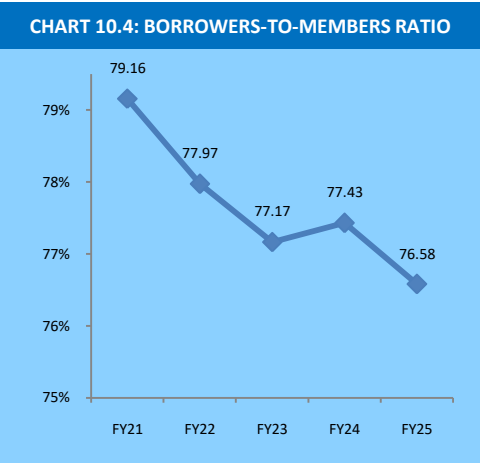
Between fiscal years 2021 and 2025, Microfinance Institutions (MFIs) in Bangladesh documented a consistent rise in both borrowers and members (Chart 10.3).



Source: MRA; Calculation: FSD, BB.

Nevertheless, the borrower-to-member ratio decreased by 0.85 percentage points in 2025, indicating a slower rate of converting members into borrowers (Chart 10.4). This trend may be attributed to more stringent lending policies, an increased emphasis on

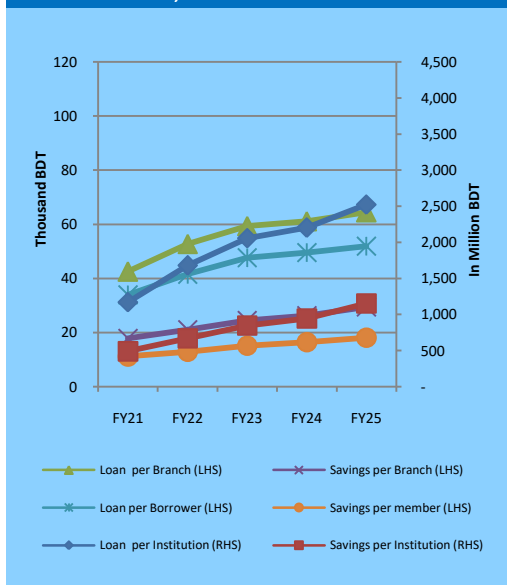
savings products, and more cautious borrowing behavior among clients.



Source: MRA; Calculation: FSD, BB.

Over the past five fiscal years, Microfinance Institutions (MFIs) in Bangladesh have experienced a consistent increase in average loans and savings at both the institutional and branch levels, as well as per borrower and per member. In FY 2025, the average loans and savings per institution grew by 14.61 percent and 21.75 percent, respectively. At the branch level, they reached BDT 64.50 million and BDT 29.48 million, reflecting increases of 5.49 percent and 12.06 percent compared to FY 2024. Similarly, the average loan size per borrower and savings per member increased by 4.82 percent and 10.12 percent, respectively (Chart 10.5). This upward trend can be attributed to the expansion of loan portfolios, increased capacity for client savings, and enhanced operational efficiency within the sector.

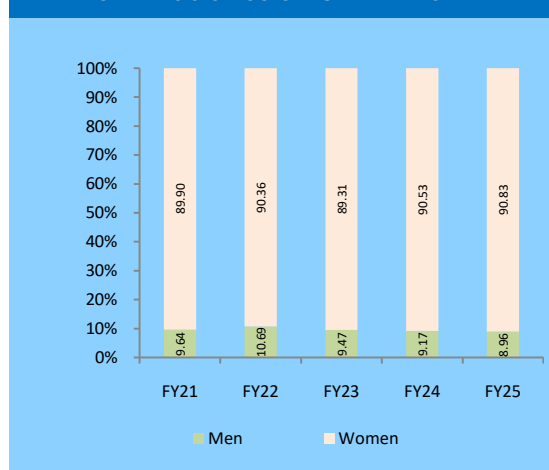
CHART 10.5: AVERAGE LOANS AND SAVINGS PER INSTITUTION , PER BRANCH and PER MEMBER



Source: MRA; Calculation: FSD, BB.

The microfinance sector in Bangladesh continues to be predominantly female, with women constituting 91.04 percent of total membership in fiscal year 2025, reflecting a 6.07 percent annual increase. In contrast, male membership experienced modest growth of 3.41 percent, reaching 3.94 million and slightly reducing their proportion of overall membership (Chart 10.6). Among the 40.04 million female members, 76.75 percent accessed credit, compared to 74.87 percent of male members, demonstrating a consistently higher level of female participation in microcredit utilization. This pattern primarily mirrors the microfinance institutions' strategic emphasis on women, attributed to their higher repayment reliability and increased engagement in household-based income-generating activities.

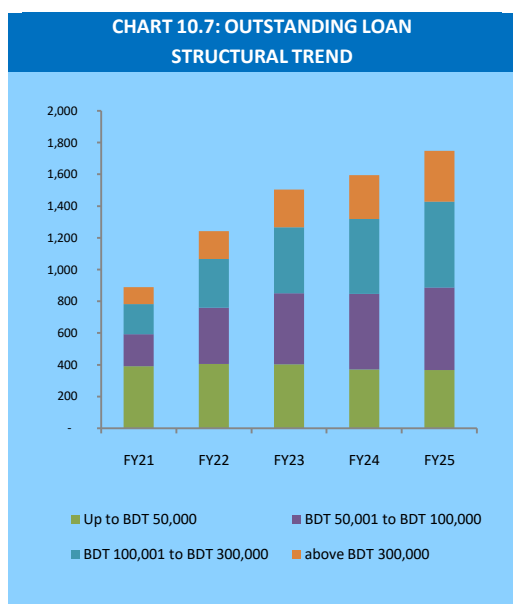
CHART 10.6: STRUCTURE OF MEMBERSHIP



Source: MRA; Calculation: FSD, BB.

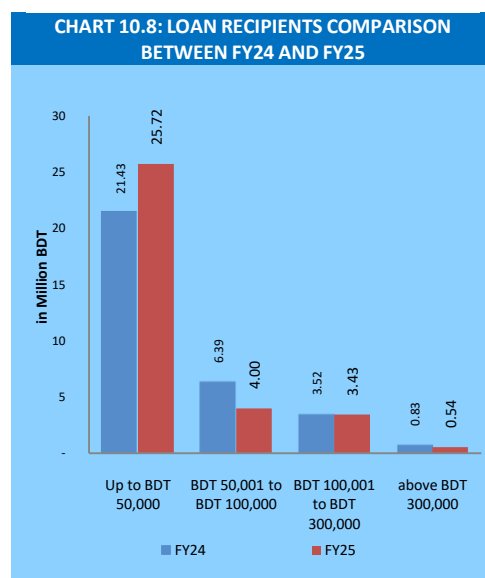
10.2 LOAN STRUCTURE

In fiscal year 2025, the composition of outstanding microfinance loans in Bangladesh shifted toward higher-value segments. Specifically, loans in the range of BDT 100,001–300,000 constituted the largest share at 30.82 percent, followed by BDT 50,001–100,000 at 29.76 percent, up to BDT 50,000 at 21.00 percent, and exceeding BDT 300,000 at 18.42 percent (refer to Chart 10.7). The proportion of smaller loan brackets declined, whereas the share of larger loan categories increased modestly. This trend indicates a gradual transition towards larger loan sizes, likely driven by increased borrower capacity and the expanding financing requirements of microenterprises.



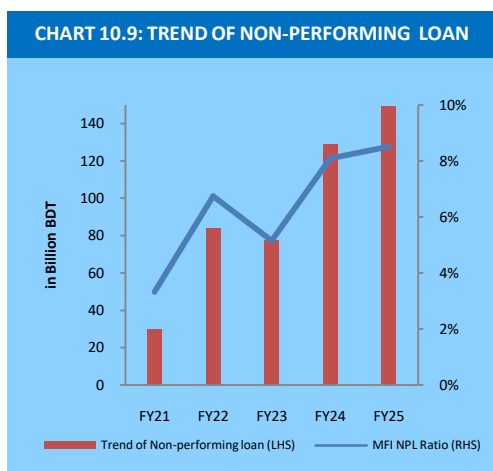
Source: MRA; Calculation: FSD, BB.

Conversely, the distribution of borrowers remained predominantly concentrated within smaller loan denominations, with 76.35 percent (25.72 million out of 33.68 million) of recipients obtaining loans of up to BDT 50,000 in FY 2025. This represents a notable increase from the previous year. Concurrently, the number of borrowers in higher loan brackets experienced a significant decline, as depicted in Chart 10.8. This pattern indicates an expansion of outreach to low-income clients and a persistent demand for small-ticket loans, potentially attributable to broader financial inclusion and cautious borrowing tendencies among new entrants.



Source: MRA; Calculation: FSD, BB.

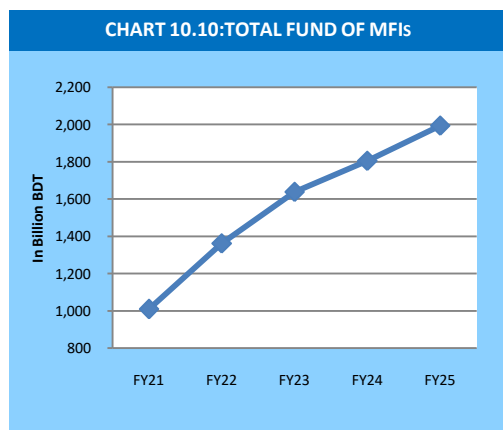
Following fluctuations during FY21–FY25, the non-performing loan (NPL) ratio in the Microfinance Institution (MFI) sector escalated to 8.52 percent by FY25. The total NPL amounted to BDT 148.93 billion, reflecting an increase of BDT 19.98 billion compared to FY24. Despite a 9.70 percent growth in total outstanding loans, the NPL ratio also rose by 0.43 percentage points, signifying a deterioration in asset quality (refer to Chart 10.9). This trend may adversely affect profitability, constrict lending capacity, and heighten the financial vulnerability of MFIs; consequently, enhanced monitoring and surveillance are imperative to ensure sector stability.



Source: MRA; Calculation: FSD, BB.

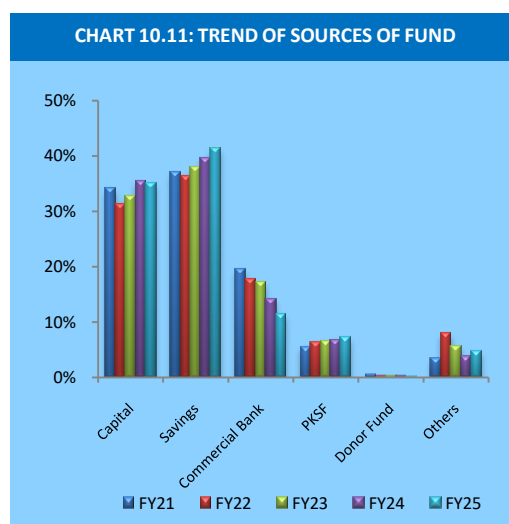
10.3 SOURCES OF FUNDS AND ITS COMPOSITION

In Fiscal Year 2025, the total fund base of Microfinance Institutions (MFIs) in Bangladesh reached BDT 1,994.89 billion, marking a 10.46 percent increase compared to Fiscal Year 2024. This growth was mainly driven by an increase in members' savings (16.53 percent), own capital (10.39 percent), and borrowings from PKSF (18.98 percent). However, there was a decline in donor and other funds (Chart 10.10). This trend reflects stronger internal resource mobilization and a reduced reliance on external funding sources.



Source: MRA; Calculation: FSD, BB.

The funding structure remained highly concentrated, with members' savings accounting for approximately 41 percent, own capital making up about 35 percent, and borrowings from commercial banks constituting around 11 percent of total funds. In contrast, donor funds were minimal, at just 0.19 percent (Chart 10.11). The slight increase in the share of savings and capital, along with a decrease in bank borrowing, indicates a trend toward greater financial self-reliance and improved sustainability within the microfinance institution (MFI) sector.

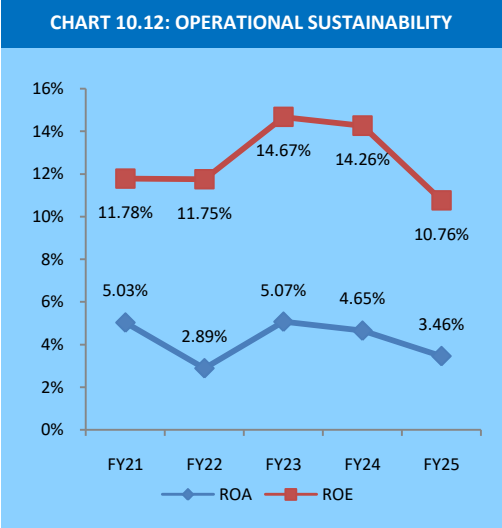


Source: MRA; Calculation: FSD, BB.

10.4 OPERATIONAL SUSTAINABILITY OF MFIS

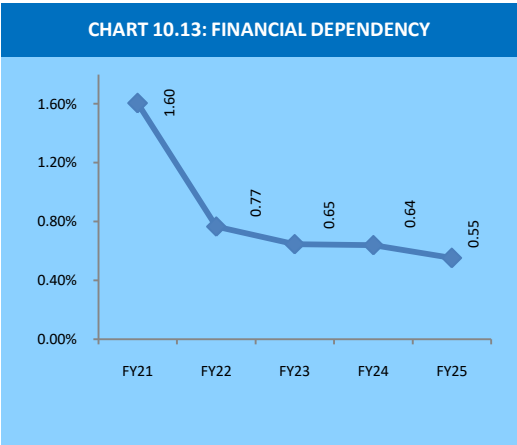
Return on Assets (ROA) and Return on Equity (ROE) are significant indicators that measure the operational sustainability and profitability of financial institutions. In fiscal year 2025, Microfinance Institutions (MFIs) experienced a decline in both metrics, with ROA decreasing to 3.46 percent and ROE to 10.76 percent, compared to 4.65 percent and 14.26 percent, respectively, in fiscal year 2024

(Chart 10.12). This decline is primarily attributed to weaker recovery of non-performing loans (NPLs) in FY25, which diminished income and profitability, thereby resulting in lower returns on assets and equity.



Source: MRA

Meanwhile, the donation-to-equity (dependency) ratio has declined since FY22, indicating improved self-sufficiency across the sector (Chart 10.13).

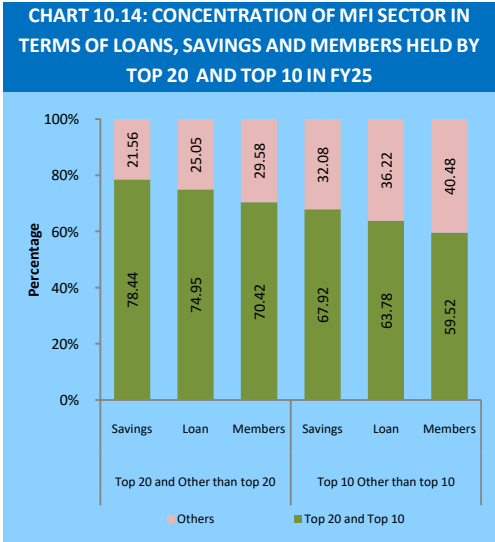


Source: MRA

The amount of donated funds decreased in FY25, but the amount of equity, increased through retained earnings and members' savings, is substantial and very

important for the long-term sustainability of this sector and for withstanding any financial shocks.

The microfinance sector is characterized by high concentration, with a small number of institutions dominating loans, savings, and membership. By the end of FY25, the top 10 microfinance institutions (MFIs) accounted for 59.52% of total members, 67.92% of savings, and 63.78% of outstanding loans. When considering the top 20 MFIs, these figures rose to 70.42% for members, 78.44% for savings, and 74.95% for outstanding loans (Chart 10.14).



Source: MRA; Calculation: FSD, BB.

This high concentration indicates the greater capacity and reach of large MFIs, but it also implies limited competition and potential systemic risks within the sector.

The overall performance of MFIs in Bangladesh remained moderately stable in FY25.

Although the non-performing loan (NPL) ratio in microfinance institutions (MFIs) remains lower than that of the banking and financial sector, it has been increasing at a faster pace since FY24. This upward trend requires close monitoring to ensure continued stability and resilience in the microfinance sector. To enhance governance, transparency, and efficiency within the microfinance sector, the Microcredit Regulatory Authority (MRA) has implemented several regulatory and digital initiatives. The MRA performs essential functions such as licensing MFIs, issuing regulatory guidelines (with 84 circulars as of December 2025), ensuring

compliance through both on-site and off-site supervision, and providing capacity-building training.

On the digital front, the MRA has introduced important platforms, including a National Microfinance Database, a web-based digital map, and the MF-CIB system, all aimed at improving data-driven decision-making and risk management. Furthermore, initiatives such as e-licensing, QR code-based license verification, and e-payment systems have enhanced service delivery and reduced operational inefficiencies. The introduction of various e-services also promotes automation, accessibility to information, and overall modernization of the sector.

CHAPTER 11 : DEVELOPMENTS IN THE FINANCIAL SYSTEM

In 2025, the government, along with Bangladesh Bank and other financial regulators, implemented a series of measures for the financial system. Some notable actions are highlighted below:

11.1 ASSESSMENT OF FINANCIAL STABILITY BY BANGLADESH BANK

Throughout the review year, the Financial Stability Department (FSD) of Bangladesh Bank conducted a comprehensive analysis of the country's financial system, highlighting key trends, strengths, risks, and vulnerabilities through its annual Financial Stability Report (FSR) and the Quarterly Financial Stability Assessment Reports (QFSARs). Furthermore, the Bangladesh Systemic Risk Report (BSRR) served as a seminal publication, presenting vital qualitative and quantitative indicators of systemic risks within the nation's financial landscape.

11.2 REGULATIONS AND POLICIES FOR BANKING SECTOR

A) IMPLEMENTATION OF ECL-BASED LOAN CLASSIFICATION AND PROVISIONING UNDER IFRS 9.

Bangladesh Bank plans to implement an Expected Credit Loss (ECL)- based provisioning framework for banks, aligned with International Financial Reporting Standard (IFRS) 9, by 2027. To achieve the goal on time, BB has outlined a roadmap for banks with specified timelines. Moreover, to

facilitate the banking sector's preparedness and enable early assessment of banks' financial health under IFRS 9, BB has provided preparatory instructions.

[Ref: BRPD Circular Letter No. 03, Date: 23 January 2025]

B) AMENDMENT OF EXIT POLICY FOR RECOVERY/SETTLEMENT OF CLASSIFIED LOANS.

With reference to BRPD Circular No. 13, dated 08 July 2024, Bangladesh Bank issued a circular letter aimed at refining, providing further clarification, and ensuring proper implementation of the exit policy for the recovery and settlement of classified loans. According to the circular letter, the borrower will deposit a minimum of 5 percent of the outstanding loan amount in cash as a down payment to receive exit benefits. The bank will dispose of the borrower's loan settlement application within sixty (60) days of receiving it.

[Ref: BRPD Circular Letter No. 05, Date: 10 March 2025]

C) DIVIDEND DECLARATION POLICY FOR BANKS.

In view of the current state of the country's banking sector, banks' financial solvency, the protection of depositors' interests, and the need to ensure fair returns for shareholders, Bangladesh Bank has issued a comprehensive policy on the declaration of dividends by banks. *[Ref: DOS Circular No. 01, Date: 13 March 2025]*

D) EASING CRR TO ENHANCE BANK'S LIQUIDITY

To enhance the monetary policy framework and streamline liquidity management, BB reduced the Cash Reserve Ratio (CRR). According to the circular, BB has directed banks to maintain a CRR of at least 3.00 percent on their time and demand liabilities on a daily basis, instead of 3.50 percent. However, the bi-weekly average CRR requirement remain unchanged at 4.00 percent.

[Ref: MPD Circular No. 01 Date: March 04 2025]

E) TRANSACTIONS WITH BANK-RELATED PERSONS OR INSTITUTIONS

To ensure the proper utilization of bank company funds and to uphold depositors' confidence, transactions with bank-related individuals or entities must be conducted transparently and in accordance with clearly defined policies. In line with this objective, specific provisions and necessary amendments pertaining to such transactions have been incorporated into the relevant sections of the Bank-Company (Amendment) Act, 2023, and to facilitate effective implementation, Bangladesh Bank has issued a circular outlining compliance requirement. To enforce these regulations, Bangladesh Bank has discretionary authority to classify persons or entities as bank-related and issue binding instructions as necessary.

[Ref: BRPD Circular No. 03, Date: 8 May 2025]

F) BANK RESOLUTION ORDINANCE, 2025

Bangladesh Bank circulated "Bank Resolution Ordinance, 2025" (Ordinance No. 19 of 2025, later enacted as Bank Resolution Act, 2026). This legislation provides Bangladesh Bank with a clear mandate and guiding principles to exercise its resolution powers, aiming to ensure the stability of the financial system. It enables the timely resolution of distressed banks, thereby safeguarding depositors' interests, preserving public confidence in the banking sector, and minimizing potential disruptions to the wider economy.

[Ref: BRRU Circular No. 01, Date: 15 May 2025]

G) POLICY SUPPORT FOR THE RESTRUCTURING OF THE BUSINESS AND FINANCIAL CONDITION OF AFFECTED BORROWERS OR BORROWER INSTITUTIONS

Bangladesh Bank has already taken various initiatives to restructure the business and financial conditions of adversely affected borrower institutions, restore the desired momentum in the banking sector, and inject dynamism into the country's economic activities. In line with this, a decision has been made to provide policy support to affected but promising borrower institutions to help them restructure their businesses and financial condition, make them operational and profitable, ensure loan recovery by the banks. The policy supports include: a special rescheduling facility, policy support for foreign exchange rate-related losses, a special

restructuring facility, and a special exit facility.

[Ref: BRPD Circular No. 07, Date: 16 September 2025, BRPD Circular Letter No. 26, Date: 24 November 2025]

H) SPECIAL FUND FOR CAPITAL MARKET AND INVESTMENT POLICY

Under DOS Circular No. 01 dated 10 February 2020, a special fund of BDT 2.00 billion was established to facilitate investment in the capital market by scheduled banks. The tenure of this fund was originally set to expire in February 2025. However, given the volatility in the country's capital market and after careful consideration of feedback and recommendations from relevant stakeholders, the expiration date has been extended to 31 December 2026, subject to compliance with specific terms and conditions.

[Ref: DOS Circular Letter No. 04, Date: 8 April 2025]

I) POLICIES RELATING TO THE FORMATION, APPOINTMENT, AND REMOVAL OF MEMBERS, AND THE ROLES AND RESPONSIBILITIES OF THE SHARIAH SUPERVISORY COMMITTEE (SSC) OF BANK COMPANIES CONDUCTING ISLAMIC BANKING OPERATIONS

BB issued directives for full-fledged Islamic banks and conventional commercial banks operating in Islamic banking regarding SSC. These directives address the formation, appointment of members, and operational procedures of SSC.

[Ref: BRPD Circular 15, Date: 9 November 2009 and IBRPD Circular 03, Date: 28 September 2025]

J) ESTABLISHMENT OF SAMMILITO ISLAMI BANK PLC

Bangladesh Bank has determined that EXIM Bank, First Security Islami Bank PLC, Global Islami Bank PLC, Social Islami Bank PLC, and Union Bank PLC were previously mismanaged by their boards, resulting in significant financial deterioration despite prolonged regulatory support. Accordingly, pursuant to Section 45 of the Bangladesh Bank Order, 1972 (President's Order), and Bank Resolution Act 2026 Bangladesh Bank has classified these institutions as non-viable and has appointed administrators to oversee their operations. In this context, to safeguard financial system stability and protect depositors' interests, BB enacted the Bank Resolution Scheme to merge the banks into Sammilito Islami Bank.

The Scheme outlines the mechanisms for asset and liability mergers, capital structure, deposit withdrawals, the creation of the board of directors, etc., of Sammilito Islami Bank.

[Ref: BRPD Circular Letter No. 28, Date: 01 December 2025 and BRD Circular Letter No. 01, Date: 29 December 2025]

K) PARTIAL WRITE-OFF

In accordance with international best practice, BB introduced a policy to partially write off defaulted loans. The policy allows loans classified as bad/loss or have a low probability of recovery to

be partially written off. Only the portion of the loan that has no collateral can fall under these criteria.

[Ref: BRPD Circular No. 11, Date: 03 December 2025]

L) RISK-BASED SUPERVISION (RBS)

To strengthen the bank supervision system amid the growing complexity of the financial landscape and to align with global standards and best practices, Bangladesh Bank (BB) has implemented Risk-Based Supervision (RBS) across the banking sector since January 2026.

[Ref: SPCD Circular No. 02, Date: 23 October 2025]

11.3 POLICIES FOR FINANCE COMPANIES (FCs)

A) APPOINTMENT OF INDEPENDENT DIRECTORS IN FCS FROM BB PANEL

To promote good governance in finance companies, Bangladesh Bank has issued a circular letter on the appointment of independent directors from a panel it has prepared. The circular letter outlines several directives on the appointment of independent directors in FCs. As per the circular letter, Bangladesh Bank will prepare a panel of eligible candidates for independent directorships, and finance companies will appoint their independent directors from the panel.

[Ref: DFIM Circular Letter No. 01, Date: 12 January 2025]

B) POLICY ON PROVISIONING

To enhance transparency in FCs' financial statements, the policy on provisioning for investments in both

listed and non-listed securities has been updated. FCs must now maintain provisions for investment-related losses and unrealized income. In addition, profit cannot be transferred to the income account unless it is actually realized and collected in cash.

[Ref: DFIM Circular No. 03, Date: 07 July 2025]

C) APPOINTMENT OF DIRECTOR

Bangladesh Bank has introduced additional requirements for the appointment of directors, alternate directors, or representative directors. These include the need for an undergraduate degree and the fulfillment of the same criteria required for directors when appointing alternate or representative directors.

[Ref: DFIM Circular Letter No. 09, Date: 16 April 2025]

D) LIQUIDITY PROFILE STATEMENT

Bangladesh Bank has revised the Liquidity Profile Statement template for FCs to more accurately reflect the actual liquidity position of the institutions. As Finance Companies have expanded their investment activities across various sectors over time, the template has been amended accordingly to address these changes.

[Ref: DFIM Circular Letter No. 18, Date: 17 August 2025]

11.4 DEVELOPMENTS IN AGRICULTURE AND RURAL CREDIT

AGRICULTURAL AND RURAL CREDIT POLICY AND PROGRAM FOR THE FY 2025-2026

Bangladesh Bank has issued the Annual Agricultural and Rural Credit Policy and Program for FY 2025-2026 to ensure a consistent flow of credit to farmers and marginalized communities. For this fiscal year, the target for loan distribution has been set 2.63% higher than the previous year.

[Ref: ACD Circular No. 01, Date: 12August, 2025]

11.5 DEVELOPMENTS IN COTTAGE, MICRO, SMALL AND MEDIUM ENTERPRISE (CMSME) FINANCING

A) INCENTIVE FACILITY FOR LOANS & ADVANCES PROVIDED TO WOMEN

Bangladesh Bank provided a 1 percent incentive on SME loans to women entrepreneurs at a 5 percent interest rate from July 1, 2021 to December 31, 2024. Bangladesh Bank has now issued a directive to continue this facility until further notice.

[Ref: SMESPD Circular Letter No. 01, Date: 08 January 2025]

B) MASTER CIRCULAR ON CMSME FINANCING

Bangladesh Bank has released an updated and comprehensive Master Circular on cottage, micro, small, and

medium enterprise (CMSME) financing. The circular aims to strengthen the sector's contribution to national economic growth by improving access to finance and streamlining procedures. This initiative is expected to create more employment opportunities and promote financial inclusion across the country.

[Ref: SMESPD Circular No. 01, Date: 17 March 2025]

C) MASTER CIRCULAR ON FINANCING IN THE STARTUP SECTOR

To support the proper development of the startup ecosystem, startup companies may now receive financing through equity investment facilities in addition to traditional loan or investment-based methods. In this context, Bangladesh Bank has issued a circular outlining regulation for financing startup companies.

[Ref: SMESPD Circular Letter No. 02, Date: 9 July 2025]

11.6 DEVELOPMENTS IN FOREIGN EXCHANGE REGULATIONS/TRANSACTIONS

A) GUIDELINES FOR OFFSHORE BANKING BUSINESS

Bangladesh Bank has formulated detailed instructions for conducting offshore banking business in Bangladesh. The circular outlines the guidelines to be followed by commercial banks for offshore banking operations. Such operations must be carried out by Offshore Banking Units (OBUs) of scheduled banks in Bangladesh, and any commercial bank wishing to operate an

OBU must obtain a license from Bangladesh Bank.

[Ref: FE Circular No. 11, Date: 30 January 2025]

B) UPDATING FOREIGN EXCHANGE RISK MANAGEMENT GUIDELINES

To strengthen versatility, promote diversity, enhance risk management efficiency, foster innovation, and ensure greater stability in the financial ecosystem, Bangladesh Bank has reviewed and updated the Foreign Exchange Risk Management Guidelines. Authorized Dealers (ADs) must comply with these updated guidelines.

[Ref: FE Circular Letter No. 12 Date: 20 February 2025]

C) ESTABLISHMENT OF LEGAL ENTITIES ABROAD

Bangladesh Bank has granted general authorization to establish legal entities abroad with investments up to USD 10,000 or its equivalent, primarily to support startup businesses in Bangladesh. In addition, Bangladesh Bank will consider requests from resident companies to acquire shares in foreign entities by exchanging their own shares or securities rather than using cash.

[Ref: FEID Circular No. 02, Date: 27 March 2025]

D) MASTER CIRCULAR ON REGULATION FOR OVERSEAS BANKING OPERATION

To address global challenges and adapt to open market operations, Bangladesh Bank has issued a comprehensive master

circular to modernize the overseas operations of scheduled banks in Bangladesh. The circular provides directives for establishing overseas branches, representative offices, and subsidiaries, as well as guidelines for purchasing shares in foreign banks or non-bank companies.

[Ref: BRPD Circular No. 04, Date: 8 May 2025]

E) EXTENDING THE PURVIEW OF OFFSHORE BANKING OPERATIONS

Following FE Circular No. 11, dated 30 January 2025, Bangladesh Bank has issued a circular letter to expand the scope of Offshore Banking Units (OBUs). OBUs may now provide services, including trade-related services, to non-resident customers who maintain accounts with them.

[Ref: FE Circular No. 24, Date: 25 June 2025]

F) EXCHANGE RATE MANAGEMENT

To enhance flexibility in exchange rate management, Bangladesh Bank has repealed the previous directive allowing Authorized Dealers (ADs) to apply a maximum spread of BDT 1.00 between the buying and selling rates for foreign currency. This change marks a significant shift towards a market-driven approach.

[Ref: FE Circular No. 18, Date: 14 May 2025]

G) REMITTANCES AGAINST CURRENT ACCOUNT TRANSACTIONS

Authorized Dealers (ADs) are permitted to process outward remittances up to 1 percent of annual sales declared in the previous year's income tax return of remitter-companies or USD 100,000, whichever is higher, on behalf of industrial and service sector enterprises, as per the prevailing Industrial Policy. This facility has now been extended to all sectors under the Industrial Policy, except for banks and financial institutions, including finance companies, insurance companies, capital market intermediaries, and microfinance institutions.

[Ref: FE Circular No. 23, Date: 19 June 2025]

H) OUTWARD REMITTANCES OF PROJECT RELATED EXPENSES

With reference to GFET-2018, Vol-1, Bangladesh Bank has granted general authorization to designated Authorized Dealers (ADs) to remit consultancy, management, and other relevant current service fees abroad for approved government projects.

[Ref: FE Circular No. 22, Date: 18 June 2025]

I) TERM LENDING IN TAKA TO FOREIGN-OWNED/CONTROLLED COMPANIES

To further promote investment and ease financing for foreign enterprises, Bangladesh Bank has relaxed the borrowing condition by revising the allowable debt-equity ratio from 50:50 to

60:40. As a result, eligible foreign-owned or controlled companies can now borrow more relative to their equity base, improving access to domestic credit for expansion and modernization.

[Ref: FE Circular No. 25, Date: 2 July 2025]

J) ACCESS TO FINANCE AGAINST FUNDS HELD IN OBU AS COLLATERAL

To facilitate financing, the balance of an Offshore Banking Unit (OBU) account can now be used as collateral to secure loans in local currency through Domestic Banking Units (DBUs). Additionally, under Section 5(1)(a) of the Foreign Exchange Regulations Act, 1947, DBUs have general approval to provide loans in taka against OBU deposits for their Non-Resident Bangladeshi (NRB) customers. The procedure also includes provisions for liquidating collateral in case of loan default.

[Ref: FE Circular No. 27, Date: 03 July 2025]

K) RETENTION OF EXPORT PROCEEDS IN FOREIGN CURRENCY BY TYPE B AND TYPE C INDUSTRIAL ENTERPRISES OF SPECIALIZED ZONES

To promote parity, operational efficiency, and effective foreign currency liquidity management for specialized zone enterprises, Authorized Dealers (ADs) may now allow Type B and Type C industrial enterprises to retain their full repatriated export proceeds in a back-to-back settlement pool in foreign currency, in accordance with paragraph 42(i),

chapter 7 of the GFET and subsequent circulars.

[Ref: FE Circular No. 32, Date: 10 August 2025]

L) FLEXIBILITY IN EXCHANGE RATE MANAGEMENT

To enhance flexibility in exchange rate management, spot exchange rates may now vary from transaction to transaction during a business day, provided they remain within the prescribed band around the crawling peg mid-rate, as guided by Bangladesh Bank from time to time.

[Ref: FE Circular Letter No. 08 Date: February 09 2025]

M) REPATRIATION OF SMALL VALUE EXPORT PROCEEDS UNDER E-COMMERCE THROUGH MFSPS AND PSPS

To further facilitate the receipt of small-value export proceeds from cross-border e-commerce transactions, Bangladesh Bank now allows Mobile Financial Service Providers (MFSPs) and Payment Service Providers (PSPs) licensed by Bangladesh Bank to handle repatriation of export proceeds for goods valued up to USD 1,000 or equivalent, without requiring an EXP Form declaration.

[Ref: FE Circular No. 43 Date: 05 November 2025]

N) REMITTANCE FACILITIES TO SMES

Bangladesh Bank has allowed Authorized Dealers (ADs) to permit an annual remittance facility of up to USD 3,000 or equivalent for small and

medium enterprises (SMEs) to cover bona fide current expenses abroad. Such remittances may be processed through traditional banking or card channels.

[Ref: FE Circular No. 38 Date: 05 October 2025]

O) FOREIGN CURRENCY-TAKA SWAP FACILITY AGAINST EXPORTERS' FUND IN FOREIGN CURRENCY HELD IN 30-DAY POOL AND RETENTION QUOTA ACCOUNTS FOR MEETING WORKING CAPITAL NEEDS

Bangladesh Bank has introduced a foreign currency-Taka swap facility between Authorized Dealers (ADs) and exporters, allowing swaps against balances held in 30-day pool and Exporters' Retention Quota (ERQ) accounts. ADs may purchase foreign currency from exporters at the spot rate against Taka, with a simultaneous forward sale at an agreed maturity rate. This enables exporters to meet short-term working capital requirements without prematurely converting export proceeds. The swap tenor is limited to 30 days for 30-day pool balances and must align with expected utilization periods for ERQ balances. Swap pricing will be based on market- or cost-reflective interest/profit differentials, and the facility must be settled in full at maturity.

[Ref: FE Circular No. 41, Date: November 03, 2025]

11.7 PROGRESS IN PAYMENT SYSTEMS

A) BANGLADESH REAL TIME GROSS SETTLEMENT (BD-RTGS) SYSTEM RULES

In order to facilitate safe, secured and efficient interbank payments, BB has upgraded the BD-RTGS system and updated the BD-RTGS system rules. BB has requested all scheduled banks and finance companies to participate in BD-RTGS, following the BD-RTGS System Rules Version 2.1. Based on this rules, FCs are allowed to execute both FI to FI transactions and Client to Client transactions in connection with loan disbursement and loan receipt.

[Ref: PSD Circular No. 01 Date: 19 January 2025]

B) LAUNCH OF INTEROPERABLE TRANSACTIONS AMONG BANKS, MFS PROVIDERS, AND PAYMENT SERVICE PROVIDERS THROUGH NATIONAL PAYMENT SWITCH BANGLADESH (NPSB)

In an attempt to implement interoperable transactions among all banks, MFS providers, and payment service providers using the NPSB infrastructure has been launched with the goal of decreasing cash transactions in the nation. The fees and charges listed in PSD Circular No. 02 dated 06 February 2025 will apply if a customer of one bank uses online banking fund transfer facilities under NPSB to transfer money to another bank.

[Ref: PSD Circular No: 12, Date: 13 October, 2025]

C) BANGLADESH BANK NOTE REFUND REGULATIONS, 2025

Bangladesh Bank has issued the Bangladesh Bank Note Refund Regulations, 2025 and the Bangladesh Bank (Note Refund) Regulations, 2012 have been repealed in order to provide more uniformity and clarity in the refund procedure.

[Ref: DCM Circular No: 2025/02, Date: 09 October, 2025]

11.8 POLICY AND ACTIONS TAKEN ON DEBT MANAGEMENT

A) REGARDING AUCTION OF CENTRAL BANK REPO

To further enhance the dynamism of interbank money market operations and strengthen liquidity management, the central bank has revised its repo auction system. Under the revised framework, instead of the 7, 14, and 28-day repos, banks may avail repos only for 7 and 14-day tenors, once a week. The regular repo auction is conducted every Tuesday, and fine-tuning of repo operations (overnight Repo) is conducted on the last day of the Reserve Maintenance Period (RMP).

[Ref: DMD Circular Letter No. 9, Date: 24 March, 2025]

B) ABOLISHMENT OF PROVIDING ASSURED LIQUIDITY SUPPORT (ALS) TO THE PRIMARY DEALERS

In order to maintain consistency in the interest rate structure of the market and to ensure full transmission of monetary policy, the ALS facilities for primary dealer banks have been abolished with effect from 1 December 2025. Since

banks have standing access to the central bank repo facility, they can meet their monetary needs without using ALS.

[Ref: DMD Circular Letter No. 14, Date: 22 September, 2025]

11.9 POLICIES FOR SUSTAINABLE FINANCE

A) GUIDELINE ON ENVIRONMENTAL AND SOCIAL RISK MANAGEMENT (ESRM) FOR BANKS AND FINANCE COMPANIES

BB introduced the Environmental and Social Due Diligence (ESDD) Risk Assessment Tool through the 2022 Guideline on Environmental and Social Risk Management (ESRM). The ESDD Risk Assessment Tool has now been significantly upgraded to align with global best practices, ensuring more comprehensive, reliable, and effective risk assessment. The updated ESDD checklist includes topics in the areas of general, environmental, and social risk.

[Ref: SFD Circular Letter No: 01, Date: 02 February, 2025]

B) GUIDELINE ON CLIMATE RISK MANAGEMENT FOR BANKS AND FINANCE COMPANIES

Bangladesh Bank has issued the *Guideline on Climate Risk Management for Banks and Finance Companies*, given Bangladesh's extreme climate change vulnerability and the financial sector's increasing exposure to physical and transition risks. The guideline aims to ensure the systematic identification, assessment, management, and disclosure of climate-related risks and opportunities. It complements the

previously issued *Guideline on Sustainability and Climate-related Financial Disclosure for Banks and Finance Companies*, which is aligned with the ISSB Standards, and is intended to facilitate effective climate-related financial reporting. Banks and finance companies are required to submit semi-annual reports using the prescribed template.

[Ref: SFD Circular No: 01, Date: 06 November, 2025]

11.10 DEVELOPMENT IN CREDIT INFORMATION

CIB REPORTING FOR AGRICULTURAL AND RURAL CREDIT

A CIB report was not mandatory for sanctioning any new loan or renewal of existing loans up to BDT 0.25 million for grain and crop credits earlier. Due to the increased risk of non-performing loans and the easy access to BB's CIB server, all scheduled commercial banks are instructed to verify CIB reports when sanctioning any new loans or renewing existing loans in all sectors covered by agricultural and rural credit, except for MFI linkage.

[Ref: ACD Circular Letter No. 01, Date: 23 March 2025]

11.11 DEVELOPMENT IN FINANCIAL INCLUSION

A) ENHANCING STUDENT INVOLVEMENT IN FINANCIAL INCLUSION UNDER SCHOOL BANKING POLICY

Bangladesh Bank has released a directive to promote greater student engagement in financial inclusion as part of its School Banking Policy. The circular instructs all scheduled banks to introduce school banking services in at least one educational institution near each branch. This initiative aims to foster student participation in account opening, financial literacy, financial awareness, and the development of technical skills.

[Ref: FID Circular Letter No. 01, Date: 16 March 2025]

B) WOMEN'S PARTICIPATION IN AGENT BANKING OPERATION

Agent banking is becoming increasingly prominent and accessible in Bangladesh. Despite a significant portion of agent banking customers being women, the number of women serving as agents remains low. To address this, Bangladesh Bank has mandated that, following the release of the circular, at least 50% of newly appointed agents must be women. This measure is designed to encourage more women entrepreneurs to participate in agent banking operations.

[Ref: BRPD Circular No. 10, Date: 8 May 2025]

11.12 DEVELOPMENT IN MONETARY POLICY

SDF UNDER IRC

As part of the Interest Rate Corridor (IRC) system, the minimum rate for the Standing Deposit Facility (SDF) has been reduced from 8.5 percent to 8 percent.

[Ref: MPD Circular No. 02, Date: 15 July 2025]

11.13 DEVELOPMENT IN EQUITY MARKET

LAWS/ORDER/NOTIFICATION/DIRECTIVE/GUIDELINE ISSUED BY BSEC

The BSEC has undertaken several notable initiatives to regulate the market and maintain trading discipline during FY 2024–25:

A) During FY 2024–2025, a total of 13 listed companies raised BDT 302.89 crore via the book-building method; 11 companies raised BDT 4,673.00 crore through the fixed price method; and 13 companies raised BDT 5.00 crore via direct listing. Private placements of shares, bonds, and preference shares amounted to BDT 1,109.98 crore. The total amount of capital approved for raising stood at Tk. 16,326.87 crore.

B) To improve market liquidity and strengthen the capital market, the Commission approved 80 new stockbroker branch offices, 31 asset management companies, 16 depository participants, 8 trustees, 12 digital booths, and 244 representative offices.

C) The Commission took enforcement actions for breaches of securities laws against 38 individuals and institutions. Of these, 222 were fined, 368 received warnings, and 74 faced other forms of penalties.

D) There are currently 257 cases involving the Commission pending in various courts. In FY 2024–2025, 41 cases filed by the Commission and 7

cases filed against it were resolved, reducing the total number of pending cases to 210 as of 30 June 2025.

E) To promote good governance and further develop the capital market, the Commission established a five-member Capital Market Reform Taskforce on 5 August 2024. The taskforce submitted its report on 10 February 2025, reviewing several key regulations including the Securities and Exchange Commission Act, 1993; Margin Rules, 1999; and Bangladesh Securities and Exchange Commission (Public Issue) Rules, 2015. The Commission is currently working to amend and update these regulations in line with the task force's recommendations to enhance governance, investor protection, and transparency.

F) In 2024, to improve international recognition, attract foreign investment, and safeguard investor interests, the Commission adjusted the upper and lower trading bands for all listed companies, thereby normalizing trading activities and restoring investor confidence. As a result, two companies have exited the floor price regime, contributing to greater market depth. However, to protect the market and investors, floor prices were reinstated for ISLAMI BANK and EXIMCO to prevent abnormal price fluctuations.

G) On 17 September 2024, the Commission established a fact-finding committee under Section 21 of the Securities and Exchange Ordinance, 1969, and relevant provisions of the BSEC Act, to investigate issues concerning market stability, investor

protection, and irregularities. The committee conducted its inquiry and submitted its findings to the Commission.

H) To further modernize and develop the capital market infrastructure, a 10-member committee was formed on 30 February 2025 under the leadership of the Senior Secretary of the Financial Institutions Division of the Ministry of Finance. This committee, which includes representatives from BSEC, DSE, CSE, CDBL, merchant banks, stock dealers, portfolio managers, and the Financial Institutions Division, has provided its recommendations for the ongoing development of the capital market.

I) In March 2025, as directed by the Ministry of Finance, a high-level committee was established to strengthen the supervisory capacity of the Commission and initiate capital market reforms. The committee has submitted its report, outlining key recommendations for regulatory and structural enhancements.

11.14 DEVELOPMENTS IN THE MICRO CREDIT SECTOR

Microfinance institutions (MFIs) distributed BDT 2,770.38 billion in FY 2024-25. Important initiatives by the Microcredit Regulatory Authority (MRA) in 2025 include:

- A)** Updated Loan Loss Provision Circular (MRA Circular 84, dated 30.12.25; MRA Circular 82, dated 30.06.25).
- B)** Updated rules for the purchase and sale of fixed assets.

- (MRA Circular 83, Date: 24.07.25)
- C)** Special Loan Loss Provision for flood-affected area.
(MRA Circular 80, Date: 09.01.25)
- D)** Flexible financing rates among MFIs. (MRA Circular 79, Date: 08.01.25)

11.15 DEVELOPMENTS IN THE INSURANCE SECTOR

In 2025, the Insurance Development and Regulatory Authority (IDRA) intensified its regulatory, developmental, and supervisory activities to strengthen the insurance sector and enhance its contribution to financial stability. Notable activities included:

A) “Regarding the addition or revision of the policy on training insurance agents to develop skilled human resources in the insurance industry.” (GAD Circular No. 19/2024, Date: 13.05.2025)

B) “Motor Liability Insurance Policy.” (Circular No. Non-Life 105/2025, Date:07.08.2025)

C) “Determination of the fee payable for submitting an application to the Dispute Resolution Committee.” GAD (Circular No. 20/2025, Date: 07.09.2025)

D) “Compliance with the directives of Non-Life Circulars 70, 90, and 91, and issuance of instructions for submission to the Lead Co-Insurer.” (Circular No. Non-Life:106/2025, Date: 14.09.2025).

E) “Guidelines for operating insurance schemes.” (Circular No. Non-Life:107/2025, dated 26.10.2025).

F) "Concerning the individual agent commissions for non-life insurers, as well as the salaries and allowances of development officers.” (Circular No. Non-Life: 109/2025, dated 23.12.2025)

APPENDIX

APPENDIX I: WORLD GDP GROWTH								
In percent								
Particulars	2020	2021	2022	2023	2024	2025	2026p	2027p
World	-2.7	6.7	3.8	3.3	3.4	3.4	3.1	3.2
Advanced Economies	-3.9	6.1	3.1	1.7	1.8	1.9	1.8	1.7
Emerging and Developing Asia	-0.5	7.8	4.7	5.6	5.4	5.5	4.9	4.8

Note: p = Projection,

Source: World Economic Outlook, April 2026.

APPENDIX II: GDP GROWTH OF TOP IMPORT ORIGINATING COUNTRIES								
In percent								
Country Name	2020	2021	2022	2023	2024	2025	2026p	2027p
People’s Republic of China	2.3	8.6	3.1	5.4	5.0	5.0	4.4	4.0
India	-5.8	9.7	7.6	7.2	7.1	7.6	6.5	6.5
Indonesia	-2.1	3.7	5.3	5.0	5.0	5.1	5.0	5.1
Singapore	-3.8	10.1	4.0	1.5	5.3	5.0	3.5	2.7
USA	-2.1	6.2	2.5	2.9	2.8	2.1	2.3	2.1

Note: p = Projection

Source: World Economic Outlook, April 2026.

APPENDIX III: GDP GROWTH OF TOP EXPORT DESTINATION COUNTRIES								
In percent								
Country Name	2020	2021	2022	2023	2024	2025	2026p	2027p
USA	-2.1	6.2	2.5	2.9	2.8	2.1	2.3	2.1
Germany	-4.1	3.9	1.8	-0.9	-0.5	0.2	0.8	1.2
UK	-10.3	8.5	5.1	0.3	1.1	1.3	0.8	1.3
Spain	-10.9	6.7	6.4	2.5	3.5	2.8	2.1	1.8
France	-7.6	6.8	2.8	1.6	1.1	0.9	0.9	0.9

Note: p = Projection,

Source: World Economic Outlook, April 2026.

APPENDIX IV: GDP GROWTH OF TOP REMITTANCES GENERATING COUNTRIES								
In percent								
Country Name	2020	2021	2022	2023	2024	2025	2026p	2027p
USA	-2.1	6.2	2.5	2.9	2.8	2.1	2.3	2.1
UAE	-8.7	4.6	7.5	4.3	4.0	5.8	3.1	5.3
KSA	-3.8	6.5	12.0	0.5	2.6	4.5	3.1	4.5
UK	-10.3	8.5	5.1	0.3	1.1	1.3	0.8	1.3
Malaysia	-5.5	3.3	9.0	3.5	5.1	5.2	4.7	4.3

Note: p = Projection,

Source: World Economic Outlook, April 2026.

APPENDIX V: GROSS VALUE ADDED (GVA) AND GDP OF BANGLADESH AT CONSTANT PRICE					
Amount in Million BDT					
Sectors	FY21	FY22	FY23	FY24	FY25
Agriculture	3,290,754	3,391,252	3,505,586	3,621,407	3,709,017
Industry	9,815,808	10,783,221	11,685,491	12,095,205	12,544,040
Service	14,151,080	15,036,464	15,844,110	16,650,464	17,374,308
Total GVA at constant price	27,257,642	29,210,937	31,035,187	32,367,077	33,627,365
GVA growth rate (%)	7.00	7.17	6.25	4.29	3.89
GDP at constant price	28,339,444	30,351,496	32,104,329	33,460,178	34,627,907
GDP growth rate (%)	6.94	7.10	5.78	4.22	3.49

Source: Bangladesh Bureau of Statistics (BBS).

APPENDIX VI: DOMESTIC CREDIT						
Amount in Billion BDT						
Particulars	FY21	FY22	FY23	FY24	FY25	FY26*
Domestic credit to the private sector	11888.55	13512.36	14942.55	16412.29	17476.87	17880.24
Domestic credit to the public sector	2510.44	3205.13	4325.15	4742.96	5366.66	5969.44
In Percent						
Growth of Domestic Credit to the private sector	8.35	13.66	10.58	9.84	6.49	2.31
Growth of Domestic Credit to the public sector	22.24	27.67	34.94	9.66	13.15	11.23

*FY26 indicates data upto December 2025.

Source: Monthly Economic Trend, March 2026 (Table IIA).

APPENDIX VII: BANKING SECTOR AGGREGATE BALANCE SHEET

	(Amount in Billion BDT)			Change (%)	
Particulars	2023	2024	2025	2023 to 2024	2024 to 2025
Property & Assets					
Cash in Hand (including FC)	251.40	290.74	282.93	2.03	-2.69
Balance with BB & SB (including FC)	1,111.10	1,095.93	1,250.05	11.58	14.06
Balance with other Banks & FCs	767.70	827.62	807.14	-2.67	-2.48
Money at Call & Short Notice	111.50	151.86	102.75	11.39	-32.34
Investments					
Government	2,320.60	2,990.01	4,049.31	11.26	35.43
Others	1,464.60	1,830.82	1,952.80	8.32	6.66
Total Investment	3,785.20	4,820.82	6,002.11	10.11	24.50
Loans & Advances					
Loans, CC, OD etc.	15,675.30	16,771.40	17,812.51	9.46	6.21
Bills purchased & Discounted	816.10	682.67	759.39	15.61	11.24
Total Loans & Advances	16,491.40	17,454.08	18,571.90	9.75	6.40
Fixed Assets	294.10	301.52	304.78	1.55	1.08
Other Assets	1,155.40	1,334.14	1,290.19	7.59	-3.29
Non-banking Assets	16.10	21.04	8.12	312.82	-61.40
Total Property & Assets	23,984.00	26,297.75	28,619.96	9.20	8.83

Source: SDAD, BB.

APPENDIX VIII: BANKING SECTOR AGGREGATE SHARE OF ASSETS

	(Amount in Billion BDT)					
Particulars	2023	% of Total Assets	2024	% of Total Assets	2025	% of Total Assets
Property & Assets						
Cash in Hand (including FC)	251.4	1.05	290.74	1.11	282.93	0.99
Balance with BB & SB (including FC)	1,111.10	4.63	1,095.93	4.17	1,250.05	4.37
Balance with other Banks & FCs	767.7	3.20	827.62	3.15	807.14	2.82
Money at Call & Short Notice	111.5	0.46	151.86	0.58	102.75	0.36
Investments						
Government	2,320.6	9.68	2,990.01	11.37	4,049.31	14.15
Others	1,464.60	6.11	1,830.82	6.96	1,952.80	6.82
Total Investment	3,785.20	15.78	4,820.82	18.33	6,002.11	20.97
Loans & Advances						
Loans, CC, OD etc.	15,675.30	65.36	16,771.40	63.78	17,812.51	62.24

APPENDIX VIII: BANKING SECTOR AGGREGATE SHARE OF ASSETS (CONT)						
(Amount in Billion BDT)						
Bills purchased & Discounted	816.1	3.40	682.67	2.60	759.39	2.65
Total Loans & Advances	16,491.4	68.76	17,454.08	66.37	18,571.90	64.89
Fixed Assets	294.1	1.23	301.52	1.15	304.78	1.06
Other Assets	1,155.40	4.82	1,334.14	5.07	1,290.19	4.51
Non-banking Assets	16.1	0.07	21.04	0.08	8.12	0.03
Total Property & Assets	23,984.00	100.00	26,297.75	100.00	28,619.96	100.00

Source: SDAD, BB.

APPENDIX IX: BANKING SECTOR AGGREGATE SHARE OF LIABILITIES						
(Amount in Billion BDT)						
Particulars	2023	% of Total Liabilities	2024	% of Total Liabilities	2025	% of Total Liabilities
Liabilities						
Borrowings from other Banks/FCs/Agents	1,944.20	8.60	2,430.14	9.73	1944.22	8.58
Deposits & Other Accounts:						
Current Deposit	3,870.70	17.10	4,051.04	16.22	3,870.69	17.09
Savings Deposit	3,819.30	16.90	3,931.14	15.74	3,819.30	16.86
Fixed/Term Deposit	8,569.40	37.80	9,623.26	38.52	8,569.36	37.84
Inter-bank Deposit	309.7	1.40	351.71	1.41	309.69	1.37
Other Deposits	1,381.70	6.10	1,370.37	5.49	1,381.75	6.10
Total Deposit	17,950.80	79.30	19,327.51	77.36	17,950.79	79.26
Bills Payable	236.96	1.00	219.82	0.88	236.96	1.05
Other Liabilities	2,516.88	11.10	3,005.77	12.03	2,516.88	11.11
Total Liabilities	22,648.85	100.00	24,983.24	100.00	22,648.85	100.00

Source: SDAD, BB.

APPENDIX X: BANKING SECTOR ASSETS, DEPOSITS & NPL CONCENTRATION (2025)				
(Amount in Billion BDT)				
Assets*	Top 5 Banks	Other Banks	Top 10 Banks	Other Banks
Amount (in Billion BDT)	8,962.90	19,657.06	13,532.44	15,087.52
Share (%)	31.32%	68.68%	47.28%	52.72%
Deposit**	Top 5 Banks	Other Banks	Top 10 Banks	Other Banks
Amount (in Billion BDT)	6,794.7	14,326.31	10,262.2	10,858.8
Share (%)	32.17%	67.83%	48.59%	51.41%
NPL***	Top 5 Banks	Other Banks	Top 10 Banks	Other Banks
Amount (in Billion BDT)	2,890.28	2,681.89	4,102.66	1,469.51
Share (%)	51.87%	48.13%	73.63%	26.37%

Source: SDAD, BB & BRPD, BB;

* Based on assets in descending order;

**Based on deposits in descending order excluding interbank deposits;

***Based on nonperforming loans in descending order.

APPENDIX XI: BANKING SECTOR NPL COMPOSITION		
(Amount in Billion BDT)		
Particulars	CY24	CY25
Sub-Standard	430.15	109.59
Doubtful	112.13	225.46
Bad & Loss	2915.38	5237.12
Total	3457.65	5572.17

Source: BRPD-1, BB.

APPENDIX XII: BANKING SECTOR AGGREGATE INCOME STATEMENT						
Particulars	(Amount in Billion BDT)				Change (%)	
	2022	2023	2024	2025	2023 to 2024	2024 to 2025
Interest Income	965.4	1,182.60	1,467.01	1,348.15	24.05	-8.10
Less: Interest Expense	691.1	851.8	1,173.10	1,473.52	37.72	25.61
Net Interest Income	274.3	330.9	293.91	(125.37)	-11.18	-142.66
Non-Interest/Investment Income	468.2	488.8	638.61	831.71	30.65	30.24
Total Income	742.5	819.6	932.53	706.34	13.78	-24.26
Operating Expenses	400.3	443.2	489.93	510.63	10.54	4.23
Profit before Provision	342.2	376.4	442.60	195.71	17.59	-55.78
Total Provision	87.7	109.4	189.88	1,438.55	73.57	657.61
Profit before Taxes	254.5	267	252.72	(1,242.84)	-5.35	-591.78
Provision for Taxation	112.3	118.6	131.14	123.82	10.57	-5.58
Profit after Taxation/Net Profit	142.3	148.4	121.58	(1,366.66)	-18.07	-1,224.21

Source: SDAD, BB.

APPENDIX XIII: INTERBANK REPO VOLUME, INTERBANK REPO RATE AND CALL MONEY RATE				
Month	Interbank Repo Volume (In Billion BDT)	Interbank Repo Rate (%)	Call Money Volume (In Billion BDT)	Call Money Rate (%)
January-25	390.37	10.19	916.87	10.08
February-25	308.84	10.25	688.35	10.04
March-25	293.82	10.15	742.36	10.01
April-25	345.63	9.96	728.91	9.93
May-25	314.12	10.39	906.62	10.06
June-24	305.46	10.38	743.95	10.14
July-25	302.33	10.26	991.74	10.03
August-25	253.25	10.01	1,016.93	9.98
September-25	541.32	9.94	1,284.99	9.97
October-25	664.95	9.87	1,219.88	9.74
November-25	714.34	9.89	1,097.06	9.79
December-25	703.52	10.15	902.43	9.99

Source: DMD, BB.

APPENDIX XIV: YIELDS ON TREASURY SECURITIES					
Securities	December, 2023	June, 2024	December, 2024	June, 2025	December, 2025
91 Day T-Bill	10.89	11.64	11.51	11.94	10.42
182 Day T-Bill	11.09	11.8	11.87	11.98	10.46
364 Day T-Bill	11.28	12	11.97	12.01	10.61
2 Years T-Bond	8.69	12.25	12.26	12.20	10.48
5 Years T-Bond	10.35	12.43	12.36	12.34	10.76
10 Years T-Bond	10.46	12.59	12.41	12.28	10.82
15 Years T-Bond	11.06	12.70	12.65	12.56	10.87
20 Years T-Bond	11.16	12.79	12.71	12.44	10.88

Source: Major Economic Indicators and Different Issue, BB.

APPENDIX XV: MONTHLY TURNOVER OF BB'S LIQUIDITY SUPPORT								
Amount in Billion BDT								
Months	Conventional Banks and FCs				Islamic Banks			
	Repo	SLF	ALS	Total	IBLF	MLS	SLS	Total
Jan-25	799.20	63.63	553.91	1,416.73	94.22	-	32.29	126.52
Feb-25	821.53	62.31	852.13	1,735.98	72.78	-	22.90	95.68
Mar-25	756.07	48.71	783.63	1,588.41	125.24	3.25	-	128.49
Apr-25	939.99	30.87	626.44	1,597.31	113.28	-	3.94	117.22
May-25	1,330.94	98.22	956.38	2,385.55	143.90	-	-	143.90
Jun-25	1,453.96	18.90	536.89	2,009.75	205.43	-	26.93	232.36
Jul-25	1,301.27	175.66	1,211.34	2,688.27	140.20	-	32.29	172.49
Aug-25	1,093.51	263.32	952.87	2,309.70	120.74	-	22.90	143.64
Sep-25	995.68	8.50	440.40	1,444.58	105.68	-	-	105.68
Oct-25	615.78	8.50	181.86	806.14	142.88	-	3.94	146.82
Nov-25	635.49	19.04	146.27	800.80	147.88	-	-	147.88
Dec-25	931.68	36.45	0.00	968.14	154.74	-	26.93	181.67

Source: DMD, BB.

APPENDIX XVI: EQUITY MARKET DEVELOPMENT			
Quarter-end	DSEX Index	Market Capitalization (in Billion BDT)	Market P/E ratio
Dec-24	5216.44	6,626.20	9.50
Mar-25	5219.16	6,738.66	9.74
Jun-25	4838.39	6,622.71	9.34
Sep-25	5415.79	7,250.63	10.38
Dec-25	4865.34	6,781.83	8.59

Source: DSE Website

APPENDIX XVII: YEAR-WISE MOVEMENT OF DSEX INDEX				
Year	Opening Index	Highest Index	Lowest Index	Closing Index
2018	6244.52	6318.27	5204.36	5385.64
2019	5385.64	5950.01	4390.67	4452.93
2020	4452.93	5402.07	3603.95	5402.07
2021	5402.07	7368.00	5088.99	6756.66
2022	6756.66	7105.69	5980.51	6206.81
2023	6206.81	6266.85	6231.94	6246.50
2024	6246.50	6447.07	4898.53	5216.44
2025	5216.44	5636.15	4615.41	4865.34

Source: DSE

APPENDIX XVIII: MARKET CAPITALIZATION TO GDP RATIO OF DSE	
Year	Ratio
Dec-18	13.85%
Dec-19	10.90%
Dec-20	13.83%
Dec-21	14.45%
Dec-22	17.98%
Dec-23	16.36%
Dec-24	12.67%
Dec-25	11.71%

Source: BBS QGDP and DSE Monthly Review, December 2025; Calculation: FSD, BB.

APPENDIX XIX: SECTORAL MARKET CAPITALIZATION OF DSE			
Broad Sector	Sector	Market Capitalization (in billion BDT)	
		2024	2025
Financial Sector	Banks	676.45	646.90
	Financial Institutions	113.23	81.97
	Insurance	127.76	127.88
Manufacturing	Food and Allied Products	314.30	240.39
	Pharmaceuticals and Chemicals	560.31	518.25
	Textile Industries	113.87	110.83
	Engineering	281.71	258.13
	Ceramic	16.11	16.60
	Tannery	22.51	20.91
	Paper and Printing	18.06	20.75
	Jute Industries	3.18	2.60
	Cement Industries	93.28	82.88
Service and Miscellaneous	Mutual Funds	27.73	22.92
	Fuel and Power	293.67	264.23
	Services and Real Estate	17.48	20.30
	IT-Sector	26.31	22.47
	Telecommunication	608.10	519.63
	Travel & Leisure	38.27	32.23
	Miscellaneous	230.94	210.94
Bond	Corporate Bond	34.06	36.61
Total		3,617.31	3,257.43

Source: DSE Monthly Review.

APPENDIX XX: BANKING SECTOR SELECTED RATIOS					
(In percent)					
Ratio	2021	2022	2023	2024	2025
ROA	0.30	0.62	0.59	0.43	-4.81
ROE	4.40	10.70	10.54R	8.70	-243.90
Net Interest Margin	1.30	1.20	1.60	1.30	-0.49
Interest Income to Total Assets	4.30	4.39	4.93	5.58	4.71
Net- Interest Income to Total Assets	1.10	1.24	1.38	1.12	-0.44
Non-Interest Income to Total Assets	1.97	2.13	2.04	2.43	2.91
Non-interest Expense to Gross Operating Income	55.60	53.91	54.08	52.54	72.29

Source: SDAD, BB and BRPD, BB.

APPENDIX XXI: BANKING SECTOR ROA AND ROE					
ROA (%)	Number of Banks		ROE (%)	Number of Banks	
	2024	2025		2024	2025
Up to 2.0	52	52	Up to 5.0	21	30
> 2.0 to 3.0	2	3	> 5.0 to 10.0	12	10
>3.0to 4.0	2	3	>10.0 to 15.0	11	4
>4.0	5	3	>15.0	17	17

Source: SDAD, BB.

APPENDIX XXII: BANKING SECTOR MONTH-WISE DEPOSIT AND LOANS & ADVANCE RATE (2025)			
(In percent)			
Month	Deposit Rate	Loans & Advance Rate	Overall Spread
January	6.10	11.89	5.79
February	6.14	11.94	5.80
March	6.17	12.04	5.87
April	6.23	12.05	5.82
May	6.29	12.11	5.82
June	6.26	12.08	5.82
July	6.39	12.14	5.76
August	6.39	12.15	5.76
September	6.42	12.16	5.74
October	6.40	12.14	5.74
November	6.36	12.14	5.78
December	6.34	12.03	5.69

Source: Bangladesh Bank Website

APPENDIX XXIII: BANKING SECTOR CAPITAL TO RISK-WEIGHTED ASSETS RATIO (CRAR) - SOLO BASIS (CY25)	
Range	Number of Banks
<10%	19
≥ 10% to <15%	14
≥ 15% to <20%	14
≥ 20%	14
Total	61

Source: SDAD, BB.

APPENDIX XXIV: BANKING SECTOR YEAR-WISE ADR AT END-DECEMBER	
<i>(In percent)</i>	
Year	Advance-Deposit Ratio (ADR)
2021	73.20
2022	79.00
2023	80.38
2024	81.55
2025	77.72

Source: SDAD, BB.

APPENDIX XXV: BANKING SECTOR ADR (CY25)	
Range	Number of Banks
Up to 70%	19
> 70% to 85%	31
> 85% to 90%	0
>90% to 100%	3
>100%	7
Total	60

Source: SDAD, BB.

APPENDIX XXVI: YEAR-WISE BANKING SECTOR LCR AND NSFR		
<i>(In percent)</i>		
Year	LCR	NSFR
2021	193.60	110.13
2022	153.97	110.22
2023	147.69	108.36
2024	157.52	104.62
2025	186.12	106.15

Source: SDAD, BB.

APPENDIX XXVII: BANKING SECTOR LEVERAGE RATIO - SOLO BASIS (CY25)	
Range	Number of Banks
< 3.50%	20
≥ 3.50% to <10%	27
≥ 10% to <20%	9
≥ 20%	5
Total	61

Source: SDAD, BB.

APPENDIX XXVIII: BANKING INDUSTRY'S SHQLA (Amount in Billion BDT)				
Clusters\Years	2022	2023	2024	Sep-2025
SOCBs	1,560.84	1,281.74	1,520.65	1,829.36
PCBs				
Conventional	1,800.46	2,035.86	2,642.73	3,643.15
PCBs Islamic	625.92	445.80	473.99	460.32
FCBs	306.54	413.41	405.30	390.33
Banking Industry*	4,293.77	4,176.82	5,042.68	6,323.16
Change in Percent	-0.97%	-2.72%	20.73%	25.39%

*Industry figure excludes BDBL, BKB, PKB and RAKUB (SDBs) as exempted from LCR & NSFR requirement.

Source: SDAD, BB.

APPENDIX XXIX: OVERSEAS BRANCHES' AGGREGATE SHARE OF ASSETS AND LIABILITIES (Amount in Million USD)									
Asset Components	2024	Share of Total Assets in 2024	2025	Share of Total Assets in 2025	Liability Components in 2024	2024	Share of Total Liabilities in 2024	2025	Share of Total Liabilities in 2025
Cash & Balance with Central Banks	317.01	61.12%	373.75	62.78	Customer Deposits	346.92	83.64%	360.87	74.20%
Balance with other Banks & FCs	66.31	12.78%	65.58	11.02	Dues to head office & branches abroad & other liabilities	67.86	16.36%	125.49	25.80%
Loans & Advances	117.68	22.69%	131.90	22.16	Total Liabilities	414.78	100%	486.36	100%
Property & Equipment and other assets	17.65	3.40%	24.08	4.04	Capital/ Equity	103.87	-	108.95	-
Total Assets	518.65	-	595.31		Total Liabilities & Equities	518.65	-	595.31	

Source: SDAD, BB.

APPENDIX XXX: FCS' AGGREGATE BALANCE SHEET					
(Amount in Billion BDT)					
Items	CY21	2022	CY23	CY24	CY25 (up to Sep)
Property & Assets:					
Cash in hand	0.01	0.02	0.03	0.01	0.01
Balance with BB, other banks & FCs	160.12	141.76	139.85	103.11	120.27
Money at call and short notice	1.43	10.15	2.33	2.48	1.74
Investment in Government securities	1.11	11.80	25.89	49.08	62.87
Other investments	19.83	22.06	22.23	22.15	22.18
Total loans and leases	649.32	708.17	736.94	760.06	778.82
Fixed assets	14.45	16.00	14.13	14.10	13.94
Other assets	48.90	55.55	51.64	50.55	51.55
Non-financial assets	1.38	1.45	1.63	1.62	1.02
Total assets	896.56	966.97	994.66	1,003.17	1,052.41
Liabilities & Equity:					
Borrowing from other banks & FCs	229.64	263.53	282.31	289.16	299.75
Deposits	444.20	471.70	482.81	498.05	532.26
Other liabilities	150.11	225.05	246.13	313.12	369.54
Total liabilities	823.96	960.27	1,011.24	1,100.33	1,201.55
Shareholders' Equity (Capital)	72.60	6.70	(16.58)	(97.16)	(149.14)
Total liabilities & shareholders' equity	896.56	966.97	994.66	1,003.17	1,052.41

Source: DFIM, BB.

APPENDIX XXXI: FCS' AGGREGATE INCOME STATEMENT					
(Amount in Billion BDT)					
Items	CY21	CY22	CY23	CY24	CY25 (up to Sep)
Interest Income	59.4	57.87	59.01	58.33	48.81
Less: Interest expense	(42.7)	47.81	52.64	60.37	50.88
Net interest income (Net II)	16.7	10.06	6.37	(2.03)	(2.07)
Investment income	3.7	2.20	2.64	4.64	5.42
Add: Commission, exchange and brokerage	0.6	0.64	0.82	0.49	0.55
Add: Other operating income	2.9	6.44	5.21	2.00	1.79
Non-interest income (Non-II)	7.2	9.28	8.67	7.13	7.76
Total operating income (Net II + Non-II)	23.9	19.33	15.04	5.10	5.69
Operating expenses	(10.5)	12.82	11.78	11.60	9.29
Profit before provisions	13.4	6.52	3.26	(6.50)	(3.61)
Total provisions	(9.3)	33.88	16.09	25.17	13.32
Profit before taxes	4.1	(27.36)	(12.84)	(31.66)	(16.93)
Tax provisions	(6.1)	3.68	5.19	3.88	2.99
Net profit after taxes	(2.0)	(31.04)	(18.03)	(35.55)	(20.04)

Source: DFIM, BB.

APPENDIX XXXII: FCS' LIQUIDITY POSITION					
(Amount in Billion BDT)					
Items	End-Dec 21	End-Dec 22	End-Dec 23	End-Dec 24	End-Sep 25
Total liabilities	527.9	559.06	570.00	623.46	676.71
Total term deposits	347.2	358.02	355.24	369.72	393.54
Industry CRR(required)	5.2	5.37	5.33	5.55	5.90
Industry CRR(maintained)	6.0	5.69	5.43	5.71	5.55
Industry SLR(required)	23.8	25.15	25.25	27.41	29.55
Industry SLR(maintained)	116.4	92.97	104.87	97.86	114.80

Source: DFIM, BB.

APPENDIX XXXIII: FCS' OTHER INFORMATION					
(Amount in Billion BDT)					
Items	CY21	CY22	CY23	CY24	CY25 (up to Sep)
Tier-I Capital	78.69	6.50	(1.81)	(56.29)	(17.14)
Tier-II Capital	13.37	12.76	12.69	11.71	0.95
Total Capital	92.06	19.26	10.88	(44.58)	(16.19)
Classified loans & leases	130.2	168.21	232.09	260.38	262.93 (Dec)
Loan loss provisions (required)	73.9	100.82	145.72	167.73	182.51 (Dec)
Loan loss provisions (maintained)/Actual Provision	62.9	90.30	127.33	154.79	178.78 (Dec)
Loan loss provisions (surplus/shortfall)	(11.0)	(10.53)	(18.39)	(12.94)	(3.73) (Dec)
Number of State-owned FCS	3	3	3	3	3
Number of local private FCS	19	19	19	19	19
Number of FCS under foreign joint venture	13	13	13	13	13
Total number of FCS	35	35	35	35	35
Number of branches	303	274	270	272	274

Source: DFIM, BB and BB Annual Report.

APPENDIX XXXIV: FCS' SUMMARY PERFORMANCE INDICATORS					
(In percent)					
Indicators	CY21	CY22	CY23	CY24	CY25 (up to Sep)
Profitability & Efficiency					
Return on Assets (ROA)	(0.23)	(3.21)	(1.81)	(3.56)	(2.59)
Return on Equity (ROE)	(2.79)	(463.51)	108.72	66.37	0.97%
Net Interest Margin (NIM)	1.87	1.14	0.73	-0.27	-0.21
Asset Quality:					
Classified Loans and Leases to Total Loans and Leases	19.33	23.88	31.55R	33.83	33.32 (Dec)
Capital Adequacy:					
Capital Adequacy Ratio (CAR)	12.90	2.88	1.62	-6.46	-23.19
Liquidity:					
SLR maintained	22.10	16.63	18.40	15.70	16.96
CRR maintained	1.70	1.59	1.53	1.54	1.41

Source: DFIM, BB.

APPENDIX XXXV: FCS' SECTOR-WISE DISTRIBUTION OF LOANS AND LEASES			
(Shares in percentage)			
Major Sectors	CY23	CY24	CY25
Trade and Commerce	15.09	15.00	14.68
Industry	46.57	47.95	49.03
Agriculture	2.28	1.99	1.86
Housing	19.41	16.75	16.12
Others	16.64	18.31	18.31
Grand Total	100.00	100.00	100.00

Source: DFIM, BB.

APPENDIX XXXVI: AUTOMATED CHEQUE CLEARING OPERATIONS						
Category	2023		2024		2025	
	Number in Million	Amount in Billion BDT	Number in Million	Amount in Billion BDT	Number in Million	Amount in Billion BDT
High Value (HV)	2.39	14,875	2.23	13,271	1.47	9,813.71
Regular Value (RV)	19.34	9,669	18.10	8,398	17.79	8,979.35

Source: PSD, BB.

APPENDIX XXXVII: AGENT BANKING OPERATION DURING 2021-2025

Amount in Billion BDT

Year	Number of Agents	Number of Account (In Million)	Deposited Amount	Number of Transactions (In Million)	Amount of Transaction	Inward Foreign Remittance
2021	13951	14.05	239.60	138.97	4,609.86	323.46
2022	15226	17.48	296.87	173.99	6,730.57	320.02
2023	15757	21.42	359.02	181.09	8,206.90	289.70
2024	16019	24.08	417.59	174.93	8,219.34	307.31
2025	15328	25.83	493.56	184.02	7,905.56	331.52

Source: Statistics Department, BB.

APPENDIX XXXVIII: VOLUME OF ELECTRONIC BANKING TRANSACTIONS

Amount in Billion BDT

Year	2022	2023	2024	2025
ATM	3,744.07	4,575.12	3,069.93	3,036.58
Debit Card	3,837.01	4,738.25	4,851.23	5,220.94
Credit Card	289.07	317.54	359.94	442.8
Internet Banking	2,835.67	7,634.16	11,092.78	13,529.18

Source: PSD, BB

APPENDIX XXXIX: BANKING SECTOR LOAN LOSS PROVISIONS

(Amount in Billion BDT)

Year	Required Provision	Provision Maintained	Surplus/Shortfall
2018	570.44	504.29	-66.15
2019	623.35	555.04	-68.31
2020	648.02	646.78	-1.24
2021	806.54	666.47	-140.07
2022	841.57	731.48	-110.09
2023	989.41	796.80	-192.61
2024	2,155.08	1,093.77	-1,061.31
2025	4,410.91	2,496.49	-1,914.41

Source: BRPD, BB.

APPENDIX XL: BANKING SECTOR YEAR-WISE GROSS NPL RATIO AND ITS COMPOSITION				
(In percent)				
Year	Gross NPL to Total Loans Outstanding	Sub-Standard Loans to Gross NPL	Doubtful Loans to Gross NPL	Bad Loans to Gross NPL
2018	10.30	9.35	4.72	85.93
2019	9.32	9.10	4.10	86.80
2020	7.66	7.67	5.33	86.94
2021	7.93	7.77	4.06	88.17
2022	8.16	6.79	4.54	88.67
2023	9.00	9.05	3.90	87.06
2024	20.20	12.44	3.24	84.32
2025	30.60	1.97	4.05	93.99

Source: BRPD, BB.

APPENDIX XLI: MICROCREDIT FINANCE SECTOR						
Particulars		2020-21	2021-22	2022-23	2023-24	2024-25
1	Total Number of Licensed Institutions	746	739	731	724	693
2	Number of Branches	20,955	23,543	25,336	26,071	27,113
3	Number of Employees	1,75,741	2,06,713	2,06,000	2,23,459	2,34,380
4	Number of Members (In Million)	35.12	38.27	40.86	41.56	43.98
5	Number of Borrowers (In Million)	27.8	29.84	31.53	32.18	33.68
6	Outstanding loans by licensed institutions (In Billion BDT)					
	Top 10 MFIs	657.89	834.05	1,008.21	1,037.50	1,115.33
	Top 20 MFIs	737.42	954.15	1,157.54	1,209.22	1,310.73
7	Outstanding Saving Balance of the licensed institutions (In Billion BDT)					
	Top 10 MFIs	304.21	344.56	430.02	466.91	542.92
	Top 20 MFIs	334.82	387.50	486.84	536.13	627.00
8	Return on Asset (ROA)	5.01	2.89	5.07	4.65	3.46
9	Return on Equity (ROE)	19.00	11.75	14.67	14.26	10.7

APPENDIX XLII: MICROCREDIT FINANCE SECTOR (CONTD.)						
Particulars		2020-21	2021-22	2022-23	2023-24	2024-25
10	Amount of Outstanding Loan (In Billion BDT)					
	Up to 50,000 Taka	395.70	404.96	403.04	370.57	367.17
	50001 Taka to 1,00,000 Taka	234.94	356.06	447.15	476.13	520.48
	1,00,001 Taka to 3,00,000 Taka	187.70	305.54	416.15	471.78	539.04
	3,00,001 Taka and Above	131.50	174.80	237.84	275.62	322.11
	Total Amount of Outstanding Loan	949.84	1,241.36	1,504.18	1,594.10	1,748.80
11	Total Amount of Loan Disbursed (BDT in Billion)	1,512.09	1,918.80	2,493.02	2,615.40	2,770.38
12	Total Amount of Loan Recover (BDT in Billion)	1,397.12	1,652.69	1,753.68	2,494.56	2,600.50
13	Defaulted Loan (In Million BDT)	45,285.47	83,700.12	77,540.00	1,28,946.15	1,48,933.43
14	Particulars of Loan Recipients' of MFIs (In Millions)					
	Particulars	2020-21	2021-22	2022-23	2023-24	2024-25
	Up to 50,000 Taka	20.72	22.25	18.40	21.43	25.72
	50001 Taka to 1,00,000 Taka	4.91	5.27	7.38	6.39	4.00
	1,00,001 Taka to 3,00,000 Taka	1.76	1.94	4.90	3.52	3.43
	3,00,001 Taka and Above	0.41	0.38	0.85	0.83	0.54
	Total Number of loan recipients	27.80	29.84	31.53	32.18	33.68
15	Average Loan per Recipient	34,162.41	41,740.72	47,708.39	49,538.91	51,921.25

Source: MRA.

APPENDIX XLII: ISLAMIC BANKS' AGGREGATE BALANCE SHEET					
	(Amount in Billion BDT)			Change (%)	
Particulars	2023	2024	2025	2023 to 2024	2024 to 2025
Property & Assets					
Cash in Hand (including FC)	60.91	53.54	50.03	(12.10)	(6.56)
Balance with BB and SB (including FC)	257.64	234.78	167.50	(8.87)	(28.66)
Balance with other Banks and FCs	176.11	211.20	209.09	19.92	(1.00)
Money at Call and Short Notice	8.25	6.95	3.80	(15.76)	(45.40)
Investments	0.00	0.00	0.00	0.00	0.00
Government	127.56	131.50	151.97	3.09	15.57
Others	177.25	291.43	308.91	64.41	6.00
Total Investments	304.81	422.92	460.88	38.75	8.97
Investments & Advances					
Investments & Advances	4,026.20	4,334.10	4,746.59	7.65	9.52
Bills Purchased and Discounted	249.73	113.61	84.19	(54.51)	(25.89)
Total Investments and Advances	4,275.91	4,447.75	4,830.79	4.02	8.61
Fixed Assets	53.68	53.19	53.74	(0.92)	1.04
Other Assets	251.95	388.82	186.17	54.33	(52.12)
Non-banking Assets	0.91	0.90	0.90	(1.44)	0.01
Total Assets	5,390.18	5,820.06	5,962.89	7.98	2.45
Liabilities					
Borrowings from other Banks/FCs/Agents	678.15	956.94	978.34	41.11	2.24
Deposits & Other Accounts					
Current Deposit	471.15	427.82	433.16	(9.20)	1.25
Savings Deposit	773.61	751.25	809.36	(2.89)	7.74
Fixed/Term Deposit	2,223.71	2,319.89	2,000.13	4.33	(13.78)
Interbank Deposit	151.87	204.36	140.82	34.56	(31.09)
Other Deposit	361.35	354.38	805.26	(1.93)	127.23
Total Deposits	3,981.70	4,057.70	4,188.73	1.91	3.23
Bills Payable	48.74	41.03	35.25	(15.81)	(14.11)
Other Liabilities	443.33	553.19	2,262.53	24.78	309.00
Total Liabilities	5,151.92	5,608.86	7,464.84	8.87	33.09
Capital/Shareholder's Equity	238.27	211.20	(1501.95)	(11.36)	(811.15)
Total Liabilities & Shareholder's Equity	5,390.18	5,820.06	5,962.89	7.98	2.45
Off-balance Sheet Items	775.85	848.21	690.60	9.33	(18.58)

Source: SDAD, BB.

APPENDIX XLIII: ISLAMIC BANKS' AGGREGATE INCOME STATEMENT					
	(Amount in Billion BDT)			Change (%)	
Particulars	2023	2024	2025	2023 to 2024	2024 to 2025
Profit Income	324.57	387.52	266.04	19.40	(31.35)
Profit Expense	214.34	291.55	357.63	36.03	22.66
Net Profit Income	110.23	95.97	(91.59)	(12.93)	(195.44)
Non-Profit (Operating) Income	49.02	66.35	55.46	35.34	(16.41)
Total Income	159.25	162.32	(36.13)	1.93	(122.26)
Non-profit (Operating) Expense	90.27	101.33	94.94	12.25	(6.31)
Profit before Provision	68.98	60.98	(131.07)	(11.59)	(314.92)
Provision for Bad Debt	14.90	38.20	1,274.04	156.28	3,235.31
Profit before Taxes	54.07	22.78	(1,405.11)	(57.86)	(6,267.05)
Provision for Taxation	26.52	16.08	19.87	(39.39)	23.58
Net Profit	27.55	6.71	(1,424.97)	(75.65)	(21,340.36)

Source: SDAD, BB.

APPENDIX XLIV: SHARE OF ISLAMIC BANKS IN THE BANKING SECTOR (2025)			
(Amount in Billion BDT)			
Particulars	All Banks	Islamic Banks	Share of Islamic Banks (%)
Property & Assets			
Cash in hand	282.93	50.03	17.68
Due from BB and other banks/FCs	2,057.19	376.58	18.31
Money at Call and Short Notice	102.75	3.80	3.69
Investments in securities	6,002.11	460.88	7.68
Investments (Loans and advances)	18,571.90	4,830.79	26.01
Fixed Assets	304.78	53.74	17.63
Other Assets	1,290.19	186.17	14.43
Non-banking assets	8.12	0.90	11.10
Total Assets	28,619.96	5,962.89	20.83
Liabilities			
Due to financial institutions	2,381.88	978.34	41.07
Deposits	21,121.01	4,047.91	19.17
Interbank deposit	278.61	140.82	50.54

APPENDIX XLV: SHARE OF ISLAMIC BANKS IN THE BANKING SECTOR (2025) (CONTD.)			
(Amount in Billion BDT)			
Particulars	All Banks	Islamic Banks	Share of Islamic Banks (%)
Property & Assets			
Bills Payable	245.89	35.25	14.33
Other liabilities	5,156.57	2,262.53	43.88
Total Liabilities	29,183.97	7,464.84	25.58
Capital/Shareholder's Equity	-564.01	-1,501.95	---
Total Liabilities & Shareholder's Equity	28,619.96	5,962.89	20.83
Off-balance Sheet Items	6,484.31	690.60	10.65

Source: SDAD, BB.

APPENDIX XLVI: SELECTED RATIOS OF ISLAMIC BANKS AND THE BANKING SECTOR (2025)		
(In percent)		
Ratio	Overall Banking Sector	Islamic Banks
ROA	-0.05	-0.24
Net Profit Margin	-0.49	-6.04
Profit (Interest) Income to Total Assets	4.71	4.46
Net-profit (Interest) Income to Total Assets	-0.44	-1.54
Non-Profit (Interest) Income to Total Assets	2.91	0.93
Investment (Advance)-Deposit Ratio	77.72	96.17
CRAR	-2.64	-43.18
Leverage Ratio	-3.10	-31.82
Classified Investment (Advances) to Investments (NPL)	30.60	56.15

Source: SDAD, BB and BRPD, BB.

APPENDIX XLVII: ISLAMIC BANKS' CRAR (2025)	
CRAR	Number of Islamic Banks
< 10%	7
10% to 12.5%	1
> 12.5%	2
Total	10

Source: SDAD, BB.

APPENDIX XLVIII: ISLAMIC BANKS' LEVERAGE RATIO (2025)	
Leverage ratio	Number of Islamic Banks
< 3.75%	7
3.75% to 5%	1
> 5%	2
Total	10

Source: SDAD, BB.

APPENDIX XLIX: METHODOLOGY OF STABILITY MAP OF ISLAMIC BANKS

The stability map presents an overall assessment of changes in underlying conditions and risk factors measured through six composite indices namely Capital Adequacy, Asset Quality, Efficiency, Liquidity, Growth and Market Share during a period. The ratios used for constructing each composite index are showing in Table 1.

Table 1: Ratios used for constructing the stability map of Islamic banks

Dimension	Ratios		
Capital Adequacy	CRAR	CCB Ratio	Leverage Ratio
Asset Quality	GNPL Ratio	NNPL Ratio	URSDL Ratio
Efficiency	ROA ratio	NII Ratio	NNII Ratio
Liquidity	LCR	NSFR	IDR
Growth	Growth in Total Assets, Investments and Deposits of Islamic banks.		
Market Share	Market share in terms of Total Assets, Investments, and Deposits of Islamic banks compared to the overall banking sector.		

Each composite index takes values between 0 and 1, where a higher value means the risk in that dimension is high. Therefore, an increase in the value of the index in any particular dimension indicates an increase in risk in that dimension for that period as compared to other periods. Each index is normalized by using the following formula:

$$\frac{X_t - \min(X_t)}{\max(X_t) - \min(X_t)}$$

Where, X_t is the value of the ratio at time t . A composite index of each dimension is calculated as a weighted average of normalized ratios used for that dimension where the weights are based on subjective judgment.

APPENDIX L: FOREIGN EXCHANGE (FX) ASSETS OF THE BANKING INDUSTRY AT END-DECEMBER							
Amount in Million USD							
Period	Debit Balance in Nostro A/c	BB Clearing Account	Investment in OBU	Cash holding	FC Bills Purchased	Others	Total
2021	1,910.65	689.22	3,485.65	28.86	1,858.90	16,388.92	24,362.20
2022	2,370.02	783.05	3,130.78	14.38	1,495.81	8,914.27	16,708.31
2023	2,387.28	1,115.41	3,757.43	27.83	1,590.18	7,353.45	16,231.58
2024	2,611.91	831.61	2,386.58	46.78	1,589.70	6,822.11	14,288.69
2025	2,626.83	1,494.33	2,336.72	43.18	1,753.69	6,145.52	14,400.27

Source: Foreign Exchange Policy Department, Bangladesh Bank.

APPENDIX LI: FOREIGN EXCHANGE (FX) LIABILITIES OF THE BANKING INDUSTRY AT END-DECEMBER									
Amount in Million USD									
Period	Credit balance in Nostro A/C	NFCD	RFCD	ERQ	FC A/C	FDD, TT, MT payable	Back-to-Back L/Cs	Others	Total
2021	142.44	56.92	105.24	666.38	1950.25	37.24	2,482.22	13,374.34	18,815.03
2022	203.83	112.48	138.67	486.96	2284.30	19.26	2,584.06	6,598.27	12,427.83
2023	319.17	143.56	143.28	422.45	2364.55	15.32	2,759.59	9,140.75	15,308.67
2024	240.66	151.70	145.77	658.37	2297.16	17.56	3,002.20	6,451.54	12,964.96
2025	307.01	209.08	117.37	698.55	3,134.61	9.62	2,872.85	6,137.91	13,486.99

Source: FEPD, BB.

APPENDIX LII: FOREIGN EXCHANGE (FX) CONTINGENT LIABILITIES OF THE BANKING INDUSTRY AT END-DECEMBER					
Amount in Million USD					
Period	Letter of credit	Letter of guarantee	Acceptances	Others	Total
2021	41,551.93	5,542.00	20,145.49	107.43	67,346.86
2022	35,714.74	4,702.98	18,238.44	364.69	59,020.85
2023	37,894.53	4,812.85	30,755.53	552.29	74,015.2
2024	40,338.05	4,867.53	32,868.51	625.42	78,699.51
2025	28,604.75	4,721.61	14,294.58	553.74	48,174.69
Growth in percent (2024 to 2025)	-29.09%	-3.00%	-56.51%	-11.46%	-38.79%

Source: FEPD, BB.

APPENDIX LIII: INTERBANK FX TURNOVER BY COMPONENTS

Amount in Million USD									
Period	Spot			Swap			Forward		
	USD	Non-USD	Total	USD	Non-USD	Total	USD	Non-USD	Total
Total CY 2024	2961.04	925.10	3886.14	19186.03	0	19186.03	55.60	10.00	65.60
Jan-25	159.82	19.07	178.89	2,247.40	0	2,247.40	0	0	0
Feb-25	151.95	18.86	170.81	2,286.30	0	2,286.30	0	0	0
Mar-25	144.53	407.2	551.73	2,246.50	1.9	2,248.40	0	0	0
Apr-25	129.7	210.64	340.34	2,170.30	0	2,170.30	0	2	2
May-25	412.5	64.54	477.04	2,401.00	0	2,401.00	0	2.5	2.5
Jun-25	1,094.00	4.23	1,098.23	1,816.70	0	1,816.70	0	0	0
Jul-25	855.7	1.76	857.46	1,804.70	0	1,804.70	0	0	0
Aug-25	664.56	2.88	667.44	1,540.80	0	1,540.80	5	0	5
Sep-25	832.82	1.44	834.26	1,845.00	0	1,845.00	14	0	14
Oct-25	868.62	0.35	868.97	1,510.00	0	1,510.00	0	0	0
Nov-25	1,055.58	0.2	1,055.78	1,513.00	0	1,513.00	0	0	0
Dec-25	888.72	1.74	890.46	1,465.50	0	1,465.50	3	0	3
Total CY 2025	7258.50	732.91	7991.41	22847.20	1.90	22849.10	22.00	4.50	26.50
Growth in 2025	145.13%	-20.78%	105.64%	19.08%		19.09%	-60.43%	-55.00%	-59.60%

Source: FRTMD, BB.

APPENDIX LIV: ANNUAL INTERBANK FX TURNOVER					
Amount in Million USD					
Particulars	2021	2022	2023	2024	2025
Annual FX Spot Turnover	5.91	2.40	1.09	3.89	7.99
Annual FX Swap Turnover	36.56	34.50	21.30	19.19	22.85
Annual FX Forward Turnover	0.63	0.15	0.02	0.07	0.03
Annual FX Turnover	43.10	37.05	22.40	23.14	30.88

Source: FRTMD, BB.

APPENDIX LV: MONTHLY INTERBANK FX TURNOVER													
Amount in Billion USD													
Particulars	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Total
FX Turnover	2.43	2.46	2.8	2.51	2.88	2.91	2.66	2.22	2.71	2.38	2.57	2.36	30.89

Source: FRTMD, BB.

APPENDIX LVI: NET OPEN POSITION IN FX AT END-DECEMBER

<i>Amount in Million USD</i>			
Period	Total of the Net Long Position	Total of the Net Short Position	Overall Net Exchange Position
End-December 2023	734.94	-746.21	-11.28
End-December 2024	958.86	-493.58	465.28
Jan-25	834.92	-694.66	140.26
Feb-25	855.69	-644.88	210.82
Mar-25	1044.68	-469.53	575.15
Apr-25	1091.21	-563.18	528.03
May-25	1218.63	-371.18	847.45
Jun-25	1402.23	-285.55	1116.68
Jul-25	1220.38	-333.88	886.5
Aug-25	1273.02	-377.64	895.38
Sep-25	1081.29	-445.76	635.54
Oct-25	981.63	-402.17	579.46
Nov-25	1103.25	-341.36	761.89
Dec-25	1163.60	-342.42	821.18

Source: FRTMD, BB.

APPENDIX LVII: ANNUAL GROWTH OF NDA, NFA, M2 AND RM						
Particulars	2020	2021	2022	2023	2024	2025
NFA	30.22%	3.41%	-13.48%	-13.13%	-8.00%	29.28%
NDA	9.94%	11.57%	14.95%	13.42%	10.22%	6.75%
M2	14.23%	9.60%	8.47%	8.60%	7.57%	9.55%
RM	21.18%	6.45%	17.41%	-2.03%	7.30%	9.22%

Source: Monthly Economic Trend, BB.

APPENDIX LVIII: FX RESERVES ADEQUACY				
<i>Amount in Billion USD</i>				
Particulars	Dec-22	Dec-23	Dec-24	Dec-25
Import in the month of December	5.29	4.96	6.08	5.87
Import Coverage (Prospective)	5.5	5.1	4.1	5.10
Gross FX Reserves	33.75	27.13	26.21	33.19
FX Reserves as per BPM6	-	21.87	21.39	28.59
M2	177.57	173.56	171.14	183.98
FX Reserves/M2	19.01%	15.63%	15.32%	18.04%
STED/Reserve	54.91%	52.46%	49.38%	42.36%
Required FX Reserves =3 Months Import Coverage	15.86	14.88	18.23	17.62
Required FX Reserves = 20% of M2	35.51	34.71	34.23	36.80
Required FX Reserves = Short-Term External Debt	18.53	14.23	12.95	14.06

Source: MET; NSDP, BB Website.

APPENDIX LIX: INWARD WAGE EARNERS' REMITTANCE					
Amount in Billion USD					
Particulars	2021	2022	2023	2024	2025
Total	22.07	21.29	21.92	26.89	32.81
Growth (in percent)	1.52%	-3.55%	2.97%	22.68%	22.04%

Source: NSDP, BB Website.

APPENDIX LX: EXCHANGE RATE MOVEMENT												
BDT per USD												
Period	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2020	84.90	84.95	84.95	84.95	84.95	84.90	84.80	84.83	84.84	84.80	84.80	84.80
2021	84.80	84.80	84.80	84.80	84.80	84.80	84.80	85.20	85.50	85.67	85.80	85.80
2022	86.00	86.00	86.20	86.50	89.00	93.50	94.70	95.00	96.00	97.00	98.00	99.00
2023	100.00	101.00	102.00	103.00	104.50	106.00	109.00	109.50	110.25	110.50	110.50	110.00
2024	110.00	110.00	110.00	110.00	117.70	118.00	118.00	120.00	120.00	120.00	120.00	120.00
2025	121.93	122.00	122.00	122.00	122.90	122.78	122.62	121.64	121.80	122.29	122.26	122.33

Source: Monthly Economic Trend, BB.

APPENDIX LXI: REER MOVEMENT (INDEX)												
Period	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2020	110.45	111.23	113.71	115.86	113.78	112.99	112.82	112.38	114.10	114.67	113.00	110.73
2021	111.29	110.94	112.41	113.12	108.97	110.55	112.00	113.47	115.08	115.75	115.21	115.76
2022	115.06	114.67	115.49	116.38	115.74	111.3	111.31	113.97	112.36	111.66	108.09	104.81
2023	102.33	101.86	102.69	101.4	101.12	102.03	100.57	104.56	106.57	107.95	105.39	104.53
2024	103.30	102.72	104.56	105.72	99.79	99.06	100.66	101.05	100.17	102.96	104.10	103.85
2025	100.36	99.51	99.55	98.55	96.9	96.35	98.63	101.22	101.85	103.81	103.55	101.99

Source: MPD, BB.

APPENDIX LXII: IMPORT LETTER OF CREDIT (L/C)					
Amount in Billion USD					
Item	2021	2022	2023	2024	2025
Opening L/C	86.18	85.28	69.72	71.65	73.06
(Growth)	-	-1.04%	-18.25%	2.76%	1.98%
Settlement L/C	71.56	87.71	58.82	69.18	71.92
(Growth)	-	22.57%	-32.94%	17.62%	3.96%
Outstanding Contingent Liabilities of Import L/Cs	14.61	-2.43	10.90	2.47	1.14

Source: FEOD, BB.

APPENDIX LXIII: INTERVENTION IN FX MARKET BY BB

Amount in Billion USD					
Particulars	2021	2022	2023	2024	2025
USD Purchased	2.66	0.00	1.24	2.69	3.39
USD Sold	2.52	12.94	12.51	7.05	0.13

Source: FRTMD, BB.

APPENDIX LXIV: INTERVENTION IN FX MARKET BY BB (2025)												
Amount in Million USD												
Particulars	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
USD Purchased	10	0	48	92	107	0	494	454	929	249	0	1009.50
USD Sold	72	25	0	35	0	0	0	0	0	0	0	0

Source: FRTMD, BB.

APPENDIX LXV: SELECTED BALANCE SHEET ITEMS OF INSURANCE SECTOR						
(Amount in Billion BDT)						
Particulars		2021	2022	2023	2024	2025
Non-Life Insurance	Gross Premium	53.96	54.13	59.53	65.02	64.88
	Investment	79.14	84.92	105.25	119.44	122.07
Life Insurance	Gross Premium	102.33	114.02	122.73	122.66	130.99
	Investment	380.41	379.92	391.11	403.04	423.03

Source: IDRA.

APPENDIX LXVI: SELECTED INDICATORS OF INSURANCE SECTOR					
Particulars	2021	2022	2023	2024	2025
Per Capita Insurance Premium (in BDT)	910.33	965.06	1,033.47	1,051.52	1,084.52
Insurance Penetration Ratio	0.42%	0.40%	0.38%	0.36%	0.34%
Assets to GDP Ratio	1.64%	1.51%	1.35%	1.32%	1.24%
Market Capitalization in DSE	4.43%	3.63%	3.87%	3.53%	3.93%

Source: IDRA.

APPENDIX LXVII: LIST OF INDICATORS USED TO PREPARE CFSI	
Category	Indicator
<i>Real Sector Index (RSI)</i>	GDP growth rate
	Agricultural Production
	Quantum Index of Production
	Inflation
	Domestic Credit to GDP
<i>Fiscal Sector Index (FSI)</i>	Fiscal balance to GDP
	Government debt to GDP
	Tax Revenue to GDP
<i>External Sector Index (ESI)</i>	External debt to GDP ratio
	Reserve to External Debt
	Current Account Balance to GDP
	Real effective exchange rate (REER)
	Net international investment position (NIIP)
<i>Monetary and Financial Sector Index (MFI)</i>	Domestic Credit Growth
	Performing Loan Ratio
	CRAR
	ROA
	Capital Market return
	Call money rate

APPENDIX LXVIII: FINANCIAL STABILITY MAP FOR 2025

Components	Major Indicators	Standardized Scores (0 to 1 Scale)		Change w.r.t.2024	Latest Value of the indicator ⁵³	Comment
		2024 ⁵⁴	2025			
External Economy	Trading partners' real GDP growth (export weighted)	0.342	0.344	↑	1.37 percent for 2025; 1.38 percent for 2024.	Reverse ratio ⁵⁵ = 1-standardized score
	Import Weighted average Inflation (In countries from which Bangladesh makes highest import)	0.162	0.107	↓	1.05 percent for 2025; 1.48 percent for 2024.	-
	Remittance Weighted Unemployment rate (Source countries with highest inward remittance for Bangladesh)	0.374	0.419	↑	3.27percentfor 2025; 3.37 percent for 2024	-
	International Oil Price	0.665	0.523	↓	\$62.43/barrel in December2025. Oil price decreased after December2024.	
	180 days Average SOFR rate at month end	0.988	0.822	↓	4.20 percent in December2025. This rate decreased after December 2024.	
	Current account deficit to GDP	0.413	0.403	↓	0.158 percent in December2025;0.074 percent in December2024.	Reverse ratio.
	Reserve Adequacy (Import coverage in months)	0.858	0.724	↓	5.15 months in December2025;4.10 months in December2024.	Reverse ratio.
	Overall component Score	0.522	0.461	↓	-	-

53 The cut-off date for latest value of any indicator is 31stDecember, 2025. Updated values after that date have been used in explaining future outlook of the stability map but not in constructing the map.

54 Some indicators for 2024 have been re-estimated. In some cases, threshold values used for standardizing the indicators have also been modified from the previous publication (FSR-2024).

55 Reverse ratio is used when higher value of an indicator is desirable for financial stability. The reverse ratio ensures that higher values of such indicators are placed closer to the origin of the stability map. Final standardized scores are stated in the appendix after converting the original scores using the reverse ratio.

Domestic Economy	Output gap	0.400	0.200	↓	-0.69 percent for December2025; 2.15 percent for December2024.	-
	External debt to GDP	0.917	0.940	↑	21.10 percent in 2025; 22.60 percent in 2024.	-
	Exchange rate fluctuations (REER)	0.432	0.407	↓	101.99 for December2025; 103.85 in December2024.	-
	Inflation	0.807	0.626	↓	8.49 in December2025; 10.89 in December2024.	-
	Overall component Score	0.632	0.517	↓	-	-
Households	Household borrowing to GDP	0.709	0.636	↓	4.83 percent in December2025; 5.38 percent for 2024.	-
	Household Credit quality (H.H NPL to H.H Loans)	0.873	1.000	↑	13.09 percent in December2025; 11.86 percent for 2024.	-
	Inward Remittance to GDP	0.457	0.334	↓	6.93 percent in December2025; 5.66 percent for 2024.	Reverse ratio.
	Overall component Score	0.677	0.654	↓	-	-
Non-Financial Corporation	All NFC's credit to GDP	0.948	0.857	↓	24.33 percent in December2025; 26.91 percent in December2024.	-
	Top 50-NFC's loans to Banking Sector Loans	0.924	1.000	↑	21.59 percent in December2025; 19.95 percent in December2024.	-
	D/E ratio of All NFCs	0.493	0.500	↑	117 percent in December2025; 115 percent in December2024.	-
	Credit portfolio quality of Top 50 NFC's	0.736	0.980	↑	27.97 percent in December2025; 21.01 percent in December2024.	-
	Overall component Score	0.776	0.834	↑	-	-

Fiscal Condition	Public debt to GDP	0.505	0.823	↑	38.61 percent in September2025; 36.30 percent in December2024.	-
	Sovereign Risk Premium	0.842	0.746	↓	6.68 percent in December2025; 8.02 percent in December2024.	-
	Govt. budget balance to GDP	0.299	0.628	↑	5.01 percent in December2025; 4.01 percent for 2023-2024.	-
	Tax revenue to GDP	0.858	0.902	↑	7.10percent in December2025; 7.32 percentin December2024.	Reverse ratio
	Overall component Score	0.627	0.783	↑	-	-
Financial Market Condition	Asset Concentration of D-SIBs to Industry Assets	0.273	0.272	↓	27.19 percent in December2025; 27.33 percent in December2024.	-
	Gross NPL of Banking Sector	0.402	0.700	↑	30.60 percent in December2025; 20.20 percent in December2024.	-
	RWA density ratio	0.626	0.678	↑	70.64 percent in September2025; 62.61 percent in December2024.	-
	Banking Sector resilience map	-1.108	-1.339	↑	-	-
	Deposit covered by DITF	0.827	0.737	↓	26.30 percent in December2025; 17.34 percent in December2024.	Reverse ratio.
	NPL of FCs	0.890	0.873	↓	33.32 percent in December2025; 33.83 percent in December2024.	-

Financial Market Condition	Claim settlement ratio of Insurance sector (life + Nonlife)	0.685	0.807	↑	59.44 percent in December2025; 62.52 percent in December2024.	Reverse ratio.
	NPL ratio of MFIs	0.931	1.000	↑	8.52 percent in December2025; 8.09 percent in December2024.	-
	Price Earnings Ratio	0.921	1.000	↑	8.59 in December2025; 9.50 times in December2024.	Reverse ratio used up to a certain level. Weights for FI and capital market indicators are finalized using their proportional size in the financial system (Bank + FI + Capital Market)
	DSEX	0.442	0.493	↑	5216.44 points in December2024 and 5,415.79 points in September2025.	Reverse ratio.
	Overall component Score	0.396	0.488	↑	-	-
Capital & Profitability	CRAR	0.596	1.000	↑	-2.93 percent in September2025; 3.08 percent in December2024.	Reverse ratio
	TIER 1	0.583	1.000	↑	-5.21 percent in September2025; 0.48 percent in December2024.	Reverse ratio
	NIM	0.489	0.587	↑	1.73 percent in December2025; 2.90 percent in December2024.	Reverse ratio
	ROA	0.197	1.000	↑	-4.81 percent in December2025; 0.43 percent in December2024.	Reverse ratio
	Overall component Score	0.491	0.960	↑	-	-
Funding & Liquidity	ADR	0.987	0.710	↓	77.98 percent in December2025; 81.17 percent in December2024.	-

	LCR	0.546	0.303	↓	188.23 percent in December2025; 157.52 percent in December2024.	Reverse ratio
	NSFR	0.636	0.555	↓	105.65 percent in September2025; 104.62 percent in December2024.	Reverse ratio
	Overall component Score	0.726	0.525	↓	-	-

